# Notes on Advanced Macroeconomics

*Victor Li*

*Spring semester, 2024*

# Contents

**Preface** **6**

## I Introduction 7

**1 Introduction** **8**
1.1 Growth, fluctuations, and their interaction . . . 8
1.2 From aggregate relations to individual decisions . . . 8
1.3 Reading a dynamic equilibrium . . . 9
1.4 Accounting and notation used in these notes . . . 10

## II Growth 11

**2 Growth Facts and Growth Accounting** **12**
2.1 Income levels, growth rates, and convergence . . . 12
2.2 Capital, labor, and productivity . . . 14
2.3 From accounting to a growth model . . . 15

**3 Harrod–Domar: Investment and Growth** **18**
3.1 From a spending equilibrium to a growth problem . . . 18
3.2 Domar: demand must keep up with capacity . . . 19
3.3 Harrod: which growth rate validates investment plans? . . . 20
3.4 Fixed proportions, compatibility, and the route to Solow . . . 22

**4 Solow Model** **23**
4.1 From the growth question to the model . . . 23
4.2 Economic environment and assumptions . . . 24
4.3 Solow model in discrete time . . . 29
4.4 Solow model in continuous time . . . 33
4.5 The Golden Rule and the cost of saving . . . 36
4.6 Extensions: which assumption needs to change? . . . 37

**5 Ramsey Model** **41**
5.1 From a saving rule to a saving decision . . . 41
5.2 Assumptions . . . 42
5.3 Solving the consumption–saving problem . . . 45
5.4 Intertemporal equilibrium and economic adjustment . . . 53
5.5 Linearization and the saddle path . . . 55
5.6 Maximizing welfare . . . 57
5.7 Taxation and capital accumulation . . . 59

**6 OLG Model** **63**
6.1 From retirement needs to overlapping generations . . . 63
6.2 Assumptions and the cohort timeline . . . 64
6.3 Household optimization and life-cycle saving . . . 67
6.4 Firm optimization and the return to ownership . . . 69

6.5 Capital accumulation and equilibrium dynamics . . . 70
6.6 Comparing Solow, Ramsey, and OLG . . . 73
6.7 Dynamic efficiency and intergenerational welfare . . . 73
6.8 Population, pensions, and public debt . . . 78

**7 Endogenous Growth and Resource Allocation 82**
7.1 From intermediate macroeconomics and Ramsey to a growth engine . . . 82
7.2 AK: retain Ramsey's choice, change the return . . . 83
7.3 Human capital: explain the reproducible composite . . . 87
7.4 Ideas: from a research share to innovation incentives . . . 91
7.5 What changes when ideas become harder to find? . . . 96
7.6 Allocation: more output from the same stocks . . . 97
7.7 How to read an endogenous-growth claim . . . 101

**8 Growth Models: Mechanisms, Comparisons, and Reality 102**
8.1 A map of the questions, not a ranking of the models . . . 102
8.2 A region builds factories: demand, capacity, and diminishing returns . . . 103
8.3 Someone must save: from an investment target to household choices . . . 104
8.4 The next machine needs a skill; the next skill needs an idea . . . 106
8.5 The same resources can produce more, but who gains? . . . 107
8.6 A growth slowdown: work backward from observations . . . 108
8.7 A longer view: learning to exercise economic judgment . . . 110
8.8 What we carry into fluctuations . . . 113

**III Fluctuations 114**

**9 Understanding Economic Fluctuations 115**
9.1 Why study growth before fluctuations? . . . 115
9.2 What exactly are we describing as a fluctuation? . . . 115
9.3 Where can fluctuations come from? . . . 117
9.4 How does a disturbance become an aggregate movement? . . . 119
9.5 Do fluctuations belong to the short, medium, or long run? . . . 121
9.6 Why do fluctuations matter? . . . 122
9.7 What must a model of fluctuations explain? . . . 123

**10 Real Business Cycle Model 124**
10.1 From a growth path to changing opportunities . . . 124
10.2 Complete conditions and the order of decisions . . . 125
10.3 Household choice: working now and transferring consumption . . . 127
10.4 Firms, resource clearing, and the real equilibrium . . . 129
10.5 Recover the course's fixed-capital benchmark . . . 131
10.6 Capital accumulation and the deterministic reference . . . 132
10.7 Log-linearization: show the approximation in each equation . . . 133
10.8 Solve the model before drawing its responses . . . 137
10.9 A worked shock experiment and its economic meaning . . . 139
10.10 Retain nominal pricing without confusing it with real closure . . . 142
10.11 What should an economist learn from the benchmark? . . . 143

**11 New Keynesian Model: Sticky Prices** **145**
11.1 Why can demand change output? . . . 145
11.2 From RBC to a New Keynesian DSGE model . . . 145
11.3 Economic environment and timing . . . 148
11.4 The household: first the basket, then the date of purchase . . . 151
11.5 Labor costs and price setting . . . 154
11.6 From individual prices to aggregate inflation . . . 157
11.7 Natural output and inflationary pressure . . . 161
11.8 Dynamic IS: household timing and the natural real rate . . . 164
11.9 Fixed-duration contracts and staggered adjustment . . . 165
11.10 Monetary policy and equilibrium . . . 166
11.11 The effects of a monetary policy shock . . . 169
11.12 Expectations, persistence, and the model's limits . . . 173
11.13 IS–LM and AD–AS with microfoundations . . . 175

**12 New Keynesian Model: Sticky Wages and Prices** **181**
12.1 What if the wage contract survives the change in demand? . . . 181
12.2 Economic environment and timing . . . 181
12.3 Labor demand and the wage index . . . 184
12.4 Household spending and wage-setting incentives . . . 186
12.5 From wage resetting to wage inflation . . . 189
12.6 Natural output, real wages, and two markup gaps . . . 191
12.7 The joint price-and-wage equilibrium . . . 193
12.8 Solving a policy disturbance with an inherited real wage . . . 194
12.9 What wage rigidity explains, and what it does not . . . 199

**13 Labor Markets and Unemployment** **201**
13.1 Why can a willing worker and an open job remain apart? . . . 201
13.2 Count people, hours, and transitions separately . . . 201
13.3 The search economy: people, resources, and timing . . . 203
13.4 Matching determines waiting times and unemployment flows . . . 205
13.5 Value a match, divide its surplus, and decide whether to recruit . . . 207
13.6 Close the equilibrium and read the Beveridge curve . . . 209
13.7 News changes recruitment before it changes employment . . . 213
13.8 Wage flexibility changes the recruitment response . . . 217
13.9 When does private recruitment use resources efficiently? . . . 219
13.10 Read employment recoveries through the mechanism that is missing . . . 222

**14 Fluctuations: Mechanisms, Comparisons, and Diagnosis** **224**
14.1 One framework, several questions . . . 224
14.2 The same output decline can describe different economies . . . 225
14.3 A short-lived disturbance can leave a longer history . . . 227
14.4 Compare the same policy disturbance under different constraints . . . 228
14.5 Read a recession as a sequence of constraints . . . 229
14.6 A smaller gap is not the whole welfare question . . . 229
14.7 How the remaining parts extend the map . . . 230

**IV Open Economy** **231**

**15 International Accounts and Intertemporal Trade** **232**
15.1 What changes when an economy opens? . . . 232
15.2 Trade across time: the two-period economy . . . 233
15.3 Reading the external accounts . . . 237
15.4 Income timing and the demand for external finance . . . 240
15.5 Investment can separate domestic production from national saving . . . 242
15.6 Solvency is a statement about the whole path . . . 246
15.7 A solvent borrower may still face a financing limit . . . 249

**16 Trade and Relative Prices (planned)** **252**
16.1 Comparative advantage, trade gains, and trade costs . . . 252
16.2 Terms of trade and the real exchange rate . . . 252
16.3 Tradable goods, nontradable goods, and adjustment . . . 252

**17 Open Economy Fluctuations and Exchange Rates (planned)** **253**
17.1 The small open economy RBC model . . . 253
17.2 Capital flows, interest parity, and risk . . . 253
17.3 Nominal rigidities and exchange-rate regimes . . . 253
17.4 From open economy equilibrium to IS–LM–BP . . . 253

**V Money, Finance, and Macroeconomic Policy** **254**

**18 Money, Banking, and Central Bank Operations (planned)** **255**
18.1 Money, payments, and financial claims . . . 255
18.2 Banks and balance sheets . . . 255
18.3 Implementing monetary policy . . . 255

**19 Financial Frictions and Aggregate Adjustment (planned)** **256**
19.1 Borrowing limits and collateral . . . 256
19.2 Intermediation and financial amplification . . . 256
19.3 Financial distress and policy intervention . . . 256

**20 Household Heterogeneity and Policy Transmission (planned)** **257**
20.1 Income risk, insurance, and precautionary saving . . . 257
20.2 Marginal propensities to consume and redistribution . . . 257
20.3 From representative to heterogeneous households . . . 257

**21 Monetary Policy** **258**
21.1 Transmission and policy shocks (planned) . . . 258
21.2 Rules, commitment, and discretion (planned) . . . 258
21.3 The interest-rate lower bound and balance-sheet policies (planned) . . . 258
21.4 Optimal monetary policy . . . 258

**22 Fiscal Policy (planned)** **261**
22.1 Government budgets, debt, and Ricardian equivalence . . . 261
22.2 Taxes, purchases, transfers, and public investment . . . 261
22.3 Fiscal multipliers and financing . . . 261

**23 Policy Interaction and Constraints (planned)** **262**
23.1 Fiscal and monetary regimes . . . 262
23.2 Debt sustainability and policy space . . . 262
23.3 Policy combinations in an open economy . . . 262

**VI Topics** **263**

**24 The Dollar in the International Monetary System (planned)** **264**
24.1 History and measures of international currency use . . . 264
24.2 Network effects, invoicing, and safe assets . . . 264
24.3 Benefits, obligations, and the international balance sheet . . . 264
24.4 Global funding and policy spillovers . . . 264
24.5 Persistence, alternatives, and testable changes . . . 264

**25 China's Growth and Adjustment after the Pandemic (planned)** **265**
25.1 The baseline, timeline, and measurement . . . 265
25.2 Demand, consumption, and employment . . . 265
25.3 Property, balance sheets, and local public finance . . . 265
25.4 Population, productivity, and resource allocation . . . 265
25.5 External demand and policy alternatives . . . 265

# Preface

Aim of this work of mine is to provide clear macroeconomic knowledges in language as simple as possible. Most of this note is taken from the advanced macroeconomics course of Yanfei Deng I took. This note is still a work in progress and needs tons of ammending. See the newest version at `https://github.com/xolarvill/notes-on-economics` along with my other notes. And pull a request if you figure some part of this note is wrong.

This work was first written in markdown language on Obsidian, which provides a lightweight and highly personalized working experience. But it was later transfered into purely latex language on Sublime Text, due to poor support for rendering of long math equation blocks of Obsidian. For the tranfer I used Pandoc at `https://pandoc.org/`. I wrote some LaTeX snippets of Sublime Text to optimize the writing experience, and uploaded on github at `https://github.com/xolarvill/snippets-for-quick-latex-on-st`.

One can find enormous academical help on advanced macroeconomics from books listed below:

- Introduction to Modern Economic Growth, D. Acemoglu
- Economic Growth, R. Barro and S.i.M. Xavi
- The ABCs of RBCs, An Introduction to Dynamic Macroeconomic Models, G. McCandless
- Macroeconomics, A Comprehensive Textbook for First-Year Ph.D. Courses in Macroeconomics. M. Azzimonti, P. Krusell, A. McKay, and T. Mukoyama
- Adavanced Macroeconomics, D. Romer

# Part I
# Introduction

A short bridge from intermediate macroeconomics to the decisions, equilibrium concepts, and notation used in these notes.

# 1 Introduction

These notes assume intermediate macroeconomics, including national accounts, basic growth theory, and aggregate demand and supply. We now ask how aggregate outcomes follow from decisions over time, and how those decisions respond to the environment and policy.

Parts II–IV cover growth, fluctuations, and the open economy. Part V studies money, finance, and policy; Part VI applies these mechanisms to the dollar system and China's growth after the pandemic. Chapters and sections marked *planned* contain outlines for later development.

## 1.1 Growth, fluctuations, and their interaction

Growth theory asks how productive capacity and living standards evolve. Starting with capital accumulation, we introduce saving decisions, population, technology, and resource allocation to explain differences across economies.

Business-cycle theory asks how an economy responds to disturbances in productivity, demand, or financing. We identify the shock, then explain the response of spending, employment, and prices. A mechanism that amplifies a shock need not be its cause.

The questions overlap. A recession can reduce investment and change future capital. Population and productivity growth can change the conditions for stabilization policy. Growth need not be an unaffected trend, and fluctuations can have lasting effects. We begin with separate models to isolate mechanisms, then study their interaction.

## 1.2 From aggregate relations to individual decisions

An aggregate consumption function such as $C = C(Y - T)$ summarizes a relationship. It does not yet explain how a household responds to an expected tax change, uncertain income, or a borrowing limit. To study those questions, we specify what the household chooses and what constrains it.

**A two-period example.** Let a household receive real income $y_0$ today and $y_1$ tomorrow, with no initial or terminal assets. Saving $a_1$ earns a known gross real return $R > 0$; negative $a_1$ is borrowing at that return. The problem is

$$\begin{aligned} \max_{c_0, c_1, a_1} \; & u(c_0) + \beta u(c_1), \qquad 0 < \beta < 1, \\ \text{s.t. } & c_0 + a_1 = y_0, \\ & c_1 = y_1 + R a_1. \end{aligned} \tag{1.1}$$

Assume $u' > 0$, $u'' < 0$, positive consumption, and an interior solution. Substituting the constraints leaves one choice:

$$\max_{a_1} \; u(y_0 - a_1) + \beta u(y_1 + R a_1). \tag{1.2}$$

Differentiate with respect to $a_1$, then substitute back for consumption:

$$-u'(y_0 - a_1) + \beta R u'(y_1 + R a_1) = 0, \tag{1.3}$$

$$u'(c_0) = \beta R u'(c_1). \tag{1.4}$$

Saving one more unit costs $u'(c_0)$ units of utility today and yields $\beta R u'(c_1)$ tomorrow. An interior optimum equates the two.

For marginal utility $u'(c) = c^{-\sigma}$, $\sigma > 0$,

$$c_0^{-\sigma} = \beta R c_1^{-\sigma}, \tag{1.5}$$

$$\left(\frac{c_1}{c_0}\right)^{\sigma} = \beta R, \tag{1.6}$$

$$\frac{c_1}{c_0} = (\beta R)^{1/\sigma}. \tag{1.7}$$

Thus consumption growth depends on patience and the return to saving. Its sensitivity to that return is governed by $1/\sigma$, the elasticity of intertemporal substitution in this example. A binding borrowing constraint would require an inequality condition instead of this interior equality.

**Expectations and policy.** With uncertainty, today's utility cost is known but tomorrow's gain is not. Replace that gain by its conditional expectation. For an asset with gross real payoff $R_{t+1}$, the interior condition becomes

$$u'(c_t) = \beta E_t[R_{t+1} u'(c_{t+1})], \qquad E_t[\cdot] \equiv E[\cdot \mid \mathscr{I}_t]. \tag{1.8}$$

Here $\mathscr{I}_t$ is information available when the household chooses saving. An uncertain return stays inside the expectation; its comovement with marginal utility matters. Rational expectations require forecasts consistent with the model and available information, not knowledge of tomorrow's realization.

The same logic matters for policy. An announced future tax change may alter consumption today. A change in a policy rule can change expectations and the aggregate relationships observed under the old rule. This is the concern in the Lucas critique.[1] Writing down individual decisions makes these responses explicit. It does not, by itself, guarantee that the chosen preferences, constraints, or information assumptions remain appropriate under every policy change.

## 1.3 Reading a dynamic equilibrium

The household takes income and returns as given. In general equilibrium, they must be consistent with production and other agents' choices. A competitive equilibrium combines individual optimality, budget constraints, market clearing, and policy rules at each date and, under uncertainty, each history.

**States, choices, and paths.** Consider a deterministic economy with fixed labor normalized to one, output $f(k_t)$, and no government or foreign trade. Capital $k_t$ is available at the start of period $t$. With depreciation $\delta$, feasibility gives

$$k_{t+1} = f(k_t) + (1 - \delta)k_t - c_t. \tag{1.9}$$

Capital is inherited; consumption is chosen and affects tomorrow's capital. Here $k_t$ is a state variable and $c_t$ a control variable. The set of states depends on the model's timing and assumptions.

If households can save in capital, competitive factor pricing gives the gross return $f'(k_{t+1}) + 1 - \delta$. Substituting this return into (1.4) yields the intertemporal condition

$$u'(c_t) = \beta\,[f'(k_{t+1}) + 1 - \delta]\,u'(c_{t+1}). \tag{1.10}$$

Together, (1.9) and (1.10) describe feasible accumulation and optimal consumption growth. Given $k_0$, different initial choices of $c_0$ generate different candidate paths. Feasibility and the Euler equation alone do not establish that each path is an equilibrium. The model also needs its boundary conditions, including the

[1] Robert E. Lucas, Jr. (1976), "Econometric Policy Evaluation: A Critique," *Carnegie-Rochester Conference Series on Public Policy*, 1, 19–46. https://doi.org/10.1016/S0167-2231(76)80003-6.

appropriate transversality condition for this infinite-horizon saving problem. We derive these conditions in the Ramsey chapter.

**A steady state is a particular path.** For a positive stationary allocation, set $k_{t+1} = k_t = k^*$ and $c_{t+1} = c_t = c^*$ in the two equations. Since $u'(c^*) > 0$,

$$c^* = f(k^*) - \delta k^*, \tag{1.11}$$

$$1 = \beta\left[f'(k^*) + 1 - \delta\right]. \tag{1.12}$$

These equations locate a steady state. They do not describe the transition from an arbitrary $k_0$, or prove existence or uniqueness of an equilibrium path. With sustained technological or population growth, aggregate quantities may keep growing on a balanced growth path. A stationary system may then require normalization, for example by effective labor, rather than constant levels.

**Equilibrium and welfare answer different questions.** A planner chooses a feasible allocation directly; a competitive equilibrium also specifies prices that support individual choices. Under suitable conditions, a planner's allocation can be decentralized. Taxes, market power, externalities, incomplete markets, or nominal rigidities may prevent that equivalence. Market clearing alone establishes neither efficiency nor the desirability of a policy. A welfare comparison must state whose utility is evaluated, which constraints apply, and what alternative is feasible.

## 1.4 Accounting and notation used in these notes

We need only a few accounting conventions at the outset. In a closed economy, using gross investment $I_t$,

$$Y_t = C_t + I_t + G_t, \tag{1.13}$$

$$K_{t+1} = (1 - \delta)K_t + I_t. \tag{1.14}$$

$K_t$ is the stock available at the beginning of the period; $I_t$ is a flow during the period. Depreciation already enters (1.14). We do not add it again to (1.13). A household's purchase of a financial claim need not create physical capital; domestic claims and liabilities must be consolidated when deriving aggregate feasibility.

Accounting becomes a model only after we specify behavior, technology, and equilibrium. Government budgets enter with fiscal policy; international accounts enter in Part IV.

Capital letters generally denote aggregates; lower-case letters denote per-person or normalized quantities. Check each chapter's normalization before comparing equations. Unless stated otherwise, $\beta$ is a discount factor, $\rho$ a rate of time preference, $r$ a net real interest rate, and $R = 1 + r$ a gross real return. In discrete time, the convention $\beta = 1/(1 + \rho)$ differs from continuous-time discounting $e^{-\rho t}$.

For a nominal one-period return $1 + i_t$, realized inflation $\pi_{t+1} = P_{t+1}/P_t - 1$ gives the gross real return

$$R_{t+1} = \frac{1 + i_t}{1 + \pi_{t+1}}. \tag{1.15}$$

An interest rate quoted in nominal units is therefore not the real return in (1.8). Under uncertainty, the realized price change must remain inside the relevant expectation.

Finally, for a positive variable $X_t$ and a positive stationary reference $\bar{X}$, define

$$\hat{x}_t \equiv \log X_t - \log \bar{X} \approx \frac{X_t - \bar{X}}{\bar{X}}. \tag{1.16}$$

The definition is exact; the approximation is local. A deviation from a steady state, a growth rate, and an output gap relative to a flexible-price allocation are different objects. Each chapter states its reference point before using an approximation.

# Part II
# Growth

How does an economy's productive capacity evolve? Growth facts lead to Harrod and Domar's demand and investment questions, then to Solow's capital adjustment. We move from a given saving rate to optimal saving, overlapping generations, and endogenous technological change. A closing synthesis connects the mechanisms to development, demographic change, and the diagnosis of a growth slowdown before we turn to fluctuations.

# 2 Growth Facts and Growth Accounting

Why are some economies richer than others, and why do living standards grow? Before choosing a model, we need to separate the outcomes to be explained. This chapter distinguishes income levels from growth rates, then decomposes output growth into measured inputs and productivity. The decomposition helps locate a question; explaining the underlying decisions requires a growth model.

## 2.1 Income levels, growth rates, and convergence

### 2.1.1 Which output, and per whom?

Let $Y$ be real GDP, $N$ the population, $E$ the number of employed people, and $L$ total hours worked. For positive quantities,

$$\frac{Y}{N} = \frac{Y}{L}\frac{L}{E}\frac{E}{N}. \tag{2.1}$$

Output per person therefore depends on output per hour, hours per employed person, and the employment-to-population ratio. Higher GDP growth need not mean faster growth in GDP per person. Likewise, a rise in GDP per person can come from more work per person without any rise in output per hour.

Use real output to study changes over time. For cross-country level comparisons, purchasing power parities (PPPs) adjust for differences in price levels; conversion at market exchange rates can mix output differences with price and exchange-rate movements.[2] Use a common measure and specify the comparison year. GDP per person measures average production, not its distribution or welfare: leisure, health, and consumption opportunities also matter.

### 2.1.2 A level difference is not a growth-rate difference

For a positive continuous-time variable $X(t)$, define its instantaneous growth rate as

$$g_X(t) \equiv \frac{\dot{X}(t)}{X(t)} = \frac{d\log X(t)}{dt}. \tag{2.2}$$

Logarithms turn products into sums. Applying this definition to (2.1) gives the exact identity

$$g_{Y/N} = g_{Y/L} + g_{L/E} + g_{E/N}. \tag{2.3}$$

The ratios must be defined consistently; employment growth and population growth do not enter in the same way.

For observations at dates $t$ and $t+T$, the average annual log growth rate is

$$\bar{g}_X = \frac{\log X_{t+T} - \log X_t}{T}, \qquad \frac{X_{t+T}}{X_t} = e^{T\bar{g}_X}. \tag{2.4}$$

The corresponding compound annual percentage change is $e^{\bar{g}_X} - 1$, approximately $\bar{g}_X$ for small rates. Unless stated otherwise, finite-period accounting below uses log changes, $\Delta \log X_t = \log X_t - \log X_{t-1}$.

[2] World Bank, "ICP 2021: Concepts and Definitions," explains PPP-based comparisons of expenditure volumes. https://www.worldbank.org/en/brief/2021/04/30/icp2021-concepts-definitions.

At a constant growth rate $g > 0$, doubling takes $T = \log 2/g$. A 2% annual log growth rate doubles output in about 35 years. A one-off 10% increase in output raises its level; it leaves subsequent growth unchanged if the economy then returns to its previous growth rate. A lasting increase in the growth rate keeps widening the gap relative to the previous path.

**Facts that guide the models.** Jones (2016) documents three useful patterns.[3]

- Sustained growth is a feature of modern economic history. US GDP per person grew at about 2% per year over 1870–2007, with substantial variation across shorter periods.
- Income levels differ widely across countries. Some economies catch up; others remain far behind or lose ground over particular periods.
- A roughly stable capital-output ratio is a useful long-run benchmark. Factor shares and growth rates can change, so balanced growth is an approximation to be assessed, rather than a universal empirical law.

A theory must distinguish growth at the frontier from movement toward it. Matching a long-run average also does not require every shock to be temporary.

### 2.1.3 What does convergence mean?

Consider a poorer economy $i$ and a richer economy $j$, with per-person outputs $y_i$ and $y_j$ measured in comparable units. Their log income gap evolves as

$$D(t) \equiv \log y_j(t) - \log y_i(t), \tag{2.5}$$

$$\dot{D}(t) = g_{y_j}(t) - g_{y_i}(t), \tag{2.6}$$

$$D(T) - D(0) = \int_0^T \left[ g_{y_j}(t) - g_{y_i}(t) \right] dt. \tag{2.7}$$

The relative gap narrows when the poorer economy grows faster over the interval. Positive growth in both economies is insufficient. Nor does a narrowing relative gap necessarily reduce the absolute difference $y_j - y_i$.

*Unconditional convergence* means poorer economies tend to grow faster without conditioning on other characteristics. *Conditional convergence* allows economies to approach different long-run paths: an economy further below its own path tends to grow faster, holding the determinants of that path fixed. Saving, population growth, and productivity may differ across economies. Diminishing returns to capital alone therefore do not imply that every poor country must catch up with every rich country.[4]

A tendency for initially poorer economies to grow faster is called $\beta$-convergence. A decline in the cross-country dispersion of log income is called $\sigma$-convergence. These are different statements: new shocks can increase dispersion even when growth tends to be faster at lower initial income. The sample and observation period are part of any convergence claim.

---

[3] Charles I. Jones (2016), "The Facts of Economic Growth," *Handbook of Macroeconomics*, 2A, 3–69, especially Sections 1, 2, and 4. The empirical statements here describe that historical evidence, not a current data release. https://doi.org/10.1016/bs.hesmac.2016.03.002.

[4] Robert J. Barro, N. Gregory Mankiw, and Xavier Sala-i-Martin (1992), "Capital Mobility in Neoclassical Models of Growth," NBER Working Paper 4206, discusses convergence relative to each economy's steady state. https://doi.org/10.3386/w4206.

## 2.2 Capital, labor, and productivity

### 2.2.1 From a production function to growth accounting

Start with a one-good aggregate production function in continuous time:

$$Y(t) = B(t)F\big(K(t), H(t)\big), \qquad H(t) = h(t)L(t). \tag{2.8}$$

$K$ is productive physical capital, $L$ hours worked, and $h$ average labor quality per hour. Thus $H$ is quality-adjusted labor input. $B$ is Hicks-neutral total factor productivity (TFP). It multiplies the whole production function; its growth need not equal the growth of labor-augmenting technology used in the Solow chapter.

Assume positive inputs, differentiable $F$, constant returns to scale, and no additional inputs. The total derivative is

$$\dot{Y} = \dot{B}F + BF_K\dot{K} + BF_H\dot{H}. \tag{2.9}$$

Divide by $Y = BF$ and multiply and divide each input term by its input level:

$$\frac{\dot{Y}}{Y} = \frac{\dot{B}}{B} + \frac{BF_K K}{Y}\frac{\dot{K}}{K} + \frac{BF_H H}{Y}\frac{\dot{H}}{H}, \tag{2.10}$$

$$g_Y = g_B + \varepsilon_K g_K + \varepsilon_H g_H, \quad \varepsilon_K \equiv \frac{BF_K K}{Y}, \quad \varepsilon_H \equiv \frac{BF_H H}{Y}. \tag{2.11}$$

The weights are output elasticities. Constant returns implies $F_K K + F_H H = F$, so $\varepsilon_K + \varepsilon_H = 1$.

To replace elasticities by observed income shares, we need further assumptions. With competitive factor markets and no wedges, let $q$ be the real rental price of capital services and $w_H$ the price of one unit of quality-adjusted labor. Profit maximization gives

$$q = BF_K, \qquad w_H = BF_H. \tag{2.12}$$

Consequently,

$$s_K \equiv \frac{qK}{Y} = \varepsilon_K, \qquad s_H \equiv \frac{w_H H}{Y} = \varepsilon_H = 1 - s_K. \tag{2.13}$$

Here $q$ is a gross rental price before depreciation, not the net interest rate. Labor compensation is $w_H H$; with common quality $h$, the wage per hour is $w_H h$. In this benchmark all output is paid to these two inputs. Pure profits, markups, taxes, or omitted factors can break the equality between measured income shares and output elasticities.

Substitute the shares and use $g_H = g_h + g_L$:

$$\boxed{g_Y = g_B + s_K g_K + (1 - s_K)(g_h + g_L).} \tag{2.14}$$

This is an exact instantaneous decomposition under the stated production and pricing assumptions. It does not yet determine any input's growth rate.

### 2.2.2 Labor productivity and finite-period contributions

Subtract $g_L$ from both sides of (2.14):

$$g_{Y/L} = g_B + s_K g_K + (1 - s_K)g_h - s_K g_L, \tag{2.15}$$

$$= g_B + s_K g_{K/L} + (1 - s_K)g_h. \tag{2.16}$$

Output per hour can rise through capital deepening, better labor quality, or higher TFP. Labor productivity $Y/L$ and TFP $B$ are therefore different objects. Combining this result with (2.3) also separates productivity growth from changes in work per person.

For annual data, a common implementation uses average adjacent-year income shares, $\bar{s}_{K,t} = (s_{K,t} + s_{K,t-1})/2$:

$$\Delta \log Y_t \approx \bar{s}_{K,t} \Delta \log K_t + (1 - \bar{s}_{K,t}) \Delta \log H_t + \Delta \log B_t, \tag{2.17}$$

$$\Delta \log B_t^{\text{res}} \equiv \Delta \log Y_t - \bar{s}_{K,t} \Delta \log K_t - (1 - \bar{s}_{K,t}) \Delta \log H_t. \tag{2.18}$$

The first line approximates the continuous-time decomposition over an interval. The second defines the measured residual exactly for the chosen series and weights. It need not equal a pure technology change. For Cobb–Douglas production with constant exponents, the corresponding log decomposition is exact over a finite interval.

**An accounting example.** Suppose annual log changes are 0.04 for output, 0.06 for capital, and 0.01 for quality-adjusted labor, with capital share $1/3$. Then

$$\Delta \log B^{\text{res}} = 0.04 - \frac{1}{3}(0.06) - \frac{2}{3}(0.01) = 0.013\overline{3}.$$

Capital contributes 2 percentage points, labor about 0.67, and the residual about 1.33, when log changes are multiplied by 100. These sum to 4. This is an illustration, not an estimate for a country. The calculation does not imply that raising investment would cause exactly 2 percentage points of growth.

### 2.2.3 What is inside the residual?

The measured residual depends on what the inputs capture. Capital services can change differently from the value of the capital stock. Hours need not track employment, and labor quality need not be constant. Unmeasured utilization, input quality, reallocation, and measurement error can all enter the residual.[5] For example, if true labor input is $hL$ but the calculation uses only $L$, then (2.14) implies

$$g_B^{\text{res}} = g_Y - s_K g_K - (1 - s_K) g_L = g_B + (1 - s_K) g_h. \tag{2.19}$$

Omitted improvements in labor quality appear as TFP growth in that calculation. A change in the residual therefore calls for a mechanism and measurement checks before it is interpreted as innovation or technological regress.

## 2.3 From accounting to a growth model

### 2.3.1 Level accounting and joint determination

For a transparent benchmark, assume

$$Y = BK^{\alpha}(hL)^{1-\alpha}, \qquad 0 < \alpha < 1. \tag{2.20}$$

[5] OECD (2001), *Measuring Productivity: OECD Manual*, especially Chapters 2, 4, and 5, on interpretation, labor input, and capital services. https://doi.org/10.1787/9789264194519-en.

Divide by $L$ and define $y \equiv Y/L$ and $k \equiv K/L$:

$$y = Bk^{\alpha}h^{1-\alpha}. \tag{2.21}$$

For two economies using the same $\alpha$ and comparable measurements,

$$\frac{y_i}{y_j} = \frac{B_i}{B_j}\left(\frac{k_i}{k_j}\right)^{\alpha}\left(\frac{h_i}{h_j}\right)^{1-\alpha}, \tag{2.22}$$

$$\log\frac{y_i}{y_j} = \log\frac{B_i}{B_j} + \alpha\log\frac{k_i}{k_j} + (1-\alpha)\log\frac{h_i}{h_j}. \tag{2.23}$$

This decomposes a level gap; it is distinct from accounting for growth over time. $B_i/B_j$ is inferred after choosing the production function and measuring the inputs. The decomposition does not establish three independent causes.

Higher productivity can raise the return to investment and induce more capital accumulation. Its effects may then appear in both the productivity and capital terms. Similarly, education, saving, and technology adoption may respond to common policies or institutions. An accounting contribution records where output differences appear; a causal explanation specifies what changes first and how the other variables respond.

### 2.3.2 Connecting TFP to labor-augmenting technology

Chapter 4 writes technology as $Y = F(K, AL)$. To connect the two conventions, set $h = 1$ in (2.20) and use Cobb–Douglas production:

$$Y = BK^{\alpha}L^{1-\alpha}, \tag{2.24}$$

$$Y = K^{\alpha}(AL)^{1-\alpha} = A^{1-\alpha}K^{\alpha}L^{1-\alpha}. \tag{2.25}$$

The two representations describe the same technology when

$$B = A^{1-\alpha}, \qquad g_B = (1-\alpha)g_A. \tag{2.26}$$

This equivalence uses the Cobb–Douglas form and constant $\alpha$; it is not a general conversion for every production function.

Suppose a balanced growth path has constant $K/Y$, constant $h = 1$, and labor growth $n$. A constant capital-output ratio implies $g_K = g_Y$. Substitution into (2.14), where $s_K = \alpha$, gives

$$g_Y = g_B + \alpha g_Y + (1-\alpha)n, \tag{2.27}$$

$$(1-\alpha)(g_Y - n) = g_B, \tag{2.28}$$

$$g_{Y/L} = \frac{g_B}{1-\alpha} = g_A. \tag{2.29}$$

Capital deepening accompanies growth on this path. It does not follow that capital accumulation supplies an independent permanent growth engine. We have only derived what the growth rates must satisfy *if* this path exists.

**What a growth model must add.** Growth accounting leaves saving, capital accumulation, labor supply, and productivity unexplained. Harrod and Domar ask how investment plans and demand can remain consistent with expanding capacity. Solow begins with a given saving rate and technology path. Ramsey makes saving an intertemporal choice; OLG changes who saves and when; endogenous growth models study the forces sustaining productivity or other reproducible inputs.

For Solow's closed one-good economy without government, feasibility and a constant saving rate $s$ imply

$$Y = C + I, \qquad I = sY, \qquad \dot{K} = sY - \delta K. \tag{2.30}$$

Here $I$ is gross investment and $\delta$ is the continuous-time depreciation rate. Together with production, population growth, and a technology path, these assumptions determine capital dynamics from an initial stock. Chapter 4 uses that system to study convergence, income levels, and sustained growth per person. First, Chapter 3 asks how investment creates demand and capacity, and what is required for a growth path to remain consistent with firms' plans and full employment.

# 3 Harrod–Domar: Investment and Growth

Investment is spending on current production and a source of future productive capacity. Once capacity changes, a demand level sufficient to employ resources today may be insufficient tomorrow. Harrod and Domar approach this moving problem from different directions. We develop their questions separately before connecting them to the fixed-proportions benchmark that Solow will change.

## 3.1 From a spending equilibrium to a growth problem

Start with a closed economy without government. At a given date, planned investment supports demand through the multiplier. But a machine purchased today can also produce goods later. Repeating the static spending calculation while keeping productive capacity unchanged would discard one of investment's two effects.

The next question is therefore about a path. How quickly must spending expand to use the capacity being created? And would firms' responses bring the economy toward that path if actual growth differed from what they expected? These are questions about consistency and adjustment, before they are questions about an optimal saving rate.

The exposition below uses continuous time, a constant saving propensity $s \in (0, 1)$, and no depreciation initially. Thus gross and net investment coincide, $\dot{K} = I$. Prices are held fixed for the demand calculation. The notation and the explicit adjustment example are teaching devices, not a reconstruction of either author's private sequence of thought.

**01 Common accounting**

Output is consumed or invested. Realized saving and investment are equal:

$$Y = C + I, \qquad S = sY = I.$$

**02 Domar's question**

Investment supports demand and adds capacity. What path keeps the two consistent?

$$Y^d = I/s, \qquad \dot{Q} = \kappa I.$$

**03 Harrod's question**

Desired investment responds to expected expansion. What growth rate validates firms' plans?

$$I^d = v_r \dot{Y}^e.$$

**04 Two distinct tests**

Does actual growth return to the warranted rate? Can warranted growth persist at full employment?

$$g_a \text{ vs. } g_w, \qquad g_w \text{ vs. } g_n.$$

The two closures in the map are studied in turn. They are not imposed together as a complete off-equilibrium model. In particular, realized investment $I$ and desired investment $I^d$ need not coincide when expectations are disappointed.

## 3.2 Domar: demand must keep up with capacity

### 3.2.1 A flow affects demand; its accumulation affects capacity

Let $Q(t)$ be productive capacity, measured as a flow of potential real output. Let $\kappa > 0$ be the increase in capacity generated by a unit of investment. Domar's central distinction is between the demand and capacity effects of investment.[6] The supply-side relation is

$$\dot{Q}(t) = \kappa I(t). \tag{3.1}$$

$\kappa$ measures added productive capacity, not the financial return earned by an investor. With positive investment and constant $\kappa$, capacity expands even when investment itself is not growing.

For the demand side, write desired consumption as $C^d = (1 - s)Y^d$ and treat investment as the autonomous expenditure at that date. The multiplier gives

$$Y^d = (1 - s)Y^d + I, \tag{3.2}$$

$$sY^d = I, \qquad Y^d = \frac{I}{s}, \tag{3.3}$$

$$\dot{Y}^d = \frac{\dot{I}}{s}. \tag{3.4}$$

This determines demand-supported output at fixed prices when capacity is sufficient. It does not guarantee that output above $Q$ can be produced.

The distinction between $I$ and $\dot{I}$ is crucial. The *level* of investment adds capacity; an *increase* in investment raises the multiplier-supported level of demand. Keeping investment at a high but constant level can therefore leave demand unchanged while capacity keeps rising.

### 3.2.2 Deriving the required investment path

Suppose demand initially matches capacity: $Y^d(0) = Q(0)$. To preserve that equality, their changes must also match:

$$\dot{Y}^d = \dot{Q}, \tag{3.5}$$

$$\frac{\dot{I}}{s} = \kappa I, \tag{3.6}$$

$$\frac{\dot{I}}{I} = s\kappa \equiv g_D. \tag{3.7}$$

For positive $I(0)$, this differential equation has the solution

$$I(t) = I(0)e^{g_D t}, \qquad Y^d(t) = \frac{I(0)}{s}e^{g_D t}. \tag{3.8}$$

Integrating the capacity equation gives

$$Q(t) = Q(0) + \frac{I(0)}{s}\left(e^{g_D t} - 1\right). \tag{3.9}$$

[6] Evsey D. Domar (1946), "Capital Expansion, Rate of Growth, and Employment," *Econometrica*, 14(2), 137–147, especially pp. 139–141. https://doi.org/10.2307/1905364. We write $s$ for the saving propensity and $\kappa$ for the capacity effect, rather than using his original symbols.

The initial condition $Q(0) = I(0)/s$ makes $Q(t) = Y^d(t)$ at every date. Matching the derivatives alone would preserve an initial level gap, not remove it.

**A numerical example.** Measure output and investment flows in units per year. Let $s = 0.2$, $\kappa = 0.25$ per year, and $I(0) = 20$. Initially,

$$Y^d(0) = 100, \qquad \dot{Q}(0) = 0.25 \times 20 = 5, \qquad \dot{I}(0) = 0.2 \times 5 = 1.$$

The derivatives measure changes in those annual flows per year. Investment must initially grow at $1/20 = 5\%$ per year to raise demand at the same rate as capacity. These numbers illustrate the equations; they are not estimates.

If investment instead stays at $\bar{I} > 0$, with $Q(0) = \bar{I}/s$, then

$$Y^d(t) = \frac{\bar{I}}{s}, \qquad Q(t) = \frac{\bar{I}}{s} + \kappa \bar{I} t, \qquad \frac{Y^d(t)}{Q(t)} = \frac{1}{1 + s\kappa t}. \tag{3.10}$$

Utilization falls even though positive investment continues. A construction expansion can support current spending while creating capacity that needs future demand. Whether a particular investment program faces this problem depends on its capacity effect and the demand it generates; the equations do not establish that every program creates excess capacity.

Conversely, if demand tries to grow faster than capacity from a fully utilized position, the multiplier calculation runs into a supply constraint. Prices, imports, or other adjustments would require mechanisms absent here. We have derived a path that keeps demand and capacity consistent, not a rule ensuring that private investment follows it or a complete theory of unemployment.

## 3.3 Harrod: which growth rate validates investment plans?

### 3.3.1 Actual and warranted growth

Suppose firms add capacity when they expect sales to expand. Saving responds to the level of income, while desired investment responds to its expected increase. Harrod's warranted rate describes growth that validates the resulting investment plans; his natural rate addresses the scope for sustained growth at full employment.[7]

First distinguish an accounting relation from a behavioral condition. Define actual growth and, for $\dot{Y} > 0$, an actual incremental capital-output ratio:

$$g_a \equiv \frac{\dot{Y}}{Y}, \qquad v_a \equiv \frac{I}{\dot{Y}}. \tag{3.11}$$

Because realized saving equals realized investment,

$$g_a v_a = \frac{\dot{Y}}{Y}\frac{I}{\dot{Y}} = \frac{I}{Y} = s. \tag{3.12}$$

[7] R. F. Harrod (1939), "An Essay in Dynamic Theory," *Economic Journal*, 49(193), 14–33. https://doi.org/10.2307/2225181. We distinguish his actual and required incremental capital coefficients using $v_a$ and $v_r$, and express the argument in continuous-time notation.

This identity does not determine $g_a$: $v_a$ changes with the realized outcome. It is also an incremental ratio, not automatically the stock ratio $K/Y$.

Now let $v_r > 0$ be the addition to capital that firms regard as required per unit of additional output at normal utilization. A simple investment rule is

$$I^d = v_r \dot{Y}^e, \tag{3.13}$$

where $\dot{Y}^e$ denotes the expected increase in output. On a path that validates expectations, $\dot{Y}^e = \dot{Y}$ and planned investment equals saving:

$$v_r \dot{Y} = sY, \tag{3.14}$$

$$g_w \equiv \frac{s}{v_r}. \tag{3.15}$$

$g_w$ is the warranted growth rate. At this rate, firms' capital additions are consistent with the realized expansion in sales. Warranted does not mean socially optimal, forecast with certainty, or necessarily equal to actual growth.

### 3.3.2 Why a deviation can amplify

Compare positive actual growth near $g_w$, holding $s$ and $v_r$ fixed. When $g_a > g_w$, (3.12) gives

$$v_a = \frac{s}{g_a} < \frac{s}{g_w} = v_r. \tag{3.16}$$

Capital additions have been small relative to the growth of sales. If firms interpret this as a shortage of capacity or inventories, they may increase planned investment. That spending raises demand and can reinforce the expansion. When $g_a < g_w$, the corresponding $v_a > v_r$ can leave firms with excess capacity or unwanted inventories; cutting investment then weakens demand further.

The sign of this response is a behavioral assumption, not a consequence of $S = I$. Realized investment can include unplanned inventory accumulation; accounting equality does not make all investment plans mutually consistent. Imposing $I^d = I = sY = v_r \dot{Y}$ at every date would force $g_a = g_w$ and leave no off-path adjustment to analyze.

For an explicit *illustrative local* adjustment, set $x(t) = g_a(t) - g_w$ and assume

$$\dot{x} = \chi x, \qquad \chi > 0 \quad \Longrightarrow \quad x(t) = x(0)e^{\chi t}. \tag{3.17}$$

This formalizes the amplifying response just described. It is not Harrod's original equation or a global account of the business cycle. Expectations, financing, utilization, and investment lags could change the adjustment rule. The identity and warranted-rate condition alone establish neither stability nor instability.

### 3.3.3 Natural growth and the employment constraint

Let $L$ be the available labor force, growing at $n$. In a simplified representation, labor productivity at normal operation, $A_L$, grows at $\gamma$. Sustainable output with full employment then grows at

$$Y^N = A_L L, \qquad g_n = n + \gamma. \tag{3.18}$$

This is a modern shorthand for the full-employment growth constraint, holding labor-supply and productivity paths fixed. It is not a limit on every observed year's GDP growth: an economy can temporarily grow faster by bringing idle workers into employment.

To see the distinction, assume employed workers $E$ produce $Y = A_L E$. The employment rate $e = E/L$ then satisfies

$$e = \frac{Y}{A_L L}, \qquad \frac{\dot{e}}{e} = g_a - g_n. \tag{3.19}$$

If warranted growth persistently exceeds natural growth, following the warranted path would eventually require $e > 1$; the path cannot continue under these labor and productivity assumptions. If warranted growth is below natural growth, output can follow it while employment fails to keep pace with the labor force. A path satisfying investment plans need not maintain full employment.

**Two different questions.** The comparison $g_a$ versus $g_w$ concerns adjustment after investment plans are disappointed. The comparison $g_w$ versus $g_n$ concerns whether a warranted path can persist with full employment. Their equality does not follow from accounting, and their difference is not, by itself, a complete instability proof.

## 3.4 Fixed proportions, compatibility, and the route to Solow

A common benchmark collects part of these concerns into a fixed-proportions production function:

$$Y = \min\left\{\frac{K}{v}, \frac{AL}{a}\right\}, \qquad v, a > 0, \qquad \frac{\dot{A}}{A} = \gamma. \tag{3.20}$$

Full use of both inputs requires $K = vY$ and $AL = aY$. Restore depreciation $\delta \geq 0$ and now interpret $I = sY$ as *gross* investment. Differentiating $K = vY$ and substituting accumulation gives

$$v\dot{Y} = \dot{K} = sY - \delta K = (s - \delta v)Y, \tag{3.21}$$

$$\frac{\dot{Y}}{Y} = \frac{s}{v} - \delta. \tag{3.22}$$

The effective-labor requirement also implies $\dot{Y}/Y = n + \gamma$. Hence

$$\frac{s}{v} - \delta = n + \gamma. \tag{3.23}$$

There is no mechanism here that makes independently specified parameters satisfy this equality. With zero depreciation and compatible investment coefficients, this combines the warranted and natural rates into $g_w = g_n$. It is a useful consistency benchmark, not a complete reproduction of both original papers.

In Domar's simplest constant-productivity case, identifying capacity as $Q = K/v$ gives $\kappa = 1/v$, and the required rate becomes $s\kappa = s/v$. The matching expression does not erase the difference in questions: Domar compares demand creation with capacity creation; Harrod also asks how firms respond when actual growth fails to validate investment plans.

The same algebra $g = s/v$ can even appear in an AK model that assumes all output is supplied and absorbed. Its presence alone therefore says little about employment or stability. The conclusions depend on which decisions and adjustment mechanisms accompany it.

Solow's response is to let factor proportions change, so the capital-output ratio can adjust rather than remain a fixed recipe. We follow that experiment in Chapter 4. Maintaining full employment there permits a clear study of capital adjustment; it does not resolve demand failures by assumption alone. The present chapter leaves investment behavior and expectations largely specified from outside. Ramsey will later replace the fixed saving rule with an intertemporal household choice.

# 4 Solow Model

Chapter 3 separated the consistency of a growth path from the behavior that might support or destabilize it. Solow changes one part of the experiment: firms can vary capital intensity. We ask how this permits capital adjustment, while maintaining full employment and a given saving rule.

## 4.1 From the growth question to the model

### 4.1.1 What if production can adjust?

The fixed-proportions benchmark in (3.23) requires $s/v - \delta = n + \gamma$. Its parameters need not satisfy that equality. Before concluding that sustained full employment requires a coincidence, ask what made $v$ fixed. We described production as a single recipe: additional machines could not economize on workers, and additional workers could not use a less capital-intensive technique.

Solow's 1956 paper made this restriction central to its response to the Harrod–Domar framework. His later account also questioned treating saving, labor-force growth, and the capital-output ratio as independently given constants.[8] This addresses the production-side compatibility problem. Harrod's investment responses and Domar's demand problem remain distinct questions, as the previous chapter showed.

### 4.1.2 Choose one adjustment mechanism

Several responses are possible. Saving might adjust; labor supply or employment might change; firms might use different factor proportions. Each response would produce a different model. To isolate the last one, keep a simple saving rule and an exogenous labor supply, maintain full employment, and allow substitution in production. The sequence here reconstructs the published argument as a modeling exercise, not the author's private thought process.

Start without technical change and replace the fixed recipe by $Y = F(K, L)$. More machines per worker can raise output, while diminishing returns reduce output per unit of capital. In

$$\frac{\dot{K}}{K} = s\frac{Y}{K} - \delta, \tag{4.1}$$

$Y/K$ can now fall as capital accumulates. Capital growth can slow toward labor-force growth without a change in $s$ or $n$. This is a candidate adjustment mechanism; the properties of $F$ and the dynamics below must still establish whether it works. Maintaining full employment makes that experiment possible, rather than proving that actual economies always achieve it.

### 4.1.3 Close the system and choose a useful intensity

Choosing a flexible $F$ is not enough. In $\dot{K} = sF(K, L) - \delta K$, both $K$ and $L$ could vary. To study capital adjustment first, specify $L(t) = L_0 e^{nt}$ and give $K(0)$. This leaves one inherited stock to solve for. An alternative with wage-sensitive labor supply would require another decision rule; it is a possible extension, not an algebraic rearrangement.

[8] Robert M. Solow (1956), "A Contribution to the Theory of Economic Growth," *Quarterly Journal of Economics*, 70(1), 65–94, Sections I–III, `https://doi.org/10.2307/1884513`; and Solow (1987), "Growth Theory and After," Nobel lecture, `https://www.nobelprize.org/prizes/economic-sciences/1987/solow/lecture/`.

Next, a large economy has more capital partly because it has more workers. The relevant object for this question is $K/L$. Constant returns allows $Y/L = F(K/L, 1)$, reducing the accumulation problem to a single capital intensity. The ratio removes scale while preserving the mechanism we want to study.

Finally, if labor efficiency rises, even constant equipment per worker may fail to keep up with productive opportunities. Introduce labor-augmenting technology $A$ and use $K/(AL)$ instead. We can distinguish accumulating capital relative to effective labor from growth in output per worker. We take $A$ as given here; explaining innovation would add a different question.

The assumptions below collect these choices: a resource constraint, a production experiment, a saving rule, exogenous labor and technology paths, and a normalization. The full-employment assumption removes demand failures from the dynamics being studied; the resulting convergence claim must be read within that experiment.

## 4.2 Economic environment and assumptions

The conditions are grouped by their economic role. The cards give the full specification; the following paragraphs explain the notation and implications.

**01 Economy and sectors**

A closed economy contains households and firms, with no government or foreign trade. One good can be consumed or invested. Goods-market clearing requires $Y_t = C_t + I_t$; in this two-sector economy, aggregate saving equals investment.

**02 Households and the saving rule**

There are many homogeneous households. They own capital and firms, receive factor incomes and any distributed profits, and supply labor inelastically. Each worker supplies one unit of labor. Consumption and saving follow an imposed rule rather than an intertemporal utility-maximization problem:

$$S_t = sY_t, \qquad C_t = (1 - s)Y_t, \qquad I_t = S_t.$$

The rule permits $s \in [0, 1]$. The positive-capital, positive-consumption benchmark below uses $0 < s < 1$; the endpoints are separate limiting cases.

**03 Firms and competitive markets**

There are many price-taking firms using the same production technology. They hire labor and rent capital in competitive factor markets. A representative firm's problem is

$$\max_{K,L} \; F(K, A_t L) - q_t K - w_t L.$$

Common technology and constant returns allow aggregation into the production function below. Household saving is imposed; firms still maximize profits. Homogeneity, competition, and optimization are distinct assumptions.

### 04 Endowments, ownership, and depreciation

Initial stocks $K_0, A_0, L_0$ are given and positive. Households provide labor at wage $w_t$ and rent their capital to firms at rental price $q_t$. Depreciation removes a fraction $\delta$ per discrete period, with $0 \le \delta \le 1$; investment is usable next period:

$$K_{t+1} = (1-\delta)K_t + I_t.$$

In continuous time, $\dot{K} = I - \delta K$ and the net capital return is $r = q - \delta$. The original course notation $R$ for the rental price corresponds to $q$ here. With a common saving share applied to all income and no household-specific constraints, the distribution of ownership does not change aggregate saving; its distributional consequences are outside this model.

### 05 Technology and exogenous paths

Technology is freely and publicly available to all firms. There are no adoption costs, patents, or research choices in the benchmark. Labor and labor efficiency grow exogenously:

$$A_{t+1} = (1+g)A_t, \qquad L_{t+1} = (1+n)L_t, \qquad g, n \ge 0.$$

The corresponding continuous-time paths satisfy $\dot{A}/A = g$ and $\dot{L}/L = n$; rates in the two time conventions need not be numerically identical. The interior steady-state analysis assumes $\delta + n + g > 0$.

### 06 Production and its restrictions

Technology is labor-augmenting (Harrod-neutral): $Y_t = F(K_t, A_t L_t)$. $F$ is continuous, twice differentiable for positive inputs, positive there, and has positive, diminishing marginal products of each input. It has constant returns to capital and effective labor:

$$F(\lambda K, \lambda AL) = \lambda F(K, AL), \qquad \lambda > 0.$$

Write $f(k) = F(k, 1)$. The intensive-form restrictions used below are

$$f(0) = 0, \qquad f'(k) > 0, \qquad f''(k) < 0 \quad (k > 0),$$
$$\lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0.$$

The last two are Inada restrictions on marginal products. They are sufficient benchmark assumptions, rather than consequences of competition.

**07 Market clearing and factor incomes**

All supplied labor and capital are employed. With bars denoting supplied endowments and superscripts denoting supply and demand,

$$L_t^d = L_t^s = \bar{L}_t, \qquad K_t^d = K_t^s = \bar{K}_t.$$

Competitive prices equal marginal products, so constant returns implies

$$q_t = F_1(K_t, A_t L_t), \qquad w_t = A_t F_2(K_t, A_t L_t), \qquad Y_t = q_t K_t + w_t L_t.$$

Firms are owned by households. Their economic profits are zero after paying both factors; the owners still receive capital rental income.

**08 Normalization and the closed system**

Use quantities per effective worker:

$$k_t = \frac{K_t}{A_t L_t}, \qquad y_t = \frac{Y_t}{A_t L_t} = f(k_t), \qquad c_t = \frac{C_t}{A_t L_t} = (1-s) f(k_t).$$

Given initial stocks and the paths of $A_t, L_t$, the three main equations are

$$Y_t = F(K_t, A_t L_t), \qquad I_t = S_t = s Y_t, \qquad K_{t+1} = (1-\delta) K_t + I_t.$$

The resource constraint, full employment, and competitive factor prices make this a closed aggregate system. They are maintained assumptions of the experiment, not conclusions about demand adjustment in actual economies.

$$\underbrace{K_t, A_t, L_t}_{\text{Given at } t} \longrightarrow \underbrace{Y_t \to C_t, I_t}_{\text{Production and allocation}} \longrightarrow \underbrace{K_{t+1}}_{\text{Available at } t+1}.$$

### 4.2.1 Resources, timing, and behavior

The economy is closed, has no government, and produces one good. Households own capital and supply labor inelastically. Each worker supplies one unit of labor; changes in hours, participation, and employment rates are omitted. Firms hire labor and rent capital in competitive markets.

In discrete time, $K_t$ is available at the start of period $t$. Given $K_t$, $A_t$, and $L_t$, firms produce $Y_t$. Households consume part of output and save the fraction $s \in (0,1)$. Investment becomes available next period:

$$Y_t = C_t + I_t, \qquad I_t = S_t = s Y_t, \tag{4.2}$$

$$K_{t+1} = (1-\delta) K_t + s Y_t, \qquad 0 \le \delta \le 1. \tag{4.3}$$

The saving rule is imposed. Firms still maximize profits; the absence of a household optimization problem does not imply that firms are non-optimizing.

Technology and labor follow

$$A_{t+1} = (1+g) A_t, \qquad L_{t+1} = (1+n) L_t, \qquad g, n \ge 0. \tag{4.4}$$

Initial $K_0, A_0, L_0$ are positive. We assume $\delta + n + g > 0$ to obtain a finite positive steady state below. Technology is labor-augmenting: an increase in $A$ makes a worker provide more effective labor. Its availability and growth are given, rather than explained by research or adoption decisions.

### 4.2.2 Production and normalization

Let

$$Y_t = F(K_t, A_t L_t). \tag{4.5}$$

$F$ has constant returns in capital and effective labor:

$$F(\lambda K, \lambda AL) = \lambda F(K, AL), \qquad \lambda > 0. \tag{4.6}$$

Replicating all inputs replicates output. This rules out a fixed factor, such as land, that becomes scarcer as the economy expands. It also rules out aggregate increasing returns in these two inputs.

One motivation for constant returns is to treat any gains from organizing production at a larger scale as already exhausted at the scale being modeled. Another is to abstract from scarce inputs other than capital and effective labor. These are ways to motivate the assumption, not proofs that it holds.

Divide by effective labor and define

$$k_t \equiv \frac{K_t}{A_t L_t}, \qquad y_t \equiv \frac{Y_t}{A_t L_t} = F(k_t, 1) \equiv f(k_t), \qquad c_t \equiv \frac{C_t}{A_t L_t} = (1 - s) f(k_t). \tag{4.7}$$

Here lower-case variables are *per effective worker*. Output per worker is $Y_t/L_t = A_t y_t$, and capital per worker is $K_t/L_t = A_t k_t$. This differs from the per-hour normalization used for level accounting in Chapter 2. With $A_t = 1$, the two capital normalizations coincide.

Labor-augmenting technology also makes a balanced growth path convenient to describe. If $k$ settles at a positive constant, then $K/Y = k/f(k)$ is constant. The functional form alone does not make that ratio constant during a transition. Hicks-neutral technology instead takes the form $Y = A_H F(K, L)$. It is a different placement of productivity; with Cobb–Douglas, $A_H = A^{1-\alpha}$ converts between the two representations. The exogenous growth rate must be converted as well.

Assume $f(0) = 0$ and, for $k > 0$,

$$f'(k) > 0, \qquad f''(k) < 0, \qquad \lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0. \tag{4.8}$$

The last two are the Inada conditions on *marginal products*, not output levels. With the other assumptions, they make capital sufficiently productive near zero and insufficiently productive at very high intensity to guarantee an interior crossing of investment and replacement needs. They are sufficient benchmark restrictions, not empirical laws for every technology.

Our running example is Cobb–Douglas:

$$F(K, AL) = K^{\alpha}(AL)^{1-\alpha}, \qquad f(k) = k^{\alpha}, \qquad 0 < \alpha < 1. \tag{4.9}$$

Diminishing returns here means adding machines to a fixed amount of effective labor produces progressively smaller additions to output. It does not mean that output falls when capital rises.

Cobb–Douglas is a convenient specification satisfying these restrictions; it is not deduced uniquely from economic behavior. Its constant factor shares are an additional restriction. Likewise, Inada conditions and an exogenous technology path delimit the experiment: the former restrict behavior at extreme capital intensities, while the latter leaves innovation unexplained. Relaxing either calls for a new argument about the resulting dynamics.

### 4.2.3 Prices and market clearing

At each date, let $q_t$ be the real rental price of capital and $w_t$ the wage per worker. A price-taking firm solves

$$\max_{K,L} \; F(K, A_t L) - q_t K - w_t L. \tag{4.10}$$

At an interior solution, denoting derivatives with respect to the two arguments of $F$ by $F_1, F_2$,

$$\frac{\partial \pi}{\partial K} = F_1(K, A_t L) - q_t = 0, \tag{4.11}$$

$$\frac{\partial \pi}{\partial L} = A_t F_2(K, A_t L) - w_t = 0. \tag{4.12}$$

$$q_t = F_1(K_t, A_t L_t), \qquad w_t = A_t F_2(K_t, A_t L_t). \tag{4.13}$$

Constant returns and Euler's theorem for homogeneous functions give the following calculation. For scale $v > 0$,

$$F(vK, vAL) = vF(K, AL), \tag{4.14}$$

$$F_1(vK, vAL)K + F_2(vK, vAL)AL = F(K, AL), \tag{4.15}$$

$$F_1(K, AL)K + F_2(K, AL)AL = F(K, AL) \qquad (v = 1). \tag{4.16}$$

$$Y_t = F_1 K_t + F_2 A_t L_t = q_t K_t + w_t L_t. \tag{4.17}$$

Hence $\pi_t = Y_t - q_t K_t - w_t L_t = 0$. To express the same prices in intensive units, differentiate $F(K, AL) = ALf(K/(AL))$:

$$F_K = ALf'(k)\frac{1}{AL} = f'(k), \tag{4.18}$$

$$F_L = Af(k) + ALf'(k)\left(-\frac{K}{AL^2}\right), \tag{4.19}$$

$$= A[f(k) - kf'(k)]. \tag{4.20}$$

**Zero profits do not mean zero capital income.** Economic profits are zero after paying both factors, including capital owned by households. This is a property of this competitive constant-returns benchmark, not a claim that owners receive no capital income.

For Cobb–Douglas, $q_t = \alpha k_t^{\alpha-1}$ and $w_t = (1-\alpha)A_t k_t^{\alpha}$. Capital deepening lowers the rental return and raises the wage per effective worker. Prices support full use of the supplied capital and labor. Goods-market clearing and the saving rule then determine investment. Given the initial stocks and exogenous paths, the model is closed.

**The mechanism in one loop.** Capital and effective labor determine output; the saving rule turns some output into investment; investment and depreciation determine next period's capital. Factor prices describe the returns along this path. The saving rate does not respond to those returns until we change the household side of the model.

## 4.3 Solow model in discrete time

### 4.3.1 Deriving the law of motion

**Question: which capital variable makes the problem stationary?** Start from $K_{t+1} = (1-\delta)K_t + sY_t$. Dividing by $L_{t+1}$ describes capital per worker, but growing labor efficiency still changes production at each date. Dividing by $A_{t+1}L_{t+1}$ instead gives a stationary map in capital per effective worker when $s, n, g, \delta$ are constant. The derivation below keeps the exact growth denominator; the per-worker special case follows in the blue note. Choosing a normalization is part of solving the economic problem, rather than merely shortening its notation.

Define $D \equiv (1+n)(1+g)$, the gross growth factor of effective labor. Divide (4.3) by $A_{t+1}L_{t+1}$:

$$k_{t+1} = \frac{(1-\delta)K_t + sY_t}{A_{t+1}L_{t+1}}, \tag{4.21}$$

$$= \frac{(1-\delta)K_t + sY_t}{(1+g)A_t(1+n)L_t}, \tag{4.22}$$

$$= \frac{(1-\delta)K_t/(A_tL_t) + sY_t/(A_tL_t)}{D}, \tag{4.23}$$

$$= \frac{(1-\delta)k_t + sf(k_t)}{D} \equiv \Phi(k_t). \tag{4.24}$$

The numerator adds surviving capital and investment per current effective worker. The denominator spreads it across next period's effective labor. New workers need equipment, and increasing labor efficiency requires more equipment per worker to keep $k$ constant.

Subtract $k_t$ and define $d_D \equiv D - 1 + \delta$:

$$k_{t+1} - k_t = \frac{(1-\delta)k_t + sf(k_t)}{D} - \frac{Dk_t}{D}, \tag{4.25}$$

$$= \frac{sf(k_t) + [1-\delta-D]k_t}{D}, \tag{4.26}$$

$$= \frac{sf(k_t) - (D-1+\delta)k_t}{D}, \tag{4.27}$$

$$D - 1 + \delta = (1+n)(1+g) - 1 + \delta = \delta + n + g + ng. \tag{4.28}$$

$$k_{t+1} - k_t = \frac{sf(k_t) - d_Dk_t}{D}, \qquad d_D = \delta + n + g + ng. \tag{4.29}$$

Break-even investment $d_Dk_t$ keeps capital per effective worker unchanged. The $ng$ term is part of the exact discrete-time expression; dropping it is a small-rate approximation. Setting $g = 0$ gives $d_D = \delta + n$; setting $g = n = 0$ gives $d_D = \delta$.

**Reading the per-worker version.** Let $\bar{k}_t = K_t/L_t$. Dividing the aggregate accumulation equation by $L_{t+1}$ instead gives the exact law

$$\bar{k}_{t+1} = \frac{(1-\delta)\bar{k}_t + sF(\bar{k}_t, A_t)}{1+n}.$$

There is no $1+g$ in this denominator: technology remains inside production. With constant $A_t = \bar{A}$, define $\bar{f}(\bar{k}) = F(\bar{k}, \bar{A})$. The map is then stationary; setting $n = 0$ also removes the population-growth denominator. These are valid restricted cases. When technology grows, a stationary map in $k = K/(AL)$ requires the effective-labor normalization above.

### 4.3.2 A steady state and the path toward it

A positive normalized steady state satisfies

$$k^* = \frac{(1-\delta)k^* + sf(k^*)}{D}, \tag{4.30}$$

$$Dk^* - (1-\delta)k^* = sf(k^*), \tag{4.31}$$

$$(D-1+\delta)k^* = sf(k^*), \tag{4.32}$$

$$d_D k^* = sf(k^*), \tag{4.33}$$

$$\frac{k^*}{f(k^*)} = \frac{s}{d_D}. \tag{4.34}$$

$$k^* = \Phi(k^*), \qquad sf(k^*) = d_D k^*, \qquad \frac{K}{Y} = \frac{k^*}{f(k^*)} = \frac{s}{d_D}. \tag{4.35}$$

A stable capital-output ratio is a conclusion *on this path*, not something that follows from labor-augmenting notation alone.

For existence and uniqueness, divide the middle equation by $k^* > 0$. Strict concavity and $f(0) = 0$ imply $f'(k) < f(k)/k$, so

$$\frac{d}{dk}\frac{f(k)}{k} = \frac{kf'(k) - f(k)}{k^2} < 0. \tag{4.36}$$

The Inada conditions imply $f(k)/k$ falls from infinity to zero. Hence $sf(k)/k = d_D > 0$ has exactly one positive solution. Zero is also an absorbing boundary under $f(0) = 0$; our convergence result starts from $k_0 > 0$.

Below $k^*$, saving exceeds break-even investment and $k$ rises. Above $k^*$, saving is insufficient to maintain that intensity and $k$ falls. Moreover,

$$\Phi'(k) = \frac{1 - \delta + sf'(k)}{D} > 0. \tag{4.37}$$

Since $\Phi$ is increasing and $\Phi(k^*) = k^*$, an initial $k < k^*$ maps below $k^*$, while an initial $k > k^*$ maps above it. The sequence is therefore monotone and bounded toward $k^*$, and continuity makes its limit a fixed point. The unique positive fixed point is the limit for every $k_0 > 0$.

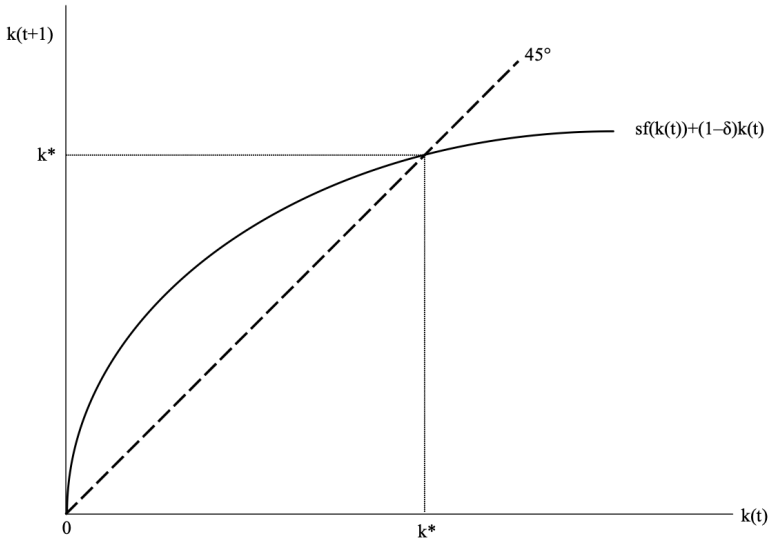



**Figure 4.1:** Capital accumulation and convergence in the discrete-time Solow model.

*Reading the diagram.* This diagram shows the special case $n = g = 0$, with $\delta > 0$. The curved map is next period's capital; the 45-degree line is unchanged capital. Starting on the horizontal axis, move vertically to the map, then horizontally to the 45-degree line to carry that value into the next iteration. For $n > 0$ or $g > 0$, divide the map by $D$ as in (4.24).

**A steady state is not the definition of equilibrium.** A steady state is one particular equilibrium path. A transition from an arbitrary initial stock is also an equilibrium path under the imposed saving rule. Convergence does not make the transition cease to be an equilibrium.

### 4.3.3 What grows on a balanced growth path?

If $k_t = k^*$, then $y_t = f(k^*)$ and $c_t = (1 - s)f(k^*)$ are constant. Yet

$$\frac{Y_t}{L_t} = A_t f(k^*), \qquad \frac{K_t}{L_t} = A_t k^*, \qquad Y_t = A_t L_t f(k^*). \tag{4.38}$$

Output and capital per worker grow at gross rate $1 + g$; their aggregates grow at $D$. With no technical progress, there is no sustained growth per worker on this path, even if the population and total output keep growing.

For Cobb–Douglas, solve $s(k^*)^\alpha = d_D k^*$:

$$s = d_D (k^*)^{1-\alpha} \qquad (k^* > 0), \tag{4.39}$$

$$(k^*)^{1-\alpha} = s/d_D, \tag{4.40}$$

$$k^* = (s/d_D)^{1/(1-\alpha)}, \tag{4.41}$$

$$y^* = (k^*)^\alpha = \left[(s/d_D)^{1/(1-\alpha)}\right]^\alpha = (s/d_D)^{\alpha/(1-\alpha)}. \tag{4.42}$$

$$k^* = \left(\frac{s}{d_D}\right)^{1/(1-\alpha)}, \qquad y^* = \left(\frac{s}{d_D}\right)^{\alpha/(1-\alpha)}. \tag{4.43}$$

A higher saving rate raises the long-run level of output per effective worker. Holding the technology path fixed, it does not change the long-run growth rate of output per worker. Its steady-state level elasticity is obtained from

$$\log y^* = \frac{\alpha}{1-\alpha}(\log s - \log d_D).$$

$$\frac{\partial \log y^*}{\partial \log s} = \frac{\alpha}{1-\alpha}. \tag{4.44}$$

This comparison holds other determinants fixed. It is not a causal estimate from a cross-country correlation between saving and income.

### 4.3.4 Saving, rebuilding, and conditional convergence

Suppose an economy starts on its old balanced growth path and permanently raises $s$. At the time of the change, $K$, $A$, and $L$ are inherited, so output is unchanged and consumption falls. Higher investment raises future $K$; output per worker then grows faster during the transition. As diminishing returns reduce the extra investment generated by another unit of capital, $k$ approaches its new, higher steady state. Long-run growth per worker returns to $g$.

This explains why an investment expansion can have a lasting level effect without a lasting growth-rate effect. It does not establish that any observed investment campaign will be productive: the one-good benchmark abstracts from project selection, idle capacity, financing, and heterogeneous returns.

A one-time loss of physical capital, with technology, labor, and saving behavior unchanged, lowers $k$. The high marginal product at the lower stock supports rebuilding toward the same path. Actual disasters can also destroy skills, institutions, and technology, so this experiment isolates a capital-loss mechanism rather than predicting every recovery.

The convergence result is conditional on the determinants of $k^*$ and the technology path. A low-income economy with a low saving rate or low productivity need not grow faster than a richer economy already close to a higher path. Income alone does not tell us distance from the relevant steady state.

### 4.3.5 Local convergence speed

Let $x_t = k_t - k^*$. A first-order Taylor expansion at $k^*$ gives

$$k_{t+1} = \Phi(k^*) + \Phi'(k^*)x_t + O(x_t^2), \tag{4.45}$$

$$x_{t+1} \approx \phi x_t, \qquad \phi \equiv \frac{1-\delta+sf'(k^*)}{D}. \tag{4.46}$$

Because $sf'(k^*) < sf(k^*)/k^* = d_D$, we have $0 < \phi < 1$. Iterating the linearized system yields

$$x_1 = \phi x_0, \tag{4.47}$$

$$x_2 = \phi x_1 = \phi(\phi x_0) = \phi^2 x_0, \tag{4.48}$$

$$x_3 = \phi x_2 = \phi^3 x_0, \tag{4.49}$$

$$x_t = \phi^t x_0. \tag{4.50}$$

These equalities solve the linearized recursion; for the nonlinear model the path below is a local approximation. The course's relative deviation $\hat{k}_t = (k_t - k^*)/k^* = x_t/k^*$ obeys the same recursion:

$$\hat{k}_{t+1} = \frac{x_{t+1}}{k^*} = \frac{\phi x_t}{k^*} = \phi \hat{k}_t.$$

$$x_t \approx \phi^t x_0, \qquad \lambda_D = -\log \phi > 0, \qquad T_{1/2} \approx \frac{\log 2}{\lambda_D}. \tag{4.51}$$

To find the time to a target fraction $0 < \varepsilon < 1$ of a nonzero initial deviation, take logarithms explicitly:

$$\frac{|x_T|}{|x_0|} = \phi^T = \varepsilon, \tag{4.52}$$

$$T \log \phi = \log \varepsilon, \tag{4.53}$$

$$T_\varepsilon = \frac{\log \varepsilon}{\log \phi}, \tag{4.54}$$

$$T_{1/2} = \frac{\log(1/2)}{\log \phi} = \frac{\log 2}{-\log \phi}. \tag{4.55}$$

For integer dates, round $T_\varepsilon$ up to obtain the first date at or below that fraction in the linearized model. Setting $\varepsilon = 0$ would require an infinite time rather than a logarithm of zero. $\phi$ is persistence; a larger $\phi$ means slower adjustment. $\lambda_D$ is the corresponding decay rate per period, and $T_{1/2}$ is the local half-life of a deviation. The recursion for the linearized system has an exact geometric solution; the approximation is in using that system to describe the original model. The nonlinear path need not have this half-life far from its steady state.

For Cobb–Douglas, the steady-state equation gives

$$s(k^*)^\alpha = d_D k^*, \tag{4.56}$$

$$s(k^*)^{\alpha-1} = d_D, \tag{4.57}$$

$$sf'(k^*) = s\alpha(k^*)^{\alpha-1} = \alpha d_D, \tag{4.58}$$

$$\phi = \frac{1 - \delta + \alpha d_D}{D} = \frac{D - d_D + \alpha d_D}{D}. \tag{4.59}$$

Here $1 - \delta = D - d_D$. Therefore

$$\phi = 1 - \frac{(1-\alpha) d_D}{D}. \tag{4.60}$$

Adjustment is gradual because productive capacity is a stock. Investment can change immediately, but only accumulated investment changes that stock.

## 4.4 Solow model in continuous time

### 4.4.1 The same mechanism with continuous adjustment

Now use continuous rates $\dot{L}/L = n$, $\dot{A}/A = g$, and depreciation rate $\delta \geq 0$, with $b \equiv n + g + \delta > 0$. These are rates per unit of time; they are not numerically identical to finite-period percentage changes. Write

$$\dot{K} = sF(K, AL) - \delta K, \qquad k = \frac{K}{AL}, \qquad y = f(k). \tag{4.61}$$

Log differentiation of the definition of $k$, followed by substitution, gives the same result as the quotient rule. First display the latter:

$$\frac{d(AL)}{dt} = \dot{A}L + A\dot{L}, \tag{4.62}$$

$$\dot{k} = \frac{\dot{K}(AL) - K(\dot{A}L + A\dot{L})}{(AL)^2}, \tag{4.63}$$

$$= \frac{\dot{K}}{AL} - \frac{K}{AL}\left(\frac{\dot{A}}{A} + \frac{\dot{L}}{L}\right), \tag{4.64}$$

$$= \frac{sY - \delta K}{AL} - (g+n)k. \tag{4.65}$$

Dividing by $k = K/(AL) > 0$ also gives the log-differentiation form:

$$\frac{\dot{k}}{k} = \frac{\dot{K}}{K} - \frac{\dot{A}}{A} - \frac{\dot{L}}{L}, \tag{4.66}$$

$$= \frac{sY}{K} - \delta - g - n, \tag{4.67}$$

$$\dot{k} = s\frac{Y}{AL} - (n+g+\delta)k = sf(k) - bk \equiv G(k). \tag{4.68}$$

With $g = 0$ and $A = 1$, this becomes $\dot{k} = sf(k) - (n+\delta)k$. That familiar constant-technology equation is an exact special case.

New investment increases capital intensity; depreciation, population growth, and technical progress reduce it for a given aggregate stock. Technical progress still raises productive possibilities: it reduces $k$ here because each worker now represents more effective labor.

For a short time interval $\Delta t$, effective labor grows by approximately $1 + (n+g)\Delta t$ and depreciation is approximately $\delta\Delta t$. Applying the discrete accounting over that interval gives

$$k(t+\Delta t) - k(t) = [sf(k(t)) - bk(t)]\,\Delta t + o(\Delta t). \tag{4.69}$$

Divide by $\Delta t$ and take its limit to obtain (4.68). This explains why the continuous break-even rate is $b$, whereas the exact discrete expression contains the product $ng$.

The positive steady state satisfies $sf(k^*) = bk^*$; $G(k) > 0$ below it and $G(k) < 0$ above it. On the balanced growth path, $Y/L$ and $K/L$ grow at $g$, $Y$ and $K$ grow at $n+g$, and $K/Y = s/b$. Under competitive pricing the net instantaneous real return is $r = f'(k) - \delta$.

### 4.4.2 Local approximation and an exact Cobb–Douglas solution

Linearizing the law of motion around its steady state gives

$$G(k) = G(k^*) + G'(k^*)(k-k^*) + O((k-k^*)^2), \tag{4.70}$$

$$G(k^*) = 0, \qquad G'(k^*) = sf'(k^*) - b. \tag{4.71}$$

$$\dot{k} \approx G'(k^*)(k-k^*), \tag{4.72}$$

$$G'(k^*) = sf'(k^*) - b < 0, \tag{4.73}$$

$$k(t) - k^* \approx [k(0) - k^*]e^{-\lambda_C t}, \qquad \lambda_C \equiv b - sf'(k^*) > 0. \tag{4.74}$$

The exponential expression solves the *linearized* system. Obtain it by setting $x = k - k^*$ and separating variables:

$$\dot{x} = -\lambda_C x, \tag{4.75}$$

$$\int_{x(0)}^{x(t)} \frac{dv}{v} = -\lambda_C \int_0^t ds, \tag{4.76}$$

$$\log|x(t)| - \log|x(0)| = -\lambda_C t, \tag{4.77}$$

$$\left|\frac{x(t)}{x(0)}\right| = e^{-\lambda_C t}, \tag{4.78}$$

$$x(t) = x(0)e^{-\lambda_C t}. \tag{4.79}$$

The sign of a nonzero $x(0)$ is preserved in this scalar linear equation; if $x(0) = 0$, its solution is zero. The exponential path is generally only a local approximation to the original nonlinear equation. For Cobb–Douglas, $s(k^*)^{\alpha-1} = b$ implies $sf'(k^*) = \alpha b$, so $\lambda_C = b - \alpha b = (1-\alpha)b$. Its local half-life is $\log 2/[(1-\alpha)b]$.

Cobb–Douglas also permits an exact solution using a different variable. Set $z(t) = k(t)^{1-\alpha}$ and differentiate:

$$\dot{z} = (1-\alpha)k^{-\alpha}\dot{k}, \tag{4.80}$$

$$= (1-\alpha)k^{-\alpha}(sk^{\alpha} - bk) = (1-\alpha)(s - bz). \tag{4.81}$$

This is a linear equation in $z$, with steady state $z^* = s/b$. Its solution can also be obtained without quoting a linear-ODE formula. With $a = (1-\alpha)b > 0$, multiply $\dot{z} + az = (1-\alpha)s$ by $e^{at}$:

$$e^{at}\dot{z} + ae^{at}z = (1-\alpha)se^{at}, \tag{4.82}$$

$$\frac{d}{dt}(e^{at}z) = (1-\alpha)se^{at}, \tag{4.83}$$

$$e^{at}z(t) - z(0) = (1-\alpha)s\int_0^t e^{av}\,dv, \tag{4.84}$$

$$= \frac{(1-\alpha)s}{a}(e^{at} - 1) = \frac{s}{b}(e^{at} - 1), \tag{4.85}$$

$$z(t) = z(0)e^{-at} + \frac{s}{b}(1 - e^{-at}). \tag{4.86}$$

Regrouping the constants and taking the power $1/(1-\alpha)$ gives

$$z(t) = \frac{s}{b} + \left[z(0) - \frac{s}{b}\right]e^{-(1-\alpha)bt}, \tag{4.87}$$

$$k(t) = \left\{\frac{s}{b} + \left[k(0)^{1-\alpha} - \frac{s}{b}\right]e^{-(1-\alpha)bt}\right\}^{1/(1-\alpha)}. \tag{4.88}$$

Capital approaches its steady state without arriving there at a finite date unless it starts there. "Time to convergence" must therefore specify a tolerance or a half-life, rather than an exact date of arrival.

## 4.5 The Golden Rule and the cost of saving

More saving raises steady-state output, but output is not consumption. To maintain a larger capital stock, the economy must devote more resources to investment. The Golden Rule asks which balanced growth path provides the largest consumption per effective worker, holding the technology and labor paths fixed.

In continuous time, a stationary $k$ requires investment $bk$, so feasible steady-state consumption is

$$c^* = f(k) - bk. \tag{4.89}$$

Maximize this expression over $k$:

$$\frac{dc^*}{dk} = f'(k) - b, \tag{4.90}$$

$$f'(k_{\mathrm{GR}}) = b = n + g + \delta, \qquad \frac{d^2c^*}{dk^2} = f''(k) < 0. \tag{4.91}$$

One extra unit of capital adds $f'(k)$ to output but requires $b$ units of investment per unit of time to maintain its intensity. At the Golden Rule, these marginal amounts are equal. Equivalently, the net marginal return $f'(k_{\mathrm{GR}}) - \delta$ equals $n + g$.

The saving rate that supports this stock satisfies

$$s_{\mathrm{GR}} = \frac{bk_{\mathrm{GR}}}{f(k_{\mathrm{GR}})}. \tag{4.92}$$

For Cobb–Douglas, substitute $\alpha k_{\mathrm{GR}}^{\alpha-1} = b$:

$$k_{\mathrm{GR}}^{1-\alpha} = \alpha/b, \tag{4.93}$$

$$k_{\mathrm{GR}} = (\alpha/b)^{1/(1-\alpha)}, \tag{4.94}$$

$$s_{\mathrm{GR}} = \frac{bk_{\mathrm{GR}}}{k_{\mathrm{GR}}^{\alpha}} = bk_{\mathrm{GR}}^{1-\alpha} = b(\alpha/b) = \alpha. \tag{4.95}$$

$$k_{\mathrm{GR}} = \left(\frac{\alpha}{b}\right)^{1/(1-\alpha)}, \qquad s_{\mathrm{GR}} = \alpha. \tag{4.96}$$

In discrete time the argument is the same with $d_D$ replacing $b$: $c^* = f(k) - d_D k$ and $f'(k_{\mathrm{GR}}) = d_D$. The Cobb–Douglas saving share is again $\alpha$ under this timing convention.

> **A welfare boundary.** The Golden Rule maximizes consumption *across balanced growth paths*. With constant technology and strictly increasing utility $u(c)$, maximizing stationary consumption also maximizes utility evaluated at that stationary consumption. Solow has not specified discounting or how to value consumption losses during a transition. It therefore does not establish that moving toward the Golden Rule maximizes intertemporal welfare.

If the initial steady state lies below $k_{\mathrm{GR}}$, raising saving toward $s_{\mathrm{GR}}$ increases eventual consumption but requires sacrificing consumption while capital is built. If it lies above $k_{\mathrm{GR}}$, reducing saving toward the Golden Rule can raise both current and eventual consumption. Investment is then maintaining more capital than is useful for maximizing steady-state consumption. A high investment share alone is therefore not a welfare criterion. Ramsey will specify preferences and make the transition trade-off part of the saving decision; OLG will examine dynamic efficiency in an economy with different generations.

## 4.6 Extensions: which assumption needs to change?

An extension should answer a question left open by the benchmark. Adding an input, changing the investment technology, and explaining productivity are different changes; they need not have the same implications for long-run growth. The examples below use continuous time.

### 4.6.1 Investment spending and productive capital

In the baseline, one unit of investment creates one unit of productive capital. To separate spending from productive capacity, suppose only a fraction $\eta \in (0, 1]$ becomes usable capital:

$$I = sY, \qquad C = (1 - s)Y, \qquad \dot{K} = \eta I - \delta K. \tag{4.97}$$

The unconverted part is lost in installation or implementation; it is not additional consumption. With the same labor and technology paths,

$$\dot{k} = \eta s f(k) - bk, \qquad k^* = \left(\frac{\eta s}{b}\right)^{1/(1-\alpha)} \quad \text{for } f(k) = k^\alpha. \tag{4.98}$$

Higher investment spending and more effective conversion into capital both raise the steady-state stock, but only the former directly reduces the consumption share. Poor project selection or implementation can therefore weaken the link between a reported investment share and productive capacity. This scalar $\eta$ is an illustrative reduced form: it does not yet explain which projects are chosen or how finance allocates resources.

At a stationary $k$, maintaining it requires $I/(AL) = bk/\eta$, so $c = f(k) - bk/\eta$. The calculation is

$$0 = \eta I/(AL) - bk, \tag{4.99}$$

$$I/(AL) = bk/\eta, \tag{4.100}$$

$$c = y - I/(AL) = f(k) - bk/\eta, \tag{4.101}$$

$$dc/dk = f'(k) - b/\eta = 0. \tag{4.102}$$

The Golden Rule becomes $f'(k) = b/\eta$. Welfare comparisons must account for the resources spent creating capital, not only the stock that eventually appears in production.

### 4.6.2 Accumulating human capital

Machines need skills to be useful. The augmented Solow model of Mankiw, Romer, and Weil adds a reproducible human-capital stock to the production function.[9] Write

$$Y = K^\alpha H^\beta (AL)^{1-\alpha-\beta}, \qquad \alpha, \beta > 0, \quad \alpha + \beta < 1. \tag{4.103}$$

Here $H$ denotes a stock of human capital, rather than the quality-adjusted hours denoted by $H$ in Chapter 2. To keep the distinction visible, use $u \equiv H/(AL)$ for human capital per effective worker. Then

$$y = k^\alpha u^\beta. \tag{4.104}$$

[9] N. Gregory Mankiw, David Romer, and David N. Weil (1992), "A Contribution to the Empirics of Economic Growth," *Quarterly Journal of Economics*, 107(2), 407–437, Section II. https://doi.org/10.2307/2118477.

Suppose output can be transformed into either stock, with fixed investment shares $s_K, s_H > 0$, $s_K + s_H < 1$, and the same depreciation rate for both:

$$\dot{K} = s_K Y - \delta K, \qquad \dot{H} = s_H Y - \delta H, \tag{4.105}$$

$$\dot{k} = s_K y - bk, \qquad \dot{u} = s_H y - bu. \tag{4.106}$$

There are now two state variables. Consumption is $c = (1 - s_K - s_H)y$; investment in skills uses resources rather than appearing costlessly in production.

At a positive steady state, the two accumulation equations imply

$$k^* = \frac{s_K}{b} y^*, \qquad u^* = \frac{s_H}{b} y^*. \tag{4.107}$$

Substitute both into production and collect the powers of $y^*$:

$$y^* = \left(\frac{s_K y^*}{b}\right)^{\alpha} \left(\frac{s_H y^*}{b}\right)^{\beta}, \tag{4.108}$$

$$= \frac{s_K^{\alpha} s_H^{\beta}}{b^{\alpha+\beta}} (y^*)^{\alpha+\beta}, \tag{4.109}$$

$$(y^*)^{1-\alpha-\beta} = \frac{s_K^{\alpha} s_H^{\beta}}{b^{\alpha+\beta}}, \tag{4.110}$$

$$y^* = \left(\frac{s_K^{\alpha} s_H^{\beta}}{} b^{\alpha+\beta}\right)^{1/(1-\alpha-\beta)}. \tag{4.111}$$

The condition $\alpha + \beta < 1$ preserves diminishing returns to the two accumulated inputs together. The extension can change income levels and transition dynamics, while long-run growth per worker on its balanced growth path still comes from $A$. A higher human-capital investment share is not, by itself, a permanent growth-rate increase in this specification.

Years of schooling are a proxy for skills, not a direct observation of $H$ or $s_H$. Pritchett (2001) highlights why schooling expansion need not translate uniformly into aggregate growth: learning quality, demand for educated labor, and the activities rewarded by institutions can differ.[10]

**What can weak schooling–growth estimates tell us?** Weak estimates in a particular specification do not establish that skills have no productive value. They call for checking the proposed accumulation mechanism, measurement, and identification.

### 4.6.3 Technology adoption and catch-up

Giving every economy the same $A$ path assumes away differences in access to and use of technology. To illustrate an adoption mechanism, let frontier efficiency $A_F$ grow at $g_F$ and posit, for a follower with $A \le A_F$,

$$\frac{\dot{A}}{A} = g_F + \mu \log \frac{A_F}{A}, \qquad \mu > 0. \tag{4.112}$$

[10] Lant Pritchett (2001), "Where Has All the Education Gone?," *World Bank Economic Review*, 15(3), 367–391, especially Section II. https://doi.org/10.1093/wber/15.3.367.

This is an illustrative adoption rule, not a consequence of the original saving equation. Define the log technology gap $v = \log(A_F/A)$. Then

$$\dot{v} = g_F - \frac{\dot{A}}{A} = -\mu v, \tag{4.113}$$

$$v(t) = v(0)e^{-\mu t}. \tag{4.114}$$

A larger gap creates scope for faster adoption; $\mu$ governs how quickly that scope is used. Technology catch-up differs from rebuilding a low capital stock. It can change output directly and also induce capital accumulation.

During catch-up, $\dot{A}/A$ varies with the gap. The capital equation is now

$$\dot{k} = sf(k) - [n + \delta + g_F + \mu v(t)]\, k. \tag{4.115}$$

We cannot use the earlier constant-$g$ transition unchanged. As the technology gap closes, this equation approaches the benchmark with $g = g_F$. Training, organizational changes, and technology access could help determine $\mu$, but this rule does not model their costs or incentives. Explaining those choices is a further step toward endogenous productivity.

### 4.6.4 Removing diminishing returns: the AK benchmark

What if returns to the reproducible stock do not diminish? Let

$$Y = \mathscr{A}K, \qquad \mathscr{A} > 0 \text{ constant}, \qquad \dot{K} = (s\mathscr{A} - \delta)K. \tag{4.116}$$

With labor growth $n$, output per worker satisfies

$$g_{Y/L} = s\mathscr{A} - \delta - n. \tag{4.117}$$

A permanent increase in saving now raises the growth rate permanently. The reason is the changed production assumption: each additional unit of capital has the same product. The Solow Inada and strict-concavity conditions no longer hold, and there is no positive stationary $K/L$ when this growth rate is positive.

$K$ can be interpreted as a broad reproducible composite only if we explain how its components can be accumulated without diminishing aggregate returns. The AK equation shows the role of that restriction; it does not by itself supply a theory of innovation, externalities, or optimal saving. Those mechanisms belong in the endogenous growth chapter.

### 4.6.5 Fixed land and the transition to modern growth

The baseline omits a fixed input that becomes scarce. Add land $X$:

$$Y = BK^a L^\ell X^{1-a-\ell}, \qquad a, \ell > 0, \quad a + \ell < 1. \tag{4.118}$$

$B$ is Hicks-neutral productivity, as in Chapter 2. Dividing by labor gives

$$\frac{Y}{L} = B\left(\frac{K}{L}\right)^a \left(\frac{X}{L}\right)^{1-a-\ell}. \tag{4.119}$$

At given $B$ and $K/L$, population growth lowers land per worker and hence output per worker. If population growth also responds to income, productivity gains may support more people rather than persistent gains in living standards. The land equation alone does not establish this outcome; it needs a demographic mechanism.

Hansen and Prescott (2002) study a transition in which a less land-intensive production process becomes profitable as technology advances. Both production processes are available throughout; which one is used changes in equilibrium. Their analysis retains exogenous technical progress, so it explains a transition in production rather than the ultimate source of innovation.[11]

**Where the benchmark ends.** Lower labor-force growth reduces dilution in Solow, holding everything else fixed. This is not a complete assessment of ageing: participation, pensions, and age-specific saving are absent. Likewise, the model contains no money, banks, or foreign assets. Monetary, financial, or trade extensions need those objects and their decision rules; their effects cannot be inferred merely from their absence here.

The main unresolved choice is already inside the model: why should households save a fixed share when their income and returns change? Ramsey replaces that rule with an intertemporal problem, making consumption, patience, and the return to saving jointly determine the accumulation path.

[11] Gary D. Hansen and Edward C. Prescott (2002), "Malthus to Solow," *American Economic Review*, 92(4), 1205–1217. https://doi.org/10.1257/00028280260344731.

# 5 Ramsey Model

Solow determines accumulation from a given saving share. Ramsey asks how much to consume and save when households value consumption at different dates. The change adds a choice, a price for postponing consumption, and a boundary condition that selects an admissible path.

## 5.1 From a saving rule to a saving decision

Suppose two economies have the same current income. In one, income is expected to rise; in the other, a disruption has temporarily reduced production. A rule $S = sY$ makes saving move proportionally with current output in both cases. It cannot tell us whether households want to smooth a temporary loss, prepare for lower future income, or invest in a newly productive opportunity.

One response would be to make $s$ a function of income or the interest rate. But then we would still need to explain that function and how it changes when expectations or policy change. Instead, specify what consumption is worth, what saving buys, and which paths the household can finance. A saving rate will emerge from those choices rather than being the starting rule.

Start with the experiment of consuming one unit less today. Saving that unit provides a return tomorrow. The household compares the utility lost now with the discounted utility of that future consumption. This suggests an optimality condition across adjacent dates. It cannot yet determine the level of consumption: a household with little wealth cannot finance every path with the right slope. We will need feasibility and a terminal restriction as well.

The planner and household formulations then answer related questions. The planner allocates real resources; a household takes wages and returns as given. Their allocations coincide in the competitive benchmark under the conditions stated below. Taxes can separate the private return from the social product, which is why decentralization matters for the final section.

Ramsey's original contribution was a saving problem; the presentation here is the modern discounted Ramsey–Cass–Koopmans benchmark, rather than a literal reproduction of the 1928 objective.[12]

[12] Frank P. Ramsey (1928), "A Mathematical Theory of Saving," *Economic Journal*, 38(152), 543–559. https://doi.org/10.2307/2224098.

## 5.2 Assumptions

The conditions below state the technology, ownership, choices, and market structure explicitly. The subsequent notation and solvency sections complete the specification before the optimization problem is solved.

**01 Economy and production technology**

A closed, one-good economy contains households and firms, without government in the baseline. Output can be consumed or invested:

$$Y = F(K, AL), \qquad Y = C + I, \qquad \dot{K} = I - \delta K.$$

Technology is labor-augmenting (Harrod-neutral), freely and publicly available. $F$ is continuous, twice differentiable for positive inputs, positive there, with positive and diminishing marginal products of capital and effective labor. Constant returns means $F(\lambda K, \lambda AL) = \lambda F(K, AL)$ for $\lambda > 0$. With $k = K/(AL)$ and $f(k) = F(k, 1)$, assume

$$f(0) = 0, \qquad f'(k) > 0, \qquad f''(k) < 0 \quad (k > 0),$$
$$\lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0.$$

These are the explicit Solow production restrictions inherited here.

**02 Given stocks and exogenous growth**

Initial $K(0), A(0), L(0)$ are positive and given. Technology and population follow

$$A(t) = A(0)e^{gt}, \qquad L(t) = L(0)e^{nt}.$$

The population of each dynasty grows at the same rate $n$, so fixed dynasty shares aggregate to total population growth $n$. Each member supplies one unit of labor. Growth rates $n, g$ and depreciation $\delta$ are exogenous. The course benchmark sets $\delta = 0$; general formulas keep $\delta$ visible. The original notation $a$ for technology growth is written consistently as $g$.

**03 Households, ownership, and income**

There are many identical, price-taking, infinitely lived dynasties. Households own capital and firms, supply labor inelastically, and choose consumption and saving over time. Household income consists of wages, capital income, and its share of firm profits. In aggregate, before imposing zero profits,

$$\dot{B} = rB + wL + \Pi - C, \qquad r = q - \delta.$$

Here $B$ is household financial wealth, $q$ the rental price before depreciation, $w$ the wage per worker, and $\Pi$ distributed economic profit. Under the competitive constant-returns benchmark below, $\Pi = 0$ and $B = K$ in equilibrium. Ownership remains an assumption even when profits vanish.

### 04 Preferences and the household objective

Each dynasty maximizes the discounted sum of its members' utility, subject to its budget and solvency constraints. With consumption per member $x = C/L$,

$$\max_{\{C(t)\}} \int_0^\infty e^{-\rho t} L(t) u(x(t))\, dt, \qquad u'(x) = x^{-\theta}, \quad \theta > 0.$$

Using aggregate $L$ here changes the objective only by a positive constant relative to a dynasty of fixed population share. Patience is measured by $\rho$; in the separate discrete-time formulation the discount factor is $\beta = 1/(1+\rho)$, with $0 < \beta < 1$. Continuous-time discounting uses $e^{-\rho t}$. The parameter restrictions used below are

$$\rho > n \geq 0, \qquad g \geq 0, \qquad \eta \equiv \rho - n - (1-\theta)g > 0.$$

Saving is an optimal choice rather than Solow's imposed share of income.

### 05 Firms and competitive factor markets

There are many firms with a common production technology. They take prices as given, hire labor and rent capital in competitive markets, and maximize profits at each date:

$$\max_{K,L} \; F(K, AL) - qK - wL.$$

Common technology and constant returns permit the representative-firm formulation. Homogeneous technology is not itself the definition of perfect competition. Interior factor demands satisfy

$$q = F_1(K, AL) = f'(k), \qquad w = AF_2(K, AL) = A[f(k) - kf'(k)].$$

Factor payments exhaust output, $Y = qK + wL$, and profits are zero. Households receive the factor payments and would receive any profits through ownership.

### 06 Market clearing and equilibrium

All supplied labor and capital are employed. With bars denoting aggregate endowments,

$$L^d = L^s = \bar{L}, \qquad K^d = K^s = \bar{K}, \qquad Y = C + I, \qquad B = K.$$

Household optimality, firm optimality, and these clearing conditions hold jointly. There are no taxes, externalities, market power, income uncertainty, or borrowing frictions beyond solvency in the baseline. These conditions underlie the planner–competitive allocation equivalence used below.

### 07 Feasibility and terminal restrictions

Capital is inherited and consumption is chosen. Feasible paths obey the resource constraint with $K \geq 0$ and $C > 0$. Household debt must satisfy a no-Ponzi restriction; optimal accumulation must also satisfy a transversality condition. They serve different purposes and are written explicitly in the solvency subsection below. An Euler equation alone does not select the path, and refinancing debt is not by itself a Ponzi scheme.

### 5.2.1 Notation and the course simplifications

Use $K, C, Y$ for aggregates and $x = C/L$ for consumption per person. Reserve $k = K/(AL)$ and $c = C/(AL)$ for quantities per effective worker, so $x = Ac$. Technology growth is denoted by $g$ throughout. We retain the course's zero-depreciation benchmark; $\delta$ remains visible in the formulas so that setting $\delta = 0$ is explicit. Full depreciation, $\delta = 1$, will be used only in a separately labeled discrete-time example.

Preferences have marginal utility $u'(x) = x^{-\theta}$, $\theta > 0$:

$$u(x) = \begin{cases} x^{1-\theta}/(1-\theta), & \theta \neq 1, \\ \log x, & \theta = 1. \end{cases} \tag{5.1}$$

In this deterministic model, $1/\theta$ measures willingness to substitute consumption across time. Higher $\rho$ reduces the weight on future utility. Assume $\rho > n \geq 0$, $g \geq 0$, and

$$\eta \equiv \rho - n - (1-\theta)g > 0. \tag{5.2}$$

These are sufficient restrictions for finite utility on the balanced growth path used below. Weighting by $L(t)$ means the dynasty values the utility of all its members; choosing a different population welfare criterion would change the normalization. The original lists are retained in comments immediately above this section for comparison.

### 5.2.2 No-Ponzi restrictions and transversality

**Solvency and optimality are different restrictions.** A household's total wealth $B$ satisfies

$$\dot{B} = rB + wL - C, \tag{5.3}$$

where $r$ is the net real return and $w$ the wage per person. A no-Ponzi restriction requires

$$\liminf_{T \to \infty} e^{-\int_0^T r(v)\,dv} B(T) \geq 0. \tag{5.4}$$

Borrowing must ultimately be supported by resources rather than by a negative terminal present value of wealth. Refinancing a loan is not, by itself, a Ponzi scheme: future income can support repayment.

A transversality condition instead concerns optimality. In the planner's normalized problem below it takes the standard form

$$\lim_{t \to \infty} e^{-\eta t} u'(c(t)) k(t) = 0. \tag{5.5}$$

It rules out leaving resources with positive limiting discounted utility value when consuming more would improve the allocation. It does not require the capital stock itself to approach zero. Feasibility and an Euler equation alone need not select the optimal infinite-horizon path.

## 5.3 Solving the consumption–saving problem

### 5.3.1 The planner's problem and decentralization

For continuous time, the planner chooses consumption with inherited $K(0)$:

$$\begin{aligned} &\max_{\{C(t)\}} \int_0^\infty e^{-\rho t} L(t) u(C(t)/L(t))\, dt, \\ &\quad \text{s.t. } \dot{K} = F(K, AL) - \delta K - C, \qquad K \geq 0,\ C > 0. \end{aligned} \tag{5.6}$$

Consumption uses current output; the residual, net of depreciation, changes the capital stock. In a decentralized economy, a household uses its budget constraint instead. Competitive factor pricing gives

$$q = f'(k), \qquad r = q - \delta, \qquad w = A\left[f(k) - k f'(k)\right]. \tag{5.7}$$

$q$ is the rental payment before depreciation. The net return $r = q - \delta$ and a discrete-time gross return $R = 1 + q - \delta = 1 + r$ are different objects.

With constant returns, factor incomes exhaust output. Firms' dividends are not an additional source of aggregate goods on top of $Y$. In equilibrium, aggregate household wealth equals capital, $B = K$, so the household budgets consolidate into (5.6)'s resource constraint. With identical preferences, competitive prices, and no taxes, externalities, or financing frictions, the planner allocation can be supported as a competitive allocation. This equivalence must be checked again when the environment changes.

**Question: why do three methods give the same two-period Euler equation?** Before solving for a whole path, isolate two dates with $A = L = 1$, known incomes $y_0, y_1$, and a given gross return $R = 1 + r > 0$. There are no borrowing frictions or terminal bequests. With zero initial and terminal assets, the budgets give

$$\begin{aligned} c_0 + a_1 &= y_0, \qquad c_1 = y_1 + R a_1, \\ a_1 &= y_0 - c_0, \\ c_1 &= y_1 + R(y_0 - c_0), \\ c_0 + c_1/R &= y_0 + y_1/R \equiv W. \end{aligned}$$

For an interior choice of positive consumption, solve

$$\max_{c_0, c_1} u(c_0) + \beta u(c_1), \qquad c_0 + \frac{c_1}{R} = y_0 + \frac{y_1}{R} \equiv W.$$

*Elimination.* Substitute $c_1 = R(W - c_0)$ into utility and differentiate:

$$\begin{aligned} \frac{d}{dc_0}\left[u(c_0) + \beta u(R(W - c_0))\right] &= u'(c_0) + \beta u'(c_1)(-R) = 0, \\ u'(c_0) &= \beta R u'(c_1). \end{aligned}$$

*Geometry.* Along an indifference curve, $u'(c_0)dc_0 + \beta u'(c_1)dc_1 = 0$, so its slope is $-u'(c_0)/[\beta u'(c_1)]$. The budget line has slope $-R$. Tangency therefore requires $u'(c_0) = \beta R u'(c_1)$.

*Lagrangian.* Write

$$\mathscr{L} = u(c_0) + \beta u(c_1) + \lambda\left(W - c_0 - \frac{c_1}{R}\right).$$

Differentiate each choice:

$$\begin{aligned}
\mathscr{L}_{c_0} &= u'(c_0) - \lambda = 0,\\
\mathscr{L}_{c_1} &= \beta u'(c_1) - \lambda/R = 0,\\
\mathscr{L}_{\lambda} &= W - c_0 - c_1/R = 0,\\
u'(c_0) &= \lambda = \beta R u'(c_1).
\end{aligned}$$

All three methods price the same marginal transfer: giving up one unit today buys $R$ units tomorrow. The Euler condition fixes the preferred trade-off; the budget fixes the affordable consumption levels. In infinite time the adjacent-date logic survives, but the full budget and terminal conditions still have to be imposed. A binding borrowing constraint would replace the interior tangency by the appropriate constrained condition.

### 5.3.2 Lagrangian: the adjacent-date trade-off

**From two dates to a finite horizon.** First keep the household exercise separate from production. Dates are $t = 1, \ldots, T$, with $T \geq 2$, known incomes $y_t$, a constant gross return $R > 0$, $0 < \beta < 1$, and no borrowing limit. Let $a_t$ be assets after date $t$ consumption. Set $a_0 = a_T = 0$, assume an interior positive-consumption solution, and write

$$\max \sum_{t=1}^{T} \beta^{t-1} u(c_t), \tag{5.8}$$

$$c_1 + a_1 = Ra_0 + y_1 = y_1, \tag{5.9}$$

$$c_2 + a_2 = Ra_1 + y_2, \tag{5.10}$$

$$\vdots$$

$$c_T + a_T = Ra_{T-1} + y_T. \tag{5.11}$$

Divide each date-$t$ budget by $R^{t-1}$ and sum. The asset terms telescope:

$$\sum_{t=1}^{T} \frac{c_t}{R^{t-1}} = \sum_{t=1}^{T} \frac{y_t}{R^{t-1}} + \sum_{t=1}^{T} \left(\frac{a_{t-1}}{R^{t-2}} - \frac{a_t}{R^{t-1}}\right), \tag{5.12}$$

$$= \sum_{t=1}^{T} \frac{y_t}{R^{t-1}} + Ra_0 - \frac{a_T}{R^{T-1}}, \tag{5.13}$$

$$= \sum_{t=1}^{T} \frac{y_t}{R^{t-1}} \equiv W_T. \tag{5.14}$$

The single present-value constraint gives the Lagrangian

$$\mathscr{L}_T = \sum_{t=1}^{T} \beta^{t-1} u(c_t) + \Lambda\left(W_T - \sum_{t=1}^{T} \frac{c_t}{R^{t-1}}\right).$$

Differentiate separately at adjacent dates:

$$\frac{\partial \mathscr{L}_T}{\partial c_t} = \beta^{t-1} u'(c_t) - \frac{\Lambda}{R^{t-1}} = 0, \tag{5.15}$$

$$\frac{\partial \mathscr{L}_T}{\partial c_{t+1}} = \beta^{t} u'(c_{t+1}) - \frac{\Lambda}{R^{t}} = 0, \tag{5.16}$$

$$\Lambda = (\beta R)^{t-1} u'(c_t) = (\beta R)^{t} u'(c_{t+1}), \tag{5.17}$$

$$u'(c_t) = \beta R u'(c_{t+1}), \qquad t = 1, \ldots, T-1. \tag{5.18}$$

The last Euler comparison is between $T-1$ and $T$; there is no consumption date $T+1$ in this problem.

We can obtain the same condition without first collapsing the budgets:

$$\mathscr{L}_T = \sum_{t=1}^{T} \beta^{t-1} \{ u(c_t) + \lambda_t [R a_{t-1} + y_t - c_t - a_t] \}.$$

For $t < T$, $a_t$ enters two adjacent budgets. Its derivative shows both terms:

$$\frac{\partial \mathscr{L}_T}{\partial c_t} = \beta^{t-1} [u'(c_t) - \lambda_t] = 0, \tag{5.19}$$

$$\frac{\partial \mathscr{L}_T}{\partial a_t} = -\beta^{t-1} \lambda_t + \beta^{t} R \lambda_{t+1} = 0, \tag{5.20}$$

$$\lambda_t = u'(c_t), \qquad \lambda_t = \beta R \lambda_{t+1}, \tag{5.21}$$

$$u'(c_t) = \beta R u'(c_{t+1}). \tag{5.22}$$

The finite endpoint $a_T = 0$ is given here, not another interior asset choice. In an infinite horizon, adjacent-date conditions remain, but the endpoint must be replaced by the appropriate solvency and transversality restrictions. Taking $T \to \infty$ does not mean requiring the economy's physical capital to approach zero.

**The infinite-horizon production economy.** First isolate discrete time with $A = L = 1$ and $n = g = 0$. This makes timing visible without carrying growing denominators; it is a restricted version of the model. The planner solves

$$\max_{\{c_t, k_{t+1}\}} \sum_{t=0}^{\infty} \beta^t u(c_t), \qquad c_t + k_{t+1} = f(k_t) + (1-\delta) k_t, \tag{5.23}$$

where $k_0$ is given, $0 < \beta < 1$, and $0 \le \delta \le 1$. Writing $\beta = 1/(1+\rho)$ defines a discrete-time rate of time preference; the continuous-time convention uses $e^{-\rho t}$.

Use current-utility multipliers $\lambda_t$:

$$\mathscr{L} = \sum_{t=0}^{\infty} \beta^t \left\{ u(c_t) + \lambda_t [f(k_t) + (1-\delta) k_t - c_t - k_{t+1}] \right\}. \tag{5.24}$$

At an interior solution, differentiate with respect to $c_t$ and $k_{t+1}$:

$$\frac{\partial \mathscr{L}}{\partial c_t} = \beta^t [u'(c_t) - \lambda_t] = 0, \tag{5.25}$$

$$\frac{\partial \mathscr{L}}{\partial k_{t+1}} = -\beta^t \lambda_t + \beta^{t+1} \lambda_{t+1} [f'(k_{t+1}) + 1 - \delta] = 0, \tag{5.26}$$

$$\lambda_t = u'(c_t), \tag{5.27}$$

$$\lambda_t = \beta \lambda_{t+1} [f'(k_{t+1}) + 1 - \delta]. \tag{5.28}$$

Substitution gives the Euler equation

$$u'(c_t) = \beta R_{t+1} u'(c_{t+1}), \qquad R_{t+1} = f'(k_{t+1}) + 1 - \delta. \tag{5.29}$$

One unit saved at $t$ earns its return at $t+1$, when the new capital is used. The utility cost today equals the discounted marginal gain tomorrow. For CRRA,

$$c_t^{-\theta} = \beta R_{t+1} c_{t+1}^{-\theta}, \tag{5.30}$$

$$\frac{c_t^{-\theta}}{c_{t+1}^{-\theta}} = \beta R_{t+1}, \tag{5.31}$$

$$\left(\frac{c_{t+1}}{c_t}\right)^{\theta} = \beta R_{t+1}, \tag{5.32}$$

$$\frac{c_{t+1}}{c_t} = (\beta R_{t+1})^{1/\theta}. \tag{5.33}$$

This determines consumption growth given the return, not the entire consumption path. With no bequest motive and the usual concavity conditions, the terminal condition is $\lim_{t\to\infty} \beta^t u'(c_t) k_{t+1} = 0$. In a finite-horizon exercise a terminal stock may be set to zero; that is not the same as imposing $k_t \to 0$ in this infinite-horizon economy.

### 5.3.3 Hamiltonian: saving with continuous adjustment

Return to continuous time with population and technology growth. From $k = K/(AL)$ and $c = C/(AL)$,

$$\dot{k} = f(k) - c - bk, \qquad b \equiv n + g + \delta. \tag{5.34}$$

For $\theta \neq 1$, substitute $x = Ac$ and $L = L_0 e^{nt}$ into utility:

$$e^{-\rho t} L u(Ac) = e^{-\rho t} L_0 e^{nt} \frac{(A_0 e^{gt} c)^{1-\theta}}{1-\theta}, \tag{5.35}$$

$$= L_0 A_0^{1-\theta} e^{[-\rho+n+(1-\theta)g]t} \frac{c^{1-\theta}}{1-\theta}, \tag{5.36}$$

$$= L_0 A_0^{1-\theta} e^{-\eta t} \frac{c^{1-\theta}}{1-\theta}, \tag{5.37}$$

$$\eta = \rho - n - (1-\theta)g. \tag{5.38}$$

The positive constant in front does not change choices. For log utility, $\log(Ac) = \log A + \log c$; the $\log A$ term is independent of the allocation. The normalized problem therefore discounts $u(c)$ at $\eta$ in either case.

**Where the costate equation comes from.** Write $h(k,c) = f(k) - c - bk$. To derive interior conditions, first use a finite interval $[0,T]$ with both capital endpoints held fixed. Let $p(t)$ be a present-value multiplier. The augmented objective is

$$\mathscr{A} = \int_0^T \{e^{-\eta t} u(c) + p[h(k,c) - \dot{k}]\}\, dt, \tag{5.39}$$

$$= \int_0^T \mathscr{H}^P\, dt - \int_0^T p\dot{k}\, dt, \tag{5.40}$$

$$\mathscr{H}^P = e^{-\eta t} u(c) + p h(k,c). \tag{5.41}$$

Integration by parts keeps the boundary term visible:

$$\int_0^T p\dot{k}\,dt = [pk]_0^T - \int_0^T \dot{p}\,k\,dt, \tag{5.42}$$

$$\mathscr{A} = \int_0^T [\mathscr{H}^P + \dot{p}\,k]\,dt - [pk]_0^T. \tag{5.43}$$

Let $v_c(t)$ and $v_k(t)$ be small variations, with $v_k(0) = v_k(T) = 0$. The boundary variation vanishes, leaving

$$\delta\mathscr{A} = \int_0^T [\mathscr{H}_c^P v_c + (\mathscr{H}_k^P + \dot{p})v_k]\,dt.$$

For arbitrary interior variations, the two coefficients must vanish. Variation of $p$ also imposes the original resource equation:

$$\mathscr{H}_c^P = e^{-\eta t}u'(c) - p = 0, \tag{5.44}$$

$$\mathscr{H}_k^P + \dot{p} = p[f'(k) - b] + \dot{p} = 0, \tag{5.45}$$

$$\mathscr{H}_p^P = h(k,c) = \dot{k}. \tag{5.46}$$

Thus $p = e^{-\eta t}u'(c)$ and $\dot{p} = -p[f'(k) - b]$. Holding endpoints fixed was used only to derive the interior conditions. The infinite-horizon optimum still needs its own feasibility and transversality condition; a boundary term must not be discarded by asserting that the capital stock tends to zero.

Now convert units from present utility to date-$t$ utility. Define $\mu = e^{\eta t}p$ and multiply the Hamiltonian by $e^{\eta t}$:

$$e^{\eta t}\mathscr{H}^P = u(c) + e^{\eta t}p\,h(k,c) = u(c) + \mu h(k,c) \equiv \mathscr{H}, \tag{5.47}$$

$$\dot{\mu} = \eta e^{\eta t}p + e^{\eta t}\dot{p}, \tag{5.48}$$

$$= \eta\mu - e^{\eta t}p[f'(k) - b], \tag{5.49}$$

$$= [\eta + b - f'(k)]\mu. \tag{5.50}$$

With zero discounting on this finite interval, $\eta = 0$ makes $p = \mu$ and $\dot{\mu} = -\mathscr{H}_k$. With discounting, the additional $\eta\mu$ term comes from differentiating $e^{\eta t}$; it is not an optional convention.

The current-value Hamiltonian is therefore

$$\mathscr{H} = u(c) + \mu[f(k) - c - bk]. \tag{5.51}$$

The control condition and current-value costate equation are

$$\mathscr{H}_c = 0 \quad \Longrightarrow \quad \mu = u'(c), \tag{5.52}$$

$$\dot{\mu} = \eta\mu - \mathscr{H}_k = [\eta + b - f'(k)]\,\mu. \tag{5.53}$$

$\mu$ is the current utility value of an additional unit of normalized capital. The factor $\eta$ belongs in the current-value costate equation; a present-value costate would instead absorb the discount factor. These are two representations of the same problem, not an assertion that patience is irrelevant.

Differentiate $\mu = c^{-\theta}$ and use $\eta + b = \rho + \delta + \theta g$:

$$\dot{\mu} = -\theta c^{-\theta-1}\dot{c}, \tag{5.54}$$

$$\frac{\dot{\mu}}{\mu} = -\theta \frac{c^{-\theta-1}}{c^{-\theta}}\dot{c} = -\theta\frac{\dot{c}}{c}, \tag{5.55}$$

$$\frac{\dot{\mu}}{\mu} = -\theta\frac{\dot{c}}{c} = \eta + b - f'(k), \tag{5.56}$$

$$\theta\frac{\dot{c}}{c} = f'(k) - \eta - b, \tag{5.57}$$

$$\eta + b = \rho - n - (1-\theta)g + n + g + \delta = \rho + \theta g + \delta, \tag{5.58}$$

$$\frac{\dot{c}}{c} = \frac{f'(k) - \delta - \rho - \theta g}{\theta}. \tag{5.59}$$

Consumption per person is $x = Ac$, so

$$\begin{aligned} \frac{\dot{x}}{x} &= \frac{\dot{A}}{A} + \frac{\dot{c}}{c} \\ &= g + \frac{f'(k) - \delta - \rho - \theta g}{\theta} \\ &= \frac{\theta g + f'(k) - \delta - \rho - \theta g}{\theta} = \frac{r - \rho}{\theta}. \end{aligned} \tag{5.60}$$

A high return makes future consumption relatively attractive; impatience favors consumption now. Curvature determines how strongly consumption growth responds. Population growth affects resources and welfare weights, but cancels from this per-person Euler equation under the dynasty objective specified above.

Setting $\delta = 0$ recovers the course benchmark. Setting $g = n = 0$ also removes the growth normalization. At $\rho = 0$ the intertemporal trade-off changes, and an infinite-horizon undiscounted problem needs its own welfare criterion; it is not obtained simply by deleting discounting from every infinite integral.

### 5.3.4 Bellman and HJB: valuing the remaining opportunities

For the stationary discrete-time version, let $V(k)$ be the value of starting with capital $k$. Write $k_0 = k$ and $c_t = f(k_t) + (1-\delta)k_t - k_{t+1} > 0$, with feasible $k_{t+1} \geq 0$. Splitting off the first date gives

$$V(k) = \max_{\{k_{t+1}\}} \sum_{t=0}^{\infty} \beta^t u(c_t), \tag{5.61}$$

$$= \max_{\{k_{t+1}\}} \left\{ u(c_0) + \sum_{t=1}^{\infty} \beta^t u(c_t) \right\}, \tag{5.62}$$

$$= \max_{k_1} \left\{ u(c_0) + \beta \max_{\{k_{t+1}\}_{t\geq 1}} \sum_{j=0}^{\infty} \beta^j u(c_{j+1}) \right\}, \tag{5.63}$$

$$= \max_{k_1} \{ u(f(k) + (1-\delta)k - k_1) + \beta V(k_1) \}. \tag{5.64}$$

The continuation problem has the same technology and preferences, starting from $k_1$. Write $k' = k_1$. Its first-order condition is

$$0 = u'(f(k) + (1-\delta)k - k')(-1) + \beta V'(k'), \tag{5.65}$$

$$u'(c) = \beta V'(k'). \tag{5.66}$$

**Show the policy derivative before canceling it.** Let the optimal next-capital policy be $k' = \psi(k)$, assumed differentiable at the interior point being considered. On that policy,

$$V(k) = u(f(k) + (1-\delta)k - \psi(k)) + \beta V(\psi(k)).$$

Differentiate the entire expression, including the response of the choice:

$$V'(k) = u'(c)[f'(k) + 1 - \delta - \psi'(k)] + \beta V'(\psi(k))\psi'(k), \tag{5.67}$$

$$= u'(c)[f'(k) + 1 - \delta] + [\beta V'(\psi(k)) - u'(c)]\psi'(k), \tag{5.68}$$

$$= u'(c)[f'(k) + 1 - \delta] + 0 \cdot \psi'(k), \tag{5.69}$$

$$= u'(c)[f'(k) + 1 - \delta]. \tag{5.70}$$

The bracket is zero by the first-order condition. This cancellation is the envelope theorem in this calculation; it is not an instruction to ignore $\psi'(k)$ before differentiating.

Now write the two conditions at their actual dates:

$$u'(c_t) = \beta V'(k_{t+1}), \tag{5.71}$$

$$V'(k_{t+1}) = u'(c_{t+1})[f'(k_{t+1}) + 1 - \delta], \tag{5.72}$$

$$u'(c_t) = \beta u'(c_{t+1})[f'(k_{t+1}) + 1 - \delta], \tag{5.73}$$

$$\frac{u'(c_t)}{u'(c_{t+1})} = \beta[f'(k_{t+1}) + 1 - \delta] = \beta R_{t+1}. \tag{5.74}$$

This recovers (5.29). The Lagrangian and Bellman methods price the same marginal transfer of resources between dates.

**A case with an exact saving rule.** Take $u(c) = \log c$, $f(k) = k^\alpha$, $0 < \alpha < 1$, and full depreciation $\delta = 1$ only for this example. Guess $V(k) = a + d\log k$. Substitute the guess before differentiating:

$$a + d\log k = \max_{k'}\{\log(k^\alpha - k') + \beta[a + d\log k']\}, \tag{5.75}$$

$$0 = -\frac{1}{k^\alpha - k'} + \frac{\beta d}{k'}, \tag{5.76}$$

$$k' = \beta d(k^\alpha - k'), \tag{5.77}$$

$$(1+\beta d)k' = \beta d k^\alpha, \tag{5.78}$$

$$k' = sk^\alpha, \qquad s \equiv \frac{\beta d}{1+\beta d}, \qquad c = (1-s)k^\alpha. \tag{5.79}$$

Insert that policy into the Bellman equation and expand both logarithms:

$$a + d\log k = \log[(1-s)k^\alpha] + \beta[a + d\log(sk^\alpha)], \tag{5.80}$$

$$= \log(1-s) + \alpha\log k + \beta a + \beta d\log s + \alpha\beta d\log k, \tag{5.81}$$

$$= \log(1-s) + \beta a + \beta d\log s + \alpha(1+\beta d)\log k. \tag{5.82}$$

Equality for every $k > 0$ requires equal coefficients of $\log k$:

$$d = \alpha(1 + \beta d), \tag{5.83}$$

$$d - \alpha\beta d = \alpha, \tag{5.84}$$

$$d = \frac{\alpha}{1 - \alpha\beta}, \tag{5.85}$$

$$s = \frac{\beta\alpha/(1 - \alpha\beta)}{1 + \beta\alpha/(1 - \alpha\beta)} = \alpha\beta. \tag{5.86}$$

The constant term also has to match:

$$a = \log(1 - s) + \beta a + \beta d \log s, \tag{5.87}$$

$$a = \frac{\log(1 - \alpha\beta) + \dfrac{\alpha\beta}{1 - \alpha\beta}\log(\alpha\beta)}{1 - \beta}. \tag{5.88}$$

Thus the complete policy is

$$d = \frac{\alpha}{1 - \alpha\beta}, \qquad k' = \alpha\beta k^{\alpha}, \qquad c = (1 - \alpha\beta)k^{\alpha}. \tag{5.89}$$

A constant saving share can emerge from optimization in this special case. Its value depends on preferences and technology; the result does not make a constant saving share general once depreciation or utility changes.

**Build the continuous-time HJB from a short interval.** In effective-worker units let $h(k, c) = f(k) - c - bk$. Over a short interval $\Delta t$, hold the chosen control fixed to first order. Then

$$k(t + \Delta t) = k + h(k, c)\Delta t + o(\Delta t), \tag{5.90}$$

$$e^{-\eta\Delta t} = 1 - \eta\Delta t + o(\Delta t), \tag{5.91}$$

$$V(k(t + \Delta t)) = V(k) + V'(k)h(k, c)\Delta t + o(\Delta t). \tag{5.92}$$

The dynamic-programming identity over this interval becomes

$$V(k) = \max_{c}\{u(c)\Delta t + e^{-\eta\Delta t}V(k(t + \Delta t)) + o(\Delta t)\}, \tag{5.93}$$

$$= \max_{c}\{V(k) + [u(c) + V'(k)h(k, c) - \eta V(k)]\Delta t + o(\Delta t)\}. \tag{5.94}$$

Subtract $V(k)$, divide by $\Delta t$, and take the limit:

$$0 = \max_{c}\{u(c) + V'(k)[f(k) - c - bk] - \eta V(k)\}, \tag{5.95}$$

$$\eta V(k) = \max_{c}\{u(c) + V'(k)[f(k) - c - bk]\}. \tag{5.96}$$

The control derivative is $u'(c) - V'(k) = 0$. To obtain the costate equation, write the optimal control as $c = \gamma(k)$ and differentiate the HJB:

$$\eta V'(k) = u'(c)\gamma'(k) + V''(k)h(k, c) + V'(k)[f'(k) - b - \gamma'(k)], \tag{5.97}$$

$$= V''(k)h(k, c) + V'(k)[f'(k) - b] + [u'(c) - V'(k)]\gamma'(k), \tag{5.98}$$

$$= V''(k)\dot{k} + V'(k)[f'(k) - b]. \tag{5.99}$$

Finally, with $\mu = V'(k)$, the chain rule along the path gives

$$\dot{\mu} = V''(k)\dot{k}, \tag{5.100}$$

$$\dot{\mu} = [\eta + b - f'(k)]\mu, \tag{5.101}$$

$$\mu = c^{-\theta} \quad \Longrightarrow \quad -\theta\frac{\dot{c}}{c} = \eta + b - f'(k). \tag{5.102}$$

The value function therefore yields the same costate and consumption conditions as the Hamiltonian. Feasibility and terminal restrictions remain part of the underlying problem.

## 5.4 Intertemporal equilibrium and economic adjustment

### 5.4.1 Steady state and the two loci

The continuous-time equilibrium combines

$$\begin{aligned} \dot{k} &= f(k) - c - bk, \\ \dot{c} &= \frac{c}{\theta}[f'(k) - \delta - \rho - \theta g], \end{aligned} \tag{5.103}$$

with given $k(0)$ and (5.5). A positive normalized steady state satisfies

$$0 = \frac{c^*}{\theta}[f'(k^*) - \delta - \rho - \theta g], \tag{5.104}$$

$$0 = f'(k^*) - \delta - \rho - \theta g \qquad (c^* > 0), \tag{5.105}$$

$$f'(k^*) = \delta + \rho + \theta g, \tag{5.106}$$

$$0 = f(k^*) - c^* - bk^*, \tag{5.107}$$

$$c^* = f(k^*) - bk^*. \tag{5.108}$$

$$f'(k^*) = \delta + \rho + \theta g, \qquad c^* = f(k^*) - bk^*. \tag{5.109}$$

The production assumptions give a unique positive $k^*$. Strict concavity gives $f(k^*)/k^* > f'(k^*) > b$, where the second inequality is $\eta > 0$, so $c^* > 0$. On this balanced growth path, consumption per person grows at $g$, aggregate consumption at $n + g$, and the net return is $r^* = \rho + \theta g$.

For $c > 0$, the $\dot{c} = 0$ locus is vertical at $k^*$. Consumption grows to its left and falls to its right. The $\dot{k} = 0$ locus is $c = f(k) - bk$; capital grows below it and falls above it. If $b > 0$, its maximum is the Golden Rule stock, where $f'(k_{\mathrm{GR}}) = b$. Neither locus, by itself, is an equilibrium path. The shape of the resource locus follows by differentiation:

$$\frac{dc}{dk} = f'(k) - b, \qquad \frac{d^2c}{dk^2} = f''(k) < 0.$$

Its slope is positive below the Golden Rule stock and negative above it. The $\dot{c} = 0$ locus fixes $k = k^*$ for every $c > 0$, which is why it is vertical; no division by a zero derivative is needed.

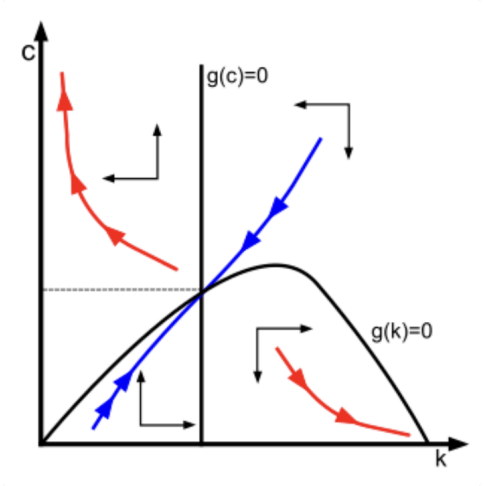



**Figure 5.1:** The Ramsey phase diagram and saddle path.

*Reading the diagram.* The vertical line is $\dot{c} = 0$; the curved resource locus is $\dot{k} = 0$. The blue curve depicts the stable path, with arrows toward their intersection. The red paths illustrate departures that do not satisfy the required long-run conditions. The sketch assumes a hump-shaped resource locus and $k^* < k_{\mathrm{GR}}$.

### 5.4.2 Why consumption can jump while capital cannot

**A state is inherited; a control is chosen.** Capital is a state inherited from previous investment. Consumption is a control: a household can change spending immediately, but cannot instantly create a new stock of machines. For a given $k(0)$, different initial consumption choices produce different candidate paths under (5.103). Most fail feasibility or the terminal condition. The saddle path selects initial consumption as well as the later transition; it does not require every variable to start at its steady state.

A one-time destruction of physical capital, with all other fundamentals unchanged, moves the state leftward. Consumption adjusts onto the stable path. The low stock supports a high return and rebuilding, while the loss of resources constrains current spending. Actual disasters may also damage skills or technology, which would change the destination rather than just the initial state.

A credible announcement about future productivity or taxation can change consumption before it changes current output: the household evaluates future income and returns when choosing today's spending. This model isolates that intertemporal mechanism. It omits borrowing constraints, income risk, and different marginal propensities to consume, so its representative consumption response is not an empirical claim about every household.

## 5.5 Linearization and the saddle path

### 5.5.1 The local system and its eigenvalues

Let $\Delta k = k - k^*$ and $\Delta c = c - c^*$. In the order $(k, c)$, the first-order system follows by differentiating both right-hand sides. Write $P = f(k) - c - bk$ and $Q = c[f'(k) - \delta - \rho - \theta g]/\theta$:

$$P_k^* = f'(k^*) - b = (\delta + \rho + \theta g) - (n + g + \delta) = \eta, \tag{5.110}$$

$$P_c^* = -1, \tag{5.111}$$

$$Q_k^* = \frac{c^*}{\theta} f''(k^*) \equiv z < 0, \tag{5.112}$$

$$Q_c^* = \frac{f'(k^*) - \delta - \rho - \theta g}{\theta} = 0, \tag{5.113}$$

$$\dot{\Delta k} \approx P_k^* \Delta k + P_c^* \Delta c = \eta \Delta k - \Delta c, \tag{5.114}$$

$$\dot{\Delta c} \approx Q_k^* \Delta k + Q_c^* \Delta c = z \Delta k. \tag{5.115}$$

The constant terms vanish because $P(k^*, c^*) = Q(k^*, c^*) = 0$. In matrix form, the system is

$$\begin{pmatrix} \dot{\Delta k} \\ \dot{\Delta c} \end{pmatrix} \approx J \begin{pmatrix} \Delta k \\ \Delta c \end{pmatrix}, \qquad J = \begin{pmatrix} \eta & -1 \\ z & 0 \end{pmatrix}, \quad z \equiv \frac{c^* f''(k^*)}{\theta} < 0. \tag{5.116}$$

The top-left entry is $f'(k^*) - b = \eta$; the bottom-right entry vanishes because the consumption growth bracket is zero at the steady state. Thus

$$\det(\lambda I - J) = \det \begin{pmatrix} \lambda - \eta & 1 \\ -z & \lambda \end{pmatrix}, \tag{5.117}$$

$$= (\lambda - \eta)\lambda - (1)(-z), \tag{5.118}$$

$$= \lambda^2 - \eta\lambda + z = 0, \tag{5.119}$$

$$\lambda_\pm = \frac{\eta \pm \sqrt{(-\eta)^2 - 4z}}{2} = \frac{\eta \pm \sqrt{\eta^2 - 4z}}{2}. \tag{5.120}$$

Since $z < 0$, $\lambda_- < 0 < \lambda_+$. The local system has one stable and one unstable direction. This is the mathematical reason a boundary condition is needed to select consumption for the inherited capital stock.

For a stable eigenvector $(1, m)$, multiply the matrix explicitly:

$$J \begin{pmatrix} 1 \\ m \end{pmatrix} = \begin{pmatrix} \eta - m \\ z \end{pmatrix} = \lambda_- \begin{pmatrix} 1 \\ m \end{pmatrix}, \tag{5.121}$$

$$\eta - m = \lambda_-, \qquad z = \lambda_- m, \tag{5.122}$$

$$m = \eta - \lambda_- > 0. \tag{5.123}$$

In the linearized system, the two modes have $m_\pm = \eta - \lambda_\pm$ and constants $A_-, A_+$:

$$\Delta k(t) = A_- e^{\lambda_- t} + A_+ e^{\lambda_+ t}, \tag{5.124}$$

$$\Delta c(t) = m_- A_- e^{\lambda_- t} + m_+ A_+ e^{\lambda_+ t}. \tag{5.125}$$

Convergence to this steady state requires $A_+ = 0$, because $\lambda_+ > 0$. Then $A_- = \Delta k(0)$ and $\Delta c(0) = m_- \Delta k(0)$. On the stable direction, separate the scalar differential equation:

$$\dot{\Delta k} = \lambda_- \Delta k, \tag{5.126}$$

$$\int_{\Delta k(0)}^{\Delta k(t)} \frac{dv}{v} = \int_0^t \lambda_- \, ds, \tag{5.127}$$

$$\log \left| \frac{\Delta k(t)}{\Delta k(0)} \right| = \lambda_- t, \tag{5.128}$$

$$\Delta k(t) = \Delta k(0) e^{\lambda_- t}. \tag{5.129}$$

The integration assumes $\Delta k(0) \neq 0$; if it is zero, the stable linearized path remains at zero. Translating back to the nonlinear model, the local stable path is therefore

$$\Delta c(0) \approx m \Delta k(0), \tag{5.130}$$

$$\Delta k(t) \approx \Delta k(0) e^{\lambda_- t}, \tag{5.131}$$

$$\Delta c(t) \approx m \Delta k(0) e^{\lambda_- t}. \tag{5.132}$$

To halve the absolute deviation, solve

$$e^{\lambda_- T_{1/2}} = \tfrac{1}{2}, \tag{5.133}$$

$$\lambda_- T_{1/2} = -\log 2, \tag{5.134}$$

$$T_{1/2} = \frac{\log 2}{-\lambda_-}. \tag{5.135}$$

The positive convergence speed is $-\lambda_-$. The exponential solution is exact for the linearized system, and generally approximate for the original nonlinear transition.

**Comparing convergence in Solow and Ramsey.** Both local stable paths have exponential decay in effective-worker capital:

$$\begin{aligned} \text{Solow:} \quad & k(t) - k^* \approx [k(0) - k^*] e^{-\lambda_C t}, \\ \text{Ramsey:} \quad & k(t) - k^* \approx [k(0) - k^*] e^{\lambda_- t}. \end{aligned}$$

Here $\lambda_C = b - s f'(k^*) > 0$ is defined in (4.74), while $\lambda_- < 0$ is Ramsey's stable eigenvalue. The positive speeds are therefore $\lambda_C$ and $-\lambda_-$, and a negative stable eigenvalue is not a negative convergence speed. Each steady state belongs to its own model. In Ramsey, initial consumption must also lie on the stable arm; arbitrary consumption does not produce this convergent path. These are local approximations to the nonlinear models.

### 5.5.2 The same restriction by undetermined coefficients

**Recover the original second-order route.** In this calculation all equalities refer to the linearized system. Differentiate its first equation and substitute its second:

$$\dot{\Delta k} = \eta \Delta k - \Delta c, \tag{5.136}$$

$$\ddot{\Delta k} = \eta \dot{\Delta k} - \dot{\Delta c}, \tag{5.137}$$

$$= \eta \dot{\Delta k} - z \Delta k, \tag{5.138}$$

$$\ddot{\Delta k} - \eta \dot{\Delta k} + z \Delta k = 0. \tag{5.139}$$

Conjecture a nonzero mode $\Delta k(t) = Be^{\lambda t}$. Its derivatives are $\dot{\Delta k} = \lambda B e^{\lambda t}$ and $\ddot{\Delta k} = \lambda^2 B e^{\lambda t}$. Substitution gives

$$\lambda^2 B e^{\lambda t} - \eta \lambda B e^{\lambda t} + z B e^{\lambda t} = 0, \tag{5.140}$$

$$B e^{\lambda t} (\lambda^2 - \eta \lambda + z) = 0, \tag{5.141}$$

$$\lambda^2 - \eta \lambda + z = 0. \tag{5.142}$$

The roots are exactly $\lambda_-$ and $\lambda_+$ above. Keeping only the decaying mode and using $k(0)$ gives $k(t) = k^* + [k(0) - k^*]e^{\lambda_- t}$ for the linearized transition.

**The equivalent policy-slope route.** Alternatively, conjecture a local policy $\Delta c = m \Delta k$. From the first linearized equation, $\dot{\Delta k} = (\eta - m)\Delta k$. Differentiating the conjecture and using the second equation gives

$$\begin{aligned} \dot{\Delta c} = m \dot{\Delta k} = m(\eta - m)\Delta k = z \Delta k, \\ m(\eta - m) = z, \\ m\eta - m^2 - z = 0, \\ m^2 - \eta m + z = 0. \end{aligned} \tag{5.143}$$

Choose the positive root $m = \lambda_+$, so $\eta - m = \lambda_- < 0$. This recovers the same stable policy. Choosing the decaying direction is not a free change to initial capital; it is the restriction on the consumption choice implied by admissibility and optimality.

## 5.6 Maximizing welfare

### 5.6.1 The object being maximized is a consumption path

A higher future consumption level is attractive, but reaching it may require less consumption today. Welfare makes that trade-off explicit. Compare two feasible paths starting from the same $k(0)$, with the same technology, population, preferences, and information. In effective-worker units, the allocation-dependent objective is

$$W[c] = \int_0^\infty e^{-\eta t} u(c(t))\, dt. \tag{5.144}$$

For CRRA utility this differs from the original dynasty objective only by a positive constant factor; for log utility there is also an additive term independent of the allocation. Thus the ordering of feasible paths is the same.

The Euler equation balances utility across adjacent dates. Feasibility limits how much consumption can be financed, and the transversality condition rules out leaving valuable resources unused forever.

Together, under the concavity conditions of this chapter, they select the welfare-maximizing path. An Euler equation by itself does not establish that a proposed path is optimal.

### 5.6.2 Golden Rule versus the optimal steady state

The Golden Rule answers a narrower question: which constant $k$ supports the highest steady consumption? With $b = n + g + \delta > 0$,

$$\bar{c}(k) = f(k) - bk, \qquad \bar{c}'(k) = f'(k) - b, \qquad f'(k_{\mathrm{GR}}) = b. \tag{5.145}$$

The Ramsey steady state instead satisfies

$$f'(k^*) = \delta + \rho + \theta g = b + \eta > b, \qquad k^* < k_{\mathrm{GR}}. \tag{5.146}$$

Diminishing marginal product gives the last inequality. If $b = 0$, there is no finite interior Golden Rule stock under $f'(k) > 0$; the Ramsey steady-state condition can still determine a finite $k^*$.

**Higher eventual consumption need not mean higher welfare.** Why stop before the consumption-maximizing stock? Building extra capital requires forgone consumption during the transition. The Golden Rule compares steady states without pricing that sacrifice. Ramsey values the sacrifice and the later benefit along a common time path. Starting at $k^*$, a policy that forces more saving may eventually raise consumption, yet reduce welfare. The later gain alone does not settle the comparison.

This also clarifies the benchmark's policy meaning. With no externalities, market power, borrowing frictions, or tax wedges, the competitive allocation implements the planner's optimum. That statement uses identical dynasties and the specified welfare weights; it does not settle distributional questions when households differ.

### 5.6.3 Measuring a welfare difference in consumption units

A difference in utility units is hard to interpret. Instead, ask what permanent proportional change to baseline consumption would make a household indifferent between the baseline path $c_B$ and an alternative $c_A$. Define $\lambda$ by

$$W[(1+\lambda)c_B] = W[c_A]. \tag{5.147}$$

A positive $\lambda$ means the alternative is better. This is a welfare index; the scaled baseline need not itself be feasible under the original resources.

For $\theta \neq 1$, let $J_i = \int_0^\infty e^{-\eta t} c_i(t)^{1-\theta}\, dt$, for $i = A, B$. Substitution into CRRA utility gives

$$W[(1+\lambda)c_B] = \frac{1}{1-\theta} \int_0^\infty e^{-\eta t} [(1+\lambda)c_B(t)]^{1-\theta}\, dt, \tag{5.148}$$

$$= \frac{(1+\lambda)^{1-\theta}}{1-\theta} J_B = \frac{1}{1-\theta} J_A, \tag{5.149}$$

$$(1+\lambda)^{1-\theta} = J_A / J_B, \tag{5.150}$$

$$1 + \lambda = (J_A/J_B)^{1/(1-\theta)}, \tag{5.151}$$

$$\lambda = (J_A/J_B)^{1/(1-\theta)} - 1. \tag{5.152}$$

For $\theta = 1$, use $\int_0^\infty e^{-\eta t} dt = 1/\eta$ to obtain

$$W[(1+\lambda)c_B] = \int_0^\infty e^{-\eta t}[\log(1+\lambda) + \log c_B(t)]\, dt, \tag{5.153}$$

$$= \frac{\log(1+\lambda)}{\eta} + W[c_B] = W[c_A], \tag{5.154}$$

$$\log(1+\lambda) = \eta\{W[c_A] - W[c_B]\}, \tag{5.155}$$

$$\lambda = \exp(\eta\{W[c_A] - W[c_B]\}) - 1. \tag{5.156}$$

For example, if consumption is 1% higher at every date, both formulas give $\lambda = 0.01$. A 1% difference only in eventual steady consumption generally does not: the transition also enters the integral.

## 5.7 Taxation and capital accumulation

### 5.7.1 Separate financial transfers from real resource use

A tax can change who receives income, how many goods remain for private use, and the return to saving. These are different mechanisms. To separate them, introduce a balanced-budget government without debt. Let $T_L$ be aggregate lump-sum taxes, $\mathscr{R}$ aggregate transfers, and $G$ government purchases. A constant rate $0 \le \tau < 1$ taxes *net* capital income $rK$, where $r = f'(k) - \delta$. Depreciation is deductible under this convention.

The household budget and government budget are

$$\dot{B} = (1-\tau)rB + wL - C - T_L + \mathscr{R}, \tag{5.157}$$

$$\tau rK + T_L = G + \mathscr{R}. \tag{5.158}$$

In equilibrium $B = K$ and $rK + wL = Y - \delta K$. Substitute the government budget into the household budget:

$$\mathscr{R} = \tau rK + T_L - G, \tag{5.159}$$

$$\dot{K} = (1-\tau)rK + wL - C - T_L + (\tau rK + T_L - G), \tag{5.160}$$

$$= rK - \tau rK + wL - C - T_L + \tau rK + T_L - G, \tag{5.161}$$

$$= rK + wL - C - G = Y - \delta K - C - G, \tag{5.162}$$

$$\dot{k} = \frac{\dot{K}}{AL} - (n+g)k, \tag{5.163}$$

$$= f(k) - \delta k - c - \mathscr{G} - (n+g)k. \tag{5.164}$$

$$\dot{K} = Y - \delta K - C - G, \qquad \dot{k} = f(k) - c - bk - \mathscr{G}, \quad \mathscr{G} \equiv \frac{G}{AL}. \tag{5.165}$$

Taxes and transfers cancel when consolidating budgets. Government purchases use goods and therefore remain. Here $G$ does not enter production or household utility; public investment or valued public services would require an explicit additional mechanism.

### 5.7.2 Lump-sum taxation: a resource and wealth effect

Set $\tau = 0$. A lump-sum tax does not depend on an individual household's saving, so it leaves the marginal return unchanged:

$$\frac{\dot{c}}{c} = \frac{f'(k) - \delta - \rho - \theta g}{\theta}. \tag{5.166}$$

This does not mean that financing $G$ has no effect. Private consumption and investment must share fewer resources, and households adjust spending when they learn about future taxes and purchases.

For constant $\mathscr{G}$, an interior steady state has the same $k^*$ as the untaxed benchmark, but

$$c_G^* = f(k^*) - bk^* - \mathscr{G} > 0. \tag{5.167}$$

The unchanged long-run stock follows from the unchanged Euler condition; consumption absorbs the steady resource cost. The transition can still differ. If $G = 0$ and lump-sum taxes are returned to the same identical dynasties, the net payment cancels and the benchmark allocation is unchanged.

### 5.7.3 Capital income taxation: the private saving wedge

Now set $T_L = 0$ and rebate capital tax revenue as lump-sum transfers, with $G = 0$. There are many identical price-taking dynasties. Each takes the transfer as given: saving an extra unit does not give that household the entire increase in aggregate tax rebates. Its marginal return is $(1 - \tau)r$. To obtain the household Euler condition, use consumption per person $x$ and private assets per person $a_h$. The private budget has $\dot{a}_h = [(1 - \tau)r - n]a_h + w - x + \mathscr{R}/L$. The dynasty discounts per-person utility at $\rho - n$. With marginal value $\nu = u'(x) = x^{-\theta}$, its costate condition gives

$$\frac{\dot{\nu}}{\nu} = (\rho - n) - [(1 - \tau)r - n] = \rho - (1 - \tau)r, \tag{5.168}$$

$$\dot{\nu} = -\theta x^{-\theta-1}\dot{x}, \tag{5.169}$$

$$-\theta\frac{\dot{x}}{x} = \rho - (1 - \tau)r, \tag{5.170}$$

$$\frac{\dot{x}}{x} = \frac{(1 - \tau)r - \rho}{\theta}. \tag{5.171}$$

Since $x = Ac$, $\dot{c}/c = \dot{x}/x - g$. Substitute $r = f'(k) - \delta$:

$$\frac{\dot{x}}{x} = \frac{(1 - \tau)r - \rho}{\theta}, \tag{5.172}$$

$$\frac{\dot{c}}{c} = \frac{(1 - \tau)[f'(k) - \delta] - \rho - \theta g}{\theta}. \tag{5.173}$$

The consolidated resource constraint is still the original one. The tax changes the private incentive even when its revenue is fully rebated. Treating the representative household as if it chose aggregate rebates would erase this wedge and would solve a different problem.

For a permanent constant tax, the interior steady state satisfies

$$0 = (1 - \tau)[f'(k_\tau) - \delta] - \rho - \theta g, \tag{5.174}$$

$$(1 - \tau)[f'(k_\tau) - \delta] = \rho + \theta g, \tag{5.175}$$

$$f'(k_\tau) - \delta = \frac{\rho + \theta g}{1 - \tau}. \tag{5.176}$$

$$f'(k_\tau) = \delta + \frac{\rho + \theta g}{1 - \tau}, \qquad c_\tau = f(k_\tau) - bk_\tau. \tag{5.177}$$

Differentiate the first equation:

$$f''(k_\tau)\frac{dk_\tau}{d\tau} = \frac{\rho + \theta g}{(1 - \tau)^2}, \qquad \frac{dk_\tau}{d\tau} < 0. \tag{5.178}$$

Explicitly, division by the negative marginal-product derivative gives

$$\frac{dk_\tau}{d\tau} = \frac{\rho + \theta g}{(1 - \tau)^2 f''(k_\tau)} < 0.$$

A lower after-tax share requires a higher pre-tax marginal product to support zero growth of $c$. With diminishing returns, that means less capital. Since $k_\tau < k^* < k_{\mathrm{GR}}$ when $b > 0$, steady private consumption also falls. For $b = 0$, $f(k)$ is increasing and the same consumption ranking follows. Per-person output still grows at $g$ on the balanced growth path: this tax changes its level, while technology growth remains exogenous.

The tax base matters. A tax on gross rental income $f'(k)K$, without depreciation deductibility, would leave the net return $(1 - \tau)f'(k) - \delta$ instead. Its steady-state formula would therefore differ when $\delta > 0$.

### 5.7.4 The transition need not resemble the long-run comparison

**A tax can raise consumption initially and lower it eventually.** Suppose the economy starts at the untaxed steady state and an unexpected small permanent capital tax is introduced, with full rebates and $G = 0$. The $\dot{c} = 0$ line shifts left, while the $\dot{k} = 0$ curve is unchanged. Capital cannot jump. Consumption can, and locally it jumps *up*: households now want a smaller eventual capital stock and begin consuming part of the inherited wealth. Then capital and consumption decline along the new stable path. The initial consumption increase is consistent with lower long-run consumption.

To see the local logic, write the new stable path as $c - c_\tau \approx m_\tau(k - k_\tau)$, with $m_\tau > 0$. At zero tax its slope is $m = \eta - \lambda_- > \eta$, whereas the resource curve has slope $\eta$. A small fall in the target stock therefore places the new stable path above the old steady-state consumption at the inherited $k^*$. This argument is local and uses the stated rebate rule; government spending, announcements, or other tax bases require their own transition analysis. Write $\Delta k_\tau = k_\tau - k^* < 0$ for a small tax. Expanding the resource curve and the new local policy around zero tax makes the sign calculation explicit:

$$c_\tau - c^* = [f'(k^*) - b]\Delta k_\tau + O(\tau^2) = \eta \Delta k_\tau + O(\tau^2), \tag{5.179}$$

$$c(0^+) = c_\tau + m_\tau(k^* - k_\tau) + O(\tau^2), \tag{5.180}$$

$$c(0^+) - c^* = \eta \Delta k_\tau - m\Delta k_\tau + O(\tau^2), \tag{5.181}$$

$$= (\eta - m)\Delta k_\tau + O(\tau^2) = \lambda_- \Delta k_\tau + O(\tau^2) > 0. \tag{5.182}$$

Here $m_\tau = m + O(\tau)$, so multiplying its change by $\Delta k_\tau = O(\tau)$ contributes only at second order. Both $\lambda_-$ and the first-order $\Delta k_\tau$ are negative.

For a numerical level comparison, take $f(k) = k^{1/3}$, $\delta = 0$, $\rho = 0.04$, $\theta = 2$, $n = 0.01$, and $g = 0.02$.

Then $b = 0.03$ and $\eta = 0.05$. The steady-state formulas give

$$f'(k) = \tfrac{1}{3}k^{-2/3} = q, \tag{5.183}$$

$$k^{-2/3} = 3q, \qquad k = (3q)^{-3/2}, \tag{5.184}$$

$$q_0 = 0.04 + 2(0.02) = 0.08, \tag{5.185}$$

$$q_{0.20} = \frac{0.04 + 2(0.02)}{1 - 0.20} = 0.10, \tag{5.186}$$

$$c = k^{1/3} - 0.03k. \tag{5.187}$$

Evaluating these expressions gives

**Table 5.1:** Capital taxation and the steady-state allocation.

| Capital tax rate | Required $f'(k)$ | $k$ | $c$ |
|---|---|---|---|
| 0 | 0.08 | 8.505 | 1.786 |
| 0.20 | 0.10 | 6.086 | 1.643 |

These are hypothetical steady states. Their consumption difference is not a consumption-equivalent welfare loss, because that calculation must include the transition from a common initial stock.

In this frictionless benchmark, forcing a capital tax wedge with no valued public use of revenue moves the allocation away from the planner optimum. This is a comparison of given policies, not a solution for optimal fiscal policy. Redistribution, productive public expenditure, or market failures would change the policy problem and must be modeled before drawing a broader conclusion.

# 6 OLG Model

Ramsey assigns intertemporal choices to a dynasty that continues indefinitely. Now separate a person's lifetime from the economy's lifetime. People work, retire, and leave; new people arrive. Saving remains an optimal choice, but the ownership of assets and the identity of the people paying for transfers must be tracked by generation.

## 6.1 From retirement needs to overlapping generations

### 6.1.1 An economy continues after its current savers have died

Imagine looking at households' balance sheets at one date. Some people are building retirement assets from wages; others are spending assets accumulated earlier. A single consumption total conceals these opposite positions. A policy that taxes workers and pays retirees changes the resources of different people, even when it leaves aggregate resources unchanged at the moment of payment.

One response would be to add age labels to the Ramsey household. But if an altruistic dynasty still pools all resources and values every descendant, those labels need not change the underlying allocation problem. To isolate generational turnover, instead let each person value only consumption within his or her own finite life. Give the young labor income and the old a need to finance consumption without working. Then ask what assets can carry resources between these stages, and who supplies the counterpart to those claims.

Two periods are the smallest useful life cycle: one for work and saving, one for retirement and spending. New workers arrive while earlier workers retire. The approximation does not describe every age or predict a literal retirement age. It makes the relation between life-cycle saving, asset ownership, and population replacement visible with only two age groups.

### 6.1.2 Choose a way to finance retirement, then close the economy

Start with physical capital as the only asset. A young person acquires capital claims; next period those claims pay rental income and the value of surviving capital. Retirees consume the proceeds. A wage and a return determine an individual saving choice, but they are not arbitrary economy-wide inputs: workers' saving determines the next capital stock, which determines the return those same workers receive when old. This closes the market model.

An alternative is a transfer from next period's workers. That alternative cannot simply be assumed to be a private enforceable contract with people who have not yet been born. A pension system or a government issuing debt adds an institution capable of continuing across generations. We first solve the capital-only economy, then introduce those institutions explicitly.

The production economy follows Diamond's OLG framework; the sequence of questions above is a teaching reconstruction, not a claim about the author's private thoughts.[13]

[13] Peter A. Diamond (1965), "National Debt in a Neoclassical Growth Model," *American Economic Review*, 55(5), 1126–1150. Diamond's original model uses no depreciation; we keep general $\delta$ and identify the full-depreciation course example separately. `https://www.aeaweb.org/aer/top20/55.5.1126-1150.pdf`.

**Meeting only once does not rule out intertemporal trade.** A young person can save in capital and consume its payoff when old. That is already an intertemporal allocation. The important limitation is that currently living people cannot make ordinary private contracts with unborn generations. Without bequests or altruistic links, no household represents the interests of the infinite sequence of future entrants. Finite individual lives and an infinite economic horizon can therefore have different welfare implications from a single infinite-lived dynasty.

## 6.2 Assumptions and the cohort timeline

The cards state the full environment before solving it. Within a cohort people are identical; across ages, their income, remaining lifetime, and asset position differ. There is no single representative person for both age groups.

**01 Dates, cohorts, and population**

Time is discrete, $t = 0, 1, \ldots$. A cohort of $L_t$ people is born at each date, lives for two periods with certainty, and dies after its second period. At date $t$, $L_t$ young coexist with $L_{t-1}$ old:

$$L_t = NL_{t-1}, \qquad N \equiv 1 + n > 0, \qquad L_t = N^t L_0.$$

The baseline takes $n \geq 0$; the population comparison later also permits $-1 < n < 0$ when the other conditions remain feasible. Each young person supplies one unit of labor inelastically; the old supply none. Labor is $L_t$, whereas total population is $L_t + L_{t-1}$. A model period is a life stage, not necessarily a calendar year.

**02 Goods, capital, and technology growth**

A closed economy produces one good, usable for consumption and capital. There is no government, foreign trade, money, or public debt in the baseline. Technology is fixed and normalized to one: $Y_t = F(K_t, L_t)$. This is an explicit zero-technology-growth benchmark, so $k_t = K_t/L_t$ is capital per worker, not per effective worker. Capital depreciates at $0 \leq \delta \leq 1$ and surviving capital can be sold or consumed:

$$Y_t + (1 - \delta)K_t = C_t + K_{t+1}.$$

General formulas retain $\delta$. The numerical and explicit full-depreciation examples set $\delta = 1$; that restriction is not needed for the general model.

### 03 Production restrictions

Firms share a freely available technology. $F$ is continuous, twice differentiable for positive inputs, positive there, with positive diminishing marginal products and constant returns:

$$F(\lambda K, \lambda L) = \lambda F(K, L), \qquad f(k) \equiv F(k, 1), \qquad Y_t / L_t = f(k_t).$$

For $k > 0$, assume

$$f(0) = 0, \qquad f'(k) > 0, \qquad f''(k) < 0,$$
$$\lim_{k \downarrow 0} f'(k) = \infty, \qquad \lim_{k \to \infty} f'(k) = 0.$$

Cobb–Douglas, $f(k) = k^{\alpha}$ with $0 < \alpha < 1$, is a specified example, not the only technology consistent with these conditions.

### 04 Households, ownership, and initial conditions

There are many identical, price-taking people in each cohort. They receive wages when young and asset income when old; firms belong to households and any profits would accrue to their owners. No one values descendants' utility, leaves a bequest, or receives an inheritance. The initially old are the exception to the no-inherited-wealth statement: they enter date zero already owning the given $K_0 > 0$, equally within their cohort. The young start with labor income and no assets. Initially old consumption must be counted even though their earlier saving decision lies outside the model's initial date.

### 05 Preferences, information, and choices

A person born at $t$ chooses saving $a_t$ and consumption at ages one and two:

$$U_t = u(c_{1,t}) + \beta u(c_{2,t+1}), \qquad 0 < \beta < 1,$$

$$u(c) = \begin{cases} (c^{1-\theta} - 1)/(1 - \theta), & \theta > 0,\ \theta \neq 1, \\ \log c, & \theta = 1. \end{cases}$$

There is no aggregate or individual uncertainty; the next return is correctly anticipated. People take wages and returns as given, despite their joint effect on equilibrium prices. There is no labor choice or liquidity shock. Consumption is positive. The baseline interior optimum has $0 < a_t < w_t$; no borrowing or short sales of physical capital are allowed. Later pension formulas must be checked against this asset constraint.

### 06 Firms, factor prices, and returns

Competitive firms rent capital and hire labor at each date:

$$\max_{K,L} F(K,L) - q_t K - w_t L.$$

Interior demands imply $q_t = f'(k_t)$ and $w_t = f(k_t) - k_t f'(k_t)$. Economic profits are zero under constant returns. The owner of a unit of capital receives the rental payment and its remaining capital value:

$$R_t = 1 - \delta + q_t, \qquad r_t = R_t - 1 = q_t - \delta.$$

$R_t$ is a gross payoff, $r_t$ a net return, and $q_t$ a rental price. Only with $\delta = 1$ does $R_t = f'(k_t)$.

### 07 Budgets and age-specific consumption

A person born at $t$ obeys

$$c_{1,t} + a_t = w_t, \qquad c_{2,t+1} = R_{t+1} a_t.$$

The old consume all their wealth and leave no assets after death. At date $t$, $c_{2,t}$ is the consumption of cohort $t-1$, not the future consumption of cohort $t$. Aggregate consumption and young people's asset purchases are

$$C_t = L_t c_{1,t} + L_{t-1} c_{2,t}, \qquad \mathscr{A}_t = L_t a_t.$$

We use $a_t$ for saving per young person to distinguish it from Solow's saving share $s$. $\mathscr{A}_t$ corresponds to the original course notation for aggregate young saving; it is not automatically national saving.

### 08 Market clearing and the equilibrium path

Capital and labor demands equal their supplied stocks, $K_t^d = K_t$ and $L_t^d = L_t$. Capital is the only asset, so young people's wealth at the end of $t$ must equal next period's capital:

$$K_{t+1} = \mathscr{A}_t = L_t a_t, \qquad N k_{t+1} = a_t.$$

Goods clearing must also hold:

$$c_{1,t} + \frac{c_{2,t}}{N} + N k_{t+1} = f(k_t) + (1-\delta) k_t.$$

An equilibrium is a path of allocations and prices satisfying household and firm optimality, correct return expectations, and these clearing conditions, starting from the specified initial ownership. No infinite-lived household's transversality condition is imposed on the economy as a whole.

### 6.2.1 Read a cohort's lifetime across dates

**Table 6.1:** Cohorts across adjacent dates.

| Cohort | Date $t-1$ | Date $t$ | Date $t+1$ |
|---|---|---|---|
| Born at $t-1$ | Young, saves | Old, consumes | No longer alive |
| Born at $t$ | Not yet born | Young, saves | Old, consumes |
| Born at $t+1$ | Not yet born | Not yet born | Young, saves |

Reading across a row gives one person's lifetime budget. Reading down a column gives the economy's resources at one date. This distinction explains why $c_{1,t} + c_{2,t+1}/R_{t+1} = w_t$ is an individual present-value budget, whereas $c_{1,t} + c_{2,t}/N$ is current aggregate consumption per worker. The two formulas combine different people and different dates.

## 6.3 Household optimization and life-cycle saving

### 6.3.1 Budgets, multipliers, and the Euler condition

Take $w_t > 0$ and $R_{t+1} > 0$ as given. Monotonic utility makes the two budgets bind. With multipliers on resources remaining, write

$$\begin{aligned}\mathscr{L} = {} & u(c_{1,t}) + \beta u(c_{2,t+1}) \\ & + \lambda_{1,t}(w_t - c_{1,t} - a_t) + \lambda_{2,t+1}(R_{t+1}a_t - c_{2,t+1}).\end{aligned} \tag{6.1}$$

At an interior optimum,

$$\frac{\partial \mathscr{L}}{\partial c_{1,t}} = u'(c_{1,t}) - \lambda_{1,t} = 0, \tag{6.2}$$

$$\frac{\partial \mathscr{L}}{\partial c_{2,t+1}} = \beta u'(c_{2,t+1}) - \lambda_{2,t+1} = 0, \tag{6.3}$$

$$\frac{\partial \mathscr{L}}{\partial a_t} = -\lambda_{1,t} + R_{t+1}\lambda_{2,t+1} = 0, \tag{6.4}$$

$$u'(c_{1,t}) = \lambda_{1,t}, \tag{6.5}$$

$$\beta u'(c_{2,t+1}) = \lambda_{2,t+1}, \tag{6.6}$$

$$\lambda_{1,t} = R_{t+1}\lambda_{2,t+1}. \tag{6.7}$$

Eliminating both multipliers gives

$$u'(c_{1,t}) = \lambda_{1,t} = R_{t+1}\lambda_{2,t+1} = \beta R_{t+1}u'(c_{2,t+1}).$$

$$u'(c_{1,t}) = \beta R_{t+1}u'(c_{2,t+1}). \tag{6.8}$$

Giving up one consumption unit while young buys $R_{t+1}$ units when old. The Euler condition prices that marginal transfer. The two budgets still supply the levels. No infinite-horizon terminal condition is needed for this person: after age two, there is neither consumption nor a bequest to choose.

### 6.3.2 CRRA saving: an explicit solution and its derivatives

Under CRRA, substitute the budgets into (6.8):

$$(w_t - a_t)^{-\theta} = \beta R_{t+1}(R_{t+1}a_t)^{-\theta}, \tag{6.9}$$

$$\left(\frac{w_t - a_t}{a_t}\right)^{-\theta} = \beta R_{t+1}^{1-\theta}. \tag{6.10}$$

Define $h(R) \equiv \beta^{-1/\theta} R^{(\theta-1)/\theta}$. Taking powers and rearranging, step by step,

$$\left(\frac{w_t - a_t}{a_t}\right)^{-\theta} = \beta R_{t+1}^{1-\theta}, \tag{6.11}$$

$$\frac{w_t - a_t}{a_t} = (\beta R_{t+1}^{1-\theta})^{-1/\theta}, \tag{6.12}$$

$$= \beta^{-1/\theta} R_{t+1}^{-(1-\theta)/\theta} = h(R_{t+1}), \tag{6.13}$$

$$\frac{w_t}{a_t} - 1 = h(R_{t+1}), \tag{6.14}$$

$$w_t = a_t[1 + h(R_{t+1})]. \tag{6.15}$$

$$\frac{w_t - a_t}{a_t} = h(R_{t+1}), \qquad \frac{w_t}{a_t} = 1 + h(R_{t+1}), \tag{6.16}$$

so the saving function is

$$a_t = a(w_t, R_{t+1}) = \frac{w_t}{1 + \beta^{-1/\theta} R_{t+1}^{(\theta-1)/\theta}}. \tag{6.17}$$

The utility constant $-1/(1-\theta)$ has no effect on choices. The log case will be obtained directly rather than substituting $\theta = 1$ into that utility expression.

Holding the return fixed, differentiate only $w$. Holding the wage fixed, differentiate the denominator through $h(R)$:

$$a_w = \frac{\partial}{\partial w}[w(1 + h(R))^{-1}] = (1 + h(R))^{-1} \in (0, 1), \tag{6.18}$$

$$h'(R) = \beta^{-1/\theta}\frac{\theta - 1}{\theta} R^{(\theta-1)/\theta - 1}, \tag{6.19}$$

$$= \frac{\theta - 1}{\theta R}[\beta^{-1/\theta} R^{(\theta-1)/\theta}] = \frac{\theta - 1}{\theta R} h(R), \tag{6.20}$$

$$a_R = w[-(1 + h)^{-2}]h'(R), \tag{6.21}$$

$$= -\frac{w}{(1 + h)^2}\frac{\theta - 1}{\theta R} h. \tag{6.22}$$

$$a_R = -\frac{wh'(R)}{(1 + h)^2} = \frac{1 - \theta}{\theta}\frac{wh}{R(1 + h)^2}. \tag{6.23}$$

Thus $a_R$ is positive for $\theta < 1$, zero for $\theta = 1$, and negative for $\theta > 1$. These are partial derivatives; an equilibrium price change may also change wages and expected future returns together.

**A higher return need not raise retirement saving.** A higher return makes postponing consumption more rewarding, but it also allows a given retirement expenditure to be financed with fewer assets. For $\theta < 1$, willingness to substitute consumption across ages is strong and saving rises. For $\theta > 1$, the income effect dominates in this retirement-only-income specification and saving falls. Under log utility, these effects cancel in the saving share out of wages. The result depends on the assumed income profile; it is not a universal empirical saving law.

### 6.3.3 The log case: a constant share of wages

For $u(c) = \log c$, (6.8) implies

$$\frac{c_{2,t+1}}{c_{1,t}} = \beta R_{t+1}. \tag{6.24}$$

Substitute $c_{1,t} = w_t - a_t$ and $c_{2,t+1} = R_{t+1}a_t$:

$$R_{t+1}a_t = \beta R_{t+1}(w_t - a_t), \tag{6.25}$$

$$a_t = \beta w_t - \beta a_t \qquad (R_{t+1} > 0), \tag{6.26}$$

$$(1+\beta)a_t = \beta w_t, \tag{6.27}$$

$$a_t = \frac{\beta}{1+\beta} w_t. \tag{6.28}$$

$$R_{t+1}a_t = \beta R_{t+1}(w_t - a_t) \quad \Longrightarrow \quad a_t = \kappa w_t, \qquad \kappa \equiv \frac{\beta}{1+\beta}. \tag{6.29}$$

Saving is endogenous even though this example gives a constant share of *wages*. Solow imposes a share of total output; those are different income bases. Log utility does not make retirement consumption independent of the return: $c_{2,t+1} = R_{t+1}\kappa w_t$ still changes with $R_{t+1}$.

## 6.4 Firm optimization and the return to ownership

At date $t$, firms choose $K, L$ in

$$\max_{K,L} \; F(K,L) - q_t K - w_t L. \tag{6.30}$$

Differentiate with respect to actual factor inputs before using constant returns to express the prices per worker:

$$F(K,L) = Lf(K/L) = Lf(k), \tag{6.31}$$

$$\pi_K = Lf'(k)(1/L) - q_t = f'(k) - q_t = 0, \tag{6.32}$$

$$\pi_L = f(k) + Lf'(k)(-K/L^2) - w_t = 0, \tag{6.33}$$

$$q_t = f'(k_t), \qquad w_t = f(k_t) - k_t f'(k_t), \tag{6.34}$$

$$R_t = (1-\delta) + q_t. \tag{6.35}$$

$$q_t = f'(k_t), \qquad w_t = f(k_t) - k_t f'(k_t), \qquad R_t = 1 - \delta + f'(k_t). \tag{6.36}$$

Euler's theorem gives $Y_t = q_t K_t + w_t L_t$, so profits are zero after factor payments. Capital owners still receive both rental income and the value of surviving assets. That second item is an asset sale or liquidation, not additional production in GDP.

For Cobb–Douglas,

$$q_t = \alpha k_t^{\alpha-1}, \qquad w_t = (1-\alpha)k_t^{\alpha}, \qquad R_t = 1-\delta+\alpha k_t^{\alpha-1}. \tag{6.37}$$

A larger inherited capital intensity raises the current wage and lowers the current return. A young saver cares about the *next* return, determined by $k_{t+1}$, because that is when the retirement payoff is received.

**The course formula $R = f'(k)$ is a full-depreciation case.** With $\delta = 1$, no capital survives after production, so the gross payoff is the rental product alone. With $\delta = 0$, the owner also recovers the unit of capital and $R = 1 + f'(k)$. Both conventions can be useful. The household Euler equation uses the gross payoff; replacing it by a rental price without stating depreciation changes the saving problem.

## 6.5 Capital accumulation and equilibrium dynamics

### 6.5.1 Young wealth versus aggregate saving

At the start of date $t$, the old own $K_t$. Since $K_t = L_{t-1}a_{t-1}$, their aggregate consumption is $L_{t-1}c_{2,t} = R_tK_t$; the same relation holds for the initial owners at date zero. The young consume $L_t(w_t - a_t)$. Add them:

$$C_t = L_tw_t - L_ta_t + R_tK_t, \tag{6.38}$$

$$= Y_t - L_ta_t + (1-\delta)K_t. \tag{6.39}$$

In the second line, substitute $R_t = q_t + 1 - \delta$ and $Y_t = w_tL_t + q_tK_t$. Rearranging gives

$$Y_t - C_t = L_ta_t - (1-\delta)K_t, \tag{6.40}$$

$$K_{t+1} = (1-\delta)K_t + (Y_t - C_t), \tag{6.41}$$

$$= (1-\delta)K_t + L_ta_t - (1-\delta)K_t = L_ta_t, \tag{6.42}$$

$$\frac{K_{t+1}}{L_{t+1}}\frac{L_{t+1}}{L_t} = \frac{L_ta_t}{L_t}, \tag{6.43}$$

$$Nk_{t+1} = a_t. \tag{6.44}$$

$$K_{t+1} = L_ta_t, \qquad Nk_{t+1} = a_t. \tag{6.45}$$

Thus the asset-clearing equation also satisfies goods clearing.

**Young saving is not national saving.** The young acquire assets, while the old liquidate theirs. In this one-good model, gross investment and net national saving are respectively

$$I_t \equiv K_{t+1} - (1-\delta)K_t = L_t a_t - (1-\delta)K_t,$$

$$S_t^{\text{net}} \equiv Y_t - C_t - \delta K_t = K_{t+1} - K_t = L_t a_t - K_t.$$

Writing $K_{t+1} = (1-\delta)K_t + L_t a_t$ would count surviving capital twice: young people's purchases already include acquiring that capital from the old. With full depreciation, gross investment does equal young saving; with general depreciation, the distinction must remain visible.

### 6.5.2 An implicit law of motion under general preferences

Substitute the saving function and competitive prices into capital clearing:

$$N k_{t+1} = a\big(f(k_t) - k_t f'(k_t),\ 1 - \delta + f'(k_{t+1})\big)\,. \tag{6.46}$$

This is generally implicit in $k_{t+1}$: a larger capital stock changes the return that induced people to accumulate it. Solving household saving at an arbitrary fixed return is not yet a general-equilibrium solution.

At a positive stationary equilibrium,

$$N k^* = a\big(f(k^*) - k^* f'(k^*),\ 1 - \delta + f'(k^*)\big)\,. \tag{6.47}$$

Cobb–Douglas makes this condition

$$N k^* = \frac{(1-\alpha)(k^*)^\alpha}{1 + \beta^{-1/\theta}\big[1 - \delta + \alpha (k^*)^{\alpha-1}\big]^{(\theta-1)/\theta}}. \tag{6.48}$$

This scalar equation replaces the unfinished general steady-state expression in the course notes. A numerical root may be needed; the explicit log result below is a separate tractable case.

To see why stability needs conditions, differentiate (6.46). Since $w'(k) = -k f''(k) > 0$,

$$w'(k) = f'(k) - \big[f'(k) + k f''(k)\big] = -k f''(k), \tag{6.49}$$

$$N \frac{dk_{t+1}}{dk_t} = a_w w'(k_t) + a_R R'(k_{t+1}) \frac{dk_{t+1}}{dk_t}, \tag{6.50}$$

$$= a_w\big[-k_t f''(k_t)\big] + a_R f''(k_{t+1}) \frac{dk_{t+1}}{dk_t}, \tag{6.51}$$

$$\big[N - a_R f''(k_{t+1})\big] \frac{dk_{t+1}}{dk_t} = a_w\big[-k_t f''(k_t)\big]. \tag{6.52}$$

$$\big[N - a_R f''(k_{t+1})\big] \frac{dk_{t+1}}{dk_t} = a_w\big[-k_t f''(k_t)\big]. \tag{6.53}$$

If the bracket is nonzero, this gives the local slope. A locally defined map is stable at its steady state when the absolute slope is below one. For $\theta \le 1$, $a_R \ge 0$ makes the bracket positive. For $\theta > 1$, the return response can overturn that sign or make the equation locally singular. The log example's uniqueness and convergence cannot be asserted for every OLG specification.

### 6.5.3 Log utility and Cobb–Douglas: solve the whole path

Using (6.29), capital clearing reduces to

$$k_{t+1} = \frac{\kappa(1-\alpha)}{N} k_t^{\alpha} \equiv M k_t^{\alpha}, \qquad M \equiv \frac{\kappa(1-\alpha)}{N} > 0. \tag{6.54}$$

This formula holds for general $\delta$: log saving does not respond to the return, and current wages do not depend on depreciation. Depreciation still changes the old's consumption and welfare.

At a positive steady state, divide $k^* = M(k^*)^{\alpha}$ by $(k^*)^{\alpha}$:

$$\frac{k^*}{(k^*)^{\alpha}} = M, \tag{6.55}$$

$$(k^*)^{1-\alpha} = M, \tag{6.56}$$

$$k^* = M^{1/(1-\alpha)}, \tag{6.57}$$

$$M = \frac{\kappa(1-\alpha)}{N} = \frac{\beta(1-\alpha)}{(1+\beta)N}. \tag{6.58}$$

$$(k^*)^{1-\alpha} = M, \qquad k^* = \left[\frac{\beta(1-\alpha)}{(1+\beta)N}\right]^{1/(1-\alpha)}. \tag{6.59}$$

The map is increasing; $k_{t+1}/k_t = M k_t^{\alpha-1}$ exceeds one below $k^*$ and is below one above it. It maps either side toward the steady state without crossing it. Thus every $k_0 > 0$ converges monotonically; zero is an absorbing boundary, not the initial condition of the positive-capital result.

There is also an exact solution in log deviations. Divide the map by its steady-state version and take logarithms:

$$\frac{k_{t+1}}{k^*} = \frac{M k_t^{\alpha}}{M(k^*)^{\alpha}} = \left(\frac{k_t}{k^*}\right)^{\alpha}, \tag{6.60}$$

$$\log(k_{t+1}/k^*) = \alpha \log(k_t/k^*), \tag{6.61}$$

$$\log(k_t/k^*) = \alpha^t \log(k_0/k^*), \tag{6.62}$$

$$k_t/k^* = \exp[\alpha^t \log(k_0/k^*)] = (k_0/k^*)^{\alpha^t}. \tag{6.63}$$

$$\log(k_{t+1}/k^*) = \alpha \log(k_t/k^*), \qquad k_t = k^* \left(\frac{k_0}{k^*}\right)^{\alpha^t}. \tag{6.64}$$

The local slope is $\alpha \in (0,1)$. Capital-level deviations satisfy $k_t - k^* \approx \alpha^t(k_0 - k^*)$ only locally; log deviations decay exactly at that factor. This separates convergence of a path from efficiency of the allocation to which it converges.

**What the log example does and does not establish.** Young people optimally save a fixed share of wages. Wages depend on the inherited stock; their asset purchases become the next stock. This gives a unique positive steady state and a stable path in this example. It does not show that all OLG economies converge, that capital is socially optimal, or that a household's constant saving share equals Solow's imposed output share.

## 6.6 Comparing Solow, Ramsey, and OLG

Use a common discrete-time benchmark here: fixed technology, population factor $N$, and depreciation $\delta$. Let $\sigma$ denote Solow's imposed saving share to keep it distinct from individual saving $a_t$.

**Table 6.2:** Saving, ownership, and efficiency across three growth models.

| | **Solow** | **Ramsey dynasty** | **Two-period OLG** |
|---|---|---|---|
| Saving | Given share of output | Chosen for a continuing dynasty | Chosen for each cohort's two ages |
| People | No age structure in the saving rule | Descendants linked by the objective | New cohorts enter; no altruistic link |
| Main closure | Accumulation equation | Accumulation, Euler, and terminal conditions | Cohort budgets and asset clearing |
| Efficiency | Not guaranteed by the saving rule | First-best under its stated assumptions | Overaccumulation is possible |

The corresponding aggregate resource and accumulation conditions are

$$\text{Solow:} \quad Nk_{t+1} = (1-\delta)k_t + \sigma f(k_t), \tag{6.65}$$

$$\text{Ramsey:} \quad Nk_{t+1} = f(k_t) + (1-\delta)k_t - c_t, \tag{6.66}$$

$$\text{OLG:} \quad Nk_{t+1} = a(w_t, R_{t+1}) \tag{6.67}$$

$$= f(k_t) + (1-\delta)k_t - c_{1,t} - c_{2,t}/N. \tag{6.68}$$

In the Ramsey row, $c_t$ is aggregate dynasty consumption per worker. Its population-weighted objective in this discrete convention gives the dynasty Euler equation $u'(c_t) = \beta R_{t+1} u'(c_{t+1})$, together with an appropriate infinite-horizon terminal condition. The OLG Euler equation instead links two ages of one person. The equations look similar but have different coverage of future generations.

> **The common resource constraint does not make the models identical.** In OLG the old spend asset income and the young buy assets, so clearing gives $Nk_{t+1} = a_t$. In Ramsey the continuing household chooses its next wealth while valuing its members' future consumption. Solow specifies saving without that optimization. The distinction is who makes the choice and whose future is included, not whether one model respects accounting and another does not.

## 6.7 Dynamic efficiency and intergenerational welfare

### 6.7.1 Count consumption at a date before comparing steady states

Divide goods clearing by $L_t$:

$$c_{1,t} + \frac{c_{2,t}}{N} + Nk_{t+1} = f(k_t) + (1-\delta)k_t. \tag{6.69}$$

The factor $1/N = L_{t-1}/L_t$ counts retirees relative to workers. Define $\bar{c}_t \equiv C_t/L_t = c_{1,t} + c_{2,t}/N$. This is consumption per worker, not consumption per resident; the latter is $\bar{c}_t/(1+1/N)$. At a stationary capital intensity,

$$\bar{c}(k) = f(k) - (n+\delta)k. \tag{6.70}$$

When $n + \delta > 0$, steady consumption per worker is maximized at

$$f'(k_{\mathrm{GR}}) = n + \delta, \qquad R_{\mathrm{GR}} = 1 - \delta + f'(k_{\mathrm{GR}}) = N. \tag{6.71}$$

For Cobb–Douglas, $k_{\mathrm{GR}} = [\alpha/(n+\delta)]^{1/(1-\alpha)}$. If $n + \delta \leq 0$, there is no finite interior maximum under $f'(k) > 0$; the positive steady-state overaccumulation comparison below then does not apply.

The course condition $f'(k_{\mathrm{GR}}) = 1 + n$ is exactly (6.71) with $\delta = 1$. The comparable net-return statement is $r_{\mathrm{GR}} = n$, not $R_{\mathrm{GR}} = n$.

### 6.7.2 Why overaccumulation can make every generation worse off

Suppose a competitive steady state satisfies $k^* > k_{\mathrm{GR}}$. Diminishing marginal product makes this equivalent to

$$f'(k^*) < n + \delta \quad \Longleftrightarrow \quad R^* < N \quad \Longleftrightarrow \quad r^* < n. \tag{6.72}$$

The economy gives up so many goods to maintain its capital stock that a slightly smaller stock could support more consumption indefinitely. To show why this is more than a comparison of eventual outcomes, construct a feasible change from the same initial capital.

**Question: can consuming more today avoid a sacrifice tomorrow?** Start at $k_0 = k^* > k_{\mathrm{GR}}$. Choose $k^a = k^* - \varepsilon$ with $k_{\mathrm{GR}} < k^a < k^*$, and set the next and all later capital intensities to $k^a$. At date zero, inherited output and capital are unchanged, while required next capital falls by $N\varepsilon$ per worker. Hence

$$\bar{c}_0^a - \bar{c}^* = N\varepsilon > 0.$$

At all later dates,

$$\bar{c}_t^a - \bar{c}^* = \left[f(k^a) - (n+\delta)k^a\right] - \left[f(k^*) - (n+\delta)k^*\right] > 0.$$

The inequality follows because $\bar{c}(k)$ decreases to the right of $k_{\mathrm{GR}}$. At each date, a positive gain $\Delta\bar{c}_t$ can be split as $\Delta c_{1,t} = \Delta\bar{c}_t/2$ and $\Delta c_{2,t} = N\Delta\bar{c}_t/2$. Both currently living age groups gain, and every future cohort gains at both ages. This is a feasible Pareto improvement, including for the initially old, rather than a claim that higher future consumption compensates losers today.

The construction changes allocations through a coordinated transfer and investment policy; it is not the action of one price-taking saver. At given prices, each person's saving is optimal. Yet no person chooses on behalf of the infinite sequence of entrants. Competitive optimization within each finite life therefore does not impose the dynasty terminal restriction that rules out this overaccumulation in the Ramsey benchmark. An overlapping-generations structure permits inefficiency; it does not make every stationary equilibrium inefficient.

### 6.7.3 An explicit log example and the three-model comparison

In the full-depreciation log/Cobb–Douglas example, substitute (6.59) into the return:

$$(k^*)^{1-\alpha} = \frac{\kappa(1-\alpha)}{N}, \tag{6.73}$$

$$(k^*)^{\alpha-1} = \frac{N}{\kappa(1-\alpha)}, \tag{6.74}$$

$$R^* = \frac{\alpha N}{\kappa(1-\alpha)}. \tag{6.75}$$

All quantities divided below are positive. Thus

$$R^* < N \iff \frac{\alpha}{\kappa(1-\alpha)} < 1, \tag{6.76}$$

$$\iff \alpha < \kappa(1-\alpha), \tag{6.77}$$

$$\iff \alpha(1+\beta) < \beta(1-\alpha), \tag{6.78}$$

$$\iff \alpha + \alpha\beta < \beta - \alpha\beta, \tag{6.79}$$

$$\iff \alpha(1+2\beta) < \beta, \tag{6.80}$$

$$\iff \alpha < \frac{\beta}{1+2\beta}. \tag{6.81}$$

$$R^* = \alpha(k^*)^{\alpha-1} = \frac{\alpha N}{\kappa(1-\alpha)}, \tag{6.82}$$

$$R^* < N \iff \alpha < \kappa(1-\alpha) \iff \alpha < \frac{\beta}{1+2\beta}. \tag{6.83}$$

Both efficient and overaccumulating cases are possible by changing the parameters. This is not an automatic consequence of finite lifetimes.

For illustration, take $\alpha = 0.25$, $\beta = 0.96$, $N = 1.02$, and $\delta = 1$. The formulas give $k^* \simeq 0.2562$, $k_{\mathrm{GR}} \simeq 0.1534$, and $R^* \simeq 0.6942 < N$. Steady consumption per worker is about $0.4501$ at $k^*$, versus $0.4694$ at the Golden Rule stock. These are hypothetical life-stage parameters, not annual estimates or a calibration to a particular pension system. The Pareto argument above supplies the transition comparison; the two steady consumption numbers alone would not establish it.

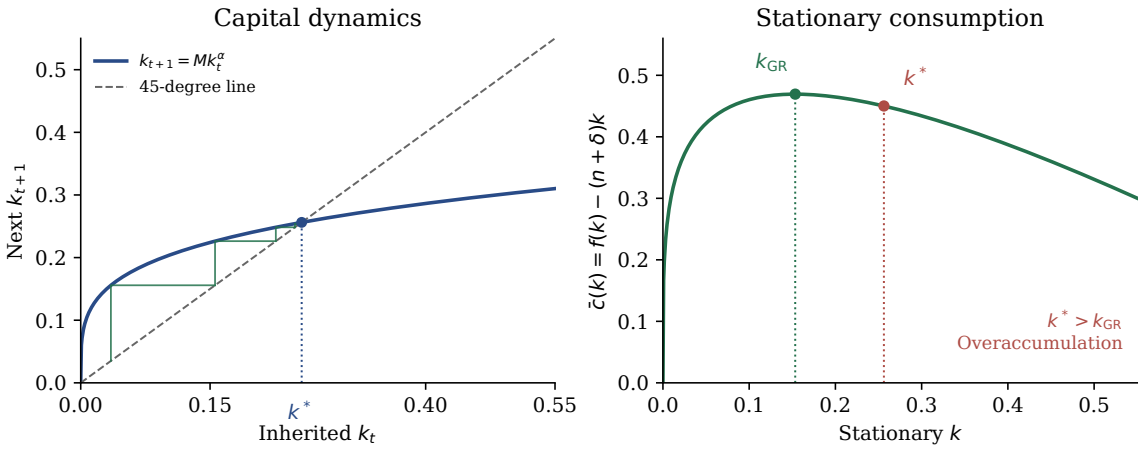



**Figure 6.1:** Stable accumulation and overaccumulation in the OLG example.

*A stable path can lead to overaccumulation.* The left panel plots (6.54) against the 45-degree line. The right plots $\bar{c}(k) = k^{\alpha} - Nk$ under full depreciation, with $k^*$ to the right of its consumption-maximizing stock. Stability and welfare answer different questions. Both panels use the illustrative parameters stated above.

For Solow with fixed technology and $n + \delta > 0$, the Cobb–Douglas stocks are

$$k_S^* = \left(\frac{\sigma}{n+\delta}\right)^{1/(1-\alpha)}, \qquad k_{\mathrm{GR}} = \left(\frac{\alpha}{n+\delta}\right)^{1/(1-\alpha)}. \tag{6.84}$$

Thus overaccumulation occurs if $\sigma > \alpha$, and is not inevitable. The stock comparisons use the same positive power $1 - \alpha$:

$$\sigma(k_S^*)^{\alpha} = (n+\delta)k_S^*, \tag{6.85}$$

$$(k_S^*)^{1-\alpha} = \frac{\sigma}{n+\delta}, \tag{6.86}$$

$$\alpha k_{\mathrm{GR}}^{\alpha-1} = n + \delta, \tag{6.87}$$

$$k_{\mathrm{GR}}^{1-\alpha} = \frac{\alpha}{n+\delta}, \tag{6.88}$$

$$k_S^* > k_{\mathrm{GR}} \iff \sigma > \alpha. \tag{6.89}$$

For the population-weighted Ramsey dynasty in the common discrete benchmark, stationary consumption and its Euler equation instead give

$$1 = \beta R^*, \qquad R^* = 1/\beta. \tag{6.90}$$

In the course special case $N = 1$, the algebra also reads

$$1 = \beta[1 - \delta + f'(k^*)], \tag{6.91}$$

$$1 + \rho = 1 - \delta + f'(k^*) \qquad (\beta = 1/(1+\rho)), \tag{6.92}$$

$$f'(k^*) = \rho + \delta > \delta = f'(k_{\mathrm{GR}}), \tag{6.93}$$

$$k^* < k_{\mathrm{GR}} \qquad (f'' < 0). \tag{6.94}$$

With population growth restored, compare $R^* = 1/\beta$ with $R_{\mathrm{GR}} = N$, rather than keeping the $N = 1$ Golden Rule unchanged. Under $\beta N < 1$, the finite-welfare restriction for this stationary benchmark, $R^* > N$ and $k^* < k_{\mathrm{GR}}$. This matches the role of the effective-discount restriction in the previous continuous-time chapter. The protection comes from the dynasty objective and admissibility conditions, not simply from the existence of an Euler equation. OLG has an Euler equation too, but it links two different age consumptions, which need not be equal even at a stationary equilibrium.

### 6.7.4 A planner needs weights across cohorts, not just within a life

The private discount factor $\beta$ compares the two ages of one person. A planner also needs a rule for weighing different birth cohorts. To retain that distinction, let cohort weights be $\omega_t = \chi^t$, with $\chi > 0$, and consider

$$\begin{aligned} &\max \omega_{-1}\beta L_{-1}u(c_{2,0}) \\ &\quad + \sum_{t=0}^{\infty} \omega_t L_t\big[u(c_{1,t}) + \beta u(c_{2,t+1})\big], \end{aligned} \tag{6.95}$$

subject to (6.69), given $k_0$, and feasible positive consumption. The first term explicitly includes the initially old; their young-age utility is already sunk. For the stationary comparisons here, $\chi N < 1$ is a sufficient summability restriction. These weights are a normative choice, not a preference inferred from household saving.

Let $\mu_t$ be the multiplier on the aggregate date-$t$ resource constraint. The aggregate resource constraint gives the following derivatives:

$$0 = \omega_t L_t u'(c_{1,t}) - \mu_t L_t, \tag{6.96}$$

$$0 = \beta\omega_{t-1} L_{t-1} u'(c_{2,t}) - \mu_t L_{t-1}, \tag{6.97}$$

$$0 = -\mu_t + \mu_{t+1}[f'(k_{t+1}) + 1 - \delta]. \tag{6.98}$$

Cancel $L_t$ from the first equation and $L_{t-1}$ from the second. Then

$$\mu_t = \omega_t u'(c_{1,t}) = \beta\omega_{t-1} u'(c_{2,t}), \tag{6.99}$$

$$\mu_t = R_{t+1}\mu_{t+1}. \tag{6.100}$$

Using the age-two condition at $t + 1$ recovers the within-cohort Euler equation:

$$\mu_{t+1} = \beta\omega_t u'(c_{2,t+1}), \tag{6.101}$$

$$\omega_t u'(c_{1,t}) = R_{t+1}\beta\omega_t u'(c_{2,t+1}), \tag{6.102}$$

$$u'(c_{1,t}) = \beta R_{t+1} u'(c_{2,t+1}). \tag{6.103}$$

At an interior stationary planner allocation, however, $\mu_{t+1}/\mu_t = \chi$, so its capital condition is $R^* = 1/\chi$. Changing social cohort weights changes the planner problem. The ratio follows directly from constant young consumption:

$$\frac{\mu_{t+1}}{\mu_t} = \frac{\omega_{t+1}u'(c_1^*)}{\omega_t u'(c_1^*)} = \chi, \tag{6.104}$$

$$1 = R^* \frac{\mu_{t+1}}{\mu_t} = R^*\chi, \tag{6.105}$$

$$R^* = 1/\chi. \tag{6.106}$$

Maximizing $\bar{c}(k)$ across stationary paths supplies the Golden Rule; it is not the solution of every weighted lifetime-welfare problem. Moreover, a planner optimum under one set of weights and a Pareto improvement for all cohorts are different claims.

## 6.8 Population, pensions, and public debt

The benchmark now gives a way to examine how retirement is financed. Introduce each arrangement separately. Taxes and benefits below are lump-sum; there is still no uncertainty, valued government consumption, or endogenous retirement. A more realistic pension system would need those mechanisms before making quantitative policy recommendations.

### 6.8.1 Population change: a support ratio and a capital effect

With two age groups, the number of retirees per worker is $1/N$. A lower $N$ raises that ratio. In the log/Cobb–Douglas capital-only steady state,

$$\frac{\partial \log k^*}{\partial \log N} = -\frac{1}{1-\alpha}. \tag{6.107}$$

Lower cohort growth spreads saving over fewer future workers, raising long-run capital per worker, increasing wages and reducing returns. With $A = 1$, this is a comparison of stationary levels; it is not permanently faster productivity growth. An unexpected change in cohort size also changes labor supply and the ratio $K/L$ while inherited aggregate $K$ is fixed; its full transition must track when the affected cohorts enter work.

Real population aging can also reflect longer lives, changing employment, migration, and retirement ages. Those channels are not all captured by a change in $N$. The support ratio is a useful first accounting step, not a complete empirical explanation of aging.

### 6.8.2 Pay-as-you-go pensions: current workers finance current retirees

Let each young person pay $T_t \geq 0$ and each old person receive $P_t$. A balanced pension budget is

$$L_t T_t = L_{t-1} P_t, \qquad P_t = N T_t. \tag{6.108}$$

A cohort paying at $t$ receives the benefit at $t+1$, so its budgets become

$$c_{1,t} + a_t = w_t - T_t, \qquad c_{2,t+1} = R_{t+1} a_t + P_{t+1}. \tag{6.109}$$

Private assets still satisfy $N k_{t+1} = a_t$: the tax paid to retirees is not an additional physical asset.[14]

Under log utility, the interior saving choice follows from

$$\frac{1}{w_t - T_t - a_t} = \frac{\beta R_{t+1}}{R_{t+1} a_t + P_{t+1}}, \tag{6.110}$$

$$R_{t+1} a_t + P_{t+1} = \beta R_{t+1}(w_t - T_t - a_t), \tag{6.111}$$

$$R_{t+1} a_t + \beta R_{t+1} a_t = \beta R_{t+1}(w_t - T_t) - P_{t+1}, \tag{6.112}$$

$$(1+\beta) R_{t+1} a_t = \beta R_{t+1}(w_t - T_t) - P_{t+1}, \tag{6.113}$$

$$a_t = \kappa(w_t - T_t) - \frac{P_{t+1}}{(1+\beta) R_{t+1}}. \tag{6.114}$$

[14] For the pension budget and the contrast with funded accounts, see MIT 14.472, *Public Economics II* (2004), "Social Security—OLG Settings," lecture notes.

Current contributions reduce disposable wages, and expected benefits reduce the assets needed for retirement. Both lower private saving at given prices. If this expression is negative, the no-borrowing restriction binds at $a_t = 0$; the interior formula must not be used beyond its feasible range.

A permanent, constant contribution $T$ gives a future benefit $NT$. At fixed prices its effect on present-value lifetime resources is

$$(w_t - T) + \frac{NT}{R_{t+1}} - w_t = T\left(\frac{N}{R_{t+1}} - 1\right). \tag{6.115}$$

This is positive if $N > R_{t+1}$. The initially old can receive a windfall, and suitable transfers can improve an overaccumulating allocation. But this fixed-price comparison is not a proof that every contribution rate benefits every cohort: equilibrium wages, returns, asset constraints, and the entire transition must also be checked. In an efficient benchmark, reducing capital need not create the resources needed to compensate all generations.

**A pension's implicit return depends on its funding rule.** The gross return $N$ above assumes a constant real contribution per worker. For a constant wage contribution rate $\tau$, $T_t = \tau w_t$ and $P_{t+1}/T_t = N w_{t+1}/w_t$. Wage growth then matters as well as cohort size. Holding benefits fixed instead, (6.108) requires $T_t = P_t/N$: fewer workers per retiree raise the required contribution. These are accounting relations, not risk-adjusted comparisons with observed financial yields. Benefits, wages, and taxes in actual pension systems are not all fixed or certain.

### 6.8.3 Funded pensions: distinguish compulsory from total saving

Suppose a mandatory contribution $D_t$ is invested in capital and earns the same return as voluntary assets. Benefits are $R_{t+1}D_t$. The household faces

$$c_{1,t} + a_t = w_t - D_t, \qquad c_{2,t+1} = R_{t+1}(a_t + D_t). \tag{6.116}$$

Define total retirement assets $A_t^h \equiv a_t + D_t$. Substitution gives $c_{1,t} + A_t^h = w_t$ and $c_{2,t+1} = R_{t+1}A_t^h$, exactly the original lifetime budget. If voluntary saving can adjust without a binding constraint, a household offsets a one-unit compulsory contribution by one unit less voluntary saving. Total assets, capital, and consumption are unchanged:

$$N k_{t+1} = A_t^h, \qquad A_t^h = \kappa w_t \quad \text{under log utility and an interior offset.} \tag{6.117}$$

If $a_t \geq 0$ binds, the contribution exceeds desired assets, or the account has different returns, fees, insurance, or tax treatment, this neutrality need not hold. A funded account and a transfer to the current old cannot be treated as the same capital-market flow.

Moving from pay-as-you-go to funding also leaves a transition question: who finances benefits already promised to existing retirees while workers build their own accounts? A comparison of eventual fund balances alone cannot determine the welfare of the transition cohorts.

### 6.8.4 Public debt: a retirement asset with a fiscal counterpart

Now consider government bonds instead of a pension program. Let $B_t$ denote principal issued at $t-1$, due to its old holders at date $t$. New bonds $B_{t+1}$ are sold to the young for their principal amount at

date $t$. Deterministic bonds and physical capital must offer the same gross payoff $R_{t+1}$ if both are held. With no government purchases, a lump-sum tax $T_t^D$ per young person satisfies

$$R_t B_t = L_t T_t^D + B_{t+1}. \tag{6.118}$$

A negative tax is a transfer. This budget identifies who pays the old bondholders; a bond is not an extra good available for consumption.

Asset clearing and its per-worker version become

$$L_t a_t = K_{t+1} + B_{t+1}, \qquad a_t = N(k_{t+1} + b_{t+1}), \quad b_t \equiv B_t/L_t. \tag{6.119}$$

The fiscal budget is $T_t^D = R_t b_t - N b_{t+1}$. Consolidating households and government still gives (6.69): public liabilities cancel public claims, while physical capital remains a productive resource. Debt changes portfolios and intergenerational payments, not the resource identity itself. Its financing matters because the young and the old are different people without offsetting bequests.

For a constant debt stock per worker, $b_t = b$, the tax is $T_t^D = (R_t - N)b$. If $R_t < N$, new issuance can cover debt service and a transfer at these model prices; if $R_t > N$, maintaining that debt ratio requires a positive tax. This does not establish that an arbitrary debt path is feasible: returns respond to capital, and all future budgets and household choices must hold.

Under log utility, combine $a_t = \kappa(w_t - T_t^D)$ with asset clearing:

$$N(k_{t+1} + b) = \kappa[w(k_t) - (R(k_t) - N)b], \tag{6.120}$$

$$N k_{t+1} = \kappa w(k_t) - \kappa R(k_t) b + \kappa N b - N b, \tag{6.121}$$

$$= \kappa w(k_t) - [\kappa R(k_t) + (1-\kappa)N] b. \tag{6.122}$$

$$N k_{t+1} = \kappa w(k_t) - \big[\kappa R(k_t) + (1-\kappa)N\big] b. \tag{6.123}$$

Near the no-debt log/Cobb–Douglas steady state, a small permanent increase in $b$ reduces stationary capital. Differentiating the stationary equation at $b = 0$ gives the following chain. Differentiate before setting $b$ to zero:

$$N \frac{dk^*}{db} = \kappa w'(k^*) \frac{dk^*}{db} - \kappa R'(k^*) b \frac{dk^*}{db} - [\kappa R(k^*) + (1-\kappa)N], \tag{6.124}$$

$$[N - \kappa w'(k^*)] \left.\frac{dk^*}{db}\right|_{b=0} = -[\kappa R^* + (1-\kappa)N]. \tag{6.125}$$

$$\left.\frac{dk^*}{db}\right|_{b=0} = -\frac{\kappa R^* + (1-\kappa)N}{N - \kappa w'(k^*)} < 0, \qquad N - \kappa w'(k^*) = N(1-\alpha) > 0. \tag{6.126}$$

Indeed, $w'(k) = \alpha(1-\alpha)k^{\alpha-1}$ and the no-debt steady state gives $\kappa(1-\alpha)(k^*)^{\alpha-1} = N$. Thus $\kappa w'(k^*) = \alpha N$ and the denominator is $N - \alpha N = N(1-\alpha)$. This is a local result in the stated example, including its tax-financing rule, rather than a universal one-for-one displacement of capital by bonds. Whether the reduction helps welfare depends on initial accumulation and on how gains and costs are distributed along the transition.

**Who holds the asset, and who supplies its payoff?** Physical capital pays from production and surviving assets. A funded pension owns such assets on the worker's behalf. A pay-as-you-go pension pays from current contributors, while government bonds pay from taxes and new issuance. All can help a person finance retirement, but they need not have the same effect on productive capital or on different generations' consumption. Tracing both sides of the balance sheet is the central OLG lesson.

OLG makes retirement finance and population replacement part of the equilibrium, and shows why individually optimal saving need not guarantee intergenerational efficiency. It still takes productivity as given and abstracts from realistic lifetimes, risk, labor choices, and within-cohort inequality. The next growth chapter changes the source of productivity and long-run growth; later fiscal chapters can build richer policy problems on the cohort budgets established here.

# 7 Endogenous Growth and Resource Allocation

Intermediate macroeconomics introduces AK, education, and innovation as ways to explain sustained growth. This chapter asks what closes those explanations: who accumulates the relevant stock, what it costs, which return guides the choice, and whether that return is the one society receives. We reuse Ramsey's optimization tools rather than treating endogenous growth as an unrelated list of production functions.

## 7.1 From intermediate macroeconomics and Ramsey to a growth engine

### 7.1.1 What the familiar diagrams leave to be explained

A machine, a trained worker, and a usable design can all raise output, but they are not accumulated in the same way. Building equipment uses goods. Training uses time and other resources. Developing a design can be costly even when another firm can subsequently use the same instructions without taking them away from the first. These differences affect both the resource constraint and the incentive to invest.

It is tempting to put each item into a production function and declare growth explained. Instead, ask which scarcity remains after accumulation. If machines are added while skills or usable methods remain fixed, returns may fall. If skills and equipment can grow together, the relevant return might not fall. If ideas can be shared, the social gain from discovery may exceed what the inventor can charge. We need to identify that mechanism before choosing the law of motion or discussing policy.

The familiar intermediate-level statements are therefore starting points. "Saving can affect growth" needs a technology that sustains returns and a rule determining saving. "Education raises productivity" needs a skill accumulation technology and a time allocation. "Research creates ideas" needs a resource cost and a reason someone pays it. The models below fill these particular gaps; they do not repeat the Solow derivation.

### 7.1.2 Ramsey endogenizes saving, not automatically long-run growth

With fixed technology and population, the Ramsey benchmark has

$$\dot{k} = f(k) - c - \delta k, \qquad \frac{\dot{c}}{c} = \frac{f'(k) - \delta - \rho}{\theta}. \tag{7.1}$$

Saving is chosen optimally. Yet with diminishing marginal product, accumulating $k$ lowers its return. At the stationary optimum, $f'(k^*) = \delta + \rho$ and consumption stops growing. In the earlier version with exogenous labor-efficiency growth, consumption per person can grow, but that long-run technology growth rate is still supplied from outside the model.

The next question is thus about the return to *all reproducible inputs*, not whether households have an Euler equation. Keep the household problem, change the accumulation opportunities, and check what replaces the stationary capital target. OLG changed who lives, saves, and receives transfers. Here we return explicitly to a continuing Ramsey household to isolate a different change: the mechanism that makes productive capacity grow.

**Endogenous saving and endogenous growth are different claims.** An optimal saving decision can lead to a stationary economy. Conversely, an AK equation with an imposed saving share can generate a growth rate without explaining saving. To obtain both, combine a specified accumulation technology with household optimization, market or planner closure, and the appropriate terminal conditions. Changing notation from an exogenous $g$ to a function called $g$ does not provide those mechanisms.

The following models are separate experiments. Technology coefficients such as $\eta$ and $\alpha$ are defined within each specification; a training efficiency, a production elasticity, and a research efficiency are not assumed to be the same empirical parameter.

## 7.2 AK: retain Ramsey's choice, change the return

### 7.2.1 Complete conditions for the one-stock benchmark

**01 Time, population, goods, and states**

Time is continuous. A closed economy has one good, no government in the baseline, no uncertainty, and a fixed population normalized to one. A continuing household owns the given stock $k(0) = k_0 > 0$ and firms. Consequently aggregate and per-person quantities coincide in this benchmark. There is no age structure, leisure choice, or exogenous technology growth.

**02 Technology and accumulation**

Production is linear in a reproducible stock:

$$y = Bk, \qquad B > 0 \text{ constant}, \qquad \dot{k} = (B - \delta)k - c, \quad \delta \geq 0.$$

The stock can be interpreted as a broad productive composite only if its components can be reproduced with the assumed technology. Goods can be converted into the stock at unit cost. Strictly diminishing returns and the Solow Inada limits are deliberately replaced; this is not Cobb–Douglas with the same fixed factor left implicit.

**03 Preferences and household choice**

The household chooses a positive consumption path and feasible $k(t) \geq 0$:

$$\max \int_0^\infty e^{-\rho t} u(c(t))\, dt, \qquad u'(c) = c^{-\theta}, \quad \rho > 0, \quad \theta > 0.$$

Use $u(c) = c^{1-\theta}/(1-\theta)$ for $\theta \neq 1$ and $u(c) = \log c$ for $\theta = 1$. Saving is the residual of output after consumption, not an independently imposed share.

**04 Markets, ownership, and returns**

In the competitive interpretation, firms rent the productive stock at $q = B$ and earn zero economic profit after paying it. There is no separate productive labor input in this one-stock technology. The household owns the stock, receives the net return $r = B - \delta$, and can adjust investment without costs. Without externalities or other wedges, its budget coincides with the aggregate resource constraint and implements the planner allocation.

**05 Admissibility and the growing solution**

The planner's transversality condition is

$$\lim_{t\to\infty} e^{-\rho t} c(t)^{-\theta} k(t) = 0.$$

For the interior positive-growth case studied below, impose

$$g \equiv \frac{B-\delta-\rho}{\theta} > 0, \qquad \xi \equiv \rho - (1-\theta)g > 0.$$

The second restriction ensures finite allocation-dependent utility and the terminal condition along the proposed balanced growth path. For $\theta < 1$ it restricts how productive accumulation can be relative to discounting; a formal Euler solution alone need not be a well-posed optimum.

### 7.2.2 The same Hamiltonian now gives a constant growth rate

The current-value Hamiltonian and its control and costate conditions are

$$\mathscr{H} = u(c) + \mu[(B-\delta)k - c], \tag{7.2}$$
$$\mathscr{H}_c = u'(c) - \mu = 0, \tag{7.3}$$
$$\mathscr{H}_k = \mu(B-\delta), \tag{7.4}$$
$$\dot{\mu} = \rho\mu - \mathscr{H}_k = [\rho - (B-\delta)]\mu, \tag{7.5}$$
$$\mu = c^{-\theta}, \qquad \dot{\mu} = [\rho - (B-\delta)]\mu. \tag{7.6}$$

Since $\dot{\mu}/\mu = -\theta\dot{c}/c$, the growth equation follows by

$$\dot{\mu} = -\theta c^{-\theta-1}\dot{c}, \tag{7.7}$$
$$-\theta\frac{\dot{c}}{c} = \rho - (B-\delta), \tag{7.8}$$
$$\theta\frac{\dot{c}}{c} = B - \delta - \rho. \tag{7.9}$$
$$\frac{\dot{c}}{c} = \frac{B-\delta-\rho}{\theta} = g. \tag{7.10}$$

The marginal product no longer falls as the stock rises. Waiting remains rewarded at the same rate, so the optimal consumption growth rate need not fade toward zero. This is the change in technology doing the work; the intertemporal preference condition is still Ramsey's.

The Euler equation gives $c(t) = c_0 e^{gt}$ but not $c_0$. Set $a \equiv B - \delta$ and integrate $\dot{k} = ak - c_0 e^{gt}$, using $\xi = a - g = \rho - (1-\theta)g > 0$:

$$\frac{\dot{c}}{c} = g, \qquad \log(c(t)/c_0) = gt, \qquad c(t) = c_0 e^{gt}, \tag{7.11}$$

$$\dot{k} - ak = -c_0 e^{gt}, \tag{7.12}$$

$$e^{-at}\dot{k} - ae^{-at}k = -c_0 e^{-(a-g)t}, \tag{7.13}$$

$$\frac{d}{dt}(e^{-at}k) = -c_0 e^{-\xi t}, \tag{7.14}$$

$$e^{-at}k(t) - k_0 = -c_0 \int_0^t e^{-\xi v}\, dv, \tag{7.15}$$

$$\int_0^t e^{-\xi v}\, dv = \left[-\frac{e^{-\xi v}}{\xi}\right]_0^t = \frac{1 - e^{-\xi t}}{\xi}. \tag{7.16}$$

Also $\theta g = a - \rho$ gives $a - g = \rho + \theta g - g = \rho - (1-\theta)g$. Multiplying the integrated capital equation by $e^{at}$ yields

$$k(t) = e^{at}\left[k_0 - c_0 \int_0^t e^{-(a-g)v}\, dv\right], \tag{7.17}$$

$$= \left(k_0 - \frac{c_0}{\xi}\right)e^{at} + \frac{c_0}{\xi}e^{gt}. \tag{7.18}$$

If $c_0 > \xi k_0$, the first term eventually makes capital negative. If $c_0 < \xi k_0$, capital grows at the faster rate $a$ and its limiting discounted utility value is positive: the household leaves valuable resources unused. The terminal expression makes that last statement explicit:

$$e^{-\rho t}u'(c(t))k(t) = c_0^{-\theta}\left[\left(k_0 - \frac{c_0}{\xi}\right)e^{(a-\rho-\theta g)t} + \frac{c_0}{\xi}e^{[(1-\theta)g-\rho]t}\right], \tag{7.19}$$

$$= c_0^{-\theta}\left[k_0 - \frac{c_0}{\xi} + \frac{c_0}{\xi}e^{-\xi t}\right], \tag{7.20}$$

$$\lim_{t\to\infty} e^{-\rho t}u'(c(t))k(t) = c_0^{-\theta}\left(k_0 - \frac{c_0}{\xi}\right). \tag{7.21}$$

Here $a - \rho - \theta g = 0$ and $(1-\theta)g - \rho = -\xi < 0$. Feasibility and transversality therefore select

$$c_0 = \xi k_0, \qquad k(t) = k_0 e^{gt}, \qquad c(t) = \xi k(t). \tag{7.22}$$

Indeed, along this path the terminal expression is proportional to $e^{-[\rho-(1-\theta)g]t} = e^{-\xi t}$ and vanishes.

**A balanced growth path replaces the stationary capital target.** There is no finite positive stationary $k$ on this growing solution. Consumption jumps to the feasible optimal ratio $c/k = \xi$ for the inherited stock, then both grow at $g$. The saving share is an outcome, $s^* = (\delta + g)/B = 1 - \xi/B$, rather than Solow's input. Under the stated positive-growth conditions it lies between zero and one.

### 7.2.3 A level change, a return change, and a policy wedge

A one-time increase in initial capital, holding $B$ and preferences fixed, raises the levels of capital and consumption but leaves $g$ unchanged. A permanent change in $B$ changes the return and hence $g$; comparing the new paths requires the new initial consumption ratio as well as the slope. The absence of a transition in the ratio is a special feature of linear technology and these preferences, not a general result for growth models.

For example, $B = 0.10$, $\delta = 0.02$, $\rho = 0.04$, and $\theta = 2$ imply $g = 0.02$, $c/k = 0.06$, and $s^* = 0.40$. Raising $k_0$ by 10% raises the whole path by 10%. Raising $B$ to $0.12$ instead gives $g = 0.03$ and $c/k = 0.07$. These are illustrative model numbers, not empirical return estimates.

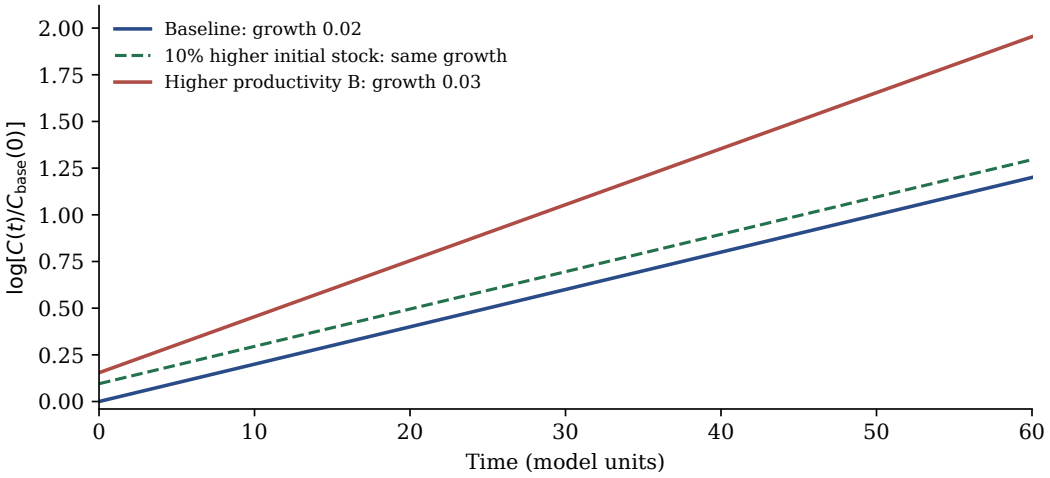



**Figure 7.1:** Initial capital, productive returns, and consumption growth in the AK model.

*Levels versus growth rates.* Parallel log-consumption paths have the same growth rate. A larger inherited stock shifts the path, whereas a higher $B$ changes its slope and its optimal initial consumption ratio. Each path starts at date zero with its stated parameters; this is not a simulation of an unanticipated policy change partway through a transition. The numbers are the hypothetical AK example above.

A tax rate $\tau$ on net capital income, rebated as a lump-sum transfer, leaves aggregate resources unchanged but changes the household's marginal return. Each price-taking household treats its rebate as given, as in Section 5.7. For an interior admissible growing equilibrium,

$$g_\tau = \frac{(1-\tau)(B-\delta)-\rho}{\theta}, \qquad \frac{c}{k} = B - \delta - g_\tau. \tag{7.23}$$

The finite-welfare restriction $\rho - (1-\theta)g_\tau > 0$ must still hold. This is a permanent growth effect under the AK assumption. The corresponding Ramsey tax experiment with diminishing returns changed stationary levels; that difference comes from the accumulation technology. An empirical claim that a tax changes trend growth would require evidence for the relevant mechanism, not this formula alone.

### 7.2.4 Private diminishing returns can coexist with aggregate AK

The one-stock competitive benchmark need not contain a market failure. An alternative construction does: suppose firm $i$ has

$$y_i = Bk_i^{\alpha}(\bar{k}\ell_i)^{1-\alpha}, \qquad 0 < \alpha < 1, \tag{7.24}$$

where $\bar{k} = K/L$ is an economy-wide knowledge spillover associated with capital, taken as given by each small firm. Labor satisfies $\sum_i \ell_i = 1$. Firms have constant returns in their private inputs $k_i, \ell_i$, and take factor prices and $\bar{k}$ as given. In a symmetric allocation with the same capital per worker across firms, aggregate output is $Y = BK$.

Differentiate the firm's own technology before imposing symmetry. Then

$$\frac{\partial y_i}{\partial k_i} = \alpha B k_i^{\alpha-1}(\bar{k}\ell_i)^{1-\alpha}, \tag{7.25}$$

$$\frac{\partial y_i}{\partial \ell_i} = (1-\alpha)Bk_i^{\alpha}\bar{k}^{1-\alpha}\ell_i^{-\alpha}. \tag{7.26}$$

At a common capital intensity $k_i = \bar{k}\ell_i$, these become

$$q_D = \alpha B(\bar{k}\ell_i)^{\alpha-1}(\bar{k}\ell_i)^{1-\alpha} = \alpha B, \tag{7.27}$$

$$w = (1-\alpha)B(\bar{k}\ell_i)^{\alpha}\bar{k}^{1-\alpha}\ell_i^{-\alpha} = (1-\alpha)B\bar{k}. \tag{7.28}$$

Since $L = 1$, $\bar{k} = K$. Also $y_i = B\bar{k}\ell_i$, so $\sum_i y_i = B\bar{k}\sum_i \ell_i = BK$.

$$q_D = \alpha B, \qquad w = (1-\alpha)BK, \qquad r_D = \alpha B - \delta. \tag{7.29}$$

Factor payments still exhaust output. A planner who internalizes how $K$ raises the common spillover instead obtains marginal product $B$. With the same household preferences and appropriate admissibility restrictions,

$$g_D = \frac{\alpha B - \delta - \rho}{\theta}, \qquad g_P = \frac{B - \delta - \rho}{\theta}. \tag{7.30}$$

**An aggregate AK equation does not identify the private return.** Where both growing solutions are feasible, $g_D < g_P$. These are two different interpretations of the same aggregate $Y = BK$: either $B$ is privately earned, or part of the social return is external. Aggregate linearity alone cannot tell us which policy problem is present. Learning during investment or shared production experience can motivate a spillover, but its size has to be specified and measured rather than inferred from the AK notation.

## 7.3 Human capital: explain the reproducible composite

### 7.3.1 Why adding a second stock is not enough

The augmented Solow model added physical and human capital with diminishing returns to their joint accumulation. Its balanced growth still depended on exogenous technology. To change that result, give skill formation its own technology: time spent learning today affects the ability to produce and learn tomorrow. The question is now how much time to divert from current output. This motivates a two-sector Uzawa–Lucas-style benchmark. We omit average-skill externalities to isolate the private accumulation mechanism.[15]

[15] Robert E. Lucas Jr. (1988), "On the Mechanics of Economic Development," *Journal of Monetary Economics*, 22(1), 3–42, Section 4. The simplified model here is not the full externality specification in that paper.

### 01 Household, stocks, and the scope of the experiment

Keep the continuous-time, fixed-population household and CRRA preferences above, with $K_0, H_0 > 0$. $H$ is a stock of skill in the continuing household, not hours worked or the number of school years. The household chooses consumption $C > 0$ and a work fraction $v \in [0, 1]$. The remaining fraction $1 - v$ is used for learning; leisure is omitted. There is no uncertainty, knowledge spillover to other households, or public subsidy in this benchmark.

### 02 Production and the goods constraint

Goods production is

$$Y = K^{\alpha}(vH)^{1-\alpha}, \qquad 0 < \alpha < 1, \qquad \dot{K} = Y - C - \delta K.$$

Goods can be consumed or accumulated as physical capital. Current production uses only the skill-weighted time assigned to work. The technology is constant returns in $K, H$ at fixed $v$, despite a diminishing marginal product of $K$ when $H$ is fixed. The household/planner controls the two uses of its resources.

### 03 Learning technology and its cost

Skills accumulate according to

$$\dot{H} = [\eta(1 - v) - \delta_H]H, \qquad \eta > 0, \quad \delta_H \geq 0.$$

Learning uses time, so its resource cost is forgone production, even though there is no separate goods expenditure in this stripped-down specification. A given learning fraction adds skill in proportion to the existing stock. Skill depreciation is explicit; finite careers, cohort replacement, and education quality differences are not separately modeled. Indefinite aggregate skill accumulation is an assumption about this continuing household, not an assertion that one person can study forever.

### 04 Optimality, boundaries, and balanced growth

This is a planner/household production problem with no externality. The Hamiltonian conditions below apply to an interior allocation $0 < v < 1$, $K, H, C > 0$, with terminal conditions

$$\lim_{t \to \infty} e^{-\rho t}\lambda(t)K(t) = 0, \qquad \lim_{t \to \infty} e^{-\rho t}\mu(t)H(t) = 0.$$

For a positive-growth balanced path require $g = (\eta - \delta_H - \rho)/\theta > 0$ and $\rho - (1 - \theta)g > 0$. They imply the interior work fraction derived below; if the implied fraction lies outside $[0, 1]$, the interior solution cannot be used. Capital and skill are both inherited; an arbitrary initial ratio need not already be on the balanced growth path.

https://doi.org/10.1016/0304-3932(88)90168-7.

### 7.3.2 Time allocation and the two shadow values

Write the current-value Hamiltonian as

$$\mathscr{H} = u(C) + \lambda[Y - C - \delta K] + \mu[\eta(1 - v) - \delta_H]H. \tag{7.31}$$

The consumption condition is $\lambda = C^{-\theta}$. The work-time condition and the physical-capital costate equation are obtained by differentiating each use of the two stocks and of work time:

$$Y_v = (1 - \alpha)Y/v, \quad Y_K = \alpha Y/K, \quad Y_H = (1 - \alpha)Y/H, \tag{7.32}$$

$$\mathscr{H}_C = u'(C) - \lambda = C^{-\theta} - \lambda = 0, \tag{7.33}$$

$$\mathscr{H}_v = \lambda(1 - \alpha)Y/v - \mu\eta H = 0, \tag{7.34}$$

$$\dot{\lambda} = \rho\lambda - \lambda[\alpha Y/K - \delta], \tag{7.35}$$

$$\dot{\lambda}/\lambda = \rho + \delta - \alpha Y/K. \tag{7.36}$$

$$\lambda(1 - \alpha)Y/v = \mu\eta H, \tag{7.37}$$

$$\dot{\lambda}/\lambda = \rho + \delta - \alpha Y/K. \tag{7.38}$$

An extra unit of work time produces goods now; an extra unit of learning time produces skills valued at $\mu$. The first equation compares those two uses of time in the same utility units.

For the skill stock,

$$\dot{\mu} = \rho\mu - \lambda(1 - \alpha)Y/H - \mu[\eta(1 - v) - \delta_H]. \tag{7.39}$$

Use (7.37) to replace $\lambda(1 - \alpha)Y/H$ by $\mu\eta v$. Then

$$\lambda(1 - \alpha)Y/v = \mu\eta H, \tag{7.40}$$

$$\lambda(1 - \alpha)Y/H = \mu\eta v, \tag{7.41}$$

$$\dot{\mu} = \rho\mu - \mu\eta v - \mu[\eta(1 - v) - \delta_H], \tag{7.42}$$

$$\frac{\dot{\mu}}{\mu} = \rho - \eta v - \eta + \eta v + \delta_H = \rho - \eta + \delta_H. \tag{7.43}$$

$$\frac{\dot{\mu}}{\mu} = \rho - \eta + \delta_H. \tag{7.44}$$

The return to skill includes its contribution to further skill formation. Looking only at its current wage contribution would miss that part of the accumulation opportunity.

### 7.3.3 Balanced growth and the work–learning split

On a balanced path, $K, H, C$ grow at the same rate $g$ and $v$ is constant. Equation (7.37) then makes $\mu/\lambda$ constant, because $Y/H$ is constant. Therefore $\dot{\mu}/\mu = \dot{\lambda}/\lambda = -\theta g$. Using (7.44) and the skill law gives

the following sequence:

$$\frac{\mu}{\lambda} = \frac{(1-\alpha)Y}{\eta v H} \quad \text{constant on the balanced path,} \tag{7.45}$$

$$\frac{\dot{\mu}}{\mu} - \frac{\dot{\lambda}}{\lambda} = 0, \tag{7.46}$$

$$\frac{\dot{\lambda}}{\lambda} = -\theta\frac{\dot{C}}{C} = -\theta g, \tag{7.47}$$

$$-\theta g = \rho - \eta + \delta_H, \tag{7.48}$$

$$g = (\eta - \delta_H - \rho)/\theta, \tag{7.49}$$

$$g = \dot{H}/H = \eta(1 - v^*) - \delta_H, \tag{7.50}$$

$$\eta v^* = \eta - \delta_H - g = \rho + \theta g - g, \tag{7.51}$$

$$v^* = 1 - (g + \delta_H)/\eta = [\rho - (1-\theta)g]/\eta. \tag{7.52}$$

$$g = \frac{\eta - \delta_H - \rho}{\theta}, \qquad v^* = 1 - \frac{g + \delta_H}{\eta} = \frac{\rho - (1-\theta)g}{\eta}. \tag{7.53}$$

The stated restrictions ensure $0 < v^* < 1$. The physical Euler condition and resource constraint also require

$$\alpha Y/K = \rho + \delta + \theta g, \qquad C/K = Y/K - \delta - g > 0. \tag{7.54}$$

Indeed, $\dot{K} = Y - C - \delta K$ and $\dot{K}/K = g$ imply $g = Y/K - C/K - \delta$; moving $C/K$ to the other side gives the second relation. Since $Y/K = (vH/K)^{1-\alpha}$, the balanced stock ratio is obtained by isolating that ratio before taking powers:

$$\alpha(vH/K)^{1-\alpha} = \rho + \delta + \theta g, \tag{7.55}$$

$$(vH/K)^{1-\alpha} = (\rho + \delta + \theta g)/\alpha, \tag{7.56}$$

$$vH/K = [(\rho + \delta + \theta g)/\alpha]^{1/(1-\alpha)}, \tag{7.57}$$

$$K/H = v[\alpha/(\rho + \delta + \theta g)]^{1/(1-\alpha)}. \tag{7.58}$$

$$(K/H)^* = v^* \left(\frac{\alpha}{\rho + \delta + \theta g}\right)^{1/(1-\alpha)}. \tag{7.59}$$

These equations characterize a balanced path, not the complete transition from arbitrary $K_0/H_0$. Consumption and time allocation can adjust on impact; the two stocks cannot be chosen afresh to match this ratio.

**Where did diminishing returns go?** Adding machines while holding skill fixed still lowers their marginal product. But scaling $K$ and $H$ together at a fixed work fraction scales output by the same factor. The learning technology also reproduces $H$ linearly. Persistent growth uses those joint reproduction opportunities, rather than assuming that machines alone have escaped diminishing returns. If learning became progressively harder as $H$ rose, this conclusion would need to be rederived.

More schooling time at a given $H$ raises immediate skill accumulation while reducing current goods production. A one-time higher $H_0$ is different from a permanent improvement in training productivity $\eta$. School attendance, actual learning, skill depreciation, and the use of skills at work are not interchangeable measures. The model specifies one way those margins interact; it does not imply that every extra school year permanently raises a country's growth rate. Shared ideas introduce another issue: unlike a person's time, the same design can be used in many places at once.

## 7.4 Ideas: from a research share to innovation incentives

### 7.4.1 Nonrival use and costly invention are different margins

A trained engineer cannot supply the same hour to two laboratories at once. A design can guide production in both laboratories without being depleted by its first use. That is nonrivalry. Whether others are allowed to use it without paying is a separate question of excludability. The distinction motivates Romer's innovation framework.[16]

If every additional use can be supplied at negligible cost, competitive pricing of use alone may not recover the original discovery cost. Patent rents, research contracts, public funding, or other institutions could supply the reward. We specify one arrangement instead of assuming that a positive research share appears without someone bearing its cost.

The worked model adds varieties of a differentiated input. It uses flow inputs and labor-based research to keep the accounting transparent; it is a Romer-style teaching model, not a literal reproduction of all sectors in the 1990 paper.[17]

**01 Household, population, states, and ownership**

Time is continuous and the population $L > 0$ is constant. A continuing household supplies labor inelastically, owns firms and patents, and chooses consumption and financial saving under the earlier CRRA objective. Total consumption is $C$; since $L$ is constant, using $C$ rather than $C/L$ does not change optimal growth. The inherited state is the number of designs $A(0) > 0$. There is no aggregate uncertainty, physical storage stock, population growth, or leisure choice in this worked model.

[16] Paul M. Romer (1990), "Endogenous Technological Change," *Journal of Political Economy*, 98(5), Part 2, S71–S102. https://doi.org/10.1086/261725.

[17] For expanding-variety constructions and alternative research technologies, see Daron Acemoglu, MIT, *Advanced Economic Growth*, Lecture 2 (September 10, 2007), lecture notes.

### 02 Final production and intermediate resource use

Competitive final-good firms use production labor $L_Y$ and a continuum of input flows indexed by their designs:

$$Y = L_Y^{1-\alpha} \int_0^A x_j^{\alpha}\, dj, \qquad 0 < \alpha < 1.$$

Each unit of $x_j$ costs one unit of the final good to produce and is fully used within the period. It is not a durable capital stock. Final goods left for consumption satisfy $C = Y - \int_0^A x_j\, dj$. There are no government purchases or other goods uses. Gross output and net consumption must not be confused when calculating the cost of innovation.

### 03 Exclusive production rights and pricing

Each design has a perpetual patent with one producer of its input, no expiry, and no creative destruction. The owner chooses the input price taking final firms' demand as given; marginal production cost is one. Designs are symmetric but their producers have monopoly power over their own inputs. Final-good firms and factor markets are competitive. Patents protect production rights; existing knowledge is available to researchers without a separate royalty.

### 04 Research, free entry, and labor clearing

Research employs $L_R$ workers and produces designs at

$$\dot{A} = \eta A L_R, \qquad \eta > 0, \qquad L_Y + L_R = L.$$

Each research firm takes the common stock $A$, wage $w$, and value $V$ per new patent as given. Positive research with free entry requires $\eta A V = w$: the value of new designs per worker equals its wage cost. Knowledge does not depreciate. The linear dependence on $A$ and the absence of congestion are substantive accumulation assumptions, not definitions.

### 05 Asset pricing, budgets, and the interior path

A patent pays flow profit $\pi$. With no risk or displacement, $rV = \pi + \dot{V}$, where $r$ is the instantaneous net financial return. Household financial wealth is $W = AV$ and obeys

$$\dot{W} = rW + wL - C, \qquad \frac{\dot{C}}{C} = \frac{r - \rho}{\theta}.$$

Impose solvency and $\lim_{t\to\infty} e^{-\rho t} C(t)^{-\theta} W(t) = 0$. The interior balanced path below requires $\alpha\eta L > \rho$ and $\rho - (1-\theta) g_D > 0$. Planner comparisons also require the stated planner interiority and finite-welfare restrictions. If profitable research does not cover its cost, a zero-research corner replaces the interior formula.

### 7.4.2 Demand, the markup, wages, and patent profits

Final firms maximize $Y - wL_Y - \int_0^A p_j x_j\,dj$. Demand for input $j$ satisfies

$$0 = \frac{\partial Y}{\partial x_j} - p_j = \alpha L_Y^{1-\alpha} x_j^{\alpha-1} - p_j, \tag{7.60}$$

$$p_j x_j^{1-\alpha} = \alpha L_Y^{1-\alpha}, \tag{7.61}$$

$$x_j^{1-\alpha} = (\alpha/p_j) L_Y^{1-\alpha}, \tag{7.62}$$

$$x_j = L_Y(\alpha/p_j)^{1/(1-\alpha)}. \tag{7.63}$$

$$p_j = \alpha L_Y^{1-\alpha} x_j^{\alpha-1}, \qquad x_j = L_Y(\alpha/p_j)^{1/(1-\alpha)}. \tag{7.64}$$

The input owner maximizes $(p_j - 1)x_j(p_j)$. Since demand has price elasticity $1/(1-\alpha) > 1$, its marginal-revenue condition gives the following explicit calculation in quantities:

$$\pi(x) = [p(x) - 1]x = \alpha L_Y^{1-\alpha} x^{\alpha} - x, \tag{7.65}$$

$$\pi'(x) = \alpha^2 L_Y^{1-\alpha} x^{\alpha-1} - 1 = 0, \tag{7.66}$$

$$\alpha^2 L_Y^{1-\alpha} x^{\alpha-1} = 1, \tag{7.67}$$

$$x^{1-\alpha} = \alpha^2 L_Y^{1-\alpha}, \tag{7.68}$$

$$x_D = \alpha^{2/(1-\alpha)} L_Y = \zeta_D L_Y, \tag{7.69}$$

$$p_D = \alpha L_Y^{1-\alpha} x_D^{\alpha-1} = \alpha/\alpha^2 = 1/\alpha. \tag{7.70}$$

$$p_D = 1/\alpha, \qquad x_D = \zeta_D L_Y, \qquad \zeta_D \equiv \alpha^{2/(1-\alpha)}. \tag{7.71}$$

Equivalently, differentiating profit in $x$ gives $\alpha^2 L_Y^{1-\alpha} x^{\alpha-1} = 1$. Labor's marginal product and profit per patent are therefore computed by

$$w = (1-\alpha) L_Y^{-\alpha} \int_0^A x_j^{\alpha}\,dj, \tag{7.72}$$

$$= (1-\alpha) L_Y^{-\alpha} A(\zeta_D L_Y)^{\alpha} = (1-\alpha) A \zeta_D^{\alpha}, \tag{7.73}$$

$$\pi = (p_D - 1)x_D = (1/\alpha - 1)\zeta_D L_Y = \frac{1-\alpha}{\alpha}\zeta_D L_Y, \tag{7.74}$$

$$Y = L_Y^{1-\alpha} A(\zeta_D L_Y)^{\alpha} = A L_Y \zeta_D^{\alpha}, \tag{7.75}$$

$$C = Y - A x_D = A L_Y \zeta_D^{\alpha} - A L_Y \zeta_D = A L_Y(\zeta_D^{\alpha} - \zeta_D). \tag{7.76}$$

$$w = (1-\alpha) A \zeta_D^{\alpha}, \qquad \pi = \frac{1-\alpha}{\alpha}\zeta_D L_Y. \tag{7.77}$$

Every design can be used alongside the same production labor. Consequently $Y = A L_Y \zeta_D^{\alpha}$ and total intermediate cost is $A L_Y \zeta_D$. Net consumption is

$$C = A L_Y(\zeta_D^{\alpha} - \zeta_D) > 0. \tag{7.78}$$

The production firm's wage payment and the input owners' profits sum to this net product. A larger set of designs expands productive possibilities; the markup limits how intensively each is used.

### 7.4.3 Free entry and Ramsey pricing determine research effort

On a balanced path with constant $L_Y, L_R$, wages grow with $A$, while profit *per patent* is constant. Free entry then makes patent value constant:

$$V = \frac{w}{\eta A} = \frac{(1-\alpha)\zeta_D^{\alpha}}{\eta}. \tag{7.79}$$

Asset pricing reduces to $r = \pi/V$. Since $\zeta_D^{1-\alpha} = \alpha^2$, division of profit by patent value gives

$$r = \pi/V = \frac{[(1-\alpha)/\alpha]\zeta_D L_Y}{}(1-\alpha)\zeta_D^{\alpha}/\eta, \tag{7.80}$$

$$= \frac{\eta L_Y}{\alpha}\zeta_D^{1-\alpha} = \frac{\eta L_Y}{\alpha}\alpha^2 = \alpha\eta L_Y. \tag{7.81}$$

$$r = \eta L_Y \frac{\zeta_D^{1-\alpha}}{\alpha} = \alpha\eta L_Y. \tag{7.82}$$

Consumption grows at the rate of designs on this path. Combine the household Euler equation, research technology, and labor clearing:

$$g_D = \eta L_R = \frac{\alpha\eta(L - L_R) - \rho}{\theta}, \tag{7.83}$$

$$\theta\eta L_R = \alpha\eta L - \alpha\eta L_R - \rho, \tag{7.84}$$

$$\theta\eta L_R + \alpha\eta L_R = \alpha\eta L - \rho, \tag{7.85}$$

$$\eta(\theta + \alpha)L_R = \alpha\eta L - \rho, \tag{7.86}$$

$$L_R^D = \frac{\alpha\eta L - \rho}{\eta(\theta+\alpha)}, \qquad g_D = \frac{\alpha\eta L - \rho}{\theta + \alpha}. \tag{7.87}$$

The research share has now been derived from incentives, not inserted into $\dot{A}/A$ as a given number. Under the stated restriction it lies strictly between zero and $L$. If $\alpha\eta L \le \rho$, the interior expression would be nonpositive; the no-research corner has $L_R = 0$, rather than negative research employment.

> **Research uses labor even when no research goods appear in the budget.** New patents cost $V\dot{A} = wL_R$. That expenditure pays research workers, whose time is no longer available to final production. Household saving buys new equity: with constant $V$, $\dot{W} = V\dot{A}$. Indeed, $rW + wL - C = A\pi + w(L_Y + L_R) - (A\pi + wL_Y) = wL_R$. The financial transaction and the labor opportunity cost describe the same allocation. Treating all $L$ as production labor while also employing $L_R$ in research would manufacture resources that the economy does not have.

This mechanism connects to laboratories, software development, and design work: people must be paid before there is a product to sell, and the expected claim on future profits helps finance that cost. Patent duration, imitation, entry barriers, or the ability to sell a design would change that claim. Those margins are deliberately fixed here; the formula is not a measured return to every kind of research.

### 7.4.4 The planner's research problem is another AK problem

A planner does not need the monopoly markup to finance discovery. At given $A, L_Y$, it first maximizes net output, $L_Y^{1-\alpha}\int x_j^\alpha dj - \int x_j dj$. The optimal input use satisfies

$$0 = \frac{\partial}{\partial x_j}[L_Y^{1-\alpha}x_j^\alpha - x_j] = \alpha L_Y^{1-\alpha}x_j^{\alpha-1} - 1, \tag{7.88}$$

$$x_P^{1-\alpha} = \alpha L_Y^{1-\alpha}, \tag{7.89}$$

$$x_P = \alpha^{1/(1-\alpha)}L_Y = \zeta_P L_Y. \tag{7.90}$$

$$\alpha L_Y^{1-\alpha}x_P^{\alpha-1} = 1, \qquad x_P = \zeta_P L_Y, \quad \zeta_P \equiv \alpha^{1/(1-\alpha)} > \zeta_D. \tag{7.91}$$

Let $D_P \equiv \zeta_P^\alpha - \zeta_P > 0$. Its remaining resource constraint is $C = D_P A(L - L_R)$. Solve it for $L_R$ and substitute into research:

$$C/(D_P A) = L - L_R, \tag{7.92}$$

$$L_R = L - C/(D_P A), \tag{7.93}$$

$$\dot{A} = \eta A[L - C/(D_P A)] = \eta LA - \frac{\eta}{D_P}C. \tag{7.94}$$

$$\dot{A} = \eta LA - \frac{\eta}{D_P}C. \tag{7.95}$$

Define a transformed state $Z \equiv D_P A/\eta$. Then

$$\dot{Z} = \frac{D_P}{\eta}\dot{A}, \tag{7.96}$$

$$= \frac{D_P}{\eta}\left(\eta LA - \frac{\eta}{D_P}C\right), \tag{7.97}$$

$$= D_P LA - C = \eta LZ - C. \tag{7.98}$$

$$\dot{Z} = \eta LZ - C. \tag{7.99}$$

This is exactly the one-stock AK resource equation, with net return $\eta L$. $Z$ is a planner's transformed state, not the market patent wealth $AV$. Reusing the earlier optimization, rather than maximizing growth as a separate objective, gives the Hamiltonian conditions

$$\mathscr{H}_P = u(C) + \nu(\eta LZ - C), \tag{7.100}$$

$$\mathscr{H}_{P,C} = C^{-\theta} - \nu = 0, \tag{7.101}$$

$$\dot{\nu} = \rho\nu - \eta L\nu = (\rho - \eta L)\nu, \tag{7.102}$$

$$-\theta\dot{C}/C = \dot{\nu}/\nu = \rho - \eta L, \tag{7.103}$$

$$g_P = \dot{C}/C = (\eta L - \rho)/\theta. \tag{7.104}$$

$$g_P = \frac{\eta L - \rho}{\theta}, \qquad L_R^P = g_P/\eta, \tag{7.105}$$

provided $0 < g_P < \eta L$ and $\rho - (1-\theta)g_P > 0$. With $\alpha\eta L > \rho$ and both interior admissible paths, $g_P > g_D$. The sign can be checked without comparing two complicated fractions by eye:

$$g_P - g_D = \frac{(\eta L - \rho)(\theta + \alpha) - \theta(\alpha\eta L - \rho)}{\theta(\theta + \alpha)}, \tag{7.106}$$

$$= \frac{\theta\eta L(1-\alpha) + \alpha(\eta L - \rho)}{\theta(\theta + \alpha)} > 0. \tag{7.107}$$

Here $\alpha\eta L > \rho$ implies $\eta L > \rho$. Private innovation rewards omit part of the value of future knowledge, and monopoly pricing also restricts input use. The growth comparison belongs to this specified welfare problem; it does not establish that any intervention raising measured research must improve welfare.

A subsidy to invention and a policy changing input markups address different margins. Their financing, targeting, and effect on entry would have to be modeled before proposing an optimal instrument. In settings with duplication, displacement of existing innovators, or other external effects, the welfare comparison would need to be redone. Nonrivality alone does not identify one universally correct patent or subsidy policy.

## 7.5 What changes when ideas become harder to find?

### 7.5.1 The scale prediction is an assumption worth testing

The worked model has $\dot{A}/A = \eta L_R$: a permanently larger research workforce supports a permanently faster growth rate. In particular, (7.87) makes the scale $L$ matter. This follows from linear research productivity in existing knowledge and no congestion. It is not implied by the definition of a nonrival idea.

Jones (1995) questioned the scale predictions of early R&D models using the historical evidence available in that paper.[18] One way to investigate the restriction is to change the research technology:

$$\dot{A} = \eta A^{\phi} L_R^{\lambda}, \qquad \phi < 1, \quad 0 < \lambda \leq 1. \tag{7.108}$$

These are new assumptions. The preceding optimal research-share and patent formulas must not be carried over unchanged.

### 7.5.2 A conditional balanced-growth calculation

For this calculation, allow labor to grow at exogenous rate $n \geq 0$ and hold the research share $s_R = L_R/L$ constant and positive. This is a technology experiment; it does not yet solve the new household and entry problem. Since

$$g_A \equiv \dot{A}/A = \eta A^{\phi-1}(s_R L)^{\lambda}, \tag{7.109}$$

a positive constant $g_A$ on a balanced path requires the logarithmic differentiation

$$\log g_A = \log\eta + (\phi - 1)\log A + \lambda \log s_R + \lambda \log L, \tag{7.110}$$

$$\frac{\dot{g}_A}{g_A} = (\phi - 1)\frac{\dot{A}}{A} + \lambda\frac{\dot{L}}{L}, \tag{7.111}$$

$$0 = (\phi - 1)g_A + \lambda n, \tag{7.112}$$

$$(1 - \phi)g_A = \lambda n. \tag{7.113}$$

[18] Charles I. Jones (1995), "R&D-Based Models of Economic Growth," *Journal of Political Economy*, 103(4), 759–784. The comparison concerns that paper's models and evidence, not a claim that current data settle every innovation mechanism. https://doi.org/10.1086/262002.

$$0 = \frac{d \log g_A}{dt} = (\phi - 1) g_A + \lambda n, \qquad g_A = \frac{\lambda n}{1 - \phi}. \tag{7.114}$$

For $n > 0$, the corresponding balanced-path relation is

$$A^{1-\phi} = \frac{\eta s_R^{\lambda}}{g_A} L^{\lambda}. \tag{7.115}$$

A permanent increase in the research share changes this level relation and the transition, while the balanced growth rate in this specification is unchanged. Research remains a costly productive activity; a level effect is not evidence that research is useless.

When $n = 0$ and $L_R$ is constant, integrate (7.108) directly:

$$A^{-\phi} \dot{A} = \eta L_R^{\lambda}, \tag{7.116}$$

$$\frac{d}{dt} A^{1-\phi} = (1 - \phi) A^{-\phi} \dot{A} = (1 - \phi) \eta L_R^{\lambda}, \tag{7.117}$$

$$\int_0^t \frac{d}{dv} A(v)^{1-\phi} \, dv = (1 - \phi) \eta L_R^{\lambda} \int_0^t dv, \tag{7.118}$$

$$A(t)^{1-\phi} - A(0)^{1-\phi} = (1 - \phi) \eta L_R^{\lambda} t. \tag{7.119}$$

$$A(t)^{1-\phi} = A(0)^{1-\phi} + (1 - \phi) \eta L_R^{\lambda} t. \tag{7.120}$$

New ideas keep arriving, but their percentage addition to a growing stock shrinks and $g_A$ tends to zero. This illustrates why a model can endogenize research decisions or technological change without making every permanent research policy change alter the asymptotic growth rate.

## 7.6 Allocation: more output from the same stocks

### 7.6.1 A distinct question from inventing or accumulating inputs

Two economies with the same total capital and available production methods need not use them equally well. Capital might be tied to a less productive firm while a more productive firm cannot finance expansion. This changes aggregate productivity without creating another machine or design. Separate that allocation margin from the growth engines already studied.

The example below is a static resource-allocation problem, not a new balanced growth model. It isolates a mechanism used in research on misallocation. Hsieh and Klenow (2009) apply a richer framework to manufacturing establishments; the simple numbers below are not their empirical estimates.[19]

[19] Chang-Tai Hsieh and Peter J. Klenow (2009), "Misallocation and Manufacturing TFP in China and India," *Quarterly Journal of Economics*, 124(4), 1403–1448. https://doi.org/10.1162/qjec.2009.124.4.1403.

**01 Firms, fixed resources, and technology**

At one date there are two firms with fixed labor and other complementary inputs. They produce the same good at price one:

$$y_i = z_i k_i^{\alpha}, \qquad z_i > 0, \quad 0 < \alpha < 1, \quad i = 1, 2.$$

The total available stock is $k_1 + k_2 = K > 0$, with $k_i \geq 0$. There is no investment, research, uncertainty, or adjustment cost in this one-date experiment. The $z_i$ and the complementary inputs are held fixed.

**02 Efficient allocation and the private problem**

A planner maximizes $y_1 + y_2$ subject to the fixed stock. In an undistorted competitive rental market, firms maximize $z_i k_i^{\alpha} - q k_i$ at the common rental price $q$. Households own the stock and firms. Labor costs and incomes can be suppressed because their quantities are fixed here; they cannot be inferred to be absent from a full growth economy.

**03 A precisely specified allocation wedge**

For the distorted comparison, firm $i$ faces user cost $(1 + \tau_i)q$, with $1 + \tau_i > 0$. It chooses capital to maximize $z_i k_i^{\alpha} - (1 + \tau_i) q k_i$. Think of a rental tax rebated lump-sum to owners, so the payment itself is not a resource loss. Different effective financing costs could motivate a wedge, but this simple tax experiment does not derive a credit constraint. Market clearing still requires $k_1 + k_2 = K$.

### 7.6.2 Equalize marginal products, not capital quantities

With multiplier $\nu$ on the capital stock, the planner's interior conditions come from

$$\mathscr{L} = z_1 k_1^{\alpha} + z_2 k_2^{\alpha} + \nu(K - k_1 - k_2), \tag{7.121}$$

$$\mathscr{L}_{k_1} = \alpha z_1 k_1^{\alpha - 1} - \nu = 0, \tag{7.122}$$

$$\mathscr{L}_{k_2} = \alpha z_2 k_2^{\alpha - 1} - \nu = 0. \tag{7.123}$$

Thus

$$\alpha z_1 k_1^{\alpha - 1} = \nu = \alpha z_2 k_2^{\alpha - 1}. \tag{7.124}$$

Rearrange the ratio, then use resource clearing:

$$z_1 k_1^{\alpha - 1} = z_2 k_2^{\alpha - 1}, \tag{7.125}$$

$$(k_1/k_2)^{\alpha - 1} = z_2/z_1, \tag{7.126}$$

$$(k_1/k_2)^{1 - \alpha} = z_1/z_2, \tag{7.127}$$

$$k_1/k_2 = (z_1/z_2)^{1/(1-\alpha)}. \tag{7.128}$$

Set $b_i = z_i^{1/(1-\alpha)}$ and $S = b_1 + b_2$. Since $k_1/k_2 = b_1/b_2$ and $k_1 + k_2 = K$,

$$k_1 = (b_1/b_2) k_2, \tag{7.129}$$

$$K = (1 + b_1/b_2) k_2, \tag{7.130}$$

$$k_2 = K b_2/S, \qquad k_1 = K b_1/S. \tag{7.131}$$

$$\frac{k_1}{k_2} = \left(\frac{z_1}{z_2}\right)^{1/(1-\alpha)}, \qquad k_i = K\frac{z_i^{1/(1-\alpha)}}{z_1^{1/(1-\alpha)} + z_2^{1/(1-\alpha)}}. \tag{7.132}$$

Substituting into output and collecting terms gives the full sum

$$Y^* = \sum_{i=1}^{2} z_i (K b_i / S)^{\alpha}, \tag{7.133}$$

$$= K^{\alpha} S^{-\alpha} \sum_{i=1}^{2} z_i b_i^{\alpha}, \tag{7.134}$$

$$z_i b_i^{\alpha} = z_i^{1+\alpha/(1-\alpha)} = z_i^{1/(1-\alpha)} = b_i, \tag{7.135}$$

$$Y^* = K^{\alpha} S^{-\alpha} (b_1 + b_2) = K^{\alpha} S^{1-\alpha}. \tag{7.136}$$

$$Y^* = K^{\alpha}\left[z_1^{1/(1-\alpha)} + z_2^{1/(1-\alpha)}\right]^{1-\alpha}. \tag{7.137}$$

Capital goes to the firm with the higher marginal product until the marginal products match. Equal capital would be efficient only if the technologies and complementary inputs make that allocation satisfy the same condition.

Distorted private choices instead satisfy

$$0 = \frac{d}{dk_i}\left[z_i k_i^{\alpha} - (1+\tau_i) q k_i\right] = \alpha z_i k_i^{\alpha-1} - (1+\tau_i) q, \tag{7.138}$$

$$q = \alpha \frac{z_i}{1+\tau_i} k_i^{\alpha-1}. \tag{7.139}$$

Applying the same ratio calculation to $z_i/(1+\tau_i)$ gives

$$\frac{\alpha z_i k_i^{\alpha-1}}{1+\tau_i} = q, \qquad \frac{k_1}{k_2} = \left[\frac{z_1/(1+\tau_1)}{z_2/(1+\tau_2)}\right]^{1/(1-\alpha)}. \tag{7.140}$$

Both firms optimize, but their physical marginal products differ when their wedges differ. Removing the wedge changes where capital works; it does not change the given total stock.

For $\alpha = 1/2$, $z_1 = 2$, $z_2 = 1$, and $K = 1$, the efficient allocation is $(k_1, k_2) = (0.8, 0.2)$ and $Y^* = \sqrt{5} \simeq 2.2361$. If $\tau_1 = 1, \tau_2 = 0$, both adjusted productivities are one, so market clearing gives $(0.5, 0.5)$ and $Y = 3/\sqrt{2} \simeq 2.1213$. The output loss is about 5.13% of the efficient level, despite identical total capital and unchanged firm technologies. This is a hypothetical accounting comparison, not an estimate of the loss from a specific financial institution.

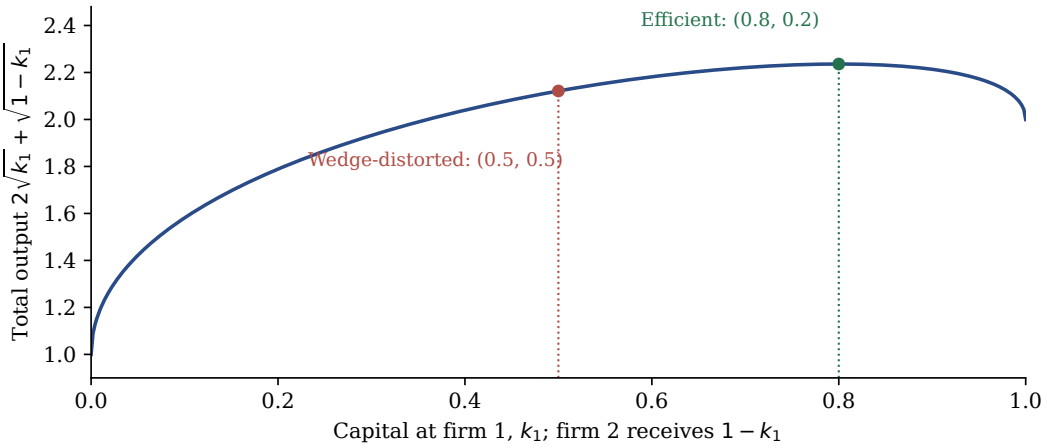



**Figure 7.2:** Output gains from reallocating a fixed capital stock.

*Allocation changes output without changing total capital.* The stock is one throughout. Moving capital toward the more productive firm raises total output until marginal products match at $k_1 = 0.8$. The peak is an allocation at one date, not a growth rate or a new stock of knowledge.

**A productivity level gain is not automatically a permanent growth gain.** Reallocating the existing stock can raise output now. Repeating that comparison with an unchanged efficient allocation does not create ever faster growth. To affect trend growth, the allocation change must also alter a continuing mechanism such as research entry, learning, or the return to reproducible inputs. A measured productivity residual can reflect allocation as well as available technology; identifying its source requires more evidence.

Observed differences in marginal revenue products are not by themselves a complete diagnosis of financing distortions. Market power, adjustment costs, risk, prices, product quality, and measurement can matter. A wedge model provides a disciplined counterfactual once those choices are specified; it does not turn every cross-firm gap into a causal estimate of misallocation.

## 7.7 How to read an endogenous-growth claim

The same Ramsey household has appeared with different accumulation opportunities. The AK problem made the marginal return constant; the skill model explained one way reproducible inputs can grow together; the idea model made invention and its rewards explicit. The allocation experiment changed the use of existing resources rather than supplying another growth engine.

**Table 7.1:** Growth mechanisms, endogenous outcomes, and maintained assumptions.

| Mechanism | What is determined | What remains assumed |
|---|---|---|
| Ramsey benchmark | Optimal consumption and saving | Technology growth, if present |
| AK | Growth from the chosen saving path | A non-diminishing reproducible return |
| Skill accumulation | Work–learning split and balanced growth | A linear skill-formation opportunity |
| Innovation | Research effort, patent value, and growth | Research productivity, rights, and market structure |
| Semi-endogenous experiment | Conditional technology growth | Research share and labor growth in the calculation |
| Static allocation | Output from given stocks | Technologies, complementary inputs, and wedges |

Endogenous does not mean parameter-free. Preferences, learning productivity, research technology, and legal rules remain specified primitives. The claim is that the accumulation or innovation choice, and the resulting growth, have been determined inside the stated environment.

Ask which stock grows, what resources it requires, whose marginal return supports the choice, and which restriction keeps that return from fading. Then distinguish a higher level, a faster transition, and a permanently higher growth rate. None is unimportant, but they are different conclusions.

These models isolate growth mechanisms rather than explaining every stage of development. Adoption, institutions, openness, demography, and distribution can change the relevant constraints and returns. The open-economy and policy parts will add those links. The next chapter compares the growth mechanisms through concrete economic situations and brings them together before we turn to fluctuations.

# 8 Growth Models: Mechanisms, Comparisons, and Reality

A region builds factories, trains workers, starts research laboratories, and eventually faces slower growth and an older population. Which growth model describes it? Several may help, because each isolates a different question. The useful comparison is between mechanisms, rather than between labels for countries or stages of development.

This chapter follows that region through a sequence of questions. The region is a teaching construction, not a disguised account of a particular country. We add mechanisms as the questions require them, keep their assumptions visible, and use historical evidence at specific points to connect the construction to actual experience. The aim is to learn how to move from an observation to a model and then back to an observation that could test it.

## 8.1 A map of the questions, not a ranking of the models

Growth accounting asks where measured output growth appears: capital, labor, or a residual. A growth model asks why those quantities change. Harrod and Domar ask whether spending and capacity expansion remain compatible. Solow asks how capital intensity adjusts when inputs can substitute. Ramsey asks who gives up consumption to finance accumulation. OLG changes who is alive, who owns assets, and which generations can trade. Endogenous-growth models ask what keeps the return to reproducible inputs or new knowledge from fading.

**Table 8.1:** Production, saving, and ownership.

| Framework | Question it closes | Situation that makes the question concrete |
|---|---|---|
| Growth accounting | Which measured inputs and residual accompany growth? | Output rises, but employment and capital also rise. How much is left to explain? |
| Harrod–Domar | Which investment path keeps demand, capacity, and plans compatible? | Building factories creates spending today and capacity that needs customers later. |
| Solow | How does capital per effective worker adjust under a given saving rule? | More machines initially help a capital-scarce region; their marginal contribution then falls. |
| Ramsey | How do households choose consumption and saving over time? | Higher expected returns make postponing consumption more attractive, but the sacrifice has a cost. |
| OLG | How do life-cycle saving and trade between living cohorts determine assets? | Workers buy retirement assets from older owners; future workers cannot sign contracts today. |

**Table 8.2:** Skills, ideas, and the use of resources.

| Mechanism | What must be explained | Situation that makes the question concrete |
|---|---|---|
| AK | Why can a reproducible stock retain its marginal return? | Machines, skills, or other complementary inputs may expand together; the aggregate linearity still needs a justification. |
| Human capital | How much time goes to work rather than learning? | A technician leaves production for training, reducing output now to improve future capability. |
| Innovation | Who pays to create a reusable idea, and who receives its return? | A firm funds a design team; rivals may benefit from knowledge that the firm cannot fully charge for. |
| Semi-endogenous growth | How does research effort interact with the difficulty of discovery? | More researchers can be needed just to maintain a previous pace of technical improvement. |
| Allocation | Which producers use the existing inputs? | A productive workshop cannot expand while a less productive firm retains equipment or financing. |

These are distinct dimensions. OLG does not follow Ramsey because it has more technology; it changes the household structure. An OLG economy can also innovate. A Ramsey economy can face demand constraints once the required market mechanisms are added. An allocation problem can matter at low or high income. Combining them requires a new, consistent equilibrium, not the addition of conclusions obtained under incompatible assumptions.

**Add the mechanism that answers the next question.** Start with what is scarce, who chooses its use, and what prevents adjustment. Then ask whether the unresolved issue concerns demand, saving, generations, skills, discovery, or allocation. A later model in these notes is not a claim that every economy must pass through the same development sequence.

## 8.2 A region builds factories: demand, capacity, and diminishing returns

### 8.2.1 First thought: more investment should mean more growth

Suppose the region has workers, basic skills, and access to an existing production method, but few machines. A factory project employs construction workers and buys equipment. Once completed, it can produce goods for years. It is natural to start with investment as the driver of growth. Two questions are already hidden in that statement: will the new capacity be used, and how much output will another unit of equipment add?

Harrod–Domar makes the first question visible. In Domar's experiment,

$$\dot{Q} = \kappa I, \qquad Y^d = I/s, \qquad \dot{Y}^d = \dot{I}/s,$$

where $Q$ is capacity, $Y^d$ is demand-supported output, $s$ is a fixed saving propensity, and $\kappa$ is a constant capacity increment per unit of investment. With no depreciation in this experiment, constant positive investment keeps adding capacity but leaves demand-supported output unchanged. Maintaining an initially matched path requires $\dot{I}/I = s\kappa$. Section 3 derives the conditions; the relation is a compatibility requirement, not a forecast of investment.

Harrod adds a related planning question: does realized growth justify the capacity that firms intended to install? With fixed saving propensity $s$ and desired capital–output ratio $v_r > 0$, his no-depreciation benchmark gives warranted growth $g_w = s/v_r$. Labor and labor productivity instead set natural growth $g_n = n + g_A$. Matching these rates is an additional condition, not an identity. If sales disappoint and firms cut investment, the resulting loss of spending can further undermine sales. That feedback depends on the stated investment response; fixed proportions alone do not prove instability.

The real counterpart is a new industrial park whose construction creates business for local suppliers, but whose finished factories still need buyers. A factory is a productive asset; construction spending is a flow of demand. Confusing them makes it easy to count the spending effect and silently assume that all future output will be sold. Whether customers are domestic or foreign, and whether prices or credit adjust, requires additional mechanisms.

### 8.2.2 Second thought: can every new factory be as productive as the first?

Now suppose demand is sufficient and markets clear. The region can alter its mix of workers and equipment. Solow isolates this different question: with $k = K/(AL)$ and $y = Y/(AL)$,

$$y = f(k), \qquad \dot{k} = sf(k) - (n + g_A + \delta)k.$$

Here $A$ is labor efficiency, $L$ grows at rate $n$, $A$ grows at an exogenous rate $g_A$, and $\delta$ is depreciation. Diminishing $f'(k)$ means that another machine adds less output when each effective worker already has more equipment. Capital intensity adjusts rather than requiring one fixed capital–output ratio to remain compatible with every growth path.

For a numerical check, hold $A$ and $L$ fixed at a date and let $f(k) = k^{1/3}$. A 20% increase in $k$ raises $y$ by

$$\frac{y_1}{y_0} = 1.2^{1/3} \simeq 1.0627, \qquad \frac{f'(k_1)}{f'(k_0)} = 1.2^{-2/3} \simeq 0.8855.$$

Output rises by about 6.27%, while the marginal product falls by about 11.45%. There is no contradiction: total output and the return to the next unit of capital are different objects. These are illustrative quantities, not estimates of an industrialization program.

Solow does not prove that newly built capacity always finds buyers. Harrod–Domar does not prove that substitution and price adjustment never occur. The region can have a short-run utilization problem and a long-run capital-intensity problem at the same time. The models differ in the adjustment mechanism they choose to expose.

## 8.3 Someone must save: from an investment target to household choices

### 8.3.1 A higher eventual income is not a free transition

Suppose officials propose raising the saving rate from $0.20$ to $0.30$. In the continuous-time Cobb–Douglas Solow benchmark,

$$k^* = \left(\frac{s}{n + g_A + \delta}\right)^{1/(1-\alpha)}, \qquad y^* = \left(\frac{s}{n + g_A + \delta}\right)^{\alpha/(1-\alpha)}.$$

With $\alpha = 1/3$, unchanged technology growth, and $n + g_A + \delta > 0$, the eventual ratio of output per effective worker is

$$\frac{y^*_{\text{new}}}{y^*_{\text{old}}} = \left(\frac{0.30}{0.20}\right)^{1/2} \simeq 1.2247.$$

But capital is inherited at the policy date. If the saving change is imposed immediately, output initially stays fixed and consumption changes by

$$\frac{c(0^+)_{\text{new}}}{c(0^-)_{\text{old}}} = \frac{1-0.30}{1-0.20} = 0.875.$$

An eventual output gain of about 22.47% comes with an initial consumption cut of 12.5%. This calculation compares two imposed saving rules. It does not establish the welfare ranking of their entire consumption paths.

The next question is unavoidable: whose consumption falls, and why would they agree? Ramsey replaces the saving instruction with preferences, resources, prices, and a choice. In the fixed-population, fixed-technology, competitive CRRA benchmark, with $c$ and $k$ per person,

$$\frac{\dot{c}}{c} = \frac{f'(k)-\delta-\rho}{\theta}, \qquad \rho > 0, \quad \theta > 0.$$

A unit not consumed today can earn a net return. Consumption grows when that return exceeds impatience, with $\theta$ governing the response. The Euler condition must still be combined with the resource constraint, initial capital, feasibility, and the terminal condition. It is not a saving rate by itself.

In both the Solow and standard Ramsey benchmarks, continued growth of output per worker on a balanced path still comes from the specified growth of labor efficiency. Optimizing saving changes the accumulation path and its welfare interpretation; it does not remove that technological assumption. The OLG benchmark changes generations rather than supplying a new technology engine. This is the gap addressed by endogenous growth.

For the region, a credible improvement in future production opportunities may change desired saving. A temporary income loss may instead encourage households to use assets to protect consumption. Taxes, borrowing limits, and uncertainty can alter both responses. The basic Ramsey model supplies the intertemporal trade-off; it does not establish every household's response when its omitted constraints become important.

### 8.3.2 The same residents are also different generations

Now let the region have young workers, retirees, and future entrants. The question is no longer only how one continuing household spreads consumption over time. Workers must acquire claims that will pay in retirement, while current retirees sell assets or receive transfers.

In the two-period OLG benchmark, cohort $t$ chooses $c_{1,t}$ and $c_{2,t+1}$ with lifetime utility $u(c_{1,t}) + \beta u(c_{2,t+1})$, where $\beta > 0$. Without taxes, transfers, or bequests, its budgets are

$$c_{1,t} + a_{t+1} = w_t, \qquad c_{2,t+1} = R_{t+1}a_{t+1}.$$

Here $a_{t+1}$ is saving per young worker, $w_t$ is labor income, and $R_{t+1}$ is the gross payoff on saving. A worker's saving can become the next period's physical capital, but the economy's net saving also reflects retirees' decumulation. The number and resources of each cohort matter.

A pension reform therefore has several margins: contributions reduce workers' disposable income, expected benefits may replace private retirement saving, and the first recipients and transition cohorts face different budgets. Fewer future workers can also lower a pay-as-you-go system's support ratio. None of these observations alone fixes the effect of aging on aggregate saving or capital: longevity, retirement ages, wages, transfers, and behavior must be specified.

**An aging economy is not automatically dynamically inefficient.** In the deterministic, stationary OLG benchmark with no technology growth, overaccumulation means $r < n$, equivalently $R < 1 + n$, under the chapter's depreciation convention. Age structure or a low observed safe interest rate alone does not verify that condition. Risky capital returns, government claims, and a changing population are not interchangeable objects.

Ramsey and OLG thus offer different ownership and welfare comparisons for the same investment program. Ramsey tracks a continuing household's consumption path. OLG asks which living and future cohorts gain or lose, including the initially old. Greater eventual output need not compensate those who finance the transition.

## 8.4 The next machine needs a skill; the next skill needs an idea

### 8.4.1 A machine shortage becomes a capability question

The region now has equipment, but technicians cannot maintain it, managers cannot coordinate production, and workers need time to master new methods. Buying the same machine again may not solve these problems. What looked like a capital shortage can include missing complementary capabilities.

Human capital makes one part explicit. In the two-sector benchmark,

$$Y = K^{\alpha}(vH)^{1-\alpha}, \qquad \dot{H} = [\eta(1-v) - \delta_H]H,$$

where $H$ is the skill stock, $v \in [0,1]$ is the fraction of time spent working, $1 - v$ is learning time, $0 < \alpha < 1$, $\eta > 0$ is learning productivity, and $\delta_H \geq 0$ is skill depreciation. Moving time into learning reduces current production but raises future productive capability. The model's two shadow values put that opportunity cost next to its benefit.

This helps distinguish three interventions. More training hours changes $1 - v$; more effective instruction changes $\eta$; a better inherited skill base changes $H(0)$. They are different experiments. School enrollment or a training budget does not directly measure acquired skills or learning productivity. Credit constraints, teaching quality, and employer incentives would need to be added to explain those gaps.

AK provides a useful warning at this point. Writing $Y = BK$ assumes that the reproducible aggregate retains its marginal product. It does not explain why installing more identical machines is sufficient. Joint skill and capital accumulation can provide one mechanism, under the conditions derived in Section 7. An aggregate externality provides another, but then private and social returns differ. The equation alone cannot choose between them.

### 8.4.2 Learning an existing method differs from creating a new one

Suppose local engineers learn a production method already used abroad. This improves local productivity without expanding the world's stock of ideas. Adoption requires capability and often costly adaptation; the distance from existing best practice matters. At the frontier, the engineers must instead discover a method that is not yet available.

Korea provides a historical connection. A 2007 World Bank–Korea Development Institute study describes learning through imported equipment, production arrangements, training, and reverse engineering, followed by a greater role for domestic innovation.[20] This illustrates why equipment,

[20] Joonghae Suh and Derek H. C. Chen, eds. (2007), *Korea as a Knowledge Economy: Evolutionary Process and Lessons Learned*, World Bank, especially Chapters 6–8 and pp. 168–169 on technological adoption and innovation. World Bank report.

absorptive skills, and research can be complements. It does not identify one model as the complete explanation of Korean growth, or turn the sequence into a causal estimate. Trade, finance, institutions, and policy also belong in that account.

Return to our region. A design team uses workers who could have produced goods today. Once created, an idea may be usable by many producers without being depleted. A patent or another means of earning revenue can fund the team, but its private return need not capture all future knowledge benefits. This is the additional question in the innovation model: research effort must be supported by expected rewards and market entry, not just entered as a positive term in a production function.

**Three objects that a productivity residual can hide.** Adoption brings an existing method into local use. Human capital enables people to use or develop methods. Innovation adds new ideas. A measured productivity improvement may contain all three, as well as allocation and measurement effects. Growth accounting locates a residual; it does not separate these mechanisms without further information.

### 8.4.3 More researchers need not mean permanently faster growth

In the earlier linear research technology, $\dot{A}/A = \eta L_R$, a permanently larger research workforce $L_R$ permanently raises idea growth. Changing the technology to

$$\dot{A} = \eta A^{\phi} L_R^{\lambda}, \qquad \phi < 1, \quad 0 < \lambda \leq 1,$$

changes that conclusion. With a fixed positive research share and labor growing at $n > 0$, a balanced path instead has $g_A = \lambda n/(1-\phi)$. A larger research share then raises the level path and changes the transition, while this balanced growth rate is unchanged. The calculation is conditional on the research share; it is not a new solution for optimal research entry.

Bloom, Jones, Van Reenen, and Webb (2020) examine research effort and research productivity in historical aggregate and sectoral evidence. Their finding that rising effort can accompany declining research productivity motivates checking the research technology rather than assuming a constant return per researcher.[21] It does not prove that one value of $\phi$ explains every industry or period. The practical question is how much effective research is needed to sustain the next improvement, not simply how many laboratories are built.

## 8.5 The same resources can produce more, but who gains?

Even after new factories, training, and research, the region can waste productive opportunities. Imagine two firms with different technologies. One has idle equipment; the other could use additional equipment productively but faces an explicit tax or financing obstacle. More aggregate investment is only one possible response. Moving the existing stock can also raise output, provided the gain exceeds movement, adjustment, and other costs.

The static allocation experiment in Section 7 holds total capital and complementary inputs fixed. With $Y = 2\sqrt{k_1} + \sqrt{k_2}$ and $k_1 + k_2 = 1$, equal allocation gives $Y = 3/\sqrt{2}$; the efficient allocation $(0.8, 0.2)$ gives $Y = \sqrt{5}$. No new equipment or idea is required. The mechanism is a change in where capital operates. Repeating an already completed reallocation does not generate another permanent increase in the growth rate.

[21] Nicholas Bloom, Charles I. Jones, John Van Reenen, and Michael Webb (2020), "Are Ideas Getting Harder to Find?" *American Economic Review*, 110(4), 1104–1144. https://doi.org/10.1257/aer.20180338.

Hsieh and Klenow's study of manufacturing in China and India makes the allocation question empirical by constructing counterfactuals under a specified firm-level model.[22] The connection is the distinction between available technologies and the allocation of inputs across producers. The counterfactual remains conditional on how productivity, prices, markups, and wedges are measured. A difference in observed revenue per unit of capital is not sufficient to diagnose a credit distortion.

For residents, a productive reallocation can still create losers. Workers may need to move, existing asset values can fall, and a firm owner may lose a protected position. Our static calculation has neither relocation costs nor a distributional account. Those costs must be introduced before claiming that every observed obstacle is removable at no sacrifice.

> **Three comparisons that must stay separate.** More output from given inputs is a production comparison. More consumption after replacement and accumulation is a resource comparison. A preferred consumption path, or an improvement for every cohort, is a welfare comparison. Solow's Golden Rule, Ramsey welfare, and OLG Pareto improvements answer different questions. None follows from an investment or GDP target alone.

At the research frontier, allocation and growth can interact. Moving skilled workers toward research may alter future knowledge creation, while raising the rewards to incumbent firms may weaken entry. To sign a growth effect, specify those margins and solve the resulting decisions. The static output gain itself does not settle the dynamic incentive question.

## 8.6 A growth slowdown: work backward from observations

Suppose the region's GDP growth falls after years of expansion. One account says it has exhausted capital accumulation; another blames aging; another calls for more research. All are hypotheses. Start by asking what actually slowed and which observations would distinguish the mechanisms.

### 8.6.1 Separate production per person from the number of people working

For total hours $L$, employment $E$, and population $N$,

$$\frac{Y}{N} = \frac{Y}{L}\frac{L}{E}\frac{E}{N}, \qquad g_{Y/N} = g_{Y/L} + g_{L/E} + g_{E/N}.$$

The identity does not require a growth model. Falling employment per resident can reduce output per person even if output per hour continues improving. Aging can affect that ratio, but participation and retirement behavior can also change. A decline in total GDP growth could additionally reflect slower population growth. Specify the denominator before choosing the explanation.

[22] Chang-Tai Hsieh and Peter J. Klenow (2009), "Misallocation and Manufacturing TFP in China and India," *Quarterly Journal of Economics*, 124(4), 1403–1448. https://doi.org/10.1162/qjec.2009.124.4.1403.

**Table 8.3:** Different diagnoses of the same headline.

| Observation to investigate | Candidate mechanism | What would help distinguish it? |
|---|---|---|
| Capital per worker keeps rising; its additional output contribution falls | Solow transition toward a conditional balanced path | Capital quality, effective labor, returns, and the distance from the conditional target |
| Output per person slows more than output per hour | Employment, hours, and demographic composition | Participation, age-specific employment, hours, and population measures |
| Equipment is installed, but cannot be used effectively | Skills, complementary inputs, or adoption costs | Training outcomes, vacancies, maintenance, and technology use |
| Research effort rises without a matching pace of improvement | Research productivity, duplication, or measurement | Effective research inputs and comparable measures of useful innovation |
| Productive firms remain small while others retain inputs | Allocation wedges, adjustment costs, or market power | Firm prices, quantities, costs, risk, and a specified counterfactual |
| Orders and utilization fall before installed capacity changes much | Spending, expectations, or short-run adjustment | Orders, inventories, hours, credit conditions, and the timing of capacity changes |

The last column contains useful evidence, not automatic causal tests. For example, low measured returns can reflect expectations or risk, and unfilled vacancies can reflect wages as well as skills. A diagnosis becomes stronger when a proposed mechanism explains several observations and survives a counterfactual comparison.

### 8.6.2 Separate using capacity from expanding it

For a simple diagnostic illustration, define $Q$ as output capacity under a stated operating convention and $u = Y/Q > 0$ as utilization. Then

$$Y = uQ, \qquad \Delta \log Y = \Delta \log u + \Delta \log Q.$$

This is an identity once $Q$ is defined, not an independent measure of capacity or a behavioral theory. If capacity grows by 3% over a year but utilization falls from $0.90$ to $0.81$, actual output changes by

$$\frac{Y_1}{Y_0} = \frac{0.81}{0.90} \times 1.03 = 0.927.$$

Output falls by 7.3% although capacity rises. If utilization subsequently recovers, fast observed growth need not mean that the growth rate of capacity has permanently increased. The chosen numbers are an accounting example.

Figure 8.1 compares three distinct changes in output paths. They are deliberately constructed illustrations, not estimated responses. In an actual economy, capacity and utilization are difficult to separate and can affect one another: prolonged weak sales can discourage investment, training, or entry. The short run can leave a long-run trace.

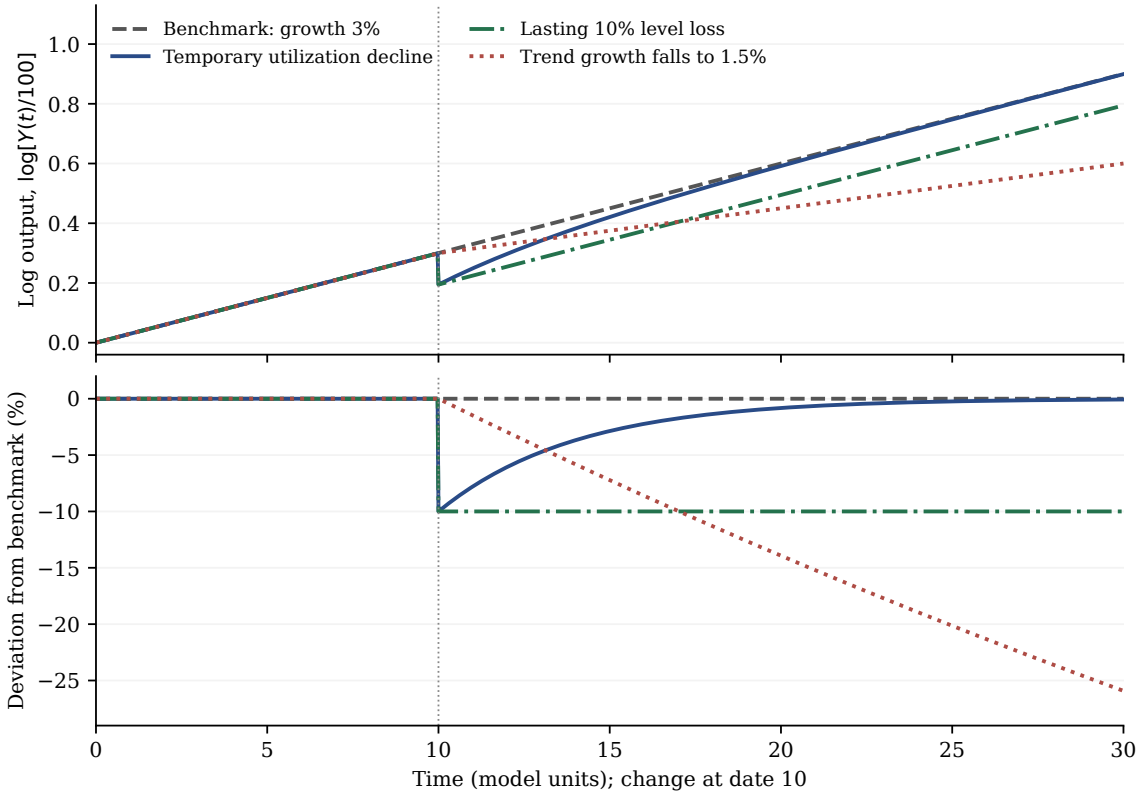



**Figure 8.1:** A temporary utilization decline, a lasting level loss, and slower trend growth produce different paths relative to the same benchmark. The shock occurs at model date 10. Both panels show constructed output series; they are not a decomposition estimated from data.

**Question: what would your explanation predict next?** If the slowdown is mainly a closing catch-up gap, restoring yesterday's investment share need not restore yesterday's growth. If it is mainly weak utilization, installing more capacity may not solve the immediate problem. If it reflects a weaker innovation mechanism, a temporary spending recovery does not by itself repair that mechanism. State a counterfactual and follow the quantities, decisions, and returns that it changes.

## 8.7 A longer view: learning to exercise economic judgment

Knowing how to solve each model is the beginning of economic judgment. The harder task is to decide which relationship deserves attention in an economy where many things change together. The preceding models help us practice that judgment: they reveal different costs of moving resources through time, across people, and toward new uses. Read them together and a few habits become especially useful.

### 8.7.1 Look for the constraint whose relaxation would change behavior

Suppose the region has both idle factories and small firms that want to expand. Calling it short of capital or burdened with excess capital is too quick. Equipment may be in the wrong firms, in the wrong locations, or suited to yesterday's products. Some producers may lack customers; others may have orders but lack working funds or skilled workers. An aggregate capital stock can conceal all of these situations.

Ask what would happen if one particular obstacle were relaxed. Would cheaper finance lead a firm to produce more, or would it merely refinance existing debt? Would an additional technician allow equipment to operate, or would output still be limited by sales? The value of relaxing a constraint is the intuition behind its shadow price. Observed interest rates, wages, and profits can help, but taxes, risk, market power, and contractual restrictions can separate them from social marginal values.

This is why the models should sharpen the next question asked of a firm or household. "Investment is low" names an outcome. A diagnosis identifies the decision that would change, the obstacle preventing it, and the evidence that would distinguish that obstacle from another one.

### 8.7.2 Recognize that success changes the next problem

An economy that has built basic equipment may need a different next investment from one that has scarcely begun. Training can make existing machines useful; capable engineers can make adaptation feasible; adaptation can bring production close enough to existing best practice that further progress requires discovery. These possibilities explain why a successful policy need not remain the best use of resources indefinitely.

The lesson is not that capital ceases to matter when ideas appear. Research needs laboratories and people, and new methods may require new equipment. The relevant complement and the return at the margin can change. Solow's diminishing returns, the skill model's joint accumulation, and the innovation model's costly discovery each expose a different part of that process.

A long horizon also changes how we read disappointment. A plant installed under reasonable expectations can become unprofitable after an unforeseen change in technology or demand. Its later loss does not establish that its original decision was irrational. Conversely, repeated losses followed by new investment require an explanation of incentives, financing, and exit. Distinguish a bad outcome from a bad decision, then ask whether the decision rule learns from the outcome.

### 8.7.3 Follow resources, financial claims, and expectations together

Finance gives someone command over resources and specifies who receives future payments. It does not by itself create the engineers, machines, or future goods needed to honor those payments. A financing arrangement can nevertheless be productive if it lets resources reach a use that was previously blocked. The real allocation and the financial contract must be examined together.

For example, a guarantee can make funding cheaper for a factory. Ask who bears the loss if sales disappoint and whether the guarantee changes project selection. If losses become public obligations, their cost reappears in someone's future budget. If cheaper funding enables a genuinely productive project that could not otherwise proceed, that benefit belongs in the comparison too. Neither the funding rate nor the spending total settles it.

Expectations connect the contract to current choices. A firm pays for training when it expects to use the resulting skills. A researcher pursues an idea when future rewards justify its present cost. A household saves against the consumption opportunities it expects assets to provide. Institutions matter here through concrete features: the reliability of contracts, the rules for entry and exit, the treatment of losses, and the

credibility of future policy. Naming "institutions" without specifying such a channel leaves the mechanism unexplained.

### 8.7.4 Judge a transition by the people who must live through it

A better eventual allocation does not tell us how to reach it. Capital is installed in particular places; skills belong to particular people; retirement claims were acquired under particular expectations. Moving toward a new production structure can strand some of those investments. The aggregate gain and the individual loss can both be real.

Ramsey teaches us to count consumption sacrificed before later benefits arrive. OLG teaches us that the people who sacrifice and the people who benefit may be different. An allocation model shows a production gain; it does not automatically provide the taxes, transfers, mobility, or information needed to compensate the losers. Even when compensation is feasible on paper, its financing and delivery require their own account.

The distinction matters for feasibility as well as fairness. A reform can be reversed if those bearing its early costs have no credible prospect of sharing its benefits. Yet preserving every existing claim can prevent resources from moving to better uses. Evaluate the sequence, the temporary support, and the commitment behind it. Neither immediate liquidation nor indefinite protection follows from the growth models alone.

### 8.7.5 Ask whether the opportunity can be repeated

Repairing a bridge, moving equipment to a better producer, and inventing a new method can all raise output. Their contribution to future growth depends on what remains to be done after the first gain. Once the bridge works or the equipment is well allocated, repeating the same action need not yield the same benefit. Research can continue to find new opportunities, but its resource requirements and difficulty may change.

For every growth proposal, ask what the economy will accumulate or discover next, what supports the return to that next step, and who will pay for it. AK makes continued returns explicit as an assumption. Human-capital and innovation models give those returns a more specific mechanism. The semi-endogenous experiment shows how a change in research difficulty can alter the long-run conclusion even while research remains valuable.

This also prevents an excessive preference for growth-rate effects. A lasting improvement in health, consumption, or productive efficiency can be worthwhile without making growth permanently faster. The welfare question concerns the opportunities people gain over their lives, including their costs. A growth rate is one description of those opportunities.

### 8.7.6 Give a conditional judgment and say what would change it

An experienced economist should be able to state a view clearly while remaining explicit about what could overturn it. Begin with the leading mechanism, explain why it fits the available observations, and identify the strongest competing explanation. Then ask which decision or observation would separate them. More equations cannot substitute for that comparison.

If orders are weak but productive capacity remains usable, the immediate question differs from one in which orders are strong and capable producers cannot expand. If both problems coexist, the policy sequence and its effects on future capacity must be considered together. An intervention that improves spending today may also change debt, entry, training, and the willingness to invest tomorrow.

Some decisions can be revised cheaply; others commit resources for years. Where learning is possible and delay is not too costly, a limited experiment with stated evaluation criteria may be preferable to an irreversible expansion. Where delay destroys productive relationships or skills, waiting also has a cost. The comparison requires the size of the potential gain, the consequences of being wrong, and the value of information obtained along the way.

**A useful judgment has a mechanism and a revision rule.** State which constraint appears to matter, whose behavior would change if it were relaxed, how the change reaches production and consumption, and who bears the transition cost. Then state what evidence would make you revise the diagnosis. The purpose of experience is to make these connections clearer, including when the available evidence cannot yet choose between plausible explanations.

## 8.8 What we carry into fluctuations

Growth models leave us with inherited stocks, resource constraints, decision rules, and a benchmark path. Fluctuation models ask how production and choices respond when opportunities or spending conditions change over time. The same physical accounting continues to hold. In a closed, one-good economy without government, in discrete time,

$$Y_t = A_t F(K_t, \ell_t), \qquad K_{t+1} = (1-\delta)K_t + Y_t - C_t,$$

where $A_t$ is productivity, $\ell_t$ is labor input, and $C_t$ is aggregate consumption. Here $A_t$ denotes a multiplicative productivity shifter, rather than necessarily the labor-efficiency index in Solow. An inherited $K_t$ cannot jump because households revise their expectations; consumption, hours, utilization where modeled, and investment can respond sooner.

The RBC benchmark adds changing real opportunities and intertemporal responses, with flexible prices and market clearing. New Keynesian models then add nominal adjustment restrictions and policy transmission. In neither case is a statistical trend automatically productive capacity, an efficient allocation, or the model's natural-output path. Those are different objects whose relationship must be established.

The region may also import equipment, export its products, or borrow abroad. Our closed-economy resource examples deliberately abstracted from those transactions. Adding them changes the goods and asset accounts and introduces relative prices and external financing. The open-economy part will develop those links; the domestic saving rate then need not equal the domestic investment rate.

The region's factories, skills, ideas, and age structure remain relevant when demand falls or productivity changes. Conversely, a recession can change those stocks and future opportunities. Moving to fluctuations changes the question and the adjustment mechanisms under examination; it does not require assuming that all shocks wash out or that long-run growth happens outside the economy's decisions.

When reading a new episode, first measure the outcome, then identify the margin of adjustment, the decision-maker, and the missing constraint. Choose a model that closes those relationships. Its value is the mechanism it makes explicit and the observations it helps us interpret.

# Part III
# Fluctuations

How do disturbances change production, spending, employment, and prices? We first build intuition about the description, sources, propagation, horizons, and consequences of fluctuations. We then develop a real benchmark, introduce nominal rigidities, examine labor-market adjustment, and compare the mechanisms in a concluding synthesis. Part V adds financial and distributional mechanisms and develops the policy comparison.

# 9 Understanding Economic Fluctuations

A factory receives fewer orders. At first it reduces overtime and lets inventories rise. If weak sales continue, it postpones equipment purchases and stops recruiting. Its suppliers lose business; some workers reduce spending. The factory's machines and its workers' skills have not suddenly vanished, yet production, income, and employment can change together.

This is a useful starting puzzle. What changed first? Why did other people respond? Why did adjustment take time? And when orders recover, will the economy simply return to its former path? The factory is a teaching example, not an explanation of every recession. It lets us construct the questions before choosing between competing models of the answers.

## 9.1 Why study growth before fluctuations?

The order in these notes is an analytical convenience, not a rule that all courses follow or that economies obey. Growth theory first gives us an account of productive resources, accumulation, consumption choices, and intertemporal consistency. We can then ask how those choices respond when conditions change unexpectedly or adjustment is incomplete.

A household facing a temporary income loss still compares consumption today with future opportunities. A firm revising investment still inherits its existing capital. A government trying to stabilize activity still uses resources or reallocates claims on resources. The growth models establish these relationships before uncertainty, labor adjustment, nominal contracts, and financial constraints complicate their interaction.

This sequence also provides benchmarks. To say that output is unusually weak, we need to specify weak relative to what: its previous level, an estimated trend, a forecast made before the disturbance, or a model's feasible or efficient allocation. Growth theory helps us think about the benchmark; it does not make that benchmark observable or immune to shocks.

Historically and conceptually, growth and fluctuations also pose joint questions. A period of weak activity can change investment, skills, entry, and innovation. A change in expected future productivity can change spending today. Studying a deterministic growth model first isolates some mechanisms; it does not imply that growth happens first in calendar time or independently of the disturbances that arrive along the way.

> **Growth gives us a path and a structure; fluctuations ask how they move.** Carry forward the inherited stocks, budgets, and choices. Then ask what changed, what can adjust now, and what must adjust later. A useful benchmark need not be a fixed trend, and a fluctuation need not leave that benchmark unchanged.

## 9.2 What exactly are we describing as a fluctuation?

We use economic fluctuations to describe uneven movements in aggregate production, spending, employment, and related variables over time. The object is a joint economic episode, not necessarily a deviation from one fixed smooth line. Begin with the observed movements before assigning them to a trend, a cycle, or a particular cause.

### 9.2.1 Levels, growth rates, and deviations answer different questions

Let $Y_t > 0$ denote real output measured consistently across dates. The log growth rate is $\Delta \log Y_t = \log Y_t - \log Y_{t-1}$. If output rises from 100 to 105 and then to 107, growth slows but output does not fall. If output instead falls from 100 to 95 and then rises to 98, the final period has positive growth but output remains below its initial level. Returning from 95 to 100 requires an increase of about 5.26%, not 5%. These are arithmetic examples, not recession-dating rules.

For a chosen reference path $\bar{Y}_t > 0$, define a log deviation

$$d_t = \log Y_t - \log \bar{Y}_t.$$

It is approximately the proportional deviation for small gaps. It can be negative while actual output is growing: a growing economy can lag behind an even faster-growing reference path. Conversely, output can fall and still lie above a chosen reference. The sign of growth and the sign of the deviation are different descriptions.

There are several possible references, with different interpretations.

**Table 9.1:** Alternative benchmarks for describing fluctuations.

| Reference | What the comparison asks | What it does not establish |
|---|---|---|
| Previous peak | Has the previous level of activity been regained? | Whether the economy has caught up with a growing counterfactual path |
| Statistical trend | How far is output from a fitted smooth component? | That the smooth component is productive capacity or an efficient allocation |
| Earlier forecast | How far is activity from the path previously expected? | That every forecast error is an inefficient output loss |
| Model benchmark | How does output compare with the stated model allocation? | That the model's technology, frictions, or welfare criterion fit the episode |

Potential output is an estimate of sustainable production under specified conditions. Natural output often denotes a model's flexible-price allocation under the other stated frictions; efficient output uses a welfare criterion. These need not coincide. A statistical filter cannot establish their equality. The reference must be named before a deviation is interpreted as slack, overheating, or a welfare loss.

Detrending is therefore part of the measurement problem. The estimated trend can change when new data arrive, especially near the end of the sample; an actual change in trend can also be assigned to the cycle by an unsuitable method. Hamilton's critique of the HP filter illustrates how detrending can introduce misleading dynamics.[23] For a first description, report the actual path alongside the deviation and explain how the reference was constructed.

### 9.2.2 An aggregate episode has breadth, timing, and composition

A decline at one firm is not automatically an aggregate recession. It might reflect customers moving to a competitor, a seasonal lull, or a sector shrinking while another expands. The business-cycle question is why activity moves across many firms, sectors, or households, and how those movements relate to one another.

[23] James D. Hamilton (2018), "Why You Should Never Use the Hodrick–Prescott Filter," *Review of Economics and Statistics*, 100(5), 831–843; working-paper version: `https://www.nber.org/papers/w23429`. The methodological lesson here is to examine the decomposition, not to presume that another filter reveals the true economic benchmark.

Describe the amplitude of a movement, its duration, and its persistence. Then examine comovement: do employment, hours, consumption, investment, and output move together or in opposite directions? Timing matters too. Orders, production, hiring, unemployment, and wages need not turn at the same date. A variable is called procyclical or countercyclical relative to a stated activity measure; leading and lagging describe timing, not causation.

Stock and Watson's study of postwar US macroeconomic time series organizes the evidence around these kinds of relationships.[24] Consumption categories should also be separated: a household may postpone a car purchase while maintaining food consumption. Investment and durable purchases can move sharply because their timing is adjustable. A story about aggregate consumption that ignores this composition may miss the margin on which households respond.

Before interpreting a series, specify whether it is real or nominal, aggregate or per person, and seasonally adjusted where appropriate. Predictable holiday spending is different from an unexpected demand change. A rise in nominal sales can reflect higher prices rather than more goods. A revision to GDP estimates can change our description without changing what firms actually produced at the time.

### 9.2.3 A business cycle is not a regular clock

Expansion, peak, contraction, and trough describe phases of aggregate activity. They do not require a repeating sine wave or a known period. An economy can be hit again before it has adjusted to an earlier disturbance. Different sectors and countries can also move at different times.

For US recession dating, the NBER considers the size, breadth, and duration of declines across several indicators. Its chronology is not mechanically the rule of two consecutive quarters of falling real GDP.[25] A trough marks a turning point into expansion; it does not certify that employment, household incomes, or output relative to a previous forecast have recovered. Other countries and institutions may use different dating procedures. Keep the descriptive convention separate from the explanation.

## 9.3 Where can fluctuations come from?

### 9.3.1 Begin with the first change in opportunities, spending, or financing

Return to the factory. Fewer orders could begin with a buyer losing income, a rise in financing costs, or a decision to postpone purchases. Output could also fall because an essential input becomes unavailable, even when buyers still want the product. Similar observed production declines can begin from different changes in the economic environment.

[24] James H. Stock and Mark W. Watson (1999), "Business Cycle Fluctuations in US Macroeconomic Time Series," *Handbook of Macroeconomics*, 1A, 3–64; working-paper version: `https://www.nber.org/papers/w6528`. The data coverage is historical US evidence, not a claim of identical regularities in every country or period.

[25] NBER, "Business Cycle Dating Procedure: Frequently Asked Questions," explains its US chronology, indicators, and treatment of depth, diffusion, and duration. NBER dating FAQ.

**Table 9.2:** Disturbances and the mechanisms they require.

| Starting disturbance | Concrete situation | First question for the mechanism |
|---|---|---|
| Production or input availability | A component shortage prevents assembly; energy becomes more costly | Which feasible production opportunities or marginal costs changed? |
| Private spending | Households postpone durable purchases; firms revise expected sales | Why did desired spending change at the existing prices and incomes? |
| Financing and balance sheets | Lenders cut credit limits; collateral loses value | Who cannot fund a planned transaction, and which losses or constraints caused it? |
| Policy | The policy rate, taxes, purchases, or a regulatory rule changes | Which part was anticipated or a response to economic conditions? |
| News and uncertainty | A future technology improvement is announced; income risk becomes harder to assess | Which expectations or risks changed before current production did? |
| Reallocation | Demand shifts between sectors needing different skills or equipment | How costly is moving people and resources to the new uses? |

These categories overlap. An input shortage can reduce household income and spending. Lower asset prices can reflect worse expected profits, then reduce collateral and restrict credit. A rise in uncertainty can encourage some households to build buffers or some firms to delay irreversible projects, with the direction and size depending on preferences, constraints, and available options. A label identifies a candidate channel, not a complete causal account.

### 9.3.2 A shock is defined relative to information and a model

In a model, a shock commonly means a new realization or innovation that was not predicted from the information available at the previous decision date. The level of a tax, productivity, or an interest rate is not itself necessarily a shock. A policy action can partly be a predictable response to inflation or activity; interpreting the whole action as an independent policy disturbance would confuse response with cause.

An anticipated future change can affect activity before its implementation. If a buyer expects new equipment to be much better next year, today's orders may change now. The new information arrives today, even though the physical improvement occurs later. Rational expectations, where assumed, do not mean that agents foresee every realization or agree that nothing can go wrong.

Exogeneity is also a modeling boundary. A foreign demand change can be external to a small region while being the outcome of households and firms in the rest of the world. A productivity residual may reflect utilization or measurement, as well as technology. Calling a residual a technology shock does not identify its economic source.

Some models generate fluctuations through feedback, delayed adjustment, financial fragility, or changes in expectations without a sequence of large external disturbances. Self-fulfilling expectations require conditions such as strategic complementarities and an equilibrium-selection account; they cannot be inferred merely because confidence and activity fall together. A stable deterministic model without such mechanisms will not start cycling simply because its agents make choices.

**An observed surprise is not yet an identified cause.** A forecast error says that the outcome differed from an expectation. A structural explanation specifies the change in opportunities, preferences, constraints, information, or policy that produced it. Identification asks what evidence separates that explanation from competing changes occurring at the same time.

## 9.4 How does a disturbance become an aggregate movement?

### 9.4.1 Separate the impulse from propagation and amplification

The impulse is the initiating change. Propagation is how its effects move across time, sectors, and people. Amplification means that interactions make the response larger than a specified direct-effect comparison. Persistence means that the response remains after the initiating innovation; it need not imply periodic oscillation.

A missing component interrupts a producer. Its customers then face delays, its suppliers lose orders, and its workers may lose income. Networks make a local disturbance relevant elsewhere. A customer who postpones a purchase reduces a seller's revenue; if that seller cuts wages or jobs and the affected households cannot smooth consumption, another round of spending can fall. The strength of this feedback depends on price adjustment, alternative buyers, insurance, financial access, and policy responses.

Falling collateral can create another loop. A borrower loses funding, reduces purchases or sells assets, and those sales can further reduce asset prices under limited market absorption. Conversely, buffers, insurance, flexible substitution, and stabilizing policy can damp a disturbance. The initiating shock and the strength of these loops are separate objects.

A small disturbance can therefore produce a large movement in one setting and a modest movement in another. But a large observed decline does not prove a multiplier or a financial accelerator: the initiating disturbance might itself have been large. The direct effect, the comparison economy, and the feedback must be specified.

### 9.4.2 A temporary innovation can have a persistent response

A deliberately simple recursion makes the timing distinction visible:

$$x_t = \rho x_{t-1} + \varepsilon_t, \qquad 0 \le \rho < 1.$$

Here $x_t$ is a dimensionless activity deviation, $\rho$ is an assumed persistence coefficient, and $\varepsilon_t$ is an innovation. Start from $x_{-1} = 0$, set $\varepsilon_0 = -1$, and set every later innovation to zero. Substitution gives

$$x_0 = -1, \qquad x_1 = -\rho, \qquad x_2 = -\rho^2, \qquad x_t = -\rho^t \quad (t \ge 1).$$

The innovation lasts one period. Unless $\rho = 0$, its response lasts longer. Higher $\rho$ slows its decay; these paths do not repeatedly change sign. This is a timing illustration, not a household problem, an estimated response, or proof of a particular source of persistence. In a structural model, capital, job matching, contracts, or balance sheets would have to generate the relevant dynamics.

The accumulated deviation in this stable example is $\sum_{t=0}^{\infty} x_t = -1/(1-\rho)$. That is an area in units of the chosen deviation, not a welfare measure or an identified amount of GDP lost. It shows why impact size alone is insufficient to describe a disturbance. Figure 9.1 holds the impact fixed to isolate persistence; a full model can change impact and duration together.

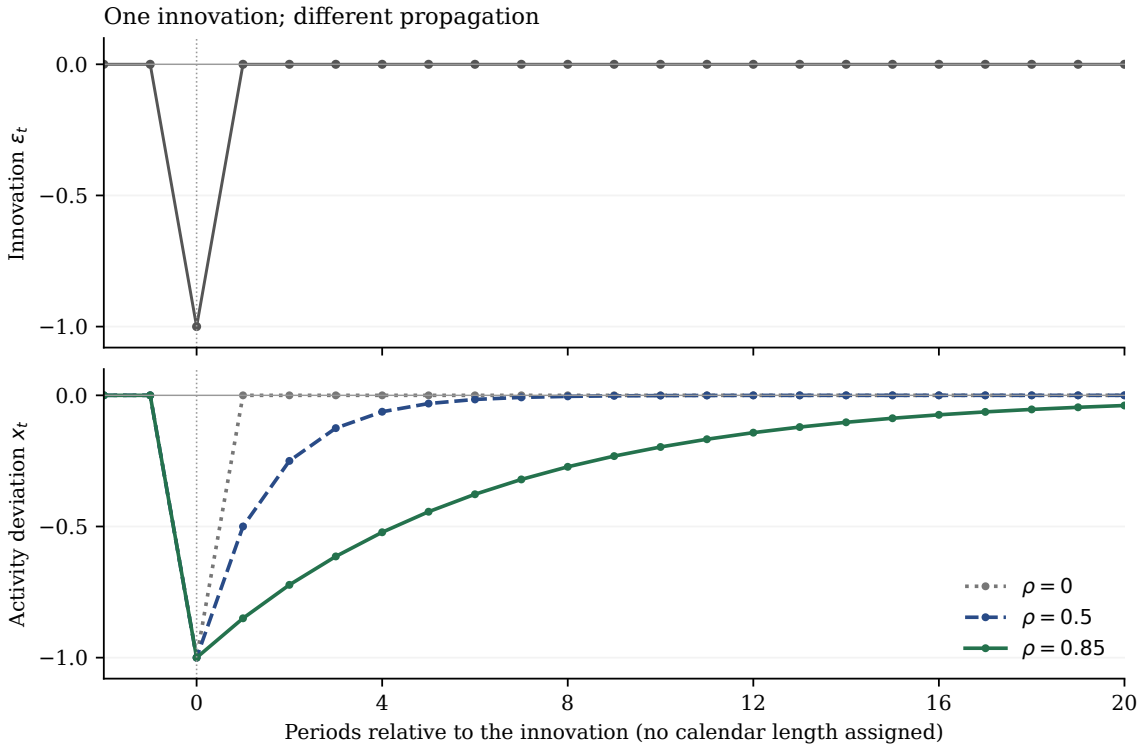



**Figure 9.1:** The same one-period negative innovation with different assumed persistence coefficients. All paths have the same impact. The lower panel shows subsequent activity, not additional shocks. Periods have no assigned calendar length, and the curves are not estimates.

### 9.4.3 Individual plans meet through income, prices, and constraints

A household can try to improve its finances by spending less. If many households do so together, their suppliers' revenues change. It is then necessary to explain how saving reaches investment, how prices and interest rates respond, and whether output or employment adjusts. Planned saving is not an extra stock of goods available independently of those responses.

In a flexible-price economy with effective intermediation, some adjustment may occur through relative prices and intertemporal substitution. With sticky prices, pessimistic expected sales, or binding financing constraints, the same initial spending intention can produce a different output response. The paradox of thrift is a conditional general-equilibrium mechanism, not a statement that saving is always harmful. It is consistent with the growth chapters' finding that accumulation can improve future opportunities.

The same principle applies to a firm cutting wages or costs: an individually sensible response changes other people's income and choices. Individual optimization does not by itself guarantee an efficient aggregate outcome when externalities or other distortions are present. Conversely, adjustment to a genuinely reduced production opportunity can lower output even in an efficient equilibrium. Falling output alone does not choose between these accounts.

## 9.5 Do fluctuations belong to the short, medium, or long run?

### 9.5.1 The relevant clock is the adjustment mechanism

Business-cycle analysis often focuses on changes over quarters and years. That is a useful scale for production, spending, and employment decisions; it is not a definition that all effects expire within a fixed number of years. Short, medium, and long run describe which adjustments have had time to occur. Those adjustments overlap rather than occupying sealed calendar boxes.

**Table 9.3:** Adjustment mechanisms across time horizons.

| Perspective | Adjustments to examine | Why an effect may remain |
|---|---|---|
| Short run | Orders, inventories, hours, spending, prices, and contracts | Existing commitments or constraints can prevent immediate reallocation |
| Medium run | Hiring, matching, capital installation, sectoral movement, and debt repair | Stocks, skills, and financial positions take time to rebuild or reorganize |
| Long run | Productive capacity, institutions, research, and paths of technology and population | Earlier decisions can alter the stocks or accumulation mechanisms that support later activity |

A price can change quickly while a borrower remains heavily indebted. Construction can stop immediately although an unfinished plant takes years to repurpose. Employment can recover in aggregate while displaced workers still need different skills. The appropriate horizon depends on the question and the constraints that remain, not simply on how much time has passed.

Financial movements can also have a different timescale from measured business-cycle movements. Drehmann, Borio, and Tsatsaronis (2012) document longer movements in credit and property prices in their historical financial- cycle analysis.[26] A short recovery in spending need not complete balance-sheet repair. Nor does a longer financial movement establish that every business cycle began in finance.

### 9.5.2 Shock duration, recovery time, and lasting damage are different

A shipping interruption might end quickly while inventories, production schedules, and customers' orders take longer to normalize. A persistent rise in energy costs may require a new production mix instead of restoration of the old one. A brief period without credit might close a firm whose customer relationships cannot be recreated immediately.

The growth chapters make these links explicit. Less investment changes future capital. Less training can change skills. Research cuts or reduced entry can change later innovation. Not every temporary reduction produces a permanent effect: replacement investment, rehiring, catch-up, or new entry can restore the previous path under suitable conditions. The adjustment mechanism must determine whether and how that happens.

In the strict sense, hysteresis means that history changes the economy's long-run outcome, rather than merely producing slow convergence to the same one. Blanchard and Summers' analysis of European unemployment is a classic application of this idea.[27] The term should not substitute for a mechanism. Lost skills, disrupted job matching, and a temporary hiring delay have different implications for whether an effect eventually disappears.

[26] Mathias Drehmann, Claudio Borio, and Kostas Tsatsaronis (2012), "Characterising the Financial Cycle: Don't Lose Sight of the Medium Term!" *BIS Working Papers*, no. 380. `https://www.bis.org/publ/work380.htm`. This is evidence under that paper's definition and sample, not a universal period for every credit cycle.

[27] Olivier J. Blanchard and Lawrence H. Summers (1986), "Hysteresis and the European Unemployment Problem," *NBER Macroeconomics Annual*, 1, 15–78; working-paper version: `https://www.nber.org/papers/w1950`.

Cerra and Saxena (2008) provide historical cross-country evidence of highly persistent output losses after financial crises and some political crises. [28] This is a reason to investigate lasting losses, not permission to label every estimated trend break as the causal effect of a recession. The earlier forecast may have been too optimistic, and the disturbance may itself have changed productive opportunities.

**Long-run adjustment does not mean returning to the old forecast.** A model can have flexible prices in the long run and still inherit different capital, skills, debt, or technology after a downturn. A permanent level loss, a permanently lower growth rate, and slow recovery to an unchanged path are different outcomes. The time horizon alone does not tell us which one occurs.

## 9.6 Why do fluctuations matter?

### 9.6.1 Lost activity and displaced people are not just a line on a graph

An unsold service today may never be produced later. A later increase in output need not replace the consumption or work experience that was missed. Returning to an earlier output level also falls short of a counterfactual path that would have continued growing. The benchmark must still be justified before a cumulative shortfall is interpreted as avoidable lost production.

Households experience the same aggregate movement differently. A worker losing a job, a borrower facing refinancing, a retiree with fixed nominal claims, and a firm with cash reserves face different risks. Aggregate consumption can appear stable while losses concentrate among people who cannot insure them. Inflation and asset-price changes can redistribute purchasing power as well as change aggregate activity.

The costs include consumption risk, involuntary loss of work, disruption of productive relationships, and possible changes in future opportunities. An expansion can also involve excessive risk-taking or distorted allocation under particular incentives. The welfare object is therefore richer than minimizing the variance of GDP around a fitted trend.

### 9.6.2 Even fluctuations around the same mean can be costly

A small example isolates consumption risk. Suppose a person has log utility and faces two equally likely consumption outcomes, $0.9$ and $1.1$, with no way to insure or transfer resources between them. Expected consumption is one, but expected utility is

$$\tfrac{1}{2}\log(0.9) + \tfrac{1}{2}\log(1.1) = \tfrac{1}{2}\log(0.99) < \log(1) = 0.$$

The certain consumption giving the same utility is $\sqrt{0.99} \simeq 0.99499$. Eliminating this particular risk at unchanged mean consumption would be desirable to this person. It does not tell us the aggregate welfare cost of business cycles: insurance, leisure, heterogeneity, expected growth, and the cost of changing the fluctuations are absent.

The example illustrates a reason to care about risk. It does not imply that every observed output movement should be prevented. If an input becomes scarce, an efficient economy may produce less and alter its consumption mix. If a price or credit distortion causes additional unemployment and lost trade, reducing that distortion poses a different welfare problem.

[28] Valerie Cerra and Sweta Chaman Saxena (2008), "Growth Dynamics: The Myth of Economic Recovery," *American Economic Review*, 98(1), 439–457. `https://doi.org/10.1257/aer.98.1.439`. The statement concerns the crises and methods studied there, not an inevitability for every downturn.

**Question: the same fall in output, three different economies.** In one economy, a missing input makes production infeasible. In another, customers postpone purchases while goods prices adjust slowly. In a third, firms have orders but lose access to working funds. Ask what limits production in each, what happens to prices and employment, and which intervention changes the relevant constraint. The observed fall in GDP is insufficient to prescribe the same response in all three.

Policy can cushion income risk, support spending, repair intermediation, or help resources adjust. Each intervention has a channel, financing, incentive effects, and implementation limits. Supporting demand does not manufacture a missing component; increasing productive capacity does not ensure it will be purchased now. Some episodes require several responses because the initial disturbance creates new constraints as it propagates.

## 9.7 What must a model of fluctuations explain?

A convincing account should explain a joint path: production and spending, employment and hours, prices and wages, investment and finance. It should say what initiated the change, what was already anticipated, why other agents responded, and why the response took the observed time to unfold. Matching the movement of GDP alone can leave very different explanations observationally similar.

A useful empirical distinction is between an unconditional regularity and a response to a specified shock. Output and employment moving together in the data does not establish how either responds to a technology shock, for example: the data contain several disturbances and policy responses. An impulse response asks what follows a particular innovation relative to a specified comparison path. Its interpretation depends on how that innovation was identified.

The next chapter starts with RBC because it carries the Ramsey logic into changing real opportunities and endogenous labor choices. It gives a benchmark for asking how much individual adjustment and inherited capital can explain under flexible prices. The order of presentation does not establish that technology causes all fluctuations, that money is irrelevant, or that all unemployment is an efficient choice. Those are claims requiring specific assumptions and evidence.

New Keynesian and sticky-wage models then make nominal adjustment part of the explanation. Labor-market models examine hiring and matching, while later chapters develop financial and distributional transmission. The models will earn their place by explaining a mechanism and its limits. Keep the factory's questions in view: what changed first, what carried the change, who bore it, and which opportunities remained different afterward?

# 10 Real Business Cycle Model

## 10.1 From a growth path to changing opportunities

### 10.1.1 What would make a Ramsey household change its working week?

Imagine a group of factories. Their machines have not changed overnight, but an interruption in power supply now makes each working shift less productive. Orders, hours, investment, and consumption may all change. Start with questions rather than labeling the event a "technology shock." Can the factories produce less with the same inputs? Are households poorer? Should they postpone work or investment until conditions improve? Would the answer differ if the interruption lasted one week rather than several years?

Ramsey already gives a way to compare consumption today and tomorrow. But with fixed labor and a known production path, it leaves two margins closed. Households cannot move working time toward more rewarding dates, and they never have to choose before learning tomorrow's production conditions. Let labor be chosen; let future productivity be uncertain. Keep preferences, ownership, production, and market clearing explicit. This produces a tractable real business cycle (RBC) benchmark.

This is a teaching reconstruction of the modeling questions, not a record of any author's private thought process. Kydland and Prescott (1982) and Long and Plosser (1983) are foundational contributions. Their actual environments differ; the one-sector model below is a simpler teaching economy, without the former's multi-period construction technology or the latter's sectoral structure. [29]

### 10.1.2 Choose the disturbance, then explain its transmission

A scalar $A_t$ summarizes how much output given capital and hours can produce. An unexpected change in it is an innovation. The persistence of $A_t$ describes how long production opportunities change. Household choices and accumulated capital determine how that change travels through the economy. These are three different objects: innovation, persistence, and propagation.

A fall in $A_t$ need not mean that engineers forgot a blueprint. A power or logistics disruption can reduce effective production opportunities. But treating an event as a scalar productivity change is a modeling decision: energy inputs, relative prices, network bottlenecks, and distributional losses have been suppressed. A credit refusal or an absence of orders cannot automatically be reclassified as technology. Their mechanisms need their own constraints.

The growth models explain accumulation and, in some cases, the source of trend growth. Here we hold trend productivity constant to isolate fluctuations around a stationary reference. This does not assert that actual output has no trend. Adding a deterministic trend requires a consistent normalization of production, preferences, and Euler conditions; it cannot be hidden inside the shock term.

[29] Finn E. Kydland and Edward C. Prescott (1982), "Time to Build and Aggregate Fluctuations," *Econometrica*, 50(6), 1345–1370, https://www.minneapolisfed.org/~/media/files/research/prescott/papers/timetobuild.pdf; John B. Long, Jr., and Charles I. Plosser (1983), "Real Business Cycles," *Journal of Political Economy*, 91(1), 39–69, https://doi.org/10.1086/261128.

**A real benchmark is a conditional experiment.** The original course principles become two questions. How much joint movement can real disturbances produce when agents respond optimally? Which observed movements require additional mechanisms? Money and nominal frictions are excluded from the real allocation block below. Their exclusion does not establish their empirical irrelevance. Government purchases, relative import prices, and preference disturbances can be studied in extensions, but are not silently included in this one-shock economy.

## 10.2 Complete conditions and the order of decisions

The main model has endogenous capital. The course's fixed-capital benchmark will be recovered as a separate restriction in Section 10.5. Population is one and does not grow; hours are allowed to vary at every date. In particular, zero population growth is not constant labor input.

**01 Dates, people, and the time endowment**

Time is discrete, $t = 0, 1, \ldots$. A closed economy contains many identical, infinite-lived, price-taking households, aggregated to one representative household of constant mass one. Each household has one unit of time per date: $N_t \in [0, 1]$ is work and $L_t = 1 - N_t$ is leisure. Work denotes an intensive hours margin; there is no separate unemployment, participation, matching, or involuntary rationing margin. Consumption satisfies $C_t > 0$.

**02 Goods, states, ownership, and timing**

One homogeneous good can be consumed or installed as capital at unit resource cost. Households own the capital and firm shares. The given initial stock is $K_0 > 0$; $K_t$ was chosen at $t - 1$ and is usable at $t$. The current productivity $A_t$ is observed before choosing $C_t, N_t, I_t, K_{t+1}$ and financial positions. Next period's innovation is not yet observed. Capital is the only accumulated productive stock; there are no inventories, skills, adjustment costs, installation delays, or variable utilization in this benchmark.

**03 Production and competitive firms**

Firms rent capital and hire labor in competitive spot markets. Their technology is $Y_t = A_t K_t^{\alpha} N_t^{1-\alpha}$, with $A_t > 0$ and $0 < \alpha < 1$. It has constant returns in $(K_t, N_t)$, positive marginal products, and diminishing marginal products holding the other input fixed. Firms take prices and $A_t$ as given; there is no markup, externality, or nominal price or wage rigidity.

**04 The stochastic process and information**

Write $a_t = \log(A_t/\bar{A})$, where $\bar{A} > 0$, and let

$$a_t = \rho_a a_{t-1} + \varepsilon_t^a, \qquad |\rho_a| < 1, \qquad E_{t-1}\varepsilon_t^a = 0, \quad E[(\varepsilon_t^a)^2] = s_\varepsilon^2 < \infty.$$

Innovations are independent and identically distributed, with a distribution known to households; Gaussian innovations are an optional specification. $E_t$ conditions on the full observed history through $t$ and the equilibrium rules, including current $K_t, A_t$. Rational expectations means using this conditional law, not knowing the future realization. $a_t = 0$ is the deterministic reference, not a claim that $EA_t = \bar{A}$ under uncertainty.

### 05 Preferences and the household objective

The household maximizes $E_0 \sum_{t=0}^{\infty} \beta^t u(C_t, N_t)$, with $0 < \beta < 1$, $\sigma > 0$, $\chi > 0$, and $\varphi > 0$, where

$$u(C,N) = \begin{cases} (C^{1-\sigma} - 1)/(1-\sigma) - \chi N^{1+\varphi}/(1+\varphi), & \sigma \neq 1, \\ \log C - \chi N^{1+\varphi}/(1+\varphi), & \sigma = 1. \end{cases}$$

The original course normalization is $\chi = 1$. $\sigma$ governs consumption curvature; $\varphi$ governs the curvature of work disutility. We derive local interior conditions with $0 < N_t < 1$. Parameter and shock choices must support finite expected welfare and feasible paths; large shocks may activate corners that a local solution does not describe.

### 06 Accumulation, prices, and household resources

Capital depreciates at $0 < \delta < 1$ and satisfies $K_{t+1} = (1-\delta)K_t + I_t \geq 0$. The baseline permits reversible investment; there is no additional $I_t \geq 0$ constraint. Let $w_t$ be the real wage, $q_t$ the real capital rental payment before depreciation, and $d_t$ real profits distributed to households. With no financial trade the household budget is

$$C_t + K_{t+1} = w_t N_t + (q_t + 1 - \delta)K_t + d_t.$$

Households face no tax, transfer, borrowing wedge, or idiosyncratic uninsured risk. Prices and returns are taken as given in individual optimization; market clearing is imposed afterward.

### 07 Financial claims and nominal units

For the course's nominal bond calculation, $P_t > 0$ is the goods price, $W_t = P_t w_t$, and $D_t = P_t d_t$. $B_t$ pays one currency unit per unit at $t+1$ and costs $Q_t > 0$ at $t$, so $R_t^n = 1/Q_t = 1 + i_t$ is the gross nominal return. The full budget is

$$P_t[C_t + K_{t+1} - (1-\delta)K_t] + Q_t B_t = W_t N_t + P_t q_t K_t + B_{t-1} + D_t.$$

Bonds are in zero aggregate net supply and $B_{-1} = 0$. A household's small financial trade is allowed when deriving its Euler condition; identical-agent market clearing then sets aggregate $B_t = 0$. A risk-free *real* claim is a separate hypothetical payoff, not the nominal bond deflated by a known future price. There is no monetary asset in the core household budget.

### 08 Market clearing, solvency, and terminal behavior

Household labor and capital supplies equal firms' demands. Goods clear as $Y_t = C_t + I_t$, and constant returns with competitive pricing imply $d_t = 0$. Admissible household plans rule out debt rollovers that finance consumption without resources. For the capital-only aggregate optimum the transversality restriction is

$$\lim_{T \to \infty} E_0[\beta^T C_T^{-\sigma} K_{T+1}] = 0.$$

Solvency restricts admissible borrowing; transversality selects optimal terminal behavior. Neither follows merely from writing the interior Euler equations. No-Ponzi restrictions also apply to any individual financial trades.

**09 Equilibrium, reference state, and scope**

An equilibrium is a collection of history-contingent allocations and prices satisfying household optimality and admissibility, firm optimality, the productivity law, and all market-clearing conditions for the given initial state. We select the locally stable interior solution near its deterministic steady state. Money, government, foreign trade, monopoly, financial frictions, and household heterogeneity are absent. A nominal policy or quantity closure is an extra specification; the real equations alone do not select $P_t$.

The within-date sequence is

$$\underbrace{K_t,\ A_t \text{ observed}}_{\text{inherited stock and current information}} \longrightarrow \underbrace{N_t,\ Y_t,\ C_t,\ I_t}_{\text{work, production, and allocation}} \longrightarrow \underbrace{K_{t+1}}_{\text{productive next date}} .$$

An announcement about tomorrow can change today's choices; tomorrow's machine stock cannot jump retroactively. In the experiment below only unanticipated productivity innovations occur.

## 10.3 Household choice: working now and transferring consumption

### 10.3.1 Retain the course's nominal bond route

First suppress capital trade to isolate the original asset calculation. Write nominal nonlabor income as $\mathscr{D}_t$; this includes the fixed factor's income in the course benchmark. The budget is

$$P_tC_t + Q_tB_t = B_{t-1} + W_tN_t + \mathscr{D}_t. \tag{10.1}$$

Use resources minus expenditures in the multiplier term:

$$\mathscr{L} = E_0 \sum_{t=0}^{\infty} \beta^t \{u(C_t, N_t) + \lambda_t[B_{t-1} + W_tN_t + \mathscr{D}_t - P_tC_t - Q_tB_t]\}. \tag{10.2}$$

For an interior choice at a history observed at $t$, the first two derivatives are

$$u_{C,t} - \lambda_t P_t = 0, \qquad \lambda_t = u_{C,t}/P_t, \tag{10.3}$$

$$u_{N,t} + \lambda_t W_t = 0, \qquad -u_{N,t} = \lambda_t W_t. \tag{10.4}$$

The common factor $\beta^t$ and the probability of reaching this history cancel from the two conditions. Divide the second condition by the first:

$$\frac{-u_{N,t}}{u_{C,t}} = \frac{\lambda_t W_t}{\lambda_t P_t}, \tag{10.5}$$

$$-\frac{u_{N,t}}{u_{C,t}} = \frac{W_t}{P_t} = w_t. \tag{10.6}$$

The marginal disutility of another working hour equals its consumption-valued wage. This is an intratemporal condition: all its objects are known at $t$.

One unit of $B_t$ costs $Q_t$ now and pays one currency unit in every next-date state. Its two multiplier contributions give

$$0 = -\beta^t \lambda_t Q_t + \beta^{t+1} E_t \lambda_{t+1}, \tag{10.7}$$

$$\lambda_t Q_t = \beta E_t \lambda_{t+1}, \tag{10.8}$$

$$Q_t \frac{u_{C,t}}{P_t} = \beta E_t \left[ \frac{u_{C,t+1}}{P_{t+1}} \right], \tag{10.9}$$

$$Q_t = \beta E_t \left[ \frac{u_{C,t+1}}{u_{C,t}} \frac{P_t}{P_{t+1}} \right]. \tag{10.10}$$

Current $P_t$ and $u_{C,t}$ can leave the expectation; future marginal utility and the future price generally cannot. The last line retains the course's nominal Euler equation with a consistent sign and information convention.

Differentiate the stated utility explicitly:

$$\frac{d}{dC} \frac{C^{1-\sigma} - 1}{1-\sigma} = \frac{(1-\sigma)C^{-\sigma}}{1-\sigma} = C^{-\sigma}, \tag{10.11}$$

$$\frac{d}{dC} \log C = 1/C = C^{-1}, \tag{10.12}$$

$$\frac{\partial u}{\partial N} = -\frac{\chi(1+\varphi)N^{\varphi}}{1+\varphi} = -\chi N^{\varphi}. \tag{10.13}$$

Substitution into the two optimality conditions yields

$$-\frac{-\chi N_t^{\varphi}}{C_t^{-\sigma}} = \chi C_t^{\sigma} N_t^{\varphi} = w_t, \tag{10.14}$$

$$\frac{u_{C,t+1}}{u_{C,t}} = \frac{C_{t+1}^{-\sigma}}{C_t^{-\sigma}} = \left( \frac{C_{t+1}}{C_t} \right)^{-\sigma}, \tag{10.15}$$

$$Q_t = \beta E_t \left[ \left( \frac{C_{t+1}}{C_t} \right)^{-\sigma} \frac{P_t}{P_{t+1}} \right]. \tag{10.16}$$

When $C_t$ and thus the marginal value of resources are held fixed,

$$\log N_t = \frac{\log w_t - \log \chi - \sigma \log C_t}{\varphi}, \tag{10.17}$$

$$\left. \frac{\partial \log N_t}{\partial \log w_t} \right|_{u_{C,t}} = 1/\varphi. \tag{10.18}$$

This is the Frisch hours elasticity. Along an equilibrium, consumption also changes: a higher wage creates both a reward to working and additional wealth. The Frisch calculation alone does not determine the total hours response.

**Keep random prices inside the expectation.** In general $E_t(X/Z) \neq E_tX/E_tZ$, and $E_t(XZ) \neq E_tX\,E_tZ$. For two equally likely future states with $(X,Z) = (1,1),(3,2)$,

$$E(X/Z) = \tfrac{1}{2}(1 + 3/2) = 5/4, \qquad EX/EZ = 2/(3/2) = 4/3.$$

The nominal bond pays a certain currency amount, but its purchasing power $1/P_{t+1}$ is uncertain. A risk-free real bond instead has a certain goods payoff. Confusing the two loses the connection between prices and consumption risk.

### 10.3.2 Capital brings back the Ramsey margin, with uncertain returns

For the full budget in card 07, consumption and hours have the same derivatives. The cost of one extra unit of $K_{t+1}$ is $P_t$ at $t$. Next date it delivers rental income $P_{t+1}q_{t+1}$ plus surviving capital $P_{t+1}(1-\delta)$. Taking prices as given, the two-date derivative is

$$0 = -\beta^t \lambda_t P_t + \beta^{t+1} E_t[\lambda_{t+1} P_{t+1}(q_{t+1} + 1 - \delta)], \tag{10.19}$$

$$\lambda_t P_t = \beta E_t[\lambda_{t+1} P_{t+1}(q_{t+1} + 1 - \delta)], \tag{10.20}$$

$$C_t^{-\sigma} = \beta E_t[C_{t+1}^{-\sigma}(q_{t+1} + 1 - \delta)]. \tag{10.21}$$

Let $R^K_{t+1} = q_{t+1} + 1 - \delta$ and $M_{t,t+1} = \beta(C_{t+1}/C_t)^{-\sigma}$. Division by current marginal utility gives

$$1 = E_t[M_{t,t+1} R^K_{t+1}], \tag{10.22}$$

$$Q_t = E_t[M_{t,t+1} P_t/P_{t+1}], \tag{10.23}$$

$$R^f_t = 1/E_t M_{t,t+1}. \tag{10.24}$$

The last line prices a hypothetical risk-free real payoff. The bond can help price intertemporal transfers even though identical households hold zero bonds in aggregate. It cannot make aggregate consumption exceed aggregate resources.

Expected capital returns need not equal the risk-free return. Expanding the conditional covariance gives

$$1 = (E_tM_{t,t+1})(E_tR^K_{t+1}) + \mathrm{Cov}_t(M_{t,t+1}, R^K_{t+1}), \tag{10.25}$$

$$E_tR^K_{t+1} = R^f_t - \frac{\mathrm{Cov}_t(M_{t,t+1}, R^K_{t+1})}{E_tM_{t,t+1}}. \tag{10.26}$$

A payoff arriving when consumption is scarce is especially valuable. This risk distinction disappears to first order around the deterministic reference; it is not absent from the exact model.

## 10.4 Firms, resource clearing, and the real equilibrium

### 10.4.1 Differentiate before normalizing the capital stock

In real goods the firm solves

$$\max_{K^d_t, N^d_t} A_t(K^d_t)^\alpha (N^d_t)^{1-\alpha} - w_tN^d_t - q_tK^d_t.$$

The household owns the stock; the firm rents its current services. Thus the firm's capital demand is a within-date choice, even though aggregate capital supply $K_t$ is predetermined. The input derivatives at an interior optimum are

$$0 = (1-\alpha)A_t(K_t^d)^{\alpha}(N_t^d)^{-\alpha} - w_t, \tag{10.27}$$

$$0 = \alpha A_t(K_t^d)^{\alpha-1}(N_t^d)^{1-\alpha} - q_t. \tag{10.28}$$

Impose $K_t^d = K_t$ and $N_t^d = N_t$ afterward:

$$w_t = (1-\alpha)A_t K_t^{\alpha} N_t^{-\alpha} = (1-\alpha)Y_t/N_t, \tag{10.29}$$

$$q_t = \alpha A_t K_t^{\alpha-1} N_t^{1-\alpha} = \alpha Y_t/K_t. \tag{10.30}$$

For a prescribed output $Y_t$, cost minimization over labor alone, with fixed $K_t$, delivers the same conditional labor requirement. It is not an unconstrained minimization of wage payments with no output requirement. The stock cannot be replaced by the wage in the production function.

Factor income exhausts output:

$$w_t N_t = (1-\alpha)Y_t, \qquad q_t K_t = \alpha Y_t, \tag{10.31}$$

$$d_t = Y_t - w_t N_t - q_t K_t = Y_t - (1-\alpha)Y_t - \alpha Y_t = 0. \tag{10.32}$$

Zero profit does not remove households' capital income. Use the household budget, zero bond supply, and these payments to obtain

$$C_t + K_{t+1} = w_t N_t + q_t K_t + (1-\delta)K_t + d_t, \tag{10.33}$$

$$= Y_t + (1-\delta)K_t, \tag{10.34}$$

$$Y_t - C_t = K_{t+1} - (1-\delta)K_t = I_t, \tag{10.35}$$

$$Y_t = C_t + I_t. \tag{10.36}$$

Saving allocates current goods to capital; bond trade only rearranges claims between households. The labor condition, resource constraint, and capital Euler equation play different roles and must all hold.

### 10.4.2 The planner route checks the same allocation

With the stated competition, ownership, and absence of wedges, a planner can choose the aggregate allocation under the same technology and information:

$$\mathscr{L}^P = E_0 \sum_{t=0}^{\infty} \beta^t \{u(C_t, N_t) + \mu_t[A_t K_t^{\alpha} N_t^{1-\alpha} + (1-\delta)K_t - C_t - K_{t+1}]\}. \tag{10.37}$$

Its derivatives are

$$u_{C,t} - \mu_t = 0, \tag{10.38}$$

$$u_{N,t} + \mu_t(1-\alpha)A_t K_t^{\alpha} N_t^{-\alpha} = 0, \tag{10.39}$$

$$-\mu_t + \beta E_t[\mu_{t+1}(\alpha A_{t+1} K_{t+1}^{\alpha-1} N_{t+1}^{1-\alpha} + 1 - \delta)] = 0. \tag{10.40}$$

Substituting $\mu_t = C_t^{-\sigma}$ recovers (10.14) and (10.21), with the competitive factor prices. Concavity, feasibility, and the terminal restriction accompany these interior conditions. The equivalence must be reconsidered when a wedge, externality, markup, or market incompleteness changes the environment.

**The equilibrium is a loop, not two independent curves.** Observed productivity and inherited capital determine productive opportunities. Households choose hours and consumption jointly, using both current wages and expected future returns. Hours change output and factor prices; the consumption choice leaves investment; investment changes tomorrow's capital. Prices must support all of these choices at once. An AS/AD grouping can organize the original equations, but cannot close the economy without its resource, accumulation, expectations, and terminal conditions.

A compact list of the *exact* real conditions is therefore

$$Y_t = A_t K_t^{\alpha} N_t^{1-\alpha}, \tag{10.41}$$
$$\chi C_t^{\sigma} N_t^{\varphi} = (1-\alpha) Y_t / N_t, \tag{10.42}$$
$$C_t^{-\sigma} = \beta E_t[C_{t+1}^{-\sigma}(\alpha Y_{t+1}/K_{t+1} + 1 - \delta)], \tag{10.43}$$
$$Y_t = C_t + I_t, \tag{10.44}$$
$$K_{t+1} = (1-\delta) K_t + I_t, \tag{10.45}$$
$$a_t = \rho_a a_{t-1} + \varepsilon_t^a. \tag{10.46}$$

The initial state and transversality condition remain part of the model even when they are not repeated in this list. Wages, rentals, and bond prices are then recovered from their pricing equations. No nominal variable is required to solve this real block.

## 10.5 Recover the course's fixed-capital benchmark

Freeze productive capital at $\bar{K} = 1$, remove its investment choice, and assume no depreciation, government purchases, or foreign trade. There is no replacement expenditure, so $I_t = 0$ and $C_t = Y_t$. This is a separate classroom restriction, not the full model with its capital Euler equation still imposed. Owners receive fixed-factor income $\mathscr{D}_t/P_t = \alpha Y_t$; the labor-only firm's residual pays that factor. The course's $\chi = 1$ may also be imposed. The limit $\alpha = 0$ recovers labor-only production, as allowed in the course; the main capital model uses $0 < \alpha < 1$.

The real equations become

$$Y_t = A_t N_t^{1-\alpha}, \qquad C_t = Y_t, \tag{10.47}$$
$$w_t = (1-\alpha) A_t N_t^{-\alpha}, \tag{10.48}$$
$$w_t = \chi C_t^{\sigma} N_t^{\varphi}. \tag{10.49}$$

Solve this restricted allocation without skipping the wealth effect. Equate wages and replace consumption by production:

$$\chi C_t^{\sigma} N_t^{\varphi} = (1-\alpha) A_t N_t^{-\alpha}, \tag{10.50}$$
$$\chi (A_t N_t^{1-\alpha})^{\sigma} N_t^{\varphi} = (1-\alpha) A_t N_t^{-\alpha}, \tag{10.51}$$
$$N_t^{\sigma(1-\alpha)+\varphi+\alpha} = \frac{1-\alpha}{\chi} A_t^{1-\sigma}. \tag{10.52}$$

Let $d_N = \sigma(1-\alpha) + \varphi + \alpha > 0$. At an interior solution,

$$N_t = \left[\frac{1-\alpha}{\chi} A_t^{1-\sigma}\right]^{1/d_N}, \tag{10.53}$$

$$\log N_t = \frac{\log(1-\alpha) - \log\chi}{d_N} + \frac{1-\sigma}{d_N}\log A_t, \tag{10.54}$$

$$\frac{d\log N_t}{d\log A_t} = \frac{1-\sigma}{d_N}, \tag{10.55}$$

$$\frac{d\log Y_t}{d\log A_t} = 1 + (1-\alpha)\frac{1-\sigma}{d_N} = \frac{1+\varphi}{d_N}. \tag{10.56}$$

The last equality follows by collecting $d_N + (1-\alpha)(1-\sigma) = \varphi + \alpha + 1 - \alpha = 1 + \varphi$. The formulas apply while $0 < N_t < 1$; they do not bypass the time endowment.

> **Question: does better productivity necessarily raise work?** In this fixed-factor economy, $\sigma = 1$ gives $N_t = [(1-\alpha)/\chi]^{1/(1+\varphi)}$, independent of $A_t$. Higher productivity raises the wage and income, but the work-reward and wealth margins exactly offset. For $\sigma < 1$ hours rise; for $\sigma > 1$ they fall, provided the solution is interior. Endogenous labor is not by itself a prediction that hours always move with output. The investment margin in the full model changes this experiment.

There is no endogenous capital memory here. With serially independent $A_t$, the real allocation depends only on the current shock. A persistent $A_t$ produces persistence mechanically; zero-net-supply bond prices do not create another aggregate resource state. This is why adding the capital choice changes the model.

## 10.6 Capital accumulation and the deterministic reference

### 10.6.1 Find the steady state in the order the conditions determine it

Switch innovations off and set $A_t = \bar{A}$. A deterministic steady state has constant $K^*, C^*, N^*, Y^*, I^*$. It is a reference for local expansion, not the unconditional mean of the nonlinear stochastic economy. The Euler equation gives

$$(C^*)^{-\sigma} = \beta(C^*)^{-\sigma}(q^* + 1 - \delta), \tag{10.57}$$

$$1 = \beta(q^* + 1 - \delta), \tag{10.58}$$

$$q^* = \beta^{-1} - 1 + \delta. \tag{10.59}$$

Let $v = Y^*/K^* = q^*/\alpha > 0$. Capital stationarity and goods clearing imply

$$K^* = (1-\delta)K^* + I^*, \qquad I^* = \delta K^*, \tag{10.60}$$

$$C^* = Y^* - \delta K^*, \qquad s_I \equiv I^*/Y^* = \delta/v, \tag{10.61}$$

$$s_C \equiv C^*/Y^* = 1 - \delta/v, \qquad s_C + s_I = 1. \tag{10.62}$$

Here $v > \delta$ since $q^* > \delta$ and $\alpha < 1$, so $s_C > 0$. The steady capital–hours ratio $x = K^*/N^*$ follows from the rental equation:

$$q^* = \alpha\bar{A}(K^*)^{\alpha-1}(N^*)^{1-\alpha} = \alpha\bar{A}x^{\alpha-1}, \tag{10.63}$$

$$x^{1-\alpha} = \alpha\bar{A}/q^*, \tag{10.64}$$

$$x = (\alpha\bar{A}/q^*)^{1/(1-\alpha)}. \tag{10.65}$$

Define $z = Y^*/N^* = \bar{A}x^{\alpha}$. Then $C^* = s_C z N^*$ and $w^* = (1-\alpha)z$. The labor condition pins down the scale:

$$\chi(s_C z N^*)^{\sigma}(N^*)^{\varphi} = (1-\alpha)z, \tag{10.66}$$

$$(N^*)^{\sigma+\varphi} = \frac{(1-\alpha)z}{\chi(s_C z)^{\sigma}}, \tag{10.67}$$

$$N^* = \left[\frac{(1-\alpha)z}{\chi(s_C z)^{\sigma}}\right]^{1/(\sigma+\varphi)}, \tag{10.68}$$

$$K^* = xN^*, \quad Y^* = zN^*, \quad C^* = s_C z N^*, \quad I^* = \delta x N^*. \tag{10.69}$$

If this $N^*$ is outside $(0,1)$, the interior formula is inapplicable. One can instead choose an intended interior $N^*$ and solve the same equation for $\chi$; that is a stated calibration, not an extra equilibrium condition.

### 10.6.2 Why current investment and current capital must not be confused

A factory can change operating hours after learning $A_t$, but the stock $K_t$ is already installed. Investment uses goods today and changes $K_{t+1}$. Even after $A_t$ returns to its reference, the economy can inherit a different capital stock. A single innovation can therefore have effects lasting beyond the disturbance itself. The equations must determine whether the stock builds up or runs down; the accounting identity alone does not choose investment.

## 10.7 Log-linearization: show the approximation in each equation

### 10.7.1 The course's two routes describe the same local deviation

For any positive $X_t$ with positive deterministic reference $X^*$, define $\hat{x}_t = \log X_t - \log X^*$. Lowercase hats always denote log deviations; $K_t$ is a level, $\hat{k}_t$ its deviation. Let $d_t = (X_t - X^*)/X^*$. The logarithm route gives

$$\hat{x}_t = \log(X_t/X^*) = \log(1+d_t), \tag{10.70}$$

$$\log(1+d_t) = \log 1 + \left.\frac{1}{1+d}\right|_{d=0} d_t + O(d_t^2), \tag{10.71}$$

$$\hat{x}_t = d_t + O(d_t^2) \approx (X_t - X^*)/X^*. \tag{10.72}$$

The exponential route starts from the exact inverse:

$$\log X_t = \log X^* + \hat{x}_t, \tag{10.73}$$

$$X_t = e^{\log X^* + \hat{x}_t} = X^* e^{\hat{x}_t}, \tag{10.74}$$

$$e^{\hat{x}_t} = 1 + \hat{x}_t + O(\hat{x}_t^2), \tag{10.75}$$

$$X_t = X^*(1 + \hat{x}_t) + O(\hat{x}_t^2), \tag{10.76}$$

$$(X_t - X^*)/X^* = \hat{x}_t + O(\hat{x}_t^2). \tag{10.77}$$

The two derivations retain the original teaching routes. Positivity makes an absolute-value sign unnecessary. An equality between a log deviation and a percentage deviation is only first order. In the figures, $100\hat{x}_t$ is an approximate percentage response, not an exact level change.

### 10.7.2 Products become exact log differences

Take logs of production and of its steady-state counterpart, then subtract:

$$\log Y_t = \log A_t + \alpha \log K_t + (1 - \alpha) \log N_t, \tag{10.78}$$

$$\log Y^* = \log \bar{A} + \alpha \log K^* + (1 - \alpha) \log N^*, \tag{10.79}$$

$$\hat{y}_t = a_t + \alpha \hat{k}_t + (1 - \alpha)\hat{n}_t. \tag{10.80}$$

This log identity is exact for Cobb–Douglas, before any solution approximation. Do the same for the real wage and rental price:

$$\log w_t = \log(1 - \alpha) + \log Y_t - \log N_t, \tag{10.81}$$

$$\hat{w}_t = \hat{y}_t - \hat{n}_t = a_t + \alpha \hat{k}_t - \alpha \hat{n}_t, \tag{10.82}$$

$$\log q_t = \log \alpha + \log Y_t - \log K_t, \tag{10.83}$$

$$\hat{q}_t = \hat{y}_t - \hat{k}_t = a_t + (\alpha - 1)\hat{k}_t + (1 - \alpha)\hat{n}_t. \tag{10.84}$$

The labor condition gives

$$\log w_t = \log \chi + \sigma \log C_t + \varphi \log N_t, \tag{10.85}$$

$$\hat{w}_t = \sigma \hat{c}_t + \varphi \hat{n}_t, \tag{10.86}$$

$$a_t + \alpha \hat{k}_t - \alpha \hat{n}_t = \sigma \hat{c}_t + \varphi \hat{n}_t, \tag{10.87}$$

$$(\varphi + \alpha)\hat{n}_t = a_t + \alpha \hat{k}_t - \sigma \hat{c}_t. \tag{10.88}$$

If writing nominal wages instead, $w_t = W_t/P_t$ implies $\hat{w}_t = \hat{W}_t - \hat{p}_t$. Keeping this distinction avoids mixing a real wage with a nominal wage divided by the price level again.

### 10.7.3 Sums retain their steady-state weights

Goods clearing is a sum, so its logarithm does not distribute across terms. Instead insert the exponential representations:

$$Y^* e^{\hat{y}_t} = C^* e^{\hat{c}_t} + I^* e^{\hat{\imath}_t}, \tag{10.89}$$

$$Y^*(1+\hat{y}_t) \approx C^*(1+\hat{c}_t) + I^*(1+\hat{\imath}_t), \tag{10.90}$$

$$Y^* + Y^*\hat{y}_t \approx C^* + I^* + C^*\hat{c}_t + I^*\hat{\imath}_t, \tag{10.91}$$

$$Y^*\hat{y}_t \approx C^*\hat{c}_t + I^*\hat{\imath}_t, \tag{10.92}$$

$$\hat{y}_t \approx s_C\hat{c}_t + s_I\hat{\imath}_t. \tag{10.93}$$

Here $\hat{\imath}_t = \log(I_t/I^*)$ denotes *investment*, not an interest rate. The local neighborhood has $I_t > 0$ since $I^* > 0$, even though the general budget permits reversible investment. In the zero-investment course benchmark, this log is undefined; $Y = C$ instead gives $\hat{y} = \hat{c}$ exactly.

Apply the same steps to accumulation:

$$K^* e^{\hat{k}_{t+1}} = (1-\delta)K^* e^{\hat{k}_t} + I^* e^{\hat{\imath}_t}, \tag{10.94}$$

$$K^*(1+\hat{k}_{t+1}) \approx (1-\delta)K^*(1+\hat{k}_t) + I^*(1+\hat{\imath}_t), \tag{10.95}$$

$$K^*\hat{k}_{t+1} \approx (1-\delta)K^*\hat{k}_t + I^*\hat{\imath}_t, \tag{10.96}$$

$$\hat{k}_{t+1} \approx (1-\delta)\hat{k}_t + \delta\hat{\imath}_t. \tag{10.97}$$

The weights sum to one because $I^*/K^* = \delta$. Substituting the resource condition is often more useful for solving:

$$\hat{\imath}_t \approx (\hat{y}_t - s_C\hat{c}_t)/s_I, \tag{10.98}$$

$$\hat{k}_{t+1} \approx (1-\delta)\hat{k}_t + \frac{\delta}{s_I}(\hat{y}_t - s_C\hat{c}_t), \tag{10.99}$$

$$= (1-\delta)\hat{k}_t + v(\hat{y}_t - s_C\hat{c}_t). \tag{10.100}$$

The final coefficient uses $s_I = \delta/v$. It is not permissible to replace investment by consumption when capital is being chosen.

### 10.7.4 Expand inside the conditional expectation

The capital Euler condition contains both a random marginal utility and a random gross return. Since $R^{K*} = q^* + 1 - \delta = 1/\beta$,

$$R^K_{t+1} = q^* e^{\hat{q}_{t+1}} + 1 - \delta, \tag{10.101}$$

$$\approx R^{K*} + q^*\hat{q}_{t+1} = R^{K*}(1+\omega\hat{q}_{t+1}), \tag{10.102}$$

$$\omega \equiv q^*/R^{K*} = \beta q^*. \tag{10.103}$$

Divide the Euler equation by $(C^*)^{-\sigma}$ and expand:

$$e^{-\sigma \hat{c}_t} = \beta E_t[e^{-\sigma \hat{c}_{t+1}} R^K_{t+1}], \tag{10.104}$$

$$1 - \sigma \hat{c}_t \approx \beta R^{K*} E_t[(1 - \sigma \hat{c}_{t+1})(1 + \omega \hat{q}_{t+1})], \tag{10.105}$$

$$= E_t[1 - \sigma \hat{c}_{t+1} + \omega \hat{q}_{t+1} - \sigma\omega \hat{c}_{t+1}\hat{q}_{t+1}], \tag{10.106}$$

$$-\sigma \hat{c}_t \approx -\sigma E_t \hat{c}_{t+1} + \omega E_t \hat{q}_{t+1}, \tag{10.107}$$

$$\sigma(E_t \hat{c}_{t+1} - \hat{c}_t) \approx \omega E_t \hat{q}_{t+1}. \tag{10.108}$$

The product of deviations is second order and has been discarded, not replaced by a product of expectations. The equality signs below refer to the resulting linear approximation. Expected future rental income raises the reward to saving; $K_{t+1}$ is chosen with date-$t$ information, but $A_{t+1}$ and hours next date remain uncertain.

**Expectations can be linearized; logarithms cannot simply pass through them.** For an integrable local expansion $e^z = 1 + z + O(z^2)$, take $E_t$ after expanding. In general $\log E_t e^z \neq E_t z$. If $z = +h$ or $-h$ with equal probability,

$$Ez = 0, \qquad \log Ee^z = \log[(e^h + e^{-h})/2] > 0 \quad (h \neq 0).$$

The difference is of second order for small $h$. A first-order solution near a deterministic state omits risk adjustments of that order; it does not justify removing expectations from the exact Euler equation. This refines the original course warning rather than dropping the expectation calculation.

Finally, the shock law is already linear in logs:

$$a_{t+1} = \rho_a a_t + \varepsilon^a_{t+1}, \tag{10.109}$$

$$E_t a_{t+1} = \rho_a a_t + E_t \varepsilon^a_{t+1} = \rho_a a_t, \tag{10.110}$$

$$E_t a_{t+2} = \rho_a E_t a_{t+1} = \rho_a^2 a_t, \tag{10.111}$$

$$E_t a_{t+h} = \rho_a^h a_t. \tag{10.112}$$

A higher $\rho_a$ changes what households expect before they choose, not just the shape of productivity after they have chosen.

## 10.8 Solve the model before drawing its responses

### 10.8.1 An exact special case checks the consumption–investment logic

As a separate special case, set $\delta = 1$ and $\sigma = 1$, while retaining $0 < \alpha < 1$ and the hours disutility. The partial-depreciation baseline will be restored afterward. Guess $K_{t+1} = sY_t$ and $C_t = (1-s)Y_t$, where $0 < s < 1$. The capital Euler equation becomes

$$\frac{1}{C_t} = \alpha\beta E_t\left[\frac{1}{C_{t+1}}\frac{Y_{t+1}}{K_{t+1}}\right], \tag{10.113}$$

$$\frac{1}{(1-s)Y_t} = \alpha\beta E_t\left[\frac{Y_{t+1}}{(1-s)Y_{t+1}K_{t+1}}\right], \tag{10.114}$$

$$= \frac{\alpha\beta}{(1-s)K_{t+1}} = \frac{\alpha\beta}{(1-s)sY_t}, \tag{10.115}$$

$$1 = \alpha\beta/s, \qquad s = \alpha\beta. \tag{10.116}$$

Tomorrow's output cancels *state by state*, before taking expectations. It has not been replaced by its mean. The labor condition then gives

$$\chi C_t N_t^{\varphi} = (1-\alpha)Y_t/N_t, \tag{10.117}$$

$$\chi(1-\alpha\beta)Y_t N_t^{1+\varphi} = (1-\alpha)Y_t, \tag{10.118}$$

$$N_t = \left[\frac{1-\alpha}{\chi(1-\alpha\beta)}\right]^{1/(1+\varphi)} \equiv N^e. \tag{10.119}$$

Choose parameters with $0 < N^e < 1$. Feasibility and the terminal restriction are also explicit:

$$C_t + K_{t+1} = (1-\alpha\beta)Y_t + \alpha\beta Y_t = Y_t, \tag{10.120}$$

$$E_0[\beta^T C_T^{-1} K_{T+1}] = \beta^T \frac{\alpha\beta}{1-\alpha\beta} \longrightarrow 0. \tag{10.121}$$

Under admissible shock moments these policies satisfy the concave planner's conditions. The constant share resembles the exact Ramsey log example, now with uncertainty and hours. It does not extend to arbitrary depreciation or curvature. Indeed, it makes consumption and investment proportional to output, so it cannot explain every relative-volatility fact merely by being an RBC model.

### 10.8.2 Reduce the partial-depreciation model without hiding its coefficients

Return to $0 < \delta < 1$ and the general curvature parameters. Solve the linear labor condition first, then insert it into production:

$$\hat{n}_t = \frac{\alpha}{\varphi+\alpha}\hat{k}_t + \frac{1}{\varphi+\alpha}a_t - \frac{\sigma}{\varphi+\alpha}\hat{c}_t, \tag{10.122}$$

$$\hat{y}_t = a_t + \alpha\hat{k}_t + (1-\alpha)\left[\frac{\alpha\hat{k}_t + a_t - \sigma\hat{c}_t}{\varphi+\alpha}\right], \tag{10.123}$$

$$= b_k\hat{k}_t + b_a a_t + b_c\hat{c}_t, \tag{10.124}$$

where collection of each coefficient gives

$$b_k = \alpha + \frac{(1-\alpha)\alpha}{\varphi+\alpha} = \frac{\alpha(1+\varphi)}{\varphi+\alpha}, \tag{10.125}$$

$$b_a = 1 + \frac{1-\alpha}{\varphi+\alpha} = \frac{1+\varphi}{\varphi+\alpha}, \tag{10.126}$$

$$b_c = -\frac{(1-\alpha)\sigma}{\varphi+\alpha}. \tag{10.127}$$

Substitute into capital accumulation:

$$\hat{k}_{t+1} = (1-\delta)\hat{k}_t + v[b_k\hat{k}_t + b_a a_t + b_c\hat{c}_t - s_C\hat{c}_t], \tag{10.128}$$

$$= \gamma_k\hat{k}_t + \gamma_a a_t - \gamma_c\hat{c}_t, \tag{10.129}$$

$$\gamma_k = 1 - \delta + vb_k, \qquad \gamma_a = vb_a, \qquad \gamma_c = v(s_C - b_c) > 0. \tag{10.130}$$

The Euler equation uses $\hat{q}_{t+1} = \hat{y}_{t+1} - \hat{k}_{t+1}$. Since $K_{t+1}$ is known when chosen,

$$E_t\hat{q}_{t+1} = (b_k - 1)\hat{k}_{t+1} + b_a\rho_a a_t + b_c E_t\hat{c}_{t+1}, \tag{10.131}$$

$$\sigma E_t\hat{c}_{t+1} - \sigma\hat{c}_t = \omega[(b_k - 1)\hat{k}_{t+1} + b_a\rho_a a_t + b_c E_t\hat{c}_{t+1}], \tag{10.132}$$

$$(\sigma - \omega b_c)E_t\hat{c}_{t+1} = \sigma\hat{c}_t + \omega(b_k - 1)\hat{k}_{t+1} + \omega b_a\rho_a a_t. \tag{10.133}$$

Define $\tau = \sigma - \omega b_c$, $\upsilon = \omega(b_k - 1)$, and $\zeta = \omega b_a\rho_a$. Then

$$\tau E_t\hat{c}_{t+1} = \sigma\hat{c}_t + \upsilon\hat{k}_{t+1} + \zeta a_t. \tag{10.134}$$

These coefficients come from stated structural equations; none is an independently fitted persistence parameter.

### 10.8.3 Match coefficients and select the stable rule

Conjecture a linear consumption rule $\hat{c}_t = p_k\hat{k}_t + p_a a_t$. Equations (10.129) and the productivity forecast imply

$$\hat{k}_{t+1} = (\gamma_k - \gamma_c p_k)\hat{k}_t + (\gamma_a - \gamma_c p_a)a_t, \tag{10.135}$$

$$= H_k\hat{k}_t + H_a a_t, \tag{10.136}$$

$$E_t\hat{c}_{t+1} = p_k\hat{k}_{t+1} + p_a\rho_a a_t. \tag{10.137}$$

Insert the last line into (10.134), then collect:

$$\tau(p_k\hat{k}_{t+1} + p_a\rho_a a_t) = \sigma(p_k\hat{k}_t + p_a a_t) + \upsilon\hat{k}_{t+1} + \zeta a_t, \tag{10.138}$$

$$(\tau p_k - \upsilon)\hat{k}_{t+1} = \sigma p_k\hat{k}_t + (\sigma p_a + \zeta - \tau\rho_a p_a)a_t. \tag{10.139}$$

Equating the coefficient of the predetermined stock yields

$$(\tau p_k - \upsilon)(\gamma_k - \gamma_c p_k) = \sigma p_k, \tag{10.140}$$

$$\tau\gamma_k p_k - \tau\gamma_c p_k^2 - \upsilon\gamma_k + \upsilon\gamma_c p_k - \sigma p_k = 0, \tag{10.141}$$

$$\tau\gamma_c p_k^2 - (\tau\gamma_k + \upsilon\gamma_c - \sigma)p_k + \upsilon\gamma_k = 0. \tag{10.142}$$

For $d_0 = \tau\gamma_k + \upsilon\gamma_c - \sigma$, the candidate slopes are

$$p_k^{\pm} = \frac{d_0 \pm \sqrt{d_0^2 - 4\tau\gamma_c\upsilon\gamma_k}}{2\tau\gamma_c}. \tag{10.143}$$

For each candidate compute $H_k = \gamma_k - \gamma_c p_k$. Keep the locally stable root with $|H_k| < 1$; the numerical example below has exactly one. As in Ramsey, an arbitrary consumption slope also admits the unstable mode and does not satisfy the desired terminal behavior near the reference.

For the productivity coefficient, let $J = \tau p_k - \upsilon$. Matching $a_t$ gives

$$J(\gamma_a - \gamma_c p_a) = \sigma p_a + \zeta - \tau\rho_a p_a, \tag{10.144}$$

$$J\gamma_a - \zeta = (\sigma + J\gamma_c - \tau\rho_a)p_a, \tag{10.145}$$

$$p_a = \frac{J\gamma_a - \zeta}{\sigma + J\gamma_c - \tau\rho_a}, \qquad H_a = \gamma_a - \gamma_c p_a. \tag{10.146}$$

The denominator must be nonzero. Changing $\rho_a$ changes $p_a$ and $H_a$, not just the future path of $a_t$. Resolve the rule when changing beliefs about persistence.

The solved local state system is

$$\begin{pmatrix} \hat{k}_{t+1} \\ a_{t+1} \end{pmatrix} = \begin{pmatrix} H_k & H_a \\ 0 & \rho_a \end{pmatrix} \begin{pmatrix} \hat{k}_t \\ a_t \end{pmatrix} + \begin{pmatrix} 0 \\ \varepsilon^a_{t+1} \end{pmatrix}. \tag{10.147}$$

Its two persistence roots are $H_k$ and $\rho_a$. Given the states, $\hat{c}_t$, $\hat{n}_t$, $\hat{y}_t$, and $\hat{\iota}_t$ follow from the rules already derived. Only the first-order approximation has been solved here; large shocks, corners, and higher-order risk effects require other methods.

## 10.9 A worked shock experiment and its economic meaning

### 10.9.1 State the calibration and reproduce the initial response

Use quarters as dates and the illustrative parameters

$$\alpha = 0.33, \quad \beta = 0.99, \quad \delta = 0.025, \quad \sigma = 1, \quad \varphi = 1, \quad \bar{A} = 1.$$

Set $N^* = 1/3$ and choose the preference weight from the steady-state labor condition. These are teaching choices, not estimates or a claimed fit to any country. The steady calculations give

$$q^* = 1/0.99 - 1 + 0.025 \simeq 0.035101, \tag{10.148}$$

$$\upsilon = q^*/0.33 \simeq 0.106367, \tag{10.149}$$

$$s_I = 0.025/\upsilon \simeq 0.235036, \qquad s_C \simeq 0.764964, \tag{10.150}$$

$$K^* \simeq 9.449473, \quad Y^* \simeq 1.005109, \quad C^* \simeq 0.768872, \quad I^* \simeq 0.236237, \tag{10.151}$$

$$\chi = \frac{(1-\alpha)Y^*/N^*}{(C^*)^\sigma (N^*)^\varphi} \simeq 7.882724. \tag{10.152}$$

For $\rho_a = 0.95$, coefficient matching selects

$$p_k \simeq 0.553075, \quad p_a \simeq 0.386565, \quad H_k \simeq 0.953146, \quad H_a \simeq 0.107783.$$

The other consumption-stock slope is about $-0.236912$, implying $H_k \simeq 1.059755 > 1$, and is rejected. Start at the reference stock $\hat{k}_0 = 0$, apply a one-time innovation $\varepsilon_0^a = 0.01$, and set all later innovations to zero. On impact,

$$a_0 = 0.01, \qquad \hat{c}_0 = p_a a_0 \simeq 0.003866, \tag{10.153}$$

$$\hat{n}_0 = \frac{0.01 - \hat{c}_0}{1.33} \simeq 0.004612, \tag{10.154}$$

$$\hat{y}_0 = 0.01 + 0.67\hat{n}_0 \simeq 0.013090, \tag{10.155}$$

$$\hat{\imath}_0 = \frac{\hat{y}_0 - s_C \hat{c}_0}{s_I} \simeq 0.043113, \tag{10.156}$$

$$\hat{k}_1 = (1-\delta)\hat{k}_0 + \delta\hat{\imath}_0 \simeq 0.001078. \tag{10.157}$$

For the same $1\%$ log innovation with $\rho_a = 0$, solve again: $p_a \simeq 0.086073$, $H_a \simeq 0.148334$, while $p_k$ and $H_k$ are unchanged in this model. The immediate responses are

**Table 10.1:** Impact responses to a productivity innovation under different persistence.

| **Variable** | $\boldsymbol{\rho_a = 0.95}$ | $\boldsymbol{\rho_a = 0}$ |
|---|---|---|
| Productivity | 1.000 | 1.000 |
| Output | 1.309 | 1.460 |
| Consumption | 0.387 | 0.086 |
| Investment | 4.311 | 5.933 |
| Hours | 0.461 | 0.687 |
| Capital available at date 0 | 0.000 | 0.000 |

Entries are $100$ times log deviations, approximately percentage changes. With $\rho_a = 0$ the opportunity is brief: the household increases current work more and consumes less of the additional output. A persistent improvement raises the value of lifetime resources more, supporting a larger initial consumption increase. This comparison includes both the changed opportunity path and the reoptimized household response.

Output rises immediately because the existing machines and chosen work are more productive. Consumption rises less in this example: households spread resources across dates. Investment absorbs more of the extra output and changes next quarter's machines. Its percentage response is especially large partly because investment is a smaller steady-state share of output. From resources,

$$\hat{\imath}_t = (\hat{y}_t - s_C \hat{c}_t)/s_I;$$

a modest goods reallocation can be a large percentage of $I^*$. This arithmetic helps interpret relative volatility; an impact ratio is not itself a simulated standard-deviation ratio.

### 10.9.2 Follow the goods and the inherited stock

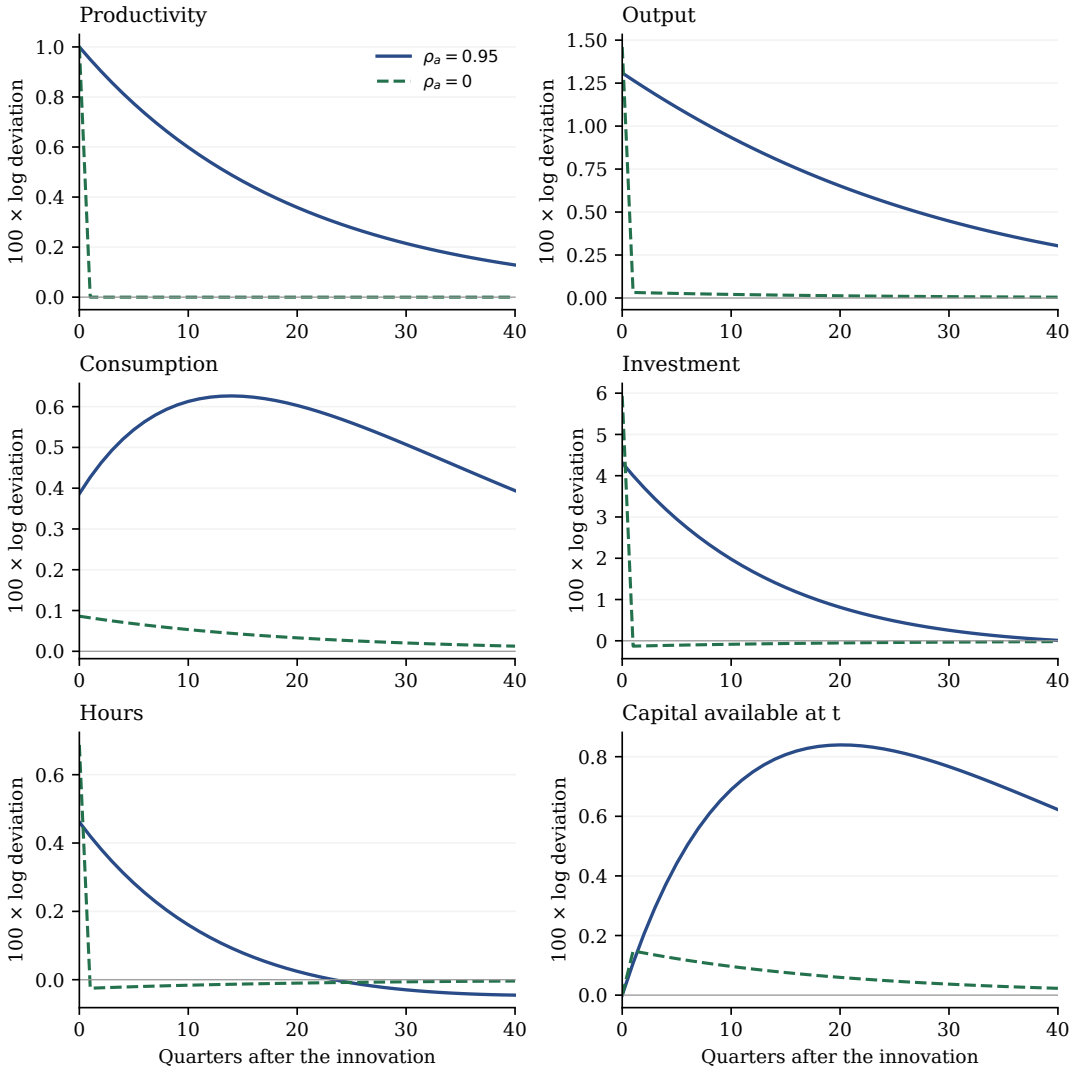



**Figure 10.1:** RBC responses to a productivity innovation with different persistence.

*Model-generated, first-order responses to one positive productivity innovation.* Both paths start with the same capital and $a_0 = 0.01$. All later innovations are zero; the consumption rule is solved separately for each persistence parameter. The plot uses only the equations and hypothetical parameters above, not estimated responses or observed data.

In the dashed path, productivity is back at its reference at date 1, but capital is then above its reference. Output and consumption can remain above it. Hours can be below it: the inherited stock makes households wealthier and changes the wage they need to work. A real shock does not require every variable to move in the same direction at every horizon. In the solid path, both productivity persistence and capital memory operate. Stable roots imply convergence back to this reference after the temporary innovation, rather than a

permanent change in trend growth.

The factory interpretation is concrete. More productive shifts free goods for both consumption and replacement or expansion of equipment. Once equipment is installed, its services remain after the unusually productive shift ends. An automation investment, however, can also change tasks and workers' skills; a credit shock can prevent a profitable installation. Those are additional mechanisms, not effects already represented by this single $A_t$.

**Capital propagates; expectations shape the initial allocation.** A given current productivity surprise does not determine how much is consumed, worked, or invested. The expected duration and future returns help determine those choices. Capital then carries part of today's reallocation into later production. Compare $\rho_a = 0$ with $\rho_a > 0$ only after resolving the policy; holding the old consumption rule fixed would mix two different experiments.

## 10.10 Retain nominal pricing without confusing it with real closure

### 10.10.1 Derive the nominal Euler approximation and the Fisher comparison

For this calculation take the deterministic nominal reference to have a constant price level, hence zero inflation and $R^{n*} = 1/\beta$. Define

$$\hat{j}_t = \log(R_t^n/R^{n*}), \qquad \pi_{t+1} = \log(P_{t+1}/P_t).$$

$\hat{j}_t$ is the log deviation of the *gross nominal interest factor*; it is not the investment deviation $\hat{\imath}_t$, and not generally the percentage deviation of the net rate $i_t$. Invert $Q_t$ in (10.16) and divide by its reference:

$$1 = \beta R_t^n E_t\left[(C_{t+1}/C_t)^{-\sigma} P_t/P_{t+1}\right], \tag{10.158}$$

$$= e^{\hat{j}_t} E_t \exp\{-\sigma(\hat{c}_{t+1} - \hat{c}_t) - \pi_{t+1}\}, \tag{10.159}$$

$$1 \approx (1 + \hat{j}_t)[1 - \sigma(E_t\hat{c}_{t+1} - \hat{c}_t) - E_t\pi_{t+1}], \tag{10.160}$$

$$0 \approx \hat{j}_t - \sigma(E_t\hat{c}_{t+1} - \hat{c}_t) - E_t\pi_{t+1}, \tag{10.161}$$

$$\hat{c}_t \approx E_t\hat{c}_{t+1} - \frac{1}{\sigma}(\hat{j}_t - E_t\pi_{t+1}). \tag{10.162}$$

In the multiplication, products of deviations are discarded. The form resembles the intertemporal demand relation used in the next chapter; here flexible-price production and labor choices determine the supporting allocation jointly.

A real risk-free payoff instead satisfies $1 = \beta R_t^f E_t(C_{t+1}/C_t)^{-\sigma}$. Let $\hat{r}_t^f = \log(R_t^f/(1/\beta))$. Expanding the same way gives

$$0 \approx \hat{r}_t^f - \sigma(E_t\hat{c}_{t+1} - \hat{c}_t), \tag{10.163}$$

$$\hat{r}_t^f \approx \hat{j}_t - E_t\pi_{t+1}. \tag{10.164}$$

This is the local Fisher comparison. Under uncertain inflation it is not an exact statement equating the nominal bond's random realized real return to a risk-free real return. Exact pricing retains the covariance terms and the random purchasing power in (10.24).

### 10.10.2 What does the original money-demand equation add?

One can append the course's nominal relation in the clearly stated form

$$\frac{M_t}{P_t} = \kappa Y_t (R_t^n)^{-\eta}, \qquad \kappa > 0, \quad \eta > 0. \tag{10.165}$$

It is a reduced-form attachment, not a household FOC derived from the money-free preferences and budget above. With $R_t^n = 1/Q_t$, the same expression is $M_t/P_t = \kappa Y_t Q_t^{\eta}$. Its log transformation is

$$\log M_t - \log P_t = \log \kappa + \log Y_t - \eta \log R_t^n, \tag{10.166}$$

$$\hat{m}_t - \hat{p}_t = \hat{y}_t - \eta \hat{j}_t. \tag{10.167}$$

A genuine monetary model would specify why households hold money, its budget and supply arrangements, and a compatible policy rule and boundary conditions. Neither the real block nor this attachment alone selects a unique nominal price path. The original warning about money neutrality is thus conditional.

For example, start with a nominal price path and claims that support the real allocation and satisfy the attachment. Rescale $M_t, P_t, W_t, B_t, \mathscr{D}_t$ by the same positive constant at all dates, keeping $Q_t$ fixed. Real wages, real balances, real payoffs, and every real allocation are unchanged. No real resource or relative reward has changed. This unit-rescaling result does not establish that an unanticipated monetary intervention has no real effects in an economy with sticky contracts, redistribution, or financial frictions.

> **Money neutrality is a property of a specified environment.** The real core excludes monetary wedges; its equations determine allocation without a price level. A nominal attachment must still be closed consistently. A particular level rescaling, a change in money growth, and a change in the policy rule are different experiments. The core's separation of real and nominal variables is useful for comparison with the next chapter, not evidence that money never matters in actual fluctuations.

## 10.11 What should an economist learn from the benchmark?

### 10.11.1 Use joint paths to test mechanisms

A plausible output response is only a starting point. Compare consumption, investment, hours, real wages, and capital jointly, under a common measurement and detrending convention. At a minimum, ask whether the same parameter values produce credible relative volatilities, correlations, persistence, and response timing. A model calibrated to selected moments has not independently explained all those moments. A convenient choice of shock persistence cannot substitute for evidence about its source.

For the production function used here, the measured residual would be

$$\log A_t = \log Y_t - \alpha \log K_t - (1-\alpha) \log N_t, \tag{10.168}$$

$$\Delta \log A_t = \Delta \log Y_t - \alpha \Delta \log K_t - (1-\alpha) \Delta \log N_t. \tag{10.169}$$

This is accounting under the assumed technology. An omitted utilization rate, input quality, changing markup, or measurement error can enter that residual. Calling it an exogenous technology innovation requires an identification argument beyond subtracting measured inputs.

Estimated technology responses can challenge the labor mechanism. Galí (1999), using his long-run identification strategy, reports a decline in hours after a positive technology innovation.[30] The response of hours is an empirical question; the fixed-capital calculation already showed why it is not a mathematical consequence of the word "productivity." Different trend, identification, and propagation assumptions must be examined rather than hidden behind an unconditional correlation.

Rebelo's review places the basic framework alongside subsequent extensions and unresolved questions.[31] The teaching exercise here demonstrates an internally consistent mechanism; it does not assign a numerical share of actual recessions to technology.

### 10.11.2 Efficient adjustment can still be painful

In the undistorted representative-household economy, the competitive allocation matches the planner allocation under the same changing resources and information. A negative productivity shock can reduce attainable consumption even when the response is efficient. Restoring yesterday's quantities is not automatically a feasible improvement. Efficiency of a response does not make the disturbance beneficial.

In actual communities a closure can leave particular workers without income, credit, matching opportunities, or insurance. This model has an intensive hours choice and common ownership, so it cannot turn such losses into a theory of involuntary unemployment or distribution. Removing hours from a work schedule and failing to find a job are economically different events.

The first-order paths also do not suffice for a quantitatively valid welfare comparison under uncertainty. Utility curvature, risk effects, and mean shifts can contribute at second order. Plugging a first-order allocation into nonlinear utility does not automatically supply all terms of a second-order welfare calculation. Welfare claims require an approximation and a feasible policy comparison suited to the question.

### 10.11.3 Ask which missing constraint would change the diagnosis

If a solvent factory has a profitable order but cannot finance working capital, add the financing constraint. If workers want jobs at the current wage but cannot find matches, add a labor-market mechanism. If firms cut production because sales decline while prices adjust slowly, study demand and nominal rigidity. If imported energy becomes scarce, distinguish its relative price and resource constraint from a neutral productivity scalar. Government spending similarly requires its purchases, taxes or debt, and household wealth effects to be specified before a fiscal prediction can be derived.

The purpose of the benchmark is to make those additions meaningful. We now know which outcomes can arise from uncertain real opportunities, work choice, and accumulation alone, and which assumptions support the welfare interpretation. The next chapter changes price setting. Its flexible-price comparison allocation must not be confused with a fitted statistical trend, an economy with literally no shocks, or a policy target that can be reached without cost.

---

[30] Jordi Galí (1999), "Technology, Employment, and the Business Cycle: Do Technology Shocks Explain Aggregate Fluctuations?" *American Economic Review*, 89(1), 249–271, https://doi.org/10.1257/aer.89.1.249. The result is conditional on that paper's identification and measurement, not a definition of a technology shock.

[31] Sergio Rebelo (2005), "Real Business Cycle Models: Past, Present, and Future," *Scandinavian Journal of Economics*, 107(2), 217–238, https://doi.org/10.1111/j.1467-9442.2005.00405.x.

# 11 New Keynesian Model: Sticky Prices

## 11.1 Why can demand change output?

RBC taught us to ask what changed in production opportunities and how households reallocated consumption and work. Now consider a different hypothetical sequence. A restaurant receives fewer bookings after borrowing costs rise. Its kitchen, recipes, and available workers have not changed. Yet its posted menu may remain unchanged while meals served and hours worked fall. Which constraint makes this response possible, and which household choice starts it?

An initial guess is to keep the RBC allocation and attach a price level. That cannot explain this sequence: a mere change of nominal units leaves its real choices unchanged. A second guess is to declare output demand-determined. That describes the outcome but leaves the household's spending and the seller's price unexplained. We need both decisions before we can assess the guess.

Start with the seller. If its product were identical to every other product, a higher price would lose all customers. Give each seller a differentiated product instead. Customers can switch, but substitution is finite; a seller then chooses a price facing a downward-sloping demand curve. This creates a markup. It does not yet create delayed adjustment: a monopolist that can freely reprice still responds immediately to new conditions.

Now let a chosen nominal price survive for an uncertain number of periods. The seller asks: what wage bill and demand will this price face today, next quarter, and later if it is still in place? The relevant object is a discounted stream of profits, not today's markup alone. Households, meanwhile, compare buying goods today with holding a nominal bond. The expected purchasing power of its payoff connects the policy rate, expected inflation, and present demand.

This is a teaching reconstruction of the modeling problem, not a claim about any author's private thought process. The basic framework retains optimization, market clearing, and model-consistent expectations; it adds differentiated goods and staggered nominal prices.[32]

> **The change from RBC is a constraint on price adjustment.** A household can still optimize while a firm produces less than it would under flexible prices. Its inherited price and customers' demand jointly constrain sales. Lower activity need not mean lower productive capacity. Conversely, a productivity shock can move the flexible-price benchmark itself; a fall in observed output alone does not identify a demand shortfall.

## 11.2 From RBC to a New Keynesian DSGE model

The names describe different levels of the construction. A dynamic stochastic general equilibrium, or DSGE, model makes today's decisions depend on future opportunities, includes uncertain disturbances, and requires individual plans and market conditions to agree. RBC and New Keynesian models can both use this framework. NKDSGE means a New Keynesian specification within it; it is not a fourth model to learn after RBC, sticky prices, and sticky wages.

[32] For the framework and policy questions, see Clarida, Galí, and Gertler (1999), The Science of Monetary Policy: A New Keynesian Perspective; Galí (2015), *Monetary Policy, Inflation, and the Business Cycle*, second edition, Chapters 3–4; the author's official teaching materials include the corresponding chapter slides. The calculations below state their own conventions and intermediate steps.

### 11.2.1 A common language of decisions and equilibrium

The household still asks whether to consume now, work now, or transfer purchasing power to another date. The firm still compares revenue with the cost of inputs. An equilibrium still requires feasible production, consistent asset positions, and forecasts conditional on information available at the time. Shocks do not cancel optimization, and optimizing behavior does not imply that every allocation is efficient. The constraints and market structure determine that comparison.

Each part of DSGE has a concrete role. *Dynamic* means an action today changes a future payoff or opportunity; even without physical capital, a bond links two dates. *Stochastic* means future innovations are unknown when a choice is made. *General equilibrium* means the price, income, spending, and labor allocation cannot be selected independently. Giving everyone the same forecast is insufficient: it must also agree with the model's implied conditional distribution.

The equations at the end of this chapter are a first-order representation of such an economy around a deterministic reference. Reducing many conditions to a few equations does not remove their underlying choices. Conversely, calling a model DSGE does not require a large equation count, Bayesian estimation, or a computer forecast. Those are further choices about solution and use.[33]

### 11.2.2 Change one constraint, then trace the consequences

To see what changes, imagine the same firm and household under two pricing arrangements. In the flexible-price benchmark, a quoted price can respond to current conditions. In the new arrangement, some firms must continue selling at a price chosen earlier. A higher price is no longer an available response for each seller at each date. Sales and hours must therefore respond to customer demand at that inherited price. Firms that can reset consider how long their new price might remain in place.

This is a change in the equilibrium conditions, not an instruction to stop optimizing. Nor does it imply that productive capacity stopped mattering. Technology still affects marginal cost and the flexible-price allocation; nominal adjustment now helps determine whether demand follows that allocation. Monopolistic competition separately supplies the demand curve against which a seller chooses its price. Its markup survives even when adjustment is immediate.

[33] For an institutional example of a larger New Keynesian DSGE model, see the Federal Reserve's EDO model description. The terminology here describes the structure of our teaching models, not a claim that the small model reproduces EDO.

**Table 11.1:** The common framework and the changes from RBC to the NK benchmark.

| Dimension | RBC chapter | This NK chapter |
|---|---|---|
| Intertemporal choice | Household Euler condition, work choice, and admissible asset paths | The same logic; nominal bonds connect spending to expected purchasing power. |
| Uncertainty | Productivity and conditional forecasts | Productivity, preference, or policy disturbances; conditional forecasts also enter price choices. |
| Product market | Competitive output pricing in the real benchmark | Differentiated products, finite substitution, and a price chosen by each seller. |
| Nominal adjustment | No binding nominal contract in the real allocation | Only a fraction of firms may reset their product prices each date. |
| Labor market | Competitive labor and a common wage | Still competitive here; wage-setting power and wage contracts enter the next chapter. |
| Capital | Both the fixed-factor benchmark and the accumulation model | Fixed factors only; no investment choice, to isolate nominal adjustment. |
| Policy closure | Real allocation does not require a monetary rule | A nominal rule is needed to determine demand, inflation, and the nominal rate jointly. |

Table 11.1 also marks a deliberate simplification. Our NK chapter does not literally append one price equation to every equation of the capital-accumulation RBC model. It returns to the fixed-factor economy so the new pricing mechanism is visible. A model with both capital and sticky prices would additionally retain the investment resource cost, capital law, and asset-return condition. Those decisions cannot be restored by merely renaming the consumption-only IS equation an investment schedule.

### 11.2.3 Read the model names as a map of mechanisms

A useful sequence is to keep three questions separate. First, what changes the underlying opportunities or desired spending? Second, which stocks, contracts, or expectations transmit that disturbance? Third, which prices and quantities can adjust to make plans consistent? RBC supplies a real benchmark; price stickiness constrains one adjustment margin; wage stickiness constrains another. Search frictions would change how workers and jobs meet, while financial frictions would change which plans can be funded. These additions can be combined, but their equations and ownership conditions must be specified.

> **The mechanism and the shock are separate choices.** A New Keynesian model can receive a technology shock, and an RBC model can receive a preference or government-purchase shock. RBC does not mean that every possible disturbance is technological; NK does not mean that every observed fall in output is a monetary event. Compare a specified shock across specified adjustment mechanisms before attributing an observed movement to either one.

This chapter adds slow product-price adjustment while keeping wages flexible. The next chapter makes wage setting explicit and permits both nominal contracts to adjust slowly. The comparison chapter at the end of this part then brings the mechanisms back to a common set of economic situations.

## 11.3 Economic environment and timing

A closed, labor-only economy isolates the price-adjustment mechanism. Any fixed factor remains in place; there is no investment decision. Capital accumulation can be added later, once spending and price setting are understood.

**01 People, products, and ownership**

Time is discrete, $t = 0, 1, \ldots$. There is a unit mass of identical households and a unit continuum of differentiated goods $i \in [0, 1]$. A representative household consumes the composite $C_t$, supplies total labor $N_t$, and owns an equal share of every firm. Nominal distributed profits are $D_t$. There is no foreign trade, physical-capital accumulation, investment, or government purchase. Population is fixed; hours are chosen. Goods differ even though households have identical preferences.

**02 The consumption basket and its price**

For $\epsilon > 1$, the composite and its unit-expenditure price are

$$C_t = \left[\int_0^1 C_{it}^{(\epsilon-1)/\epsilon}\, di\right]^{\epsilon/(\epsilon-1)}, \qquad P_t = \left[\int_0^1 P_{it}^{1-\epsilon}\, di\right]^{1/(1-\epsilon)}.$$

Households take all prices as given and allocate expenditure across goods. The substitution elasticity is $\epsilon$, not $(\epsilon - 1)/\epsilon$. The latter is the exponent inside the aggregator. The same basket defines aggregate output $Y_t$. Demand for each good clears its own market: $Y_{it} = C_{it}$; aggregate clearing is $Y_t = C_t$ in composite units.

**03 Preferences, hours, and optional liquidity services**

Households choose contingent plans to maximize

$$E_0 \sum_{t=0}^{\infty} \beta^t \xi_t \left[ v(C_t) - \frac{\chi N_t^{1+\varphi}}{1+\varphi} + \omega v_m(M_t/P_t) \right].$$

Here $0 < \beta < 1$, $\sigma > 0$, $\chi > 0$, $\varphi \geq 0$, and $\xi_t > 0$. For $\sigma \neq 1$, $v(C) = (C^{1-\sigma} - 1)/(1 - \sigma)$; for $\sigma = 1$, $v(C) = \log C$. Similarly $v_m(m) = (m^{1-\nu_m} - 1)/(1 - \nu_m)$ for $\nu_m > 0$, $\nu_m \neq 1$, and $v_m(m) = \log m$ for $\nu_m = 1$. Thus $v' = C^{-\sigma}$ and $v_m' = m^{-\nu_m}$. Labor is measured in hours with an interior solution $N_t > 0$; this specification has no finite time-endowment bound. The course normalization is $\chi = \omega = 1$ when money is included. For $\omega > 0$, end-of-period real balances give separable liquidity services. For the moneyless core, omit both that term and the household money choice; do not impose a money FOC with $\omega = 0$.

### 04 Nominal accounts, assets, and government

$W_t$ is the common nominal wage. A bond bought at $t$ for $Q_t$ pays one unit of currency at $t+1$; $B_t$ is its face value. Write $R_t^n = Q_t^{-1} = 1 + i_t$, where $i_t$ is the net nominal interest rate. The budget is

$$P_t C_t + M_t + Q_t B_t = W_t N_t + D_t + T_t + M_{t-1} + B_{t-1}.$$

Initial money and maturing bonds are given. $T_t$ is a lump-sum nominal transfer, positive when received. In the monetary version, the government issues non-interest-bearing money, has no purchases or net bond supply, and sets $T_t = M_t - M_{t-1}$ in aggregate. Private bonds clear at zero aggregate holdings. Profits include the return on any fixed factor. Liquidity services use no goods; these accounts therefore imply $C_t = Y_t$. Moneyless accounts omit $M, T$.

### 05 Technology, cost, and the labor market

Each firm has technology $Y_{it} = A_t N_{it}^{1-\alpha}$, with common $A_t > 0$ and $0 \le \alpha < 1$. If $\alpha > 0$, an omitted fixed factor has been normalized to one at each firm; it cannot be traded or accumulated here. If $\alpha = 0$, output is linear in labor. Labor is homogeneous and mobile across firms; competitive labor trading gives a common $W_t$, with $N_t = \int_0^1 N_{it}\, di$. It does not require equal firm employment. Each firm takes $W_t, A_t, P_t, Y_t$ as given, hires labor to meet its product demand, and minimizes the wage bill conditional on that demand. Differing relative prices can imply differing sales, hours, and marginal costs, even at the common wage.

### 06 Market power and the price that cannot be changed

The goods market is monopolistically competitive. A firm's demand is $Y_{it} = (P_{it}/P_t)^{-\epsilon} Y_t$, so its flexible-price gross markup is $\mu = \epsilon/(\epsilon - 1) > 1$. Independently across firms and of its age and state, a firm can reset its nominal price with probability $1 - \theta$, $0 < \theta < 1$; with probability $\theta$ it retains the previous nominal price. There is no baseline indexation. Resetting firms face identical current and future aggregate conditions and choose the same reset price $P_t^{\#}$; firms that cannot reset need not have that price. A chosen price survives $k$ further periods with probability $\theta^k$; expected duration is $1/(1-\theta)$ periods.

### 07 Information, shocks, and within-period timing

At $t$, everyone observes aggregate states and current innovations. Firms learn whether they may reset, then resetters choose $P_t^{\#}$; households allocate spending, firms meet demand, labor is supplied, and asset positions are carried to $t+1$. These choices are jointly determined in equilibrium. Expectations are $E_t X = E[X \mid \mathscr{I}_t]$ under the model; future innovations are not observed. For the examples, $a_t = \log(A_t/\bar{A})$ and $q_t = \log(\xi_t/\bar{\xi})$ follow $a_t = \rho_a a_{t-1} + \varepsilon_t^a$ and $q_t = \rho_q q_{t-1} + \varepsilon_t^q$, with $|\rho_a|, |\rho_q| < 1$ and mean-zero innovations independent of past information. Full observation of the current state does not remove uncertainty about the future.

### 08 Price dispersion and aggregate feasibility

The exact labor requirement is

$$N_t = (Y_t/A_t)^{1/(1-\alpha)}\Delta_t, \qquad \Delta_t = \int_0^1 (P_{it}/P_t)^{-\epsilon/(1-\alpha)}\, di.$$

Thus the symmetric production function $Y_t = A_t N_t^{1-\alpha}$ is exact only when $\Delta_t = 1$. Unequal relative prices use more labor for the same composite output. The local analysis starts from a symmetric zero-inflation reference with all prices equal, $\bar{\Delta} = 1$, $\bar{\xi} = 1$, and constant productivity. Initial inherited price vintages must be specified. The shock experiment starts from the symmetric reference; arbitrary initial dispersion cannot be silently set to zero.

### 09 Policy closure and the reference interest rate

Choose one nominal closure. Under a quantity rule, an exogenous money path and money-market clearing determine the interest rate jointly with spending and prices. Under an interest-rate rule, the authority specifies $R_t^n$, usually as a reaction to inflation and the output gap; money, if present, accommodates household demand. These are alternative experiments. At the zero-inflation reference, $\bar{R}^n = 1/\beta$, $\bar{\imath} = 1/\beta - 1 > 0$. The interior money-demand calculation assumes $i_t > 0$. The baseline interest rule has no binding lower bound; large shocks near that bound require a different solution. Transfers finance money issuance without distortionary taxes.

### 10 Admissibility, discounting, and local scope

Choices satisfy feasibility, household no-Ponzi restrictions, and the associated transversality condition on assets valued at marginal utility. In the moneyless case, one convenient terminal condition is $\lim_{T\to\infty} E_0[\beta^T \lambda_T Q_T B_T] = 0$, where $\lambda_t = \xi_t C_t^{-\sigma}/P_t$; with money, include $M_T$ in terminal expenditure. The pricing sums below must converge. Firms use their owners' marginal-utility valuation of profits; no borrowing or working-capital constraint is added. We study a local, interior, bounded equilibrium around the stated deterministic reference. Linearization drops second-order products, not economically necessary equilibrium conditions. Local uniqueness must be checked after the policy rule is specified.

**Two conventions for the Calvo probability.** Here $\theta$ always means *keep* the price. In the first course derivation, $\theta_{\text{adjust}} = 1 - \theta$; in its later vintage-price derivation, $\theta_{\text{keep}} = \theta$. We use $P^{\#}$ for the price actually chosen at a reset and reserve a separate target below. Flexible pricing is the limit $\theta = 0$; it says nothing about the substitution elasticity $\epsilon$.

## 11.4 The household: first the basket, then the date of purchase

### 11.4.1 Expenditure minimization: deriving demand and the price index

Fix a date and suppress $t$. Let $r = (\epsilon - 1)/\epsilon$ and $\mathscr{C} = (\int C_i^r \, di)^{1/r}$. To buy the required composite $C$, solve

$$\min_{\{C_i\}} \int_0^1 P_i C_i \, di \quad \text{subject to } \mathscr{C} \geq C, \tag{11.1}$$

$$\mathscr{L} = \int_0^1 P_i C_i \, di + \Lambda(C - \mathscr{C}). \tag{11.2}$$

The multiplier is a cost per extra unit of composite. The chain rule gives

$$\frac{\partial \mathscr{C}}{\partial C_i} = \frac{1}{r}\left(\int C_j^r \, dj\right)^{1/r-1} r C_i^{r-1} \tag{11.3}$$

$$= \left(\int C_j^r \, dj\right)^{1/(\epsilon-1)} C_i^{-1/\epsilon} = \mathscr{C}^{1/\epsilon} C_i^{-1/\epsilon}, \tag{11.4}$$

$$0 = \frac{\partial \mathscr{L}}{\partial C_i} = P_i - \Lambda(C/C_i)^{1/\epsilon}, \tag{11.5}$$

$$\frac{P_i}{\Lambda} = (C_i/C)^{-1/\epsilon}, \qquad C_i = (P_i/\Lambda)^{-\epsilon} C. \tag{11.6}$$

Insert this demand into the binding composite constraint:

$$C^r = \int [(P_i/\Lambda)^{-\epsilon} C]^r \, di \tag{11.7}$$

$$= C^r \Lambda^{\epsilon-1} \int P_i^{1-\epsilon} \, di, \tag{11.8}$$

$$1 = \Lambda^{\epsilon-1} \int P_i^{1-\epsilon} \, di, \tag{11.9}$$

$$\Lambda = \left(\int P_i^{1-\epsilon} \, di\right)^{1/(1-\epsilon)} = P. \tag{11.10}$$

Check the bill rather than assuming that the multiplier is the index:

$$\int P_i C_i \, di = C P^\epsilon \int P_i^{1-\epsilon} \, di = C P^\epsilon P^{1-\epsilon} = PC. \tag{11.11}$$

Thus the household's many purchases can be represented in its budget by $PC$. A seller that raises its price relative to the index loses customers with elasticity $-\partial \log C_i / \partial \log(P_i/P) = \epsilon$.

### 11.4.2 Choosing a basket with a given budget

Alternatively, fix expenditure $Z$ and choose the largest affordable basket:

$$\max_{\{C_i\}} \mathscr{C} \quad \text{subject to } \int P_i C_i \, di \leq Z, \tag{11.12}$$

$$\mathscr{L} = \mathscr{C} + \ell\left(Z - \int P_i C_i \, di\right), \tag{11.13}$$

$$0 = (\mathscr{C}/C_i)^{1/\epsilon} - \ell P_i, \tag{11.14}$$

$$C_i = (\ell P_i)^{-\epsilon} \mathscr{C}. \tag{11.15}$$

Substitute into the basket, then into the bill:

$$1 = \ell^{-(\epsilon-1)} \int P_i^{1-\epsilon}\, di, \tag{11.16}$$

$$\ell = \left( \int P_i^{1-\epsilon}\, di \right)^{1/(\epsilon-1)} = 1/P, \tag{11.17}$$

$$Z = \int P_i (P_i/P)^{-\epsilon} \mathscr{C}\, di = P\mathscr{C}, \tag{11.18}$$

$$\mathscr{C} = Z/P, \qquad C_i = (P_i/P)^{-\epsilon} Z/P. \tag{11.19}$$

One problem fixes the basket and minimizes its bill; the other fixes the bill and maximizes the basket. The price index makes their answers consistent. $Z$ is expenditure available at this date, not necessarily an exogenous lifetime endowment: the next stage determines how much to spend.

### 11.4.3 A finite number of goods and the units of the basket

For $J$ goods, write the basket using a mean rather than a sum. This choice changes the units of the composite and its price index. Define

$$C = \left( \frac{1}{J} \sum_{j=1}^{J} C_j^r \right)^{1/r}, \qquad \text{bill} = \sum_{j=1}^{J} P_j C_j, \tag{11.20}$$

$$\frac{\partial C}{\partial C_j} = \frac{1}{J} C^{1/\epsilon} C_j^{-1/\epsilon}, \tag{11.21}$$

$$P_j = \frac{P}{J} (C/C_j)^{1/\epsilon}, \qquad C_j = (JP_j/P)^{-\epsilon} C. \tag{11.22}$$

Recover the dual price without importing the continuum normalization:

$$1 = \frac{1}{J} \sum_{j=1}^{J} (JP_j/P)^{1-\epsilon} \tag{11.23}$$

$$= J^{-\epsilon} P^{\epsilon-1} \sum_{j=1}^{J} P_j^{1-\epsilon}, \tag{11.24}$$

$$P = J \left( \frac{1}{J} \sum_{j=1}^{J} P_j^{1-\epsilon} \right)^{1/(1-\epsilon)}, \tag{11.25}$$

$$\sum_j P_j C_j = C(P/J)^{\epsilon} \sum_j P_j^{1-\epsilon} = PC. \tag{11.26}$$

If all $P_j = p$, the index is $P = Jp$ and each $C_j = C$; buying one unit of this normalized basket buys one unit of every good. If the course's exponent is $1/(1+n)$, equate it to $r$:

$$\frac{1}{1+n} = \frac{\epsilon-1}{\epsilon}, \qquad n = \frac{1}{\epsilon-1}, \qquad \epsilon = \frac{1+n}{n}, \tag{11.27}$$

$$P = J \left( \frac{1}{J} \sum_j P_j^{-1/n} \right)^{-n}. \tag{11.28}$$

This explains the extra $J$ in the finite-good formulas. It is a units choice; it should not be inserted into the unit-mass continuum formulas.

### 11.4.4 Intertemporal choice with money and nominal bonds

Return to time subscripts. Let $m_t^r = M_t/P_t$ denote real money in this subsection; later $\hat{m}_t$ denotes the log deviation of *nominal* money. Using resources minus expenditures keeps the multiplier positive:

$$\mathscr{L} = E_0 \sum_{t=0}^{\infty} \beta^t \Big\{ \xi_t [v(C_t) - \chi N_t^{1+\varphi}/(1+\varphi) + \omega v_m(m_t^r)] + \lambda_t [W_t N_t + D_t + T_t + M_{t-1} + B_{t-1} - P_t C_t - M_t - Q_t B_t] \Big\}. \tag{11.29}$$

The current-date derivatives are

$$0 = \xi_t C_t^{-\sigma} - \lambda_t P_t, \qquad \lambda_t = \xi_t C_t^{-\sigma}/P_t, \tag{11.30}$$

$$0 = -\xi_t \chi N_t^{\varphi} + \lambda_t W_t, \qquad W_t/P_t = \chi C_t^{\sigma} N_t^{\varphi}. \tag{11.31}$$

For $B_t$, include its cost now and payoff next period. For $M_t$, include its liquidity service now and its carried nominal balance next period:

$$0 = -\beta^t \lambda_t Q_t + \beta^{t+1} E_t \lambda_{t+1}, \tag{11.32}$$

$$Q_t = \beta E_t(\lambda_{t+1}/\lambda_t) \tag{11.33}$$

$$= \beta E_t \left[ \frac{\xi_{t+1}}{\xi_t} \left( \frac{C_{t+1}}{C_t} \right)^{-\sigma} \frac{P_t}{P_{t+1}} \right], \tag{11.34}$$

$$0 = \beta^t [\xi_t \omega (m_t^r)^{-\nu_m}/P_t - \lambda_t] + \beta^{t+1} E_t \lambda_{t+1}, \tag{11.35}$$

$$1 = \frac{\xi_t \omega (m_t^r)^{-\nu_m}}{P_t \lambda_t} + \beta E_t(\lambda_{t+1}/\lambda_t) \tag{11.36}$$

$$= \omega C_t^{\sigma} (m_t^r)^{-\nu_m} + Q_t, \tag{11.37}$$

$$\omega C_t^{\sigma} (m_t^r)^{-\nu_m} = 1 - Q_t = 1 - \frac{1}{1+i_t} = \frac{i_t}{1+i_t}. \tag{11.38}$$

The cost of money is the interest forgone on the bond. A larger $i_t$ makes liquidity more costly; a larger purchase basket makes liquidity more useful. The marginal utility of money must be divided by marginal utility of consumption; $1 - Q_t$ is not unscaled $u_m$.

The old budget buys a bond for one unit today and receives $1 + i_t$ tomorrow. It is equivalent, but its quantity is a different object. Set $H_t = Q_t B_t$:

$$B_t = R_t^n H_t, \tag{11.39}$$

$$P_t C_t + M_t + H_t = W_t N_t + D_t + T_t + M_{t-1} + R_{t-1}^n H_{t-1}. \tag{11.40}$$

Do not use the face-value budget with the unit-price bond's payoff. Households own firms, so omitting distributed profits would also break aggregate accounting:

$$D_t = \int (P_{it} Y_{it} - W_t N_{it})\, di = P_t Y_t - W_t N_t, \tag{11.41}$$

$$P_t C_t = W_t N_t + D_t + (M_t - M_{t-1}) + M_{t-1} - M_t = P_t Y_t. \tag{11.42}$$

**Common wage, different quantities.** Competitive labor trading equates wages across uses; it does not equate $N_{it}$ across firms. Likewise, a continuum of goods is an indexing device, not proof of competitive pricing. The product market's demand elasticity and pricing choice determine its market structure.

### 11.4.5 Money demand and interest-rate conventions

Let hats denote log deviations from the deterministic reference. From (11.38),

$$\log\omega + \sigma\log C_t - \nu_m(\log M_t - \log P_t) = \log i_t - \log(1+i_t), \tag{11.43}$$

$$\sigma\hat{c}_t - \nu_m(\hat{m}_t - \hat{p}_t) = f(i_t) - f(\bar{i}), \qquad f(i) = \log i - \log(1+i), \tag{11.44}$$

$$f'(i) = 1/i - 1/(1+i) = 1/[i(1+i)], \tag{11.45}$$

$$f(i_t) - f(\bar{i}) \simeq \frac{i_t - \bar{i}}{\bar{i}(1+\bar{i})}, \tag{11.46}$$

$$\hat{m}_t - \hat{p}_t \simeq \frac{\sigma}{\nu_m}\hat{c}_t - \frac{1}{\nu_m\bar{i}(1+\bar{i})}(i_t - \bar{i}). \tag{11.47}$$

The course's $\hat{i}_t = \log(i_t/\bar{i}) \simeq (i_t - \bar{i})/\bar{i}$ gives

$$\hat{m}_t - \hat{p}_t = \frac{\sigma}{\nu_m}\hat{c}_t - \frac{1}{\nu_m(1+\bar{i})}\hat{i}_t. \tag{11.48}$$

For the Euler equation and policy rule we instead use the log *gross* rate deviation $j_t = \log(R^n_t/\bar{R}^n)$. Since

$$j_t \simeq (i_t - \bar{i})/(1+\bar{i}), \tag{11.49}$$

$$\hat{i}_t \simeq (1+\bar{i})j_t/\bar{i}, \tag{11.50}$$

$$\hat{m}_t - \hat{p}_t = \alpha_m\hat{y}_t - \eta j_t, \qquad \alpha_m = \sigma/\nu_m, \quad \eta = 1/(\nu_m\bar{i}), \tag{11.51}$$

where $C_t = Y_t$. An income coefficient of one additionally requires $\sigma = \nu_m$. From now on local equations use equality signs for their first-order versions; they do not become exact nonlinear identities.

Near $i = 0$, the log of the opportunity cost is singular and the semi-elasticity becomes large. A zero-bound experiment cannot be obtained by blindly extending this local money-demand line through zero.

## 11.5 Labor costs and price setting

### 11.5.1 Cost minimization and the flexible-price markup

First find the cheapest labor input for a required $Y_i$:

$$\min_{N_i} WN_i \quad \text{subject to } AN_i^{1-\alpha} \geq Y_i, \tag{11.52}$$

$$\mathscr{L}_i = WN_i + MC_i^n(Y_i - AN_i^{1-\alpha}), \tag{11.53}$$

$$0 = W - MC_i^n(1-\alpha)AN_i^{-\alpha}, \tag{11.54}$$

$$MC_i^n = \frac{W}{(1-\alpha)AN_i^{-\alpha}} = \frac{W}{MPN_i}. \tag{11.55}$$

The multiplier is the marginal cost of an extra unit of output, not the total wage bill. Solve the production constraint and differentiate its cost directly:

$$N_i = (Y_i/A)^{1/(1-\alpha)}, \tag{11.56}$$

$$TC_i^n(Y_i) = WA^{-1/(1-\alpha)}Y_i^{1/(1-\alpha)}, \tag{11.57}$$

$$\frac{dTC_i^n}{dY_i} = \frac{W}{1-\alpha}A^{-1/(1-\alpha)}Y_i^{\alpha/(1-\alpha)} = MC_i^n. \tag{11.58}$$

For a flexible-price firm, demand implies

$$Y_i = (P_i/P)^{-\epsilon}Y, \qquad \frac{dY_i}{dP_i} = -\epsilon Y_i/P_i, \tag{11.59}$$

$$\frac{d(P_iY_i - TC_i^n)}{dP_i} = Y_i + P_i\frac{dY_i}{dP_i} - MC_i^n\frac{dY_i}{dP_i} \tag{11.60}$$

$$= Y_i[1 - \epsilon + \epsilon MC_i^n/P_i] = 0, \tag{11.61}$$

$$(\epsilon - 1)P_i = \epsilon MC_i^n, \qquad P_i = \mu MC_i^n, \qquad \mu = \frac{\epsilon}{\epsilon - 1}. \tag{11.62}$$

For $\alpha = 0$, $MC_i^n = W/A$ is common across firms. For $\alpha > 0$, a lower relative price raises sales, hours, and the firm's marginal cost. This feedback will matter for the Phillips-curve slope.

**Try two separate limits.** Set $\theta = 0$: every firm can reset, but $\mu > 1$ remains. Set $\epsilon \to \infty$: the markup tends to one, but this does not grant firms permission to reprice. Flexible prices and perfect competition remove different restrictions; a steady price in an unchanging economy proves neither one.

### 11.5.2 Choosing a price that may remain in place

Let $s = t + k$. Conditional on a reset price surviving, sales are $Y_{s|t} = (P_t^{\#}/P_s)^{-\epsilon}Y_s$. The household values one nominal unit at $s$ relative to one at $t$ by the stochastic discount factor

$$\mathcal{Q}_{t,s} = \beta^k\frac{\lambda_s}{\lambda_t} = \beta^k\frac{\xi_s}{\xi_t}\left(\frac{C_s}{C_t}\right)^{-\sigma}\frac{P_t}{P_s}. \tag{11.63}$$

This is a valuation kernel, not a certain discount rate: it puts greater value on profits in states where household marginal utility is high. Firm ownership makes that valuation relevant even though bonds have zero net supply.

A resetter maximizes the expected discounted profits earned while this price is still in place:

$$\max_{P_t^{\#}} E_t\sum_{k=0}^{\infty}\theta^k\mathcal{Q}_{t,t+k}\left[P_t^{\#}Y_{t+k|t} - TC_{t+k}^n(Y_{t+k|t})\right]. \tag{11.64}$$

Its own future reset choices do not depend on the price chosen now, so the objective can omit profits after the next reset. The probability $\theta^k$ is separate from both the discount factor and the demand elasticity.

Holding aggregate conditions fixed, differentiate each surviving-price profit:

$$\frac{\partial Y_{s|t}}{\partial P_t^{\#}} = -\epsilon (P_t^{\#}/P_s)^{-\epsilon-1} Y_s/P_s = -\epsilon Y_{s|t}/P_t^{\#}, \tag{11.65}$$

$$\frac{\partial [P_t^{\#} Y_{s|t} - TC_s^n(Y_{s|t})]}{\partial P_t^{\#}} = Y_{s|t} + P_t^{\#}(-\epsilon Y_{s|t}/P_t^{\#}) - MC_{s|t}^n(-\epsilon Y_{s|t}/P_t^{\#}) \tag{11.66}$$

$$= Y_{s|t}[1 - \epsilon + \epsilon MC_{s|t}^n/P_t^{\#}]. \tag{11.67}$$

Set the sum of these derivatives to zero and move terms explicitly:

$$0 = E_t \sum_{k\geq 0} \theta^k \mathcal{Q}_{t,s} Y_{s|t}[1 - \epsilon + \epsilon MC_{s|t}^n/P_t^{\#}], \tag{11.68}$$

$$(\epsilon - 1) E_t \sum_{k\geq 0} \theta^k \mathcal{Q}_{t,s} Y_{s|t} = \frac{\epsilon}{P_t^{\#}} E_t \sum_{k\geq 0} \theta^k \mathcal{Q}_{t,s} Y_{s|t} MC_{s|t}^n, \tag{11.69}$$

$$P_t^{\#} = \mu \frac{E_t \sum_{k\geq 0} \theta^k \mathcal{Q}_{t,s} Y_{s|t} MC_{s|t}^n}{E_t \sum_{k\geq 0} \theta^k \mathcal{Q}_{t,s} Y_{s|t}}. \tag{11.70}$$

For diminishing returns, this remains an implicit equation because $MC_{s|t}^n$ depends on the chosen reset price. A long-lived price balances lost margin at a low price against lost sales at a high one across dates and states, rather than setting today's markup in every future state.

### 11.5.3 The optimal reset price

Substitute the discount factor and demand into each weight:

$$\theta^k \mathcal{Q}_{t,s} Y_{s|t} = (\beta\theta)^k \frac{\xi_s}{\xi_t} C_s^{-\sigma} C_t^{\sigma} \frac{P_t}{P_s} (P_t^{\#})^{-\epsilon} P_s^{\epsilon} Y_s \tag{11.71}$$

$$= (P_t^{\#})^{-\epsilon} \frac{P_t C_t^{\sigma}}{\xi_t} (\beta\theta)^k F_s, \tag{11.72}$$

$$F_s = \xi_s C_s^{-\sigma} Y_s P_s^{\epsilon-1} = \xi_s Y_s^{1-\sigma} P_s^{\epsilon-1}. \tag{11.73}$$

The first factor is known at $t$, identical in numerator and denominator, and cancels. The result at time zero and at a general reset date is, respectively,

$$P_0^{\#} = \mu \frac{E_0 \sum_{k\geq 0} (\beta\theta)^k F_k MC_{k|0}^n}{E_0 \sum_{k\geq 0} (\beta\theta)^k F_k}, \tag{11.74}$$

$$P_t^{\#} = \mu \frac{E_t \sum_{k\geq 0} (\beta\theta)^k F_{t+k} MC_{t+k|t}^n}{E_t \sum_{k\geq 0} (\beta\theta)^k F_{t+k}}. \tag{11.75}$$

Both sums use $\beta^k \theta^k$. A common $\beta^t$ from dating all values at zero would cancel; it would not justify dropping $\beta^k$ from one sum.

Define a reference marginal cost evaluated at the average demand quantity $Y_s$:

$$MC_s^n = \frac{W_s}{1-\alpha} A_s^{-1/(1-\alpha)} Y_s^{\alpha/(1-\alpha)}, \tag{11.76}$$

$$MC_{s|t}^n = MC_s^n (Y_{s|t}/Y_s)^{\alpha/(1-\alpha)} \tag{11.77}$$

$$= MC_s^n (P_t^{\#}/P_s)^{-\zeta}, \qquad \zeta = \frac{\epsilon\alpha}{1-\alpha}, \quad \Omega = \frac{1}{1+\zeta} = \frac{1-\alpha}{1-\alpha+\epsilon\alpha}. \tag{11.78}$$

Inserting this expression into the ratio and multiplying by $(P_t^{\#})^{\zeta}$ removes the implicit own-price term:

$$(P_t^{\#})^{1+\zeta} = \mu \frac{E_t \sum_{k\geq 0} (\beta\theta)^k F_s MC_s^n P_s^{\zeta}}{E_t \sum_{k\geq 0} (\beta\theta)^k F_s}. \tag{11.79}$$

For $\alpha = 0$, $\zeta = 0$, $\Omega = 1$, and marginal cost is $W_s/A_s$. For $\theta = 0$, only $k = 0$ remains in (11.75): $P_t^{\#} = \mu MC_{t|t}^n$. All resetters make the same decision at a date; this does not make prices of nonresetting firms identical to theirs.

**An infinite sum does not make expectations unnecessary.** Known current factors may leave $E_t$. Unknown future wages, demand, and prices stay inside it, even with infinitely many terms. Under uncertainty, $E_t(XY)$ is generally not $E_t X\, E_t Y$, and a ratio of expected sums is not an expectation of date-specific ratios. The first-order approximation below removes products of deviations; the exact problem does not.

## 11.6 From individual prices to aggregate inflation

### 11.6.1 The reset price near a steady state

Let $\hat{p}_t = \log(P_t/\bar{P})$, $\hat{p}_t^{\#} = \log(P_t^{\#}/\bar{P})$, and $\hat{mc}_t^n = \log(MC_t^n/\overline{MC}^n)$. A symmetric zero-inflation reference has

$$\bar{P} = \mu \overline{MC}^n, \qquad \bar{F} = \bar{Y}^{1-\sigma} \bar{P}^{\epsilon-1}, \qquad S = \sum_{k\geq 0} (\beta\theta)^k = \frac{1}{1-\beta\theta}. \tag{11.80}$$

Write (11.75) as a product equality, then divide by its steady factor $\bar{P}\bar{F}$. The left side is

$$\mathscr{H}_L = \frac{P_t^{\#}}{\bar{P}} E_t \sum_{k\geq 0} (\beta\theta)^k \frac{F_s}{\bar{F}}. \tag{11.81}$$

For clarity, the individual derivatives behind its Taylor expansion are

$$\frac{d\xi}{\bar{\xi}} \simeq q, \qquad \frac{dY^{1-\sigma}}{\bar{Y}^{1-\sigma}} = (1-\sigma)\frac{dY}{\bar{Y}}, \qquad \frac{dP^{\epsilon-1}}{\bar{P}^{\epsilon-1}} = (\epsilon-1)\frac{dP}{\bar{P}}, \tag{11.82}$$

$$\frac{dF_s}{\bar{F}} = q_s + (1-\sigma)\hat{y}_s + (\epsilon-1)\hat{p}_s \equiv \hat{f}_s. \tag{11.83}$$

Thus constant terms and first-order terms on both sides are

$$\mathscr{H}_L \simeq S + S\hat{p}_t^{\#} + E_t \sum_{k\geq 0} (\beta\theta)^k \hat{f}_s, \tag{11.84}$$

$$\mathscr{H}_R = \frac{\mu}{\bar{P}} E_t \sum_{k\geq 0} (\beta\theta)^k \frac{F_s}{\bar{F}} MC_{s|t}^n \tag{11.85}$$

$$\simeq S + E_t \sum_{k\geq 0} (\beta\theta)^k [\hat{f}_s + \hat{mc}_{s|t}^n]. \tag{11.86}$$

If both sides are additionally divided by $P_{t-1}/\bar{P}$, as in the course, each gains the same first-order term $-S\hat{p}_{t-1}$; it cancels too. Equating the two expansions shows the cancellation, rather than assuming it:

$$S + S\hat{p}_t^{\#} + E_t \sum_k (\beta\theta)^k \hat{f}_s = S + E_t \sum_k (\beta\theta)^k \hat{f}_s + E_t \sum_k (\beta\theta)^k \hat{mc}_{s|t}^n, \tag{11.87}$$

$$S\hat{p}_t^{\#} = E_t \sum_k (\beta\theta)^k \hat{mc}_{s|t}^n, \tag{11.88}$$

$$\hat{p}_t^{\#} = (1-\beta\theta) E_t \sum_k (\beta\theta)^k \hat{mc}_{s|t}^n. \tag{11.89}$$

Now use the own-price effect from (11.78):

$$\hat{mc}_{s|t}^n = \hat{mc}_s^n - \zeta(\hat{p}_t^{\#} - \hat{p}_s), \tag{11.90}$$

$$\hat{p}_t^{\#} = (1-\beta\theta) E_t \sum_k (\beta\theta)^k [\hat{mc}_s^n + \zeta\hat{p}_s] - \zeta\hat{p}_t^{\#}, \tag{11.91}$$

$$(1+\zeta)\hat{p}_t^{\#} = (1-\beta\theta) E_t \sum_k (\beta\theta)^k [\hat{mc}_s^n + \zeta\hat{p}_s]. \tag{11.92}$$

Let $\hat{mc}_s = \hat{mc}_s^n - \hat{p}_s$ be real marginal-cost deviation. Since $\hat{mc}_s^n + \zeta\hat{p}_s = (1+\zeta)\hat{p}_s + \hat{mc}_s$,

$$\hat{p}_t^{\#} = (1-\beta\theta) E_t \sum_{k\geq 0} (\beta\theta)^k [\hat{p}_{t+k} + \Omega\hat{mc}_{t+k}]. \tag{11.93}$$

A positive marginal-cost deviation makes a resetter choose a higher price. Diminishing returns damp that response: raising its own price loses sales and reduces its own marginal cost, so the desired change is smaller than a calculation that treats its marginal cost as fixed would imply.

Define $p_t^{\text{tar}} = \hat{p}_t + \Omega\hat{mc}_t$ as the local pricing target in this weighted sum. Separate its first term and reindex $h = k - 1$:

$$\hat{p}_t^{\#} = (1-\beta\theta) p_t^{\text{tar}} + (1-\beta\theta) E_t \sum_{k\geq 1} (\beta\theta)^k p_{t+k}^{\text{tar}} \tag{11.94}$$

$$= (1-\beta\theta) p_t^{\text{tar}} + \beta\theta E_t \left[ (1-\beta\theta) E_{t+1} \sum_{h\geq 0} (\beta\theta)^h p_{t+1+h}^{\text{tar}} \right] \tag{11.95}$$

$$= (1-\beta\theta)(\hat{p}_t + \Omega\hat{mc}_t) + \beta\theta E_t \hat{p}_{t+1}^{\#}. \tag{11.96}$$

The second equality uses iterated expectations. It does not remove forecasting from the pricing problem.

### 11.6.2 Reset prices and inherited prices

A fraction $1-\theta$ chooses $P_t^{\#}$ and the remaining fraction keeps its old price distribution. Independent selection leaves that distribution representative of the previous period's distribution, so

$$P_t^{1-\epsilon} = (1-\theta)(P_t^{\#})^{1-\epsilon} + \theta P_{t-1}^{1-\epsilon}, \tag{11.97}$$

$$\Pi_t^{1-\epsilon} = (1-\theta)(P_t^{\#}/P_{t-1})^{1-\epsilon} + \theta, \qquad \Pi_t = P_t/P_{t-1}. \tag{11.98}$$

The Taylor expansion of $z^{1-\epsilon}$ at $z=1$ is $1+(1-\epsilon)(z-1) \simeq 1+(1-\epsilon)\log z$. Apply it to both ratios:

$$1+(1-\epsilon)\pi_t = (1-\theta)\left[1+(1-\epsilon)(\hat{p}_t^{\#} - \hat{p}_{t-1})\right] + \theta, \tag{11.99}$$

$$\pi_t = (1-\theta)(\hat{p}_t^{\#} - \hat{p}_{t-1}), \tag{11.100}$$

$$\hat{p}_t = (1-\theta)\hat{p}_t^{\#} + \theta\hat{p}_{t-1}, \qquad \pi_t = \log\Pi_t = \hat{p}_t - \hat{p}_{t-1}. \tag{11.101}$$

$$r_t^{\#} \equiv \hat{p}_t^{\#} - \hat{p}_t = \frac{\pi_t}{1-\theta} - \pi_t = \frac{\theta}{1-\theta}\pi_t. \tag{11.102}$$

Inflation is a change in the log price level, not the same variable as that level. Likewise, the reset price differs from both.

Subtract $\hat{p}_t$ from (11.96), remembering that $\hat{p}_{t+1}^{\#} - \hat{p}_t = r_{t+1}^{\#} + \pi_{t+1}$:

$$r_t^{\#} = (1-\beta\theta)\Omega\hat{mc}_t + \beta\theta E_t(r_{t+1}^{\#} + \pi_{t+1}), \tag{11.103}$$

$$\frac{\theta}{1-\theta}\pi_t = (1-\beta\theta)\Omega\hat{mc}_t + \beta\theta E_t\left[\frac{\theta}{1-\theta}\pi_{t+1} + \pi_{t+1}\right] \tag{11.104}$$

$$= (1-\beta\theta)\Omega\hat{mc}_t + \frac{\beta\theta}{1-\theta}E_t\pi_{t+1}, \tag{11.105}$$

$$\pi_t = \beta E_t\pi_{t+1} + \lambda_p\Omega\hat{mc}_t, \qquad \lambda_p = \frac{(1-\theta)(1-\beta\theta)}{\theta}. \tag{11.106}$$

This is the marginal-cost New Keynesian Phillips curve. It is a local pricing condition, not an assumed correlation between inflation and unemployment.

### 11.6.3 Inflation as a sequence of price changes

The reset price depends on future price levels, whereas inflation records the changes between those levels. Writing each price difference as a sum of inflation rates makes that connection explicit. Subtract $\hat{p}_{t-1}$ directly in (11.93):

$$\frac{\pi_t}{1-\theta} = H_t + (1-\beta\theta)E_t\sum_{k\geq 0}(\beta\theta)^k(\hat{p}_{t+k} - \hat{p}_{t-1}), \tag{11.107}$$

$$H_t = (1-\beta\theta)\Omega E_t\sum_{k\geq 0}(\beta\theta)^k\hat{mc}_{t+k}. \tag{11.108}$$

Put $b = \beta\theta$. The price differences telescope into inflation:

$$\hat{p}_{t+k} - \hat{p}_{t-1} = \sum_{h=0}^{k} \pi_{t+h}, \tag{11.109}$$

$$\sum_{k\geq 0} b^k \sum_{h=0}^{k} E_t\pi_{t+h} = \pi_t + b(\pi_t + E_t\pi_{t+1}) + b^2(\pi_t + E_t\pi_{t+1} + E_t\pi_{t+2}) + \cdots \tag{11.110}$$

$$= \sum_{h\geq 0} E_t\pi_{t+h} \sum_{k\geq h} b^k = \frac{1}{1-b} \sum_{h\geq 0} b^h E_t\pi_{t+h}. \tag{11.111}$$

The rearrangement requires convergent expected discounted sums. Define $J_t = \sum_{h\geq 0} b^h E_t\pi_{t+h}$ and $V_t = H_t + J_t = \pi_t/(1-\theta)$. Separating their first terms gives

$$H_t = (1-b)\Omega\hat{m}c_t + bE_tH_{t+1}, \tag{11.112}$$

$$J_t = \pi_t + bE_tJ_{t+1}, \tag{11.113}$$

$$\frac{\pi_t}{1-\theta} = \pi_t + (1-b)\Omega\hat{m}c_t + bE_tV_{t+1} \tag{11.114}$$

$$= \pi_t + (1-b)\Omega\hat{m}c_t + \frac{b}{1-\theta}E_t\pi_{t+1}, \tag{11.115}$$

$$\theta\pi_t = (1-\theta)(1-b)\Omega\hat{m}c_t + bE_t\pi_{t+1}, \tag{11.116}$$

$$\pi_t = \lambda_p\Omega\hat{m}c_t + \beta E_t\pi_{t+1}. \tag{11.117}$$

The discount powers and expectations stay attached to every future term. The cancellation shows how the expected sequence of price changes enters today's inflation condition.

### 11.6.4 Price vintages and the Phillips curve

The same inflation condition can be understood through the prices firms inherit. Today's price index combines newly chosen prices with prices set at earlier dates. If inherited history is generated by the same Calvo mechanism, iterating (11.101) backward yields

$$\hat{p}_t = (1-\theta)\hat{p}_t^{\#} + \theta\hat{p}_{t-1} \tag{11.118}$$

$$= (1-\theta)\hat{p}_t^{\#} + \theta(1-\theta)\hat{p}_{t-1}^{\#} + \theta^2\hat{p}_{t-2} \tag{11.119}$$

$$= (1-\theta)\sum_{h=0}^{H-1} \theta^h\hat{p}_{t-h}^{\#} + \theta^H\hat{p}_{t-H} \tag{11.120}$$

$$= (1-\theta)\sum_{h\geq 0} \theta^h\hat{p}_{t-h}^{\#}. \tag{11.121}$$

The last equality needs a bounded inherited history so the last term vanishes. The exact CES-vintage expression precedes this log approximation; averaging price levels arithmetically is not its exact counterpart.

Use the aggregate identity at $t$ and $t+1$:

$$(1-\theta)\hat{p}_t^{\#} = \hat{p}_t - \theta\hat{p}_{t-1}, \tag{11.122}$$

$$(1-\theta)E_t\hat{p}_{t+1}^{\#} = E_t\hat{p}_{t+1} - \theta\hat{p}_t. \tag{11.123}$$

Multiply the reset recursion by $1-\theta$ and substitute those two identities:

$$\hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)(1-\beta\theta)(\hat{p}_t + \Omega\hat{m}c_t) + \beta\theta(E_t\hat{p}_{t+1} - \theta\hat{p}_t), \tag{11.124}$$

$$[1+\beta\theta^2-(1-\theta)(1-\beta\theta)]\hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)(1-\beta\theta)\Omega\hat{m}c_t + \beta\theta E_t\hat{p}_{t+1}. \tag{11.125}$$

Expand the coefficient instead of leaving the cancellation to the reader:

$$1+\beta\theta^2-(1-\theta-\beta\theta+\beta\theta^2) = \theta+\beta\theta, \tag{11.126}$$

$$\theta(1+\beta)\hat{p}_t - \theta\hat{p}_{t-1} = (1-\theta)(1-\beta\theta)\Omega\hat{m}c_t + \beta\theta E_t\hat{p}_{t+1}, \tag{11.127}$$

$$\theta(\hat{p}_t - \hat{p}_{t-1}) = (1-\theta)(1-\beta\theta)\Omega\hat{m}c_t + \beta\theta(E_t\hat{p}_{t+1} - \hat{p}_t), \tag{11.128}$$

$$\pi_t = \lambda_p\Omega\hat{m}c_t + \beta E_t\pi_{t+1}. \tag{11.129}$$

The two routes agree because their pricing target, timing, and aggregation are now the same. Changing the target coefficient changes the economic model, not merely the speed of the derivation.

## 11.7 Natural output and inflationary pressure

### 11.7.1 Price dispersion and aggregate production

Use demand and technology firm by firm, then aggregate labor:

$$N_{it} = (Y_{it}/A_t)^{1/(1-\alpha)} \tag{11.130}$$

$$= (Y_t/A_t)^{1/(1-\alpha)}(P_{it}/P_t)^{-\epsilon/(1-\alpha)}, \tag{11.131}$$

$$N_t = (Y_t/A_t)^{1/(1-\alpha)}\Delta_t, \tag{11.132}$$

$$Y_t = A_t(N_t/\Delta_t)^{1-\alpha}. \tag{11.133}$$

Let $h = \epsilon/(1-\alpha)$. Calvo selection also implies

$$\Delta_t = (1-\theta)(P_t^{\#}/P_t)^{-h} + \theta\Pi_t^h\Delta_{t-1}. \tag{11.134}$$

At the symmetric reference the first-order deviation satisfies

$$\hat{\Delta}_t = -(1-\theta)hr_t^{\#} + \theta h\pi_t + \theta\hat{\Delta}_{t-1} \tag{11.135}$$

$$= -\theta h\pi_t + \theta h\pi_t + \theta\hat{\Delta}_{t-1} = \theta\hat{\Delta}_{t-1}. \tag{11.136}$$

Starting at $\Delta_{-1} = 1$, first-order dispersion is zero. It generally reappears at second order and uses real resources. Thus for this local analysis,

$$\hat{y}_t = a_t + (1-\alpha)\hat{n}_t, \qquad \hat{n}_t = (\hat{y}_t - a_t)/(1-\alpha). \tag{11.137}$$

Relative prices matter for efficiency even when their dispersion drops out of the first-order three-equation system.

### 11.7.2 Marginal cost and the flexible-price allocation

Divide (11.55) by $P_t$ and evaluate cost at the reference quantity. From household labor supply,

$$mc_t = \frac{W_t/P_t}{(1-\alpha)A_t N_t^{-\alpha}} \quad \text{to first order around symmetry,} \tag{11.138}$$

$$\hat{mc}_t = \hat{w}_t - \hat{p}_t - a_t + \alpha\hat{n}_t \tag{11.139}$$

$$= \sigma\hat{c}_t + \varphi\hat{n}_t - a_t + \alpha\hat{n}_t \tag{11.140}$$

$$= \sigma\hat{y}_t + (\varphi+\alpha)\frac{\hat{y}_t - a_t}{1-\alpha} - a_t \tag{11.141}$$

$$= \left[\sigma + \frac{\varphi+\alpha}{1-\alpha}\right]\hat{y}_t - \left[\frac{\varphi+\alpha}{1-\alpha} + 1\right]a_t \tag{11.142}$$

$$= \gamma\hat{y}_t - \frac{1+\varphi}{1-\alpha}a_t, \qquad \gamma = \frac{\sigma(1-\alpha)+\varphi+\alpha}{1-\alpha}. \tag{11.143}$$

Here $\hat{w}_t$ is the nominal wage's log deviation. The intermediate expression is exact under symmetry; its use with sticky prices is a first-order one.

Define $Y_t^n$ by allowing all firms to reprice at the current technology, while retaining preferences, market power, and other real distortions. Symmetry then gives $P_{it} = P_t$ and

$$1 = \mu mc_t^{\text{flex}}, \qquad mc_t^{\text{flex}} = 1/\mu > 0, \tag{11.144}$$

$$\hat{mc}_t^{\text{flex}} = \log[(1/\mu)/(1/\mu)] = 0. \tag{11.145}$$

The qualifier flex identifies the natural allocation; uppercase $MC_t^n$ still denotes nominal marginal cost. Zero *deviation* does not mean zero marginal cost.

To see the level, combine flexible-price labor supply, technology, and markup:

$$\frac{1}{\mu} = \frac{\chi}{1-\alpha}(Y_t^n)^{\sigma}(N_t^n)^{\varphi+\alpha}/A_t, \tag{11.146}$$

$$N_t^n = (Y_t^n/A_t)^{1/(1-\alpha)}, \tag{11.147}$$

$$\frac{1}{\mu} = \frac{\chi}{1-\alpha}(Y_t^n)^{\gamma}A_t^{-(1+\varphi)/(1-\alpha)}, \tag{11.148}$$

$$\gamma\log Y_t^n = \log(1-\alpha) - \log\chi - \log\mu + \frac{1+\varphi}{1-\alpha}\log A_t, \tag{11.149}$$

$$\hat{y}_t^n = \psi_a a_t, \qquad \psi_a = \frac{1+\varphi}{\sigma(1-\alpha)+\varphi+\alpha}. \tag{11.150}$$

Subtract its reference-deviation equation from (11.143):

$$0 = \gamma\hat{y}_t^n - \frac{1+\varphi}{1-\alpha}a_t, \tag{11.151}$$

$$\hat{mc}_t = \gamma(\hat{y}_t - \hat{y}_t^n) = \gamma x_t, \tag{11.152}$$

$$\pi_t = \beta E_t\pi_{t+1} + \kappa x_t, \qquad x_t = \hat{y}_t - \hat{y}_t^n, \quad \kappa = \lambda_p\Omega\gamma > 0. \tag{11.153}$$

The coefficient $\gamma$ measures how real marginal cost responds to the output gap. With decreasing returns, $\Omega$ also tracks the effect of a resetter's own sales on its marginal cost. It equals one under linear production.

### 11.7.3 Desired prices under linear production

With linear production, the desired relative price has a particularly direct connection to wages and productivity. Set $\alpha = 0$ and write:

$$\frac{P_{it}^d}{P_t} = \mu \frac{W_t/P_t}{A_t} = \mu\chi \frac{Y_t^\sigma N_t^\varphi}{A_t}, \tag{11.154}$$

$$N_t = \int_0^1 (Y_{jt}/A_t)\, dj = \frac{Y_t}{A_t} \int_0^1 (P_{jt}/P_t)^{-\epsilon}\, dj. \tag{11.155}$$

Under flexible-price symmetry the integral is one. Around the symmetric reference its first-order change is zero by the price-index restriction. Consequently,

$$\log(P_{it}^d/P_t) = \log(\mu\chi) + (\sigma+\varphi)\log Y_t - (1+\varphi)\log A_t \quad \text{under symmetry}, \tag{11.156}$$

$$\hat{p}_t^d - \hat{p}_t = (\sigma+\varphi)\hat{y}_t - (1+\varphi)a_t = (\sigma+\varphi)x_t \quad \text{locally}, \tag{11.157}$$

$$\hat{y}_t^n = \frac{1+\varphi}{\sigma+\varphi} a_t. \tag{11.158}$$

This gives the same target and natural output as the profit-based derivation when $\alpha = 0$. The common-wage household supplies *aggregate* labor. Changing the price of a single measure-zero firm does not replace $N_t$ by that firm's $N_{it}$ in the household's labor condition.

**The $1 + \epsilon\varphi$ denominator and labor supply** If one substitutes $N_{it} = (P_{it}/P_t)^{-\epsilon} Y_t/A_t$ in place of aggregate $N_t$, the algebra gives

$$(1+\epsilon\varphi)(\hat{p}_{it}^d - \hat{p}_t) = (\sigma+\varphi)\hat{y}_t - (1+\varphi)a_t.$$

The extra denominator is a consequence of that substitution. It does not follow from the stated common competitive labor market. A separate model with an appropriate firm-level wage or real rigidity may produce a different target coefficient; its conditions must be supplied first. Under the common-wage assumption, aggregate labor and a firm's own employment remain distinct.

### 11.7.4 Natural output and efficient output

For the goods-and-hours planner with symmetric production, solve

$$\max_{N_t>0} \xi_t \left[ v(A_t N_t^{1-\alpha}) - \frac{\chi N_t^{1+\varphi}}{1+\varphi} \right]. \tag{11.159}$$

The chain rule makes the consumption benefit of one more hour explicit:

$$0 = \xi_t \left[ v'(Y_t^e)(1-\alpha)A_t (N_t^e)^{-\alpha} - \chi (N_t^e)^\varphi \right], \tag{11.160}$$

$$(Y_t^e)^{-\sigma}(1-\alpha)A_t (N_t^e)^{-\alpha} = \chi (N_t^e)^\varphi, \tag{11.161}$$

$$\chi (Y_t^e)^\sigma (N_t^e)^{\varphi+\alpha} / [(1-\alpha)A_t] = 1. \tag{11.162}$$

Compare the natural condition, whose right side is $1/\mu$:

$$\gamma \log Y_t^e - \gamma \log Y_t^n = \log \mu, \tag{11.163}$$

$$\log Y_t^e - \log Y_t^n = \frac{\log \mu}{\gamma} > 0. \tag{11.164}$$

This comparison uses the moneyless core, or conditions on the separate liquidity service allocation; it does not solve a planner problem of choosing unlimited costless money services. Market power depresses natural output relative to the goods-and-hours efficient level. A subsidy that exactly offsets the markup can remove this wedge, but that subsidy is not part of the baseline conditions. A zero natural output gap therefore need not maximize welfare. The policy chapter develops the objective and instruments; here the benchmark must first be identified correctly.

A restaurant can have spare tables because demand is weak, yet an inefficiently high markup can also restrict its flexible-price output. These are different comparisons. Likewise, $Y^n$ is a model counterfactual, not a measured smooth trend or a technical maximum capacity.

## 11.8 Dynamic IS: household timing and the natural real rate

Multiply (11.34) by $R_t^n$. With $\beta \bar{R}^n = 1$, its first-order expansion is

$$1 = \beta R_t^n E_t \left[ \frac{\xi_{t+1}}{\xi_t} (C_{t+1}/C_t)^{-\sigma} e^{-\pi_{t+1}} \right], \tag{11.165}$$

$$1 \simeq E_t\big[(1 + j_t)\{1 + q_{t+1} - q_t - \sigma(\hat{c}_{t+1} - \hat{c}_t) - \pi_{t+1}\}\big], \tag{11.166}$$

$$0 = j_t + E_t q_{t+1} - q_t - \sigma(E_t \hat{c}_{t+1} - \hat{c}_t) - E_t \pi_{t+1}, \tag{11.167}$$

$$\hat{y}_t = E_t \hat{y}_{t+1} - \frac{1}{\sigma}(j_t - E_t \pi_{t+1}) + \frac{1}{\sigma}(q_t - E_t q_{t+1}). \tag{11.168}$$

Products such as $j_t \pi_{t+1}$ are second order and have been dropped. The equality is between conditional expected marginal returns. It is not an exact claim that expected real returns equal a ratio of expected consumption.

At the flexible-price allocation, define the natural log real-rate deviation $r_t^n$ by the same consumption Euler condition:

$$r_t^n = \sigma(E_t \hat{y}_{t+1}^n - \hat{y}_t^n) + q_t - E_t q_{t+1}, \tag{11.169}$$

$$\hat{y}_t^n = E_t \hat{y}_{t+1}^n - r_t^n/\sigma + (q_t - E_t q_{t+1})/\sigma. \tag{11.170}$$

Subtract this equation from (11.168) term by term:

$$\hat{y}_t - \hat{y}_t^n = E_t(\hat{y}_{t+1} - \hat{y}_{t+1}^n) - \frac{1}{\sigma}[j_t - E_t \pi_{t+1} - r_t^n], \tag{11.171}$$

$$x_t = E_t x_{t+1} - \frac{1}{\sigma}(j_t - E_t \pi_{t+1} - r_t^n). \tag{11.172}$$

Under the processes stated in the conditions,

$$r_t^n = \sigma \psi_a (\rho_a - 1) a_t + (1 - \rho_q) q_t. \tag{11.173}$$

The natural rate is not automatically constant when natural output changes. A temporarily high productivity level implies expected consumption declines as productivity reverts; the real return consistent with that spending path is below its reference. A temporary increase in the weight on present utility instead raises the rate required to make households defer consumption.

**The relevant policy stance is a real-rate gap.** When $j_t - E_t\pi_{t+1} > r_t^n$, households wish to postpone consumption relative to the flexible-price path. With prices still in place, firms meet lower demand by selling less and hiring fewer hours. The wage and marginal cost fall; firms that reset then choose lower prices. A lower nominal rate alone does not prove an expansionary stance if expected inflation or the natural rate fell further. This is a hypothetical mechanism, not a diagnosis of a particular recession.

## 11.9 Fixed-duration contracts and staggered adjustment

Suppose firms know exactly how long their prices will remain in place. Divide them into three equal cohorts that take turns resetting: one third resets every date, and each reset price lasts exactly three periods. The duration is known; future aggregate conditions remain uncertain. There are three cohorts of firms, not just three strategic firms whose individual decisions move the price index.

With the same demand and cost function, the reset problem now sums only $k = 0, 1, 2$. The exact FOC becomes

$$P_t^{(3)} = \mu \frac{E_t \sum_{k=0}^{2} \mathcal{Q}_{t,t+k} Y_{t+k|t} MC^n_{t+k|t}}{E_t \sum_{k=0}^{2} \mathcal{Q}_{t,t+k} Y_{t+k|t}}. \tag{11.174}$$

There is no survival factor $\theta^k$: survival for these three dates is certain. The earlier Taylor cancellation, applied to the finite sum, gives

$$(1+\zeta)\hat{p}_t^{(3)} \sum_{k=0}^{2} \beta^k = E_t \sum_{k=0}^{2} \beta^k \big[(1+\zeta)\hat{p}_{t+k} + \hat{mc}_{t+k}\big], \tag{11.175}$$

$$\hat{p}_t^{(3)} = \frac{p_t^{\text{tar}} + \beta E_t p_{t+1}^{\text{tar}} + \beta^2 E_t p_{t+2}^{\text{tar}}}{1 + \beta + \beta^2}. \tag{11.176}$$

Only with the additional no-discounting finite-horizon simplification $\beta = 1$ is this an arithmetic average divided by three. Aggregate pricing is

$$P_t^{1-\epsilon} = \frac{1}{3}\big[(P_t^{(3)})^{1-\epsilon} + (P_{t-1}^{(3)})^{1-\epsilon} + (P_{t-2}^{(3)})^{1-\epsilon}\big], \tag{11.177}$$

$$\hat{p}_t = \frac{1}{3}(\hat{p}_t^{(3)} + \hat{p}_{t-1}^{(3)} + \hat{p}_{t-2}^{(3)}), \tag{11.178}$$

$$\pi_t = \frac{1}{3}(\hat{p}_t^{(3)} - \hat{p}_{t-3}^{(3)}). \tag{11.179}$$

The previous reset price drops out exactly after three dates. Under Calvo, its survival probability instead declines geometrically and has no fixed end. Both mechanisms stagger adjustment, but these different vintage laws do not produce the same Phillips curve. Knowing the duration of a contract is not perfect foresight about demand over its life.[34]

[34] See Taylor (1980), *Aggregate Dynamics and Staggered Contracts*, Journal of Political Economy 88(1), 1–23, and Calvo (1983), *Staggered Prices in a Utility-Maximizing Framework*, Journal of Monetary Economics 12(3), 383–398. The three-period price example here is a teaching construction.

## 11.10 Monetary policy and equilibrium

The household and firm problems deliver two core equations:

$$\pi_t = \beta E_t \pi_{t+1} + \kappa x_t, \tag{11.180}$$

$$x_t = E_t x_{t+1} - \frac{1}{\sigma}(j_t - E_t \pi_{t+1} - r_t^n). \tag{11.181}$$

They do not yet determine the policy instrument. Specifying its rule supplies another equilibrium relation; merely adding another unknown does not close the system. We must also specify initial states, shock processes, and the bounded or terminal behavior selecting admissible paths.

### 11.10.1 Equilibrium with an exogenous money supply

With money, add the household condition and price-level accounting:

$$\hat{m}_t - \hat{p}_t = \alpha_m(x_t + \hat{y}_t^n) - \eta j_t, \tag{11.182}$$

$$\hat{p}_t = \hat{p}_{t-1} + \pi_t. \tag{11.183}$$

A quantity policy additionally specifies $\hat{m}_t$; for example,

$$\hat{m}_t = \rho_m \hat{m}_{t-1} + \varepsilon_t^m, \qquad |\rho_m| < 1. \tag{11.184}$$

This example is a stationary *level* deviation of money, not an assumption about money growth. Given inherited $\hat{p}_{t-1}$ and money history, this is a closed forward-looking system in $x_t, \pi_t, j_t, \hat{p}_t$ and the exogenous state. Closure alone does not prove a unique bounded rational-expectations solution. Its root conditions depend on the chosen money rule; the Taylor-rule proof below applies to a different closure.

The identities $\pi_t = \hat{p}_t - \hat{p}_{t-1}$ and $MV = PY$ do not specify a money process. The latter defines velocity $V = PY/M$. Setting velocity constant adds a restriction and generally conflicts with the interest-elastic money demand derived here. Technology, preferences, and policy innovations can all be exogenous; the word "real" is not a synonym for "exogenous."

### 11.10.2 Equilibrium under an interest-rate rule

Let the authority respond to current inflation and the natural output gap, with a constant zero inflation target:

$$j_t = \phi_\pi \pi_t + \phi_x x_t + \nu_t, \qquad \phi_\pi, \phi_x \geq 0, \tag{11.185}$$

$$\nu_t = \rho_\nu \nu_{t-1} + \varepsilon_t^\nu, \qquad 0 \leq \rho_\nu < 1. \tag{11.186}$$

The coefficients describe systematic responses; $\nu_t$ is a deviation from that rule. A change in a coefficient changes the rule itself and is not the same experiment as a one-time innovation. The rule is written in log gross-rate deviations; $\phi_x$ multiplies the output gap, not output without qualification. A rule can instead respond to output relative to its steady reference. The distinction matters when technology moves:

$$\begin{aligned} j_t &= \phi_\pi \pi_t + \phi_x \hat{y}_t + \nu_t \\ &= \phi_\pi \pi_t + \phi_x x_t + (\nu_t + \phi_x \hat{y}_t^n). \end{aligned} \tag{11.187}$$

Thus the level-output rule uses the same gap-system matrix but an effective forcing term $\nu_t + \phi_x \hat{y}_t^n$. In the monetary experiment below, $\hat{y}_t^n = 0$ and the two conventions coincide. For a productivity shock they must be distinguished. Our baseline rule responds to the natural gap.

It does not automatically track the natural rate. One could instead add $r_t^n$ to its right side, but that would be a different rule.

If money services are present, recover $\hat{m}_t$ from (11.51) after solving the core. With separable money utility, that recovery does not feed back into the goods and hours equations. If money is omitted, there is no money equation to solve. In neither case may an independent fixed money stock be added while keeping the same rate rule.

### 11.10.3 Output and inflation as a joint dynamic system

Substitute the interest rule into dynamic IS, then substitute the Phillips curve for current inflation:

$$\sigma x_t = \sigma E_t x_{t+1} - \phi_\pi \pi_t - \phi_x x_t - \nu_t + E_t \pi_{t+1} + r_t^n, \tag{11.188}$$

$$(\sigma + \phi_x) x_t = \sigma E_t x_{t+1} - \phi_\pi (\beta E_t \pi_{t+1} + \kappa x_t) + E_t \pi_{t+1} + r_t^n - \nu_t, \tag{11.189}$$

$$D x_t = \sigma E_t x_{t+1} + (1 - \beta\phi_\pi) E_t \pi_{t+1} + r_t^n - \nu_t, \qquad D = \sigma + \phi_x + \kappa\phi_\pi > 0, \tag{11.190}$$

$$x_t = \frac{\sigma}{D} E_t x_{t+1} + \frac{1 - \beta\phi_\pi}{D} E_t \pi_{t+1} + \frac{r_t^n - \nu_t}{D}. \tag{11.191}$$

Use this result in current inflation and put terms over the same denominator:

$$\pi_t = \beta E_t \pi_{t+1} + \frac{\kappa}{D}\left[\sigma E_t x_{t+1} + (1 - \beta\phi_\pi) E_t \pi_{t+1} + r_t^n - \nu_t\right], \tag{11.192}$$

$$\beta D + \kappa(1 - \beta\phi_\pi) = \beta\sigma + \beta\phi_x + \beta\kappa\phi_\pi + \kappa - \kappa\beta\phi_\pi \tag{11.193}$$

$$= \kappa + \beta(\sigma + \phi_x), \tag{11.194}$$

$$\pi_t = \frac{\kappa\sigma}{D} E_t x_{t+1} + \frac{\kappa + \beta(\sigma + \phi_x)}{D} E_t \pi_{t+1} + \frac{\kappa}{D}(r_t^n - \nu_t). \tag{11.195}$$

Thus, for $z_t = (x_t, \pi_t)'$,

$$z_t = \mathscr{A} E_t z_{t+1} + b(r_t^n - \nu_t), \tag{11.196}$$

$$\mathscr{A} = \frac{1}{D}\begin{bmatrix} \sigma & 1 - \beta\phi_\pi \\ \kappa\sigma & \kappa + \beta(\sigma + \phi_x) \end{bmatrix}, \qquad b = \frac{1}{D}\begin{bmatrix} 1 \\ \kappa \end{bmatrix}. \tag{11.197}$$

The lower shock coefficient is $\kappa/D$, not $1/D$. Both rows must represent the same substitution; this coefficient is easy to lose when compressing steps.

### 11.10.4 When is the equilibrium unique?

Conditional on exogenous states, $x_t$ and $\pi_t$ are both jump variables in this baseline. There is no inherited capital stock fixing one of them. Since (11.196) maps future expectations *back* to the present, a unique bounded fundamental solution requires its two eigenvalues inside the unit circle. Equivalently, its inverse, the forward transition matrix, needs two roots outside it. This is the relevant root count for the local system; changing the direction of the transition reverses the root test.[35]

[35] The general linear rational-expectations root-counting result is Blanchard and Kahn (1980), *The Solution of Linear Difference Models under Rational Expectations*, Econometrica 48(5), 1305–1311. Here we also derive the special two-variable criterion rather than invoking the name alone.

Compute trace $T$ and determinant $d$ directly:

$$T = \frac{\sigma + \kappa + \beta(\sigma + \phi_x)}{D}, \tag{11.198}$$

$$d = \frac{\sigma[\kappa + \beta(\sigma + \phi_x)] - \kappa\sigma(1 - \beta\phi_\pi)}{D^2} \tag{11.199}$$

$$= \frac{\sigma\beta(\sigma + \phi_x + \kappa\phi_\pi)}{D^2} = \frac{\sigma\beta}{D}. \tag{11.200}$$

The characteristic polynomial is $\ell^2 - T\ell + d = 0$. To check its roots without presuming they are real, set $\ell = (1 + s)/(1 - s)$. A root inside the unit disk corresponds to $\operatorname{Re} s < 0$, since

$$\left|\frac{1 + s}{1 - s}\right| < 1 \iff |1 + s|^2 < |1 - s|^2 \iff 4 \operatorname{Re} s < 0. \tag{11.201}$$

Multiplying the transformed polynomial by $(1 - s)^2$ gives

$$0 = (1 + s)^2 - T(1 + s)(1 - s) + d(1 - s)^2 \tag{11.202}$$

$$= (1 + T + d)s^2 + 2(1 - d)s + (1 - T + d). \tag{11.203}$$

Here $1 + T + d > 0$. For real roots, negative sum and positive product put both on the negative half-line; for a conjugate pair, the real part is half their sum. The remaining conditions are therefore

$$1 - d > 0, \qquad 1 - T + d > 0, \qquad 1 + T + d > 0. \tag{11.204}$$

The first and third hold for the stated nonnegative policy coefficients:

$$D - \sigma\beta = \sigma(1 - \beta) + \phi_x + \kappa\phi_\pi > 0, \tag{11.205}$$

$$D(1 - T + d) = D - \sigma - \kappa - \beta(\sigma + \phi_x) + \sigma\beta \tag{11.206}$$

$$= \kappa(\phi_\pi - 1) + (1 - \beta)\phi_x. \tag{11.207}$$

Hence the strict local determinacy condition is

$$\kappa(\phi_\pi - 1) + (1 - \beta)\phi_x > 0. \tag{11.208}$$

With $\phi_x = 0$, this is $\phi_\pi > 1$: an inflation increase induces a larger nominal-rate increase, raising the real rate rather than validating higher demand. Equality leaves a unit root and does not pass the strict test.

For completeness, iteration under these conditions gives

$$z_t = \sum_{h=0}^{H-1} \mathscr{A}^h b E_t(r^n_{t+h} - \nu_{t+h}) + \mathscr{A}^H E_t z_{t+H}, \tag{11.209}$$

$$z_t = \sum_{h \geq 0} \mathscr{A}^h b E_t(r^n_{t+h} - \nu_{t+h}). \tag{11.210}$$

The terminal term vanishes for bounded conditional first moments as $\mathscr{A}^H \to 0$. In this solution class, any difference between two solutions has only that vanishing terminal term, proving uniqueness. Stationary shocks with finite moments and convergent forecasts suffice here. This is local uniqueness, not a claim of global uniqueness with lower bounds or nonlinear policy rules.

**Why the Ramsey root picture cannot be copied unchanged.** Ramsey has an inherited capital stock and a consumption choice. This labor-only NK core has two current jump variables and exogenous inherited shocks. The technique of selecting admissible paths is related; the state count and the matrix direction must be checked anew. The inherited nominal price level still matters for levels, but it drops out of this inflation-targeting gap system.

## 11.11 The effects of a monetary policy shock

### 11.11.1 Solving for output and inflation

Hold technology and the preference shifter at their reference, so $\hat{y}_t^n = r_t^n = 0$. For the AR(1) rule disturbance, try

$$x_t = a_\nu \nu_t, \qquad \pi_t = b_\nu \nu_t, \tag{11.211}$$

$$E_t \nu_{t+1} = \rho_\nu \nu_t, \quad E_t \varepsilon_{t+1}^{\nu} = 0, \tag{11.212}$$

$$E_t x_{t+1} = a_\nu \rho_\nu \nu_t, \quad E_t \pi_{t+1} = b_\nu \rho_\nu \nu_t. \tag{11.213}$$

In the Phillips curve, equality for every possible state $\nu_t$ requires

$$b_\nu \nu_t = \beta b_\nu \rho_\nu \nu_t + \kappa a_\nu \nu_t, \tag{11.214}$$

$$(1 - \beta\rho_\nu) b_\nu = \kappa a_\nu, \qquad a_\nu = \frac{1 - \beta\rho_\nu}{\kappa} b_\nu. \tag{11.215}$$

In dynamic IS, substitute both coefficients and the rate rule:

$$a_\nu \nu_t = a_\nu \rho_\nu \nu_t - \frac{1}{\sigma}[\phi_\pi b_\nu \nu_t + \phi_x a_\nu \nu_t + \nu_t - b_\nu \rho_\nu \nu_t], \tag{11.216}$$

$$\sigma a_\nu = \sigma \rho_\nu a_\nu - \phi_x a_\nu - (\phi_\pi - \rho_\nu) b_\nu - 1, \tag{11.217}$$

$$[\sigma(1 - \rho_\nu) + \phi_x] a_\nu + (\phi_\pi - \rho_\nu) b_\nu = -1, \tag{11.218}$$

$$\left\{ [\sigma(1 - \rho_\nu) + \phi_x] \frac{1 - \beta\rho_\nu}{\kappa} + \phi_\pi - \rho_\nu \right\} b_\nu = -1. \tag{11.219}$$

Define the full denominator before writing the answer:

$$D_\nu = [\sigma(1 - \rho_\nu) + \phi_x](1 - \beta\rho_\nu) + \kappa(\phi_\pi - \rho_\nu), \tag{11.220}$$

$$\Lambda_\nu = D_\nu^{-1}, \tag{11.221}$$

$$b_\nu = -\kappa \Lambda_\nu, \qquad a_\nu = -(1 - \beta\rho_\nu)\Lambda_\nu, \tag{11.222}$$

$$x_t = -(1 - \beta\rho_\nu)\Lambda_\nu \nu_t, \qquad \pi_t = -\kappa \Lambda_\nu \nu_t. \tag{11.223}$$

Under (11.208), $D_\nu > 0$ for $0 \le \rho_\nu < 1$. To check the sign, put $d_\rho = 1 - \rho_\nu > 0$ and expand:

$$D_\nu = [\sigma d_\rho + \phi_x](1 - \beta + \beta d_\rho) + \kappa(\phi_\pi - 1 + d_\rho) \tag{11.224}$$

$$= \underbrace{(1 - \beta)\phi_x + \kappa(\phi_\pi - 1)}_{>0} + d_\rho[\sigma(1 - \beta) + \beta\phi_x + \kappa] + \sigma\beta d_\rho^2 > 0. \tag{11.225}$$

A positive policy-rule disturbance reduces the output gap and inflation in this experiment. Its persistence changes both the duration and the initial response because anticipated future conditions already affect today's choices.

### 11.11.2 The paths of output, inflation, and interest rates

Substitute the shock process into the output solution, then identify the lagged solution rather than treating a jump variable as predetermined:

$$x_t = -(1-\beta\rho_\nu)\Lambda_\nu(\rho_\nu\nu_{t-1} + \varepsilon_t^\nu) \tag{11.226}$$
$$= \rho_\nu[-(1-\beta\rho_\nu)\Lambda_\nu\nu_{t-1}] - (1-\beta\rho_\nu)\Lambda_\nu\varepsilon_t^\nu \tag{11.227}$$
$$= \rho_\nu x_{t-1} - (1-\beta\rho_\nu)\Lambda_\nu\varepsilon_t^\nu, \tag{11.228}$$
$$\pi_t = -\kappa\Lambda_\nu(\rho_\nu\nu_{t-1} + \varepsilon_t^\nu) = \rho_\nu\pi_{t-1} - \kappa\Lambda_\nu\varepsilon_t^\nu. \tag{11.229}$$

These are implied equilibrium paths under the stated single-shock experiment; $x_{t-1}$ is not an additional independent initial condition.

The first-order expected real-rate deviation is $r_t = j_t - E_t\pi_{t+1}$. Use dynamic IS and then the solved coefficients:

$$r_t = \sigma(E_t x_{t+1} - x_t) = \sigma(\rho_\nu - 1)a_\nu\nu_t \tag{11.230}$$
$$= \sigma(1-\rho_\nu)(1-\beta\rho_\nu)\Lambda_\nu\nu_t, \tag{11.231}$$
$$j_t = r_t + E_t\pi_{t+1} \tag{11.232}$$
$$= [\sigma(1-\rho_\nu)(1-\beta\rho_\nu) - \rho_\nu\kappa]\Lambda_\nu\nu_t. \tag{11.233}$$

The real rate rises for a positive disturbance. The nominal rate's sign also depends on falling expected inflation; a positive rule intercept is not a universal guarantee that the realized nominal rate rises.

### 11.11.3 Price levels and the demand for money

Consider one innovation $\varepsilon_0^\nu = e > 0$, zero subsequent innovations, and zero prehistory. Then $\nu_t = \rho_\nu^t e$. Accumulate inflation to recover the price level:

$$\hat{p}_t - \hat{p}_{-1} = \sum_{h=0}^{t}\pi_h = -\kappa\Lambda_\nu e\sum_{h=0}^{t}\rho_\nu^h \tag{11.234}$$
$$= -\kappa\Lambda_\nu e\frac{1-\rho_\nu^{t+1}}{1-\rho_\nu}. \tag{11.235}$$

Let $J_\nu = [\sigma(1-\rho_\nu)(1-\beta\rho_\nu) - \rho_\nu\kappa]\Lambda_\nu$. Money demand now determines money supply:

$$\hat{m}_t = \hat{p}_t + \alpha_m x_t - \eta j_t \tag{11.236}$$
$$= \hat{p}_{-1} - \kappa\Lambda_\nu e\frac{1-\rho_\nu^{t+1}}{1-\rho_\nu} - \alpha_m(1-\beta\rho_\nu)\Lambda_\nu\rho_\nu^t e - \eta J_\nu\rho_\nu^t e, \tag{11.237}$$
$$\frac{\partial\hat{m}_t}{\partial e} = -\kappa\Lambda_\nu\frac{1-\rho_\nu^{t+1}}{1-\rho_\nu} - \alpha_m(1-\beta\rho_\nu)\Lambda_\nu\rho_\nu^t - \eta J_\nu\rho_\nu^t. \tag{11.238}$$

The derivative is with respect to the *initial innovation*, keeping prehistory fixed. A derivative with respect to current $\nu_t$ holding today's price level fixed is a different experiment because the price level records past inflation. The three terms represent the price-level path, transactions, and the opportunity cost of liquidity. Their joint sign must be checked, not presumed from $MV = PY$.

As $t \to \infty$, $x_t, \pi_t, j_t, r_t$ return to zero while

$$\hat{p}_\infty - \hat{p}_{-1} = \hat{m}_\infty - \hat{p}_{-1} = -\frac{\kappa \Lambda_\nu}{1-\rho_\nu} e. \tag{11.239}$$

An inflation-targeting rule need not undo the accumulated price-level change. A price-level target would change that result. With $\rho_\nu = 0$, the gap and inflation effects last one period, but the price-level change remains; delayed peaks do not arise automatically from Calvo staggering alone in this baseline.

### 11.11.4 A numerical policy experiment

Choose illustrative quarterly parameters, without estimation:

$$\beta = 0.99, \quad \sigma = \varphi = 1, \quad \alpha = 1/3, \quad \epsilon = 6, \quad \theta = 0.75, \tag{11.240}$$

$$\phi_\pi = 1.5, \quad \phi_x = 0.125, \quad \rho_\nu = 0.5, \quad \nu_m = 2, \quad e = 0.001. \tag{11.241}$$

Compute the pricing slope and shock denominator:

$$\lambda_p = \frac{0.25(1 - 0.99 \times 0.75)}{0.75} = 0.0858333, \tag{11.242}$$

$$\Omega = \frac{2/3}{2/3 + 6/3} = 0.25, \qquad \gamma = \frac{2/3 + 1 + 1/3}{2/3} = 3, \tag{11.243}$$

$$\kappa = 0.0858333 \times 0.25 \times 3 = 0.064375, \tag{11.244}$$

$$D_\nu = [1(1 - 0.5) + 0.125](1 - 0.99 \times 0.5) + 0.064375(1.5 - 0.5) = 0.38, \tag{11.245}$$

$$x_0 = -\frac{0.505}{0.38}(0.001) = -0.001328947, \tag{11.246}$$

$$\pi_0 = -\frac{0.064375}{0.38}(0.001) = -0.000169408, \tag{11.247}$$

$$r_0 = \frac{0.5 \times 0.505}{0.38}(0.001) = 0.000664474, \tag{11.248}$$

$$j_0 = r_0 + 0.5\pi_0 = 0.000579770. \tag{11.249}$$

The ten-basis-point log-rate intercept innovation raises the nominal rate by about $5.80$ basis points and the real rate by $6.64$ basis points on impact. Output falls about $0.133\%$ and quarterly log inflation by $1.69$ basis points. These are unannualized, local model responses, not estimated policy effects.

For money, $\bar{i} = 1/0.99 - 1$, so $\alpha_m = 0.5$ and $\eta = 49.5$:

$$\hat{m}_0 = \pi_0 + 0.5x_0 - 49.5j_0 \simeq -0.0295325, \tag{11.250}$$

$$\hat{p}_\infty = -\frac{0.064375}{0.38(1 - 0.5)}(0.001) \simeq -0.000338816. \tag{11.251}$$

Money's larger log response reflects the selected liquidity semi-elasticity; it is not an additional exogenous monetary shock. First-order accuracy is local, especially for this large money-demand semi-elasticity.

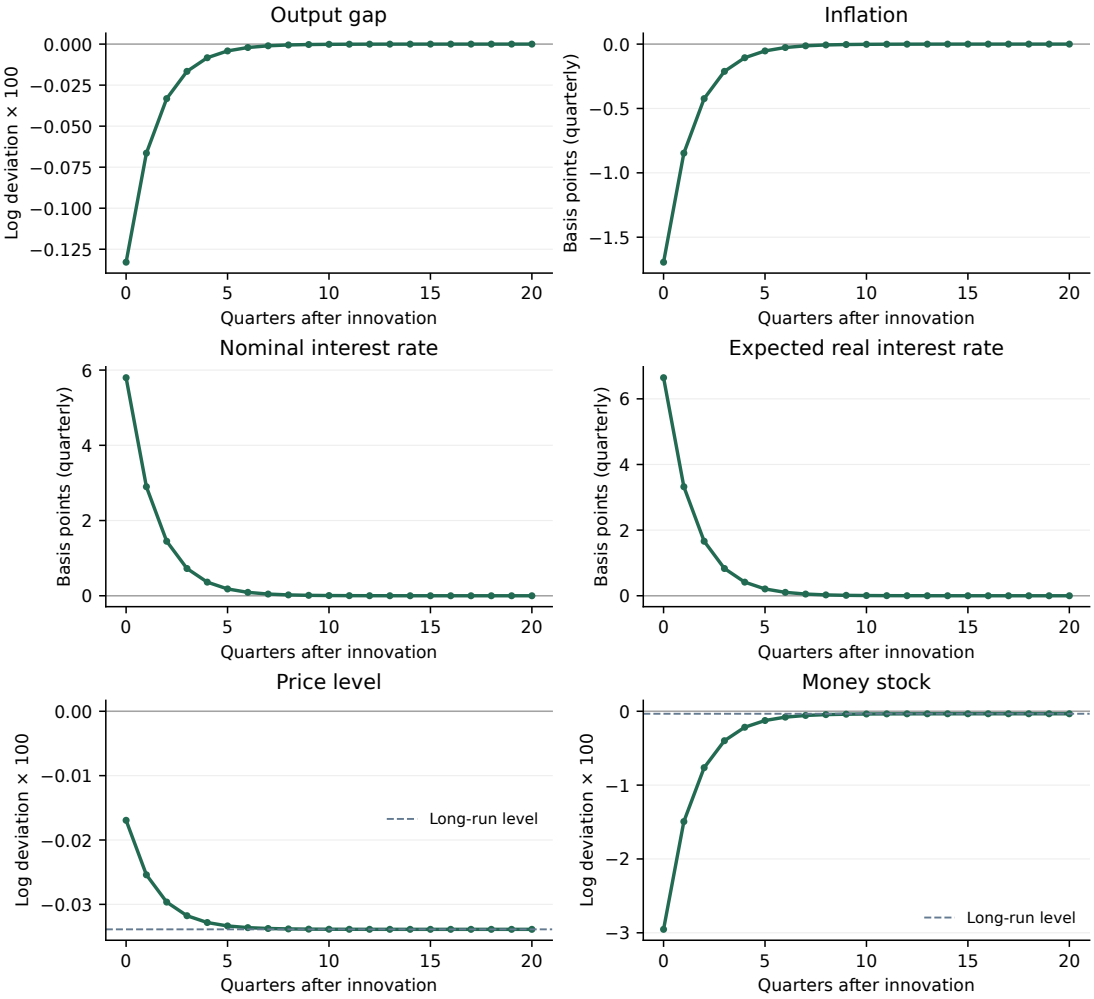



**Figure 11.1:** A policy-rule innovation: quantities, rates, and nominal levels.

Source: original calculation from (11.223)–(11.238); parameters stated above. Percent panels show 100 times log deviations; rate panels show 10,000 times quarterly log-rate deviations. Inflation is not annualized. Money accommodates the interest rule. No data or estimation.

Read Figure 11.1 as one joint equilibrium. Households defer purchases when the real rate rises; sellers at inherited prices cut sales and hours; resetters lower prices as marginal cost falls. These actions determine one another. It would be misleading to read the six panels as six independent causal regressions, or to infer the policy innovation directly from observed rate movements alone.

## 11.12 Expectations, persistence, and the model's limits

### 11.12.1 Current inflation depends on a path of gaps

Iterate the Phillips curve forward without suppressing expectations:

$$\pi_t = \kappa x_t + \beta E_t \pi_{t+1} \tag{11.252}$$

$$= \kappa x_t + \beta E_t[\kappa x_{t+1} + \beta E_{t+1}\pi_{t+2}] \tag{11.253}$$

$$= \kappa x_t + \kappa\beta E_t x_{t+1} + \beta^2 E_t \pi_{t+2} \tag{11.254}$$

$$= \kappa \sum_{h=0}^{H-1} \beta^h E_t x_{t+h} + \beta^H E_t \pi_{t+H}. \tag{11.255}$$

If inflation has bounded conditional first moments, the final term vanishes:

$$\pi_t = \kappa \sum_{h\geq 0} \beta^h E_t x_{t+h}. \tag{11.256}$$

A resetter cares about future costs while its price survives. This is why news about future demand can affect pricing now. It does not mean that agents know future innovations, or that changing expectations without an equilibrium mechanism is a free policy instrument.

A productivity improvement illustrates why the benchmark matters. Under (11.186), let $\nu = q = 0$ and $a_t$ be the only AR(1) state. Set $R_a = \sigma\psi_a(\rho_a - 1)$, so $r_t^n = R_a a_t$. Try $x_t = A_a a_t$ and $\pi_t = B_a a_t$. Direct substitution gives

$$(1 - \beta\rho_a)B_a = \kappa A_a, \tag{11.257}$$

$$[\sigma(1-\rho_a) + \phi_x]A_a + (\phi_\pi - \rho_a)B_a = R_a, \tag{11.258}$$

$$\left\{[\sigma(1-\rho_a) + \phi_x]\frac{1-\beta\rho_a}{\kappa} + \phi_\pi - \rho_a\right\} B_a = R_a. \tag{11.259}$$

Multiplying by $\kappa$ gives the denominator and the coefficients below:

$$D_a = [\sigma(1-\rho_a) + \phi_x](1-\beta\rho_a) + \kappa(\phi_\pi - \rho_a), \tag{11.260}$$

$$x_t = \frac{(1-\beta\rho_a)R_a}{D_a} a_t, \qquad \pi_t = \frac{\kappa R_a}{D_a} a_t, \tag{11.261}$$

$$\hat{y}_t = \psi_a a_t + x_t. \tag{11.262}$$

For $0 \leq \rho_a < 1$, $R_a < 0$: this fixed-intercept rule lets a positive productivity shock open a negative natural gap and reduce inflation, while natural output rises. One cannot infer the sign of total output from the gap alone. A rule that also tracks $r_t^n$ admits $x_t = \pi_t = 0$ for this shock under the same determinacy conditions. The technology is the same; the policy response changes how closely demand follows the moving benchmark.

### 11.12.2 Price indexation and inflation persistence

What makes past inflation affect current pricing directly? One possibility is indexation: a nonresetting firm updates its price using the previous period's aggregate inflation at rate $\iota \in [0, 1]$:

$$P_{it} = P_{i,t-1}\Pi_{t-1}^{\iota} \quad \text{if it does not reset.} \tag{11.263}$$

This changes the price contract, not the monetary shock. Introduce a common log index $I_t - I_{t-1} = \iota\pi_{t-1}$ and adjusted log prices $\tilde{p}_{it} = \log(P_{it}/\bar{P}) - I_t$. For a nonresetter,

$$\tilde{p}_{it} - \tilde{p}_{i,t-1} = [\log P_{it} - \log P_{i,t-1}] - (I_t - I_{t-1}) \tag{11.264}$$

$$= \iota\pi_{t-1} - \iota\pi_{t-1} = 0. \tag{11.265}$$

In these adjusted units the contract is fixed again. Relative prices and real marginal costs are unchanged by subtracting a common index. The previous first-order reset and aggregation calculations therefore apply to adjusted inflation $\tilde{\pi}_t = \pi_t - \iota\pi_{t-1}$:

$$\tilde{\pi}_t = \beta E_t \tilde{\pi}_{t+1} + \kappa x_t, \tag{11.266}$$

$$\pi_t - \iota\pi_{t-1} = \beta E_t(\pi_{t+1} - \iota\pi_t) + \kappa x_t, \tag{11.267}$$

$$(1 + \beta\iota)\pi_t = \beta E_t \pi_{t+1} + \iota\pi_{t-1} + \kappa x_t, \tag{11.268}$$

$$\pi_t = \frac{\beta}{1 + \beta\iota} E_t \pi_{t+1} + \frac{\iota}{1 + \beta\iota}\pi_{t-1} + \frac{\kappa}{1 + \beta\iota} x_t. \tag{11.269}$$

For $\iota = 0$ this returns to the baseline. With indexation, lagged inflation is inherited and the equilibrium root count changes. Simply adding $\pi_{t-1}$ with coefficient one to the old Phillips curve would omit both the changed contract and the normalization of its other coefficients.

**Sticky information asks a different question.** Calvo firms observe the current state but may be unable to change their prices. With sticky information, firms may revise information or plans only occasionally; prices can follow plans made with older information. Mankiw and Reis (2002) study that alternative. It is not obtained by deleting $E_t$, calling rational expectations perfect foresight, or adding an arbitrary lag.[a]

[a] Mankiw and Reis, Sticky Information versus Sticky Prices, working paper 2001, published in the Quarterly Journal of Economics 117(4), 2002, 1295–1328.

### 11.12.3 Which mechanisms are still missing?

A weaker spending path with unchanged technology is a demand mechanism here; more expensive inputs or a changing markup need additional wedges. The constant-markup baseline has no independent cost-push term $u_t$. Adding $\pi_t = \beta E_t \pi_{t+1} + \kappa x_t + u_t$ can be useful, but $u_t$ must be tied to a changed cost, markup, or wage-setting condition before interpreting it structurally. A technology shock already affects natural output and the natural rate; it is not automatically an extra $u_t$ in the natural-gap equation.

There is no unemployment stock, job search, borrowing constraint, bank balance sheet, investment, imported input, or household income distribution in this chapter. Hours fall through an interior labor choice and product demand, not through a matching failure. Financial stress cannot be represented merely by renaming the policy innovation. Likewise, a central bank setting a negative unconstrained rate in the local solution may be infeasible at a lower bound. These omissions suggest the next models and policy extensions rather than invalidating the mechanism just isolated.

## 11.13 IS–LM and AD–AS with microfoundations

The familiar diagrams are useful here because their ingredients have just been derived. We can now see which household or firm choice supplies each slope, which expectations are being held fixed, and which policy closure makes an LM curve relevant. To connect the dynamic model to the familiar diagrams, first examine current decisions conditional on a given future outlook, then ask how that outlook changes in equilibrium.

### 11.13.1 Intertemporal consumption and the IS curve

In the intermediate model, a common starting point is

$$Y = C(Y - T) + I(i) + G. \tag{11.270}$$

Behavioral aggregate functions close that equation. Their signs can be useful and empirically informed without being derived from a household optimization problem. They need not be arbitrary, but they alone do not specify how expectations or a new policy regime alter behavior.

In the present model there is no investment or government purchase. Demand comes entirely from intertemporal consumption. Keep the future outlook fixed for a *conditional current-period comparison* and define

$$d_t = E_t\hat{y}_{t+1} + (q_t - E_t q_{t+1})/\sigma, \qquad e_t = E_t\pi_{t+1}. \tag{11.271}$$

Then (11.168) is

$$\hat{y}_t = d_t - \frac{1}{\sigma}(j_t - e_t), \tag{11.272}$$

$$j_t = e_t + \sigma d_t - \sigma\hat{y}_t, \qquad \left.\frac{\partial j_t}{\partial \hat{y}_t}\right|_{d_t, e_t} = -\sigma. \tag{11.273}$$

This is downward-sloping in $(\hat{y}, j)$ space because a higher real return makes households defer consumption. It is a current slice of the dynamic Euler condition. It is not a derivation of the original $I(i)$ term, since this economy has no capital. Deriving an investment schedule would require adding capital, its return, and any adjustment costs.

The household saves in a bond, yet bonds have zero net supply. There is no contradiction: when every household wants to postpone purchases at the quoted rate, current income and prices must adjust until desired holdings clear. Individual desired saving and realized aggregate saving are different objects.

### 11.13.2 Money demand and the LM curve

With a fixed current money stock and price level, money-market clearing is

$$\hat{m}_t - \hat{p}_t = \alpha_m\hat{y}_t - \eta j_t, \tag{11.274}$$

$$\eta j_t = \alpha_m\hat{y}_t - (\hat{m}_t - \hat{p}_t), \tag{11.275}$$

$$j_t = \frac{\alpha_m}{\eta}\hat{y}_t - \frac{1}{\eta}(\hat{m}_t - \hat{p}_t), \qquad \left.\frac{\partial j_t}{\partial \hat{y}_t}\right|_{\hat{m}_t, \hat{p}_t} = \frac{\alpha_m}{\eta} > 0. \tag{11.276}$$

More purchases increase desired liquidity. With unchanged real money, a higher interest rate discourages enough liquidity holding to clear its market. The slope now follows from money utility and the opportunity cost of holding cash; it is not an identity from $MV = PY$.

If policy instead fixes a nominal rate in the current comparison, the money stock adjusts to demand and this independent upward-sloping LM restriction is replaced by the policy-rate relation. If policy follows a reaction rule, its slope depends on the variables included in that rule. Describing both experiments as the same "money shift" conceals the policy assumption.

### 11.13.3 The same diagram, different behavioral foundations

Figure 11.2 uses the familiar IS–LM construction for the same conditional experiment: increase current real money while holding the current price and the spending outlook fixed. To make the left panel concrete, take a simple intermediate specification. With expected inflation fixed and its constant absorbed into the investment intercept, let

$$C = C_0 + c(Y - T), \qquad I = I_0 - bi, \qquad M/P = kY - hi, \tag{11.277}$$
$$0 < c < 1, \qquad b, k, h > 0.$$

The goods-market condition and its inverse IS curve are

$$Y = C_0 + cY - cT + I_0 - bi + G, \tag{11.278}$$
$$(1 - c)Y = C_0 - cT + I_0 + G - bi, \tag{11.279}$$
$$i = \frac{C_0 - cT + I_0 + G}{b} - \frac{1 - c}{b}Y. \tag{11.280}$$

Money clearing gives the corresponding LM curve:

$$hi = kY - M/P, \qquad i = \frac{k}{h}Y - \frac{1}{h}M/P. \tag{11.281}$$

The right panel instead uses the already derived (11.273) and (11.276). The inverse IS slope is $-(1 - c)/b$ on the left and $-\sigma$ on the right; the LM slope is $k/h$ on the left and $\alpha_m/\eta$ on the right. The curves can have the same shape even though different choices and parameters generate their slopes.

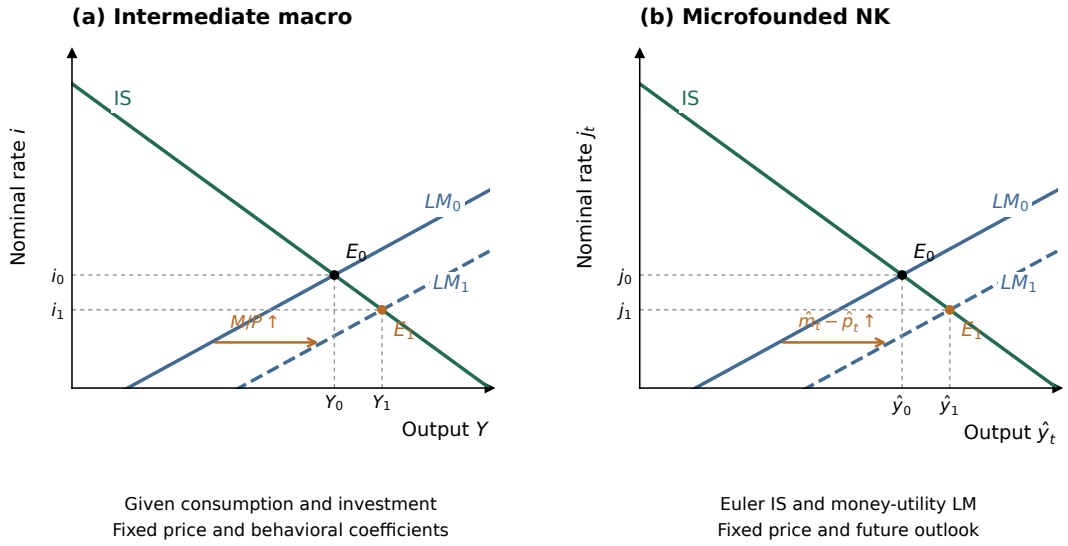



**Figure 11.2:** A monetary expansion in intermediate and microfounded IS–LM.

Source: original schematic construction from the equations in this section. Solid curves and $E_0$ give the initial configuration; the dashed LM and $E_1$ show higher real money. Indices 0 and 1 label two configurations at the same date, not consecutive periods. Panels use different variable units; matching geometry is deliberate. These are conditional goods-and-money-market comparisons, with schematic parameters distinct from Figure 11.1.

Read both panels in the same order. More real balances shift LM right: at a given volume of purchases, the interest rate must fall to induce households to hold more liquidity. The economy moves from $E_0$ to $E_1$, with higher current output and a lower nominal rate. In the intermediate panel, the given consumption and investment schedules determine the spending response. In the NK panel, with expected inflation fixed, the lower real return brings consumption forward from the given future outlook; there is no investment channel in this labor-only economy.

Holding today's price fixed makes this a comparison of goods and money clearing. The price-setting condition has not yet been imposed on both intersections. In the complete NK equilibrium, the current price and expectations must also be consistent with the Phillips curve. Allowing the price level to vary is precisely the next step from IS–LM to AD–AS below.

### 11.13.4 Aggregate demand under a money-supply rule

Hold $d_t, e_t, \hat{m}_t$ fixed. Substitute (11.276) into (11.273), preserving the real-rate subtraction:

$$\hat{y}_t = d_t - \frac{1}{\sigma}\left[\frac{\alpha_m}{\eta}\hat{y}_t - \frac{\hat{m}_t - \hat{p}_t}{\eta} - e_t\right], \tag{11.282}$$

$$\sigma\eta\hat{y}_t = \sigma\eta d_t - \alpha_m\hat{y}_t + \hat{m}_t - \hat{p}_t + \eta e_t, \tag{11.283}$$

$$(\sigma\eta + \alpha_m)\hat{y}_t = \sigma\eta d_t + \hat{m}_t - \hat{p}_t + \eta e_t, \tag{11.284}$$

$$\hat{p}_t = \hat{m}_t + \sigma\eta d_t + \eta e_t - (\sigma\eta + \alpha_m)\hat{y}_t. \tag{11.285}$$

This AD curve slopes down in output–price-level space. A higher current price level reduces real money, raises the interest rate at given money, and postpones purchases at the fixed future outlook. That familiar mechanism survives, with explicit assumptions supplying the fixed outlook and the money-demand slope.

### 11.13.5 Price setting and aggregate supply

Keep inherited $\hat{p}_{t-1}$, expected next inflation $e_t$, and natural output $\hat{y}_t^n$ fixed. Since $\pi_t = \hat{p}_t - \hat{p}_{t-1}$,

$$\hat{p}_t - \hat{p}_{t-1} = \beta e_t + \kappa(\hat{y}_t - \hat{y}_t^n), \tag{11.286}$$

$$\hat{p}_t = \hat{p}_{t-1} + \beta e_t + \kappa(\hat{y}_t - \hat{y}_t^n). \tag{11.287}$$

This AS curve slopes up in the same output–price-level space. Higher demand relative to the flexible-price allocation raises marginal cost; resetters raise prices. The slope is a pricing equilibrium relation, not a physical limit on how much output the economy can ever produce.

Equate (11.285) and (11.287), then collect terms:

$$\hat{m}_t + \sigma\eta d_t + \eta e_t - (\sigma\eta + \alpha_m)\hat{y}_t = \hat{p}_{t-1} + \beta e_t + \kappa\hat{y}_t - \kappa\hat{y}_t^n, \tag{11.288}$$

$$(\sigma\eta + \alpha_m + \kappa)\hat{y}_t = \hat{m}_t + \sigma\eta d_t + (\eta - \beta)e_t - \hat{p}_{t-1} + \kappa\hat{y}_t^n, \tag{11.289}$$

$$\hat{y}_t = \frac{\hat{m}_t + \sigma\eta d_t + (\eta - \beta)e_t - \hat{p}_{t-1} + \kappa\hat{y}_t^n}{\sigma\eta + \alpha_m + \kappa}. \tag{11.290}$$

For this conditional comparison, more money raises output and the price level. In a full policy experiment, however, future output, expected inflation, and often the money path change together. The intercepts must be recomputed from the dynamic equilibrium rather than held fixed by habit.

### 11.13.6 Aggregate demand under an interest-rate rule

For the actual rule used in our shock experiment, substitute (11.186) into gap IS and rearrange:

$$\sigma x_t = \sigma E_t x_{t+1} - \phi_\pi \pi_t - \phi_x x_t - \nu_t + E_t\pi_{t+1} + r_t^n, \tag{11.291}$$

$$(\sigma + \phi_x)x_t = \sigma E_t x_{t+1} - \phi_\pi \pi_t - \nu_t + E_t\pi_{t+1} + r_t^n. \tag{11.292}$$

At a fixed outlook and $\phi_\pi > 0$, this is downward-sloping in $(x_t, \pi_t)$ space; the Phillips curve $\pi_t = \beta E_t\pi_{t+1} + \kappa x_t$ slopes up. This is an IS–policy-rule representation of demand, often called IS–MP. Its vertical axis is inflation, whereas (11.285) uses the price level. Changing between them requires the inherited price level; renaming the axis alone does not perform that transformation.

The distinction is also visible in the familiar interest-rate–output plane. Rewrite gap IS with the nominal rate on the vertical axis:

$$j_t = E_t\pi_{t+1} + r_t^n + \sigma E_t x_{t+1} - \sigma x_t. \tag{11.293}$$

To draw a policy relation in that same plane, first substitute the Phillips curve into the Taylor rule:

$$j_t = \phi_\pi[\beta E_t\pi_{t+1} + \kappa x_t] + \phi_x x_t + \nu_t, \tag{11.294}$$

$$j_t = \beta\phi_\pi E_t\pi_{t+1} + (\phi_x + \phi_\pi\kappa)x_t + \nu_t. \tag{11.295}$$

At a given inflation outlook, the MP slope is $\phi_x + \phi_\pi\kappa$: policy responds directly to activity and indirectly to the inflation associated with that activity. A fixed current rate would instead give a horizontal policy line. Neither is an independent money-demand LM restriction when the authority accommodates the rate it sets.

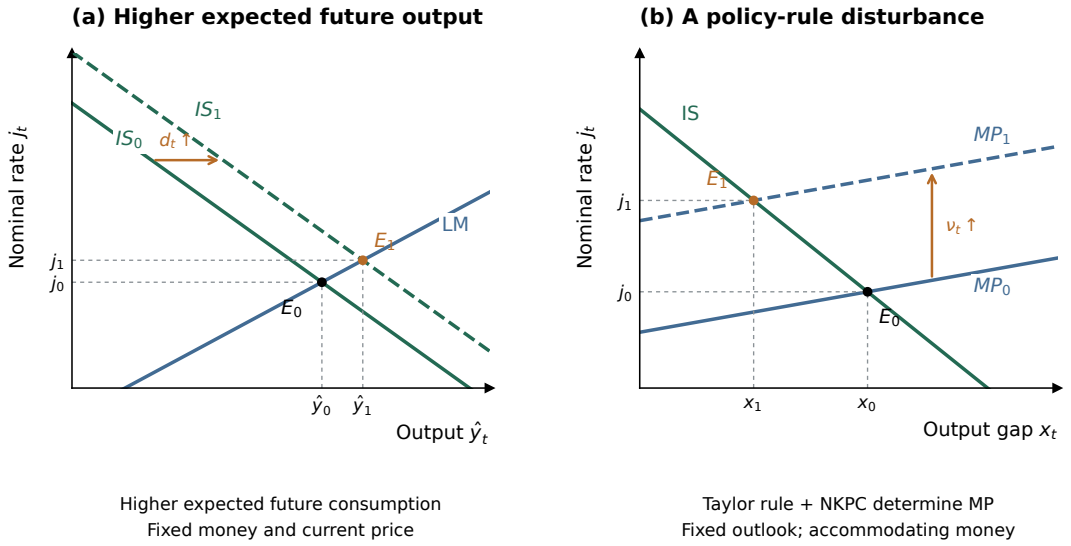



**Figure 11.3:** Changes in the spending outlook and in the policy rule.

Source: original schematic construction. Left: higher expected future output raises $d_t$ at fixed expected inflation, preference terms, current price, and money. Right: a higher $\nu_t$ shifts the Taylor-rule MP line up at fixed $E_t x_{t+1}$, $E_t \pi_{t+1}$, and $r_t^n$; current inflation satisfies the NKPC. The left panel uses output deviations and the right uses the natural output gap. These conditional comparisons do not plot the full dynamic response of Figure 11.1.

The left panel of Figure 11.3 changes the future spending outlook while leaving money unchanged. Households expecting more future consumption want to purchase more today; IS shifts right, raising current output and the rate needed to clear the fixed liquidity supply. An intermediate IS diagram can also depict such a demand shift. The additional discipline here is that its intercept contains an explicit conditional forecast whose value must eventually agree with the equilibrium path.

The right panel changes policy closure. At the fixed outlook, a positive rule intercept shifts MP up, raises the real rate, and lowers the output gap. The policy rule and price setting determine the current nominal rate jointly; money, if present, is supplied to meet the resulting demand. This is why an interest-rule experiment should be drawn with MP rather than an independently shifted LM. In a full dynamic experiment the future outlook also responds, which is already incorporated in the solved impulse responses earlier.

**A useful diagram test.** Before shifting a curve, state its axes, what is held fixed, the policy instrument, and the source of the disturbance. Then ask which expectations also change in equilibrium. A current-period intersection helps organize a mechanism; the dynamic equations and terminal conditions determine whether that intersection belongs to an admissible rational-expectations path.

**Table 11.2:** What changes when IS–LM and AD–AS acquire microfoundations?

| Object | Common intermediate shortcut | This chapter's derived relation |
|---|---|---|
| Goods demand | Given $C(Y-T)$ and $I(i)$; expectations often implicit | Consumption Euler equation; current and expected future consumption and real returns. No investment in this baseline. |
| Liquidity | $M/P = L(Y,i)$ with assumed slopes | Optional MIU gives both slopes. LM is an independent closure only with an assigned money quantity. |
| Supply | Given sticky wage/price rule or short-run AS | Optimal surviving price, CES aggregation, and marginal cost give a forward-looking Phillips curve. |
| Benchmark | Long-run or potential output may be given | Flexible-price output is derived; market power separates it from efficient output. Neither is a statistical trend by definition. |
| Policy | Shift a current curve with its other intercepts fixed | Specify a rule and a shock process, solve forecasts jointly, and check determinacy. Conditional diagrams remain useful. |
| Welfare | Output loss often treated as distance from a benchmark | Preferences, markups, and price dispersion determine which allocation is desirable; a zero natural gap alone is insufficient. |

Table 11.2 compares modeling choices, not all intermediate courses or all graduate models. An intermediate model can include expectations and carefully motivated behavior; a graduate model still makes strong simplifications. The additional discipline here is to show which conditions generate each relationship and which restrictions a diagram hides.

**Keep the diagrams; make their fixed assumptions visible.** IS–LM organizes spending and liquidity under a quantity closure. AD–AS organizes a conditional output–price comparison. The NK system explains the decisions, forecasts, and contracts behind those curves. The familiar intuition becomes more useful when one can reconstruct its slope and say when its intercept will move.

The baseline has now connected an interest-rate disturbance to consumption, sales, hours, marginal cost, inflation, and money. The next chapter changes which nominal contract is slow to adjust: the wage. That distinction matters for labor allocation and for the trade-offs policy can face.

# 12 New Keynesian Model: Sticky Wages and Prices

## 12.1 What if the wage contract survives the change in demand?

Imagine a supplier whose orders fall while its annual pay agreements remain in place. The supplier can reduce shifts before it can renegotiate the wage schedule. Alternatively, product prices may rise before the next wage review, reducing the purchasing power of an unchanged nominal wage. Both situations ask how employment, labor cost, and household welfare adjust when the wage quote was chosen earlier. Neither situation is described by saying simply that the real wage is fixed.

The previous chapter let product prices adjust slowly but treated labor as homogeneous and competitively traded. The household's marginal willingness to work therefore equaled the common real wage at each date. To make wage setting a meaningful choice, first give labor suppliers distinct services. A higher wage then loses some employment, rather than either losing every customer or leaving employment unaffected. A wage setter balances income against the burden of supplying the hours employers demand at its quoted wage.

Next let that quote survive beyond the current date. A pay agreement that looks attractive today may bring too many hours in a future boom or too little income in a downturn. Wage setting must therefore consider future demand, prices, and consumption valuation. Finally, allow product prices and wages to be sticky together. The real wage becomes the link between households' labor trade-off and firms' marginal costs, with neither side always able to move its nominal quote immediately.

This is a teaching reconstruction. The model follows the staggered-wage and price framework of Erceg, Henderson, and Levin, with the notation and local pricing conventions of our NK chapter.[36]

**Two contracts, two adjustment margins.** A seller chooses what customers pay; a wage setter chooses what employers pay for its labor service. Delayed product-price adjustment affects the allocation of spending across goods. Delayed wage adjustment affects the allocation of work across labor types. The two restrictions interact through the real wage and the cost of producing goods.

## 12.2 Economic environment and timing

**01 Products, labor types, and the household family**

Time is $t = 0, 1, \ldots$. There is a unit continuum of product varieties $i \in [0, 1]$ and labor services $j \in [0, 1]$. A large representative family pools its members' wage income and owns the firms. Consumption insurance within the family equalizes consumption valuation across labor types; there is no uninsured idiosyncratic consumption risk in this model. Each labor type has an atomistic wage setter acting for the family and facing employers' demand for that type. Product firms and wage setters take aggregate prices and quantities as given. The economy is closed, with no capital accumulation, investment, government purchases, banks, or job-search market.

[36] Erceg, Henderson, and Levin (2000), *Optimal Monetary Policy with Staggered Wage and Price Contracts*, Journal of Monetary Economics 46(2), 281–313; the authors' Federal Reserve working-paper version is dated 1999. See also Galí's official Chapter 6 teaching materials. The derivations and numerical examples below state their own assumptions.

### 02 Two CES composites and two price indices

For $\epsilon_p, \epsilon_w > 1$, product output and the labor input of firm $i$ are

$$Y_t = \left[\int Y_{it}^{(\epsilon_p-1)/\epsilon_p} di\right]^{\epsilon_p/(\epsilon_p-1)}, \qquad N_{it} = \left[\int N_{ijt}^{(\epsilon_w-1)/\epsilon_w} dj\right]^{\epsilon_w/(\epsilon_w-1)}.$$

Their dual indices are

$$P_t = \left[\int P_{it}^{1-\epsilon_p} di\right]^{1/(1-\epsilon_p)}, \qquad W_t = \left[\int W_{jt}^{1-\epsilon_w} dj\right]^{1/(1-\epsilon_w)}.$$

$N_{ijt}$ is type-$j$ work used at firm $i$; $N_{jt} = \int N_{ijt} di$ is demand for that type across all firms. Write $N_t = \int N_{it} di$ for the aggregate quantity of composite labor used by firms. It also equals the CES composite of the $N_{jt}$ because every firm uses the same cost-minimizing type shares. Physical hours $H_t = \int N_{jt} dj$ need not equal $N_t$ away from symmetry.

### 03 Technology, firms, and ownership income

Firm $i$ produces $Y_{it} = A_t N_{it}^{1-\alpha}$ with $A_t > 0$ and $0 \le \alpha < 1$. If $\alpha > 0$, its fixed factor is normalized to one and is owned through the family; it is not accumulated or traded. A firm minimizes its labor bill for a required output, then chooses its product price when allowed. Both product and labor markets have finite substitution elasticities; constant desired gross markups are $\mu_p = \epsilon_p/(\epsilon_p - 1)$ and $\mu_w = \epsilon_w/(\epsilon_w - 1)$. Distributed nominal profits $D_t$ include fixed-factor income. The exact aggregate wage bill is $W_t N_t$, even when individual wage quotes differ.

### 04 Preferences and the cost of different hours

The family maximizes

$$E_0 \sum_{t \ge 0} \beta^t \xi_t \left[ v(C_t) - \frac{\chi}{1+\varphi} \int_0^1 N_{jt}^{1+\varphi} dj \right],$$

where $0 < \beta < 1$, $\chi > 0$, $\sigma > 0$, $\varphi \ge 0$, and $\xi_t > 0$. $v(C) = (C^{1-\sigma} - 1)/(1-\sigma)$ if $\sigma \ne 1$, and $v(C) = \log C$ if $\sigma = 1$, so $v'(C) = C^{-\sigma}$. The course normalization is $\chi = 1$. Labor disutility is the integral of each type's disutility; it is not utility evaluated at the arithmetic mean of hours. The marginal consumption compensation for type $j$ is $MRS_{jt} = \chi C_t^{\sigma} N_{jt}^{\varphi}$. Hours are interior and have no explicit finite endowment bound here. A wage quote constrains the hours demanded by employers; this does not change labor disutility into utility from employing workers.

### 05 Budget, nominal bonds, and feasibility

A bond costs $Q_t$ at $t$ and pays one currency unit at $t+1$. $B_t$ is its face value, $R_t^n = Q_t^{-1} = 1 + i_t$, and the family budget is

$$P_t C_t + Q_t B_t = B_{t-1} + \int W_{jt} N_{jt} dj + D_t.$$

The initial maturing asset position is given; bonds have zero aggregate net supply. There are no baseline taxes or transfers. Lump-sum transfers, if introduced, must have an explicit counterpart; they are not production income. Each good clears at $Y_{it} = C_{it}$, giving $C_t = Y_t$ in composite units. The common nominal multiplier is $\lambda_t = \xi_t C_t^{-\sigma}/P_t$. Asset plans obey no-Ponzi restrictions and a vanishing terminal value, $\lim_{T\to\infty} E_0 \beta^T \lambda_T Q_T B_T = 0$.

### 06 Who may reset, and which quote survives?

A product firm retains its nominal price with probability $\theta_p$ and may reset with probability $1 - \theta_p$. A labor type retains its nominal wage with probability $\theta_w$ and may reset with probability $1 - \theta_w$. Selections are independent across units, dates, ages, and aggregate states; there is no baseline indexation. The main derivation uses $0 < \theta_p, \theta_w < 1$. A price or wage chosen now survives $k$ further periods with probability $\theta_p^k$ or $\theta_w^k$. Identical resetters choose common quotes $P_t^{\#}$ and $W_t^{\#}$; nonresetters retain a distribution of older quotes. Immediate adjustment, $\theta_p = 0$ or $\theta_w = 0$, will be treated by its static first-order condition, not by division by zero in a Phillips slope.

### 07 Information, choices, and aggregate demand

At date $t$, current shocks and inherited quotes are observed; eligible firms and wage setters choose their quotes. Employers choose labor inputs to meet goods demand, households allocate spending and assets, and markets clear jointly. $E_t$ is conditional on current information; future innovations are unknown. Employers' demand determines $N_{jt}$ at a type's posted wage. Wage setters choose the quote subject to that demand; they do not freely choose both a wage and an unrelated amount of work. Pooling income makes the same consumption multiplier relevant to all type-specific wage decisions.

### 08 Reference, dispersion, and inherited states

The deterministic reference has constant productivity, $\bar{\xi} = 1$, symmetric prices and wages, and zero price and wage inflation. Hats denote log deviations from that reference; $\bar{R}^n = 1/\beta$. Price dispersion affects aggregate production, and wage dispersion affects physical hours and labor disutility. They are retained exactly before linearizing; their first-order deviations vanish when inherited dispersion is initially zero. The inherited real wage, however, remains a first-order state when both contracts are sticky. A shock experiment starts from the stated symmetric reference, including its real wage; it cannot freely impose an unrelated current wage.

**09 Shocks, policy, and the solution class**

For general definitions, $a_t = \log(A_t/\bar{A})$ and $q_t = \log(\xi_t/\bar{\xi})$ can follow stationary AR(1) processes with mean-zero innovations. The solved experiment sets $a_t = q_t = 0$ and uses $\nu_t = \rho_\nu \nu_{t-1} + \varepsilon_t^\nu$, $0 \le \rho_\nu < 1$. Policy sets the log gross-rate deviation $j_t = \log(R_t^n/\bar{R}^n) = \phi_\pi \pi_t^p + \phi_x x_t + \nu_t$, with $\phi_\pi, \phi_x \ge 0$. There is no binding interest-rate lower bound, and money is omitted. We seek a local bounded equilibrium with convergent wage/pricing sums and the stated terminal conditions. Root counts are checked for this larger system; the earlier two-jump-variable proof is not assumed to carry over.

**10 Objectives under surviving nominal contracts**

For $s = t + k$, product firms value nominal profits using the owners' kernel $\mathscr{Q}_{t,s} = \beta^k \lambda_s/\lambda_t$ and choose

$$\max_{P_t^\#} E_t \sum_{k\ge 0} \theta_p^k \mathscr{Q}_{t,s}[P_t^\# Y_{s|t} - TC_s^n(Y_{s|t})], \qquad Y_{s|t} = (P_t^\#/P_s)^{-\epsilon_p} Y_s.$$

Here $TC_s^n(Y) = W_s(Y/A_s)^{1/(1-\alpha)}$. A type's wage setter chooses its nominal quote using the same family's marginal valuation of income:

$$\max_{W_t^\#} E_t \sum_{k\ge 0} (\beta\theta_w)^k [\lambda_s W_t^\# n_{s|t} - \xi_s \chi n_{s|t}^{1+\varphi}/(1+\varphi)],$$

where $n_{s|t} = (W_t^\#/W_s)^{-\epsilon_w} N_s$. It takes aggregate family consumption valuation and employers' type-demand schedule as given. Labor income gains and work costs are both valued; the objective is the family's marginal welfare gain from this atomistic labor type. The budget-substitution and Lagrangian routes below give the same condition.

## 12.3 Labor demand and the wage index

### 12.3.1 Which workers does the firm hire?

Fix a date and firm. To acquire composite labor $N_i$, choose its type mix:

$$\min_{\{N_{ij}\}} \int_0^1 W_j N_{ij} dj \quad \text{subject to } \mathscr{N}_i \ge N_i, \tag{12.1}$$

$$\mathscr{N}_i = \left[\int N_{ij}^{r_w} dj\right]^{1/r_w}, \qquad r_w = (\epsilon_w - 1)/\epsilon_w, \tag{12.2}$$

$$\mathscr{L}_i = \int W_j N_{ij} dj + \Lambda_i(N_i - \mathscr{N}_i). \tag{12.3}$$

The chain rule gives the marginal composite contribution of one type:

$$\frac{\partial \mathscr{N}_i}{\partial N_{ij}} = \frac{1}{r_w}\left[\int N_{ih}^{r_w} dh\right]^{1/r_w - 1} r_w N_{ij}^{r_w - 1} \tag{12.4}$$

$$= \mathscr{N}_i^{1/\epsilon_w} N_{ij}^{-1/\epsilon_w}, \tag{12.5}$$

$$0 = W_j - \Lambda_i (N_i/N_{ij})^{1/\epsilon_w}, \tag{12.6}$$

$$N_{ij} = (W_j/\Lambda_i)^{-\epsilon_w} N_i. \tag{12.7}$$

Substitute into the binding labor requirement:

$$N_i^{r_w} = \int [(W_j/\Lambda_i)^{-\epsilon_w} N_i]^{r_w} dj, \tag{12.8}$$

$$1 = \Lambda_i^{\epsilon_w - 1} \int W_j^{1-\epsilon_w} dj, \tag{12.9}$$

$$\Lambda_i = \left[\int W_j^{1-\epsilon_w} dj\right]^{1/(1-\epsilon_w)} = W, \tag{12.10}$$

$$N_{ij} = (W_j/W)^{-\epsilon_w} N_i, \qquad \int W_j N_{ij} dj = N_i W^{\epsilon_w} \int W_j^{1-\epsilon_w} dj = W N_i. \tag{12.11}$$

$W$ is the shadow price of an extra unit of composite labor. If the firm instead minimizes its bill subject to $A\mathcal{N}_i^{1-\alpha} \geq Y_i$, call its output multiplier $MC_i^n$. Its type-$j$ derivative is

$$0 = W_j - MC_i^n (1-\alpha) A \mathcal{N}_i^{-\alpha} (\mathcal{N}_i/N_{ij})^{1/\epsilon_w}, \tag{12.12}$$

$$\Lambda_i = MC_i^n (1-\alpha) A N_i^{-\alpha} = W, \tag{12.13}$$

$$MC_i^n = \frac{W}{(1-\alpha) A N_i^{-\alpha}}. \tag{12.14}$$

Thus the original output-constrained cost problem gives the same type demand, but its multiplier is output marginal cost, not automatically the wage index. The two multipliers differ by the marginal product of composite labor.

Sum type demand across firms before interpreting the aggregate:

$$N_{jt} = \int N_{ijt} di = (W_{jt}/W_t)^{-\epsilon_w} \int N_{it} di \tag{12.15}$$

$$= (W_{jt}/W_t)^{-\epsilon_w} N_t, \tag{12.16}$$

$$\left[\int N_{jt}^{r_w} dj\right]^{1/r_w} = N_t \left[\int (W_{jt}/W_t)^{1-\epsilon_w} dj\right]^{1/r_w} = N_t, \tag{12.17}$$

$$\int W_{jt} N_{jt} dj = W_t N_t. \tag{12.18}$$

A type that raises its relative wage loses employers' demand with elasticity $\epsilon_w$. This is a labor *demand* curve faced by a wage setter, not a household labor-supply condition equating its wage to its MRS.

**One wage index does not mean one wage quote.** $W_t$ measures the minimum bill for a unit of composite labor. Individual $W_{jt}$ can differ because their last reset dates differ. Only under symmetry do all quotes equal the index. An arithmetic average of nominal wages is not the CES wage index away from that reference.

### 12.3.2 Composite labor, physical hours, and work disutility

Three different aggregates must be kept apart:

$$H_t = \int N_{jt}dj = N_t \underbrace{\int (W_{jt}/W_t)^{-\epsilon_w} dj}_{\Delta_t^{w,H}}, \tag{12.19}$$

$$\int N_{jt}^{1+\varphi} dj = N_t^{1+\varphi} \underbrace{\int (W_{jt}/W_t)^{-\epsilon_w(1+\varphi)} dj}_{\Delta_t^{w,U}}, \tag{12.20}$$

$$N_t = (Y_t/A_t)^{1/(1-\alpha)} \underbrace{\int (P_{it}/P_t)^{-\epsilon_p/(1-\alpha)} di}_{\Delta_t^{p}}. \tag{12.21}$$

The family suffers the integral of convex work costs. Concentrating hours in low-wage types can increase this burden even if the composite labor input is unchanged. Product-price dispersion separately makes more composite labor necessary for a given consumption basket. Neither effect is an unemployed-worker count; there is no participation or matching margin here.

For any wage-dispersion exponent $h > 0$, write $\Delta_t^{w,h} = \int (W_{jt}/W_t)^{-h} dj$. Calvo aggregation implies

$$\Delta_t^{w,h} = (1-\theta_w)(W_t^{\#}/W_t)^{-h} + \theta_w(\Pi_t^w)^h \Delta_{t-1}^{w,h}, \qquad \Pi_t^w = W_t/W_{t-1}. \tag{12.22}$$

The wage-index expansion derived below gives $\hat{w}_t^{\#} - \hat{w}_t = \theta_w \pi_t^w/(1-\theta_w)$. Therefore,

$$\hat{\Delta}_t^{w,h} = -(1-\theta_w)h(\hat{w}_t^{\#} - \hat{w}_t) + \theta_w h \pi_t^w + \theta_w \hat{\Delta}_{t-1}^{w,h} \tag{12.23}$$

$$= -\theta_w h \pi_t^w + \theta_w h \pi_t^w + \theta_w \hat{\Delta}_{t-1}^{w,h} = \theta_w \hat{\Delta}_{t-1}^{w,h}. \tag{12.24}$$

With initially symmetric quotes, these first-order dispersion terms vanish. Locally, $\hat{h}_t = \hat{n}_t$ and $\hat{y}_t = a_t + (1-\alpha)\hat{n}_t$. At second order, especially for welfare, the different dispersion moments cannot be dropped merely because this first-order cancellation occurred.

## 12.4 Household spending and wage-setting incentives

### 12.4.1 The common consumption valuation

Use resources minus expenditures in the family Lagrangian:

$$\mathscr{L} = E_0 \sum_{t\geq 0} \beta^t \Big\{ \xi_t [v(C_t) - \chi \int N_{jt}^{1+\varphi} dj/(1+\varphi)] + \lambda_t [B_{t-1} + \int W_{jt} N_{jt} dj + D_t - P_t C_t - Q_t B_t] \Big\}. \tag{12.25}$$

The consumption and asset derivatives give

$$0 = \xi_t C_t^{-\sigma} - \lambda_t P_t, \qquad \lambda_t = \xi_t C_t^{-\sigma}/P_t, \tag{12.26}$$

$$0 = -\beta^t \lambda_t Q_t + \beta^{t+1} E_t \lambda_{t+1}, \tag{12.27}$$

$$Q_t = \beta E_t \left[ \frac{\xi_{t+1}}{\xi_t} (C_{t+1}/C_t)^{-\sigma} \frac{P_t}{P_{t+1}} \right]. \tag{12.28}$$

Income pooling makes $\lambda_t$ common across wage setters even though their hours differ. Their compensation for an extra hour is type-specific: $MRS_{jt} = \chi C_t^{\sigma} N_{jt}^{\varphi}$. This is why replacing every type's hours by the family average before differentiating would change the problem.

Profits and wages together finance consumption:

$$D_t = \int P_{it} Y_{it} di - W_t N_t = P_t Y_t - W_t N_t, \tag{12.29}$$

$$P_t C_t = W_t N_t + D_t = P_t Y_t \quad \text{in aggregate, with net bonds zero.} \tag{12.30}$$

The budget must include profits; monopolistic competition does not make them vanish.

### 12.4.2 A flexible wage already carries a markup

Consider an eligible wage setter at a date when it can choose a new quote. First ignore future survival. Conditional demand and its derivative are

$$N_j = (W_j/W)^{-\epsilon_w} N, \qquad \frac{dN_j}{dW_j} = -\epsilon_w N_j / W_j, \tag{12.31}$$

$$\frac{d(W_j N_j)}{dW_j} = N_j + W_j(-\epsilon_w N_j/W_j) = (1-\epsilon_w) N_j. \tag{12.32}$$

A higher quote raises income per hour but loses enough hours to reduce the wage bill along this elastic demand curve. The associated utility derivative per unit mass of type-$j$ members is

$$0 = \lambda(1-\epsilon_w) N_j - \xi \chi N_j^{\varphi}(-\epsilon_w N_j/W_j), \tag{12.33}$$

$$(\epsilon_w - 1)\lambda W_j N_j = \epsilon_w \xi \chi N_j^{1+\varphi}, \tag{12.34}$$

$$W_j = \frac{\epsilon_w}{\epsilon_w - 1} \frac{\xi \chi N_j^{\varphi}}{\lambda}, \tag{12.35}$$

$$\frac{W_j}{P} = \mu_w \chi C^{\sigma} N_j^{\varphi} = \mu_w MRS_j. \tag{12.36}$$

The gross wage markup $\mu_w > 1$ is distinct from delayed adjustment. Flexible wages in this differentiated-labor economy do not give the competitive condition $W/P = MRS$ unless the wage markup is removed by an additional change.

### 12.4.3 Budget substitution and the surviving wage quote

Now a reset wage $W_t^{\#}$ survives through $s = t + k$ with probability $\theta_w^k$. Conditional hours are

$$n_{s|t} = (W_t^{\#}/W_s)^{-\epsilon_w} N_s, \qquad \frac{\partial n_{s|t}}{\partial W_t^{\#}} = -\epsilon_w n_{s|t} / W_t^{\#}. \tag{12.37}$$

The course substitutes the budget before differentiating. Keep that useful route, with the family interpretation explicit. For a small group of types of mass $dj$, isolate the wage-dependent part of its

family's budget:

$$C_s(W_t^{\#}) = \frac{W_t^{\#} n_{s|t}\, dj + \mathscr{R}_s}{P_s}, \tag{12.38}$$

$$\mathscr{R}_s = B_{s-1} + D_s + \text{other types' wage income} - Q_s B_s, \tag{12.39}$$

$$\left.\frac{\partial C_s}{\partial W_t^{\#}}\right|_{\mathscr{R}_s} = \frac{n_{s|t} + W_t^{\#}(-\epsilon_w n_{s|t}/W_t^{\#})}{P_s}\, dj \tag{12.40}$$

$$= \frac{(1-\epsilon_w) n_{s|t}}{P_s}\, dj. \tag{12.41}$$

The group's contribution to labor disutility is $\chi n_{s|t}^{1+\varphi} dj/(1+\varphi)$. Differentiate consumption utility and work disutility separately, then divide by $dj$:

$$\frac{1}{dj}\frac{\partial U_s}{\partial W_t^{\#}} = \xi_s C_s^{-\sigma} \frac{(1-\epsilon_w) n_{s|t}}{P_s} - \xi_s \chi n_{s|t}^{\varphi}(-\epsilon_w n_{s|t}/W_t^{\#}) \tag{12.42}$$

$$= n_{s|t}\left[(1-\epsilon_w)\lambda_s + \frac{\epsilon_w \xi_s \chi n_{s|t}^{\varphi}}{W_t^{\#}}\right]. \tag{12.43}$$

This is a marginal change in insured family consumption, not a claim that an individual's own wage bill must equal its own consumption at every date. Optimal asset choices do not add a missing income derivative: their two adjacent budget contributions have coefficient $-\lambda_s Q_s + \beta E_s \lambda_{s+1} = 0$ by (12.28); admissible terminal asset terms vanish. Equivalently, wage setting can be written directly in consumption-value units, taking the common multiplier as given:

$$\max_{W_t^{\#}} E_t \sum_{k\geq 0} (\beta\theta_w)^k \left[\lambda_s W_t^{\#} n_{s|t} - \frac{\xi_s \chi}{1+\varphi} n_{s|t}^{1+\varphi}\right]. \tag{12.44}$$

The survival factor weights the wage-dependent period gain alongside time discounting. Future innovations remain inside the conditional expectation. After a reset, future wage decisions have the same continuation problem and the family's valuation of wealth is already represented by $\lambda_s$.

Set the discounted derivative to zero and rearrange each factor:

$$0 = E_t \sum_{k\geq 0} (\beta\theta_w)^k n_{s|t}[(1-\epsilon_w)\lambda_s + \epsilon_w \xi_s \chi n_{s|t}^{\varphi}/W_t^{\#}], \tag{12.45}$$

$$(\epsilon_w - 1) W_t^{\#} E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t} = \epsilon_w E_t \sum_k (\beta\theta_w)^k \xi_s \chi n_{s|t}^{1+\varphi}. \tag{12.46}$$

$$W_t^{\#} = \mu_w \frac{E_t \sum_k (\beta\theta_w)^k \xi_s \chi n_{s|t}^{1+\varphi}}{E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t}} \tag{12.47}$$

$$= \mu_w \frac{E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t} P_s MRS_{s|t}}{E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t}}, \tag{12.48}$$

$$MRS_{s|t} = \chi C_s^{\sigma} n_{s|t}^{\varphi}. \tag{12.49}$$

The MRS replaces the ratio of marginal disutility to consumption marginal utility. It does not multiply marginal disutility a second time. At time zero, this same equation reads

$$W_0^{\#} = \mu_w \frac{E_0 \sum_{s\geq 0} (\beta\theta_w)^s \lambda_s n_{s|0} P_s MRS_{s|0}}{E_0 \sum_{s\geq 0} (\beta\theta_w)^s \lambda_s n_{s|0}}. \tag{12.50}$$

For $\theta_w = 0$ only the current term remains, yielding (12.36). For positive duration, the chosen quote reflects future work burdens and income valuation, not just today's real compensation.

> **Which variable is actually chosen?** A wage setter may choose its wage and let the labor demand curve determine hours. It could equivalently choose a point on the inverse labor demand curve and quote the corresponding wage. It cannot vary wages and hours independently. When differentiating, include both the lost hours in wage income and the reduction in labor disutility.

### 12.4.4 The nonlinear reset equation and own-hours feedback

Insert the demand powers before canceling common reset-wage factors:

$$\lambda_s n_{s|t} = (W_t^{\#})^{-\epsilon_w} \lambda_s W_s^{\epsilon_w} N_s, \tag{12.51}$$

$$\xi_s \chi n_{s|t}^{1+\varphi} = \xi_s \chi (W_t^{\#})^{-\epsilon_w(1+\varphi)} W_s^{\epsilon_w(1+\varphi)} N_s^{1+\varphi}, \tag{12.52}$$

$$(W_t^{\#})^{1+\epsilon_w\varphi} = \mu_w \chi \frac{E_t \sum_k (\beta\theta_w)^k \xi_s W_s^{\epsilon_w(1+\varphi)} N_s^{1+\varphi}}{E_t \sum_k (\beta\theta_w)^k \lambda_s W_s^{\epsilon_w} N_s}. \tag{12.53}$$

Here an individual wage really does alter that type's own work and MRS. The factor $1 + \epsilon_w\varphi$ therefore has a microeconomic source in this labor-market specification. It is not obtained by treating an individual product firm's employment as aggregate household hours in the previous competitive-labor model.

## 12.5 From wage resetting to wage inflation

### 12.5.1 Expand both sides before forming a wage Phillips curve

Use $\hat{w}_t = \log(W_t/\bar{W})$ for nominal wage-index deviations and $\hat{w}_t^{\#} = \log(W_t^{\#}/\bar{W})$ for reset-wage deviations. At the symmetric reference,

$$\bar{W} = \mu_w \bar{P} \chi \bar{C}^{\sigma} \bar{N}^{\varphi}, \qquad \bar{\lambda} = \bar{C}^{-\sigma}/\bar{P}, \tag{12.54}$$

$$S_w = \sum_{k\geq 0} (\beta\theta_w)^k = 1/(1-\beta\theta_w). \tag{12.55}$$

Write the reset FOC as a product equality using (12.48):

$$W_t^{\#} E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t} = \mu_w E_t \sum_k (\beta\theta_w)^k \lambda_s n_{s|t} P_s MRS_{s|t}. \tag{12.56}$$

The relevant individual first-order deviations are

$$\hat{\lambda}_s = q_s - \sigma \hat{c}_s - \hat{p}_s, \tag{12.57}$$

$$\hat{n}_{s|t} = \hat{n}_s - \epsilon_w(\hat{w}_t^{\#} - \hat{w}_s), \tag{12.58}$$

$$\hat{MRS}_{s|t} = \sigma \hat{c}_s + \varphi \hat{n}_{s|t}. \tag{12.59}$$

Here $\hat{MRS}$ means the log deviation of the type-specific MRS. Dividing both sides by $\bar{W}\bar{\lambda}\bar{N}$, their Taylor expansions are

$$L \simeq S_w + S_w \hat{w}_t^{\#} + E_t \sum_k (\beta\theta_w)^k (\hat{\lambda}_s + \hat{n}_{s|t}), \tag{12.60}$$

$$R \simeq S_w + E_t \sum_k (\beta\theta_w)^k (\hat{\lambda}_s + \hat{n}_{s|t} + \hat{p}_s + \hat{MRS}_{s|t}). \tag{12.61}$$

The steady terms match because $\bar{W} = \mu_w \bar{P}\overline{MRS}$. Cancel the common variations explicitly:

$$S_w \hat{w}_t^{\#} = E_t \sum_k (\beta\theta_w)^k (\hat{p}_s + \hat{MRS}_{s|t}), \tag{12.62}$$

$$\hat{w}_t^{\#} = (1-\beta\theta_w) E_t \sum_k (\beta\theta_w)^k [\hat{p}_s + \sigma\hat{c}_s + \varphi\hat{n}_s - \epsilon_w\varphi(\hat{w}_t^{\#} - \hat{w}_s)], \tag{12.63}$$

$$(1+\epsilon_w\varphi)\hat{w}_t^{\#} = (1-\beta\theta_w) E_t \sum_k (\beta\theta_w)^k [\hat{p}_s + \sigma\hat{c}_s + \varphi\hat{n}_s + \epsilon_w\varphi\hat{w}_s]. \tag{12.64}$$

Define the wage-markup deviation and its own-hours correction:

$$\hat{\mu}_t^w = (\hat{w}_t - \hat{p}_t) - \sigma\hat{c}_t - \varphi\hat{n}_t, \qquad \Omega_w = \frac{1}{1+\epsilon_w\varphi}, \tag{12.65}$$

$$\hat{p}_s + \sigma\hat{c}_s + \varphi\hat{n}_s + \epsilon_w\varphi\hat{w}_s = (1+\epsilon_w\varphi)\hat{w}_s - \hat{\mu}_s^w, \tag{12.66}$$

$$\hat{w}_t^{\#} = (1-\beta\theta_w) E_t \sum_{k\geq 0} (\beta\theta_w)^k [\hat{w}_{t+k} - \Omega_w \hat{\mu}_{t+k}^w]. \tag{12.67}$$

The wage-markup deviation is relative to the desired markup $\mu_w$; it is not the gross wage/MRS ratio itself. A positive deviation means compensation is high relative to the family's current work trade-off, so a resetter wants a lower quote, other conditions equal.

Separate the first date and reindex the remaining expected sum:

$$\begin{aligned}\hat{w}_t^{\#} &= (1-\beta\theta_w)(\hat{w}_t - \Omega_w\hat{\mu}_t^w) \\ &\quad + \beta\theta_w E_t\left[(1-\beta\theta_w) E_{t+1} \sum_{h\geq 0} (\beta\theta_w)^h (\hat{w}_{t+1+h} - \Omega_w \hat{\mu}_{t+1+h}^w)\right] \qquad (12.68) \\ &= (1-\beta\theta_w)(\hat{w}_t - \Omega_w\hat{\mu}_t^w) + \beta\theta_w E_t \hat{w}_{t+1}^{\#}. \qquad (12.69)\end{aligned}$$

Iterated expectations justify the inner-to-outer forecast step. Future random workloads do not become known merely because a wage quote spans many dates.

### 12.5.2 The wage index combines new and inherited contracts

Calvo selection preserves the previous wage distribution among nonresetters:

$$W_t^{1-\epsilon_w} = (1-\theta_w)(W_t^{\#})^{1-\epsilon_w} + \theta_w W_{t-1}^{1-\epsilon_w}. \tag{12.70}$$

Divide by the symmetric reference and expand each power at one:

$$1 + (1-\epsilon_w)\hat{w}_t = (1-\theta_w)[1 + (1-\epsilon_w)\hat{w}_t^{\#}] + \theta_w[1 + (1-\epsilon_w)\hat{w}_{t-1}], \tag{12.71}$$

$$\hat{w}_t = (1-\theta_w)\hat{w}_t^{\#} + \theta_w\hat{w}_{t-1}, \tag{12.72}$$

$$\pi_t^w = \hat{w}_t - \hat{w}_{t-1}, \tag{12.73}$$

$$r_t^{w,\#} \equiv \hat{w}_t^{\#} - \hat{w}_t = \frac{\hat{w}_t - \theta_w\hat{w}_{t-1}}{1-\theta_w} - \hat{w}_t = \frac{\theta_w}{1-\theta_w}\pi_t^w. \tag{12.74}$$

Subtract current $\hat{w}_t$ from (12.69):

$$r_t^{w,\#} = -(1-\beta\theta_w)\Omega_w\hat{\mu}_t^w + \beta\theta_w E_t(\hat{w}_{t+1}^{\#} - \hat{w}_t) \tag{12.75}$$

$$= -(1-\beta\theta_w)\Omega_w\hat{\mu}_t^w + \beta\theta_w E_t(r_{t+1}^{w,\#} + \pi_{t+1}^w), \tag{12.76}$$

$$\frac{\theta_w}{1-\theta_w}\pi_t^w = -(1-\beta\theta_w)\Omega_w\hat{\mu}_t^w + \frac{\beta\theta_w}{1-\theta_w}E_t\pi_{t+1}^w, \tag{12.77}$$

$$\pi_t^w = \beta E_t\pi_{t+1}^w - \lambda_w\hat{\mu}_t^w, \tag{12.78}$$

$$\lambda_w = \frac{(1-\theta_w)(1-\beta\theta_w)}{\theta_w}(1+\epsilon_w\varphi) > 0. \tag{12.79}$$

An above-target wage markup encourages lower new wages. Wage inflation falls as those quotes enter the index. Expectations of future conditions also matter because a reset wage may still apply then.

**Nominal wage rigidity does not fix purchasing power.** Let $\omega_t = \hat{w}_t - \hat{p}_t$ denote the real wage's log deviation. Then

$$\omega_t - \omega_{t-1} = \pi_t^w - \pi_t^p.$$

Even if a particular nominal wage is unchanged, its real value falls when product prices rise. In the aggregate, both inflation rates and their difference must be tracked. Price inflation alone does not describe wage adjustment.

## 12.6 Natural output, real wages, and two markup gaps

### 12.6.1 The reference allocation when both quotes are flexible

Under symmetric flexible prices and wages, $C = Y$, $N = (Y/A)^{1/(1-\alpha)}$, and the two markup conditions are

$$\frac{W}{P} = \mu_w\chi Y^\sigma N^\varphi, \tag{12.80}$$

$$\frac{W}{P} = \frac{1-\alpha}{\mu_p}AN^{-\alpha}. \tag{12.81}$$

Equate the two expressions, then substitute the labor requirement:

$$\mu_p\mu_w\chi Y^\sigma N^{\varphi+\alpha} = (1-\alpha)A, \tag{12.82}$$

$$(Y_t^n)^\gamma = \frac{1-\alpha}{\mu_p\mu_w\chi}A_t^{(1+\varphi)/(1-\alpha)}, \tag{12.83}$$

$$\gamma = \sigma + \frac{\varphi+\alpha}{1-\alpha}, \tag{12.84}$$

$$\gamma\log Y_t^n = \log(1-\alpha) - \log\chi - \log\mu_p - \log\mu_w + \frac{1+\varphi}{1-\alpha}\log A_t, \tag{12.85}$$

$$\hat{y}_t^n = \psi_a a_t, \qquad \psi_a = \frac{1+\varphi}{\sigma(1-\alpha)+\varphi+\alpha}, \tag{12.86}$$

$$\hat{n}_t^n = \frac{\hat{y}_t^n - a_t}{1-\alpha}. \tag{12.87}$$

The constant wage markup shifts the *level* of natural output even when its response coefficient to technology matches the previous chapter. Flexible wages here still have market power; the previous competitive-wage baseline has no $\mu_w$ wedge. Comparisons of local responses below use deviations from each specification's own natural reference.

The natural real wage follows either flexible condition:

$$\omega_t^n = a_t - \alpha \hat{n}_t^n = \frac{1 - \alpha\psi_a}{1 - \alpha} a_t \tag{12.88}$$

$$= \sigma \hat{y}_t^n + \varphi \hat{n}_t^n. \tag{12.89}$$

Its desired change need not be zero after a productivity disturbance. Monetary policy then faces a moving wage as well as a moving output benchmark.

For the efficient goods-and-work allocation, a planner values an extra unit of composite labor by its output contribution. At symmetry, solve

$$\max_{N_t > 0} \xi_t [v(A_t N_t^{1-\alpha}) - \chi N_t^{1+\varphi}/(1+\varphi)]. \tag{12.90}$$

Differentiating the consumption term by the chain rule gives

$$0 = \xi_t [v'(Y_t^e)(1-\alpha) A_t (N_t^e)^{-\alpha} - \chi (N_t^e)^{\varphi}], \tag{12.91}$$

$$(Y_t^e)^{-\sigma} (1-\alpha) A_t (N_t^e)^{-\alpha} = \chi (N_t^e)^{\varphi}. \tag{12.92}$$

Compared with the natural allocation, both market-power wedges disappear:

$$\gamma(\log Y_t^e - \log Y_t^n) = \log \mu_p + \log \mu_w, \tag{12.93}$$

$$\log Y_t^e - \log Y_t^n = \frac{\log \mu_p + \log \mu_w}{\gamma}. \tag{12.94}$$

This compares the goods-and-work allocations, not an optimum under unspecified subsidies. Constant markup distortions and costly fluctuations are separate sources of welfare loss.

### 12.6.2 How the real wage connects demand, costs, and work incentives

Define the natural output gap and the real-wage gap:

$$x_t = \hat{y}_t - \hat{y}_t^n, \qquad g_t = \omega_t - \omega_t^n, \tag{12.95}$$

$$\hat{n}_t - \hat{n}_t^n = x_t/(1-\alpha). \tag{12.96}$$

Average real marginal-cost deviation satisfies

$$\hat{mc}_t = \omega_t - a_t + \alpha \hat{n}_t, \tag{12.97}$$

$$0 = \omega_t^n - a_t + \alpha \hat{n}_t^n, \tag{12.98}$$

$$\hat{mc}_t = g_t + \frac{\alpha}{1-\alpha} x_t = g_t + \gamma_p x_t, \qquad \gamma_p = \frac{\alpha}{1-\alpha}. \tag{12.99}$$

The wage-markup deviation follows from the family's work trade-off:

$$\hat{\mu}_t^w = \omega_t - \sigma\hat{y}_t - \varphi\hat{n}_t, \tag{12.100}$$

$$0 = \omega_t^n - \sigma\hat{y}_t^n - \varphi\hat{n}_t^n, \tag{12.101}$$

$$\hat{\mu}_t^w = g_t - \left[\sigma + \frac{\varphi}{1-\alpha}\right] x_t = g_t - \gamma_w x_t, \tag{12.102}$$

$$\gamma_w = \sigma + \frac{\varphi}{1-\alpha}, \qquad \gamma_p + \gamma_w = \gamma. \tag{12.103}$$

At a given output gap, a larger real wage raises firms' costs but also raises the wage relative to households' MRS. Price resetters then want higher prices, while wage resetters want lower wages relative to their inherited quotes. This is an adjustment mechanism, not an automatic spiral in which every wage increase causes an indefinitely repeated price increase.

## 12.7 The joint price-and-wage equilibrium

### 12.7.1 Four relations beyond the policy rule

The product-pricing derivation retains the own-output cost correction from the previous chapter. Define

$$a_p = \frac{(1-\theta_p)(1-\beta\theta_p)}{\theta_p}\frac{1-\alpha}{1-\alpha+\epsilon_p\alpha}, \qquad a_w = \lambda_w. \tag{12.104}$$

Then the local model is

$$\pi_t^p = \beta E_t\pi_{t+1}^p + a_p(\gamma_p x_t + g_t), \tag{12.105}$$

$$\pi_t^w = \beta E_t\pi_{t+1}^w + a_w(\gamma_w x_t - g_t), \tag{12.106}$$

$$x_t = E_t x_{t+1} - \frac{1}{\sigma}(j_t - E_t\pi_{t+1}^p - r_t^n), \tag{12.107}$$

$$g_t = g_{t-1} + \pi_t^w - \pi_t^p - (\omega_t^n - \omega_{t-1}^n), \tag{12.108}$$

$$j_t = \phi_\pi\pi_t^p + \phi_x x_t + \nu_t. \tag{12.109}$$

The real-wage law follows by subtracting changes in the natural wage from $\omega_t - \omega_{t-1} = \pi_t^w - \pi_t^p$. The natural real-rate deviation is

$$r_t^n = \sigma(E_t\hat{y}_{t+1}^n - \hat{y}_t^n) + q_t - E_t q_{t+1}. \tag{12.110}$$

The state $g_{t-1}$ is inherited. The current gap, inflation rates, and real wage are jointly determined; their expectations cannot be chosen separately. Here $a_p, a_w$ are positive slope coefficients, not productivity shocks $a_t$.

**A reason to track wages in a demand contraction.** When purchases fall, the desired work compensation falls with consumption and hours. An inherited wage may then be high relative to that MRS, even when its real value has fallen relative to its own pre-shock level. Firms respond to real labor cost; wage setters respond to the wage markup. Those comparisons can move differently and should not be merged into one "rigid wage" label.

### 12.7.2 What the flexible limits actually impose

If wages can reset every date, impose the static wage condition $\hat{\mu}_t^w = 0$. Then

$$g_t = \gamma_w x_t, \tag{12.111}$$

$$\pi_t^p = \beta E_t \pi_{t+1}^p + a_p(\gamma_p + \gamma_w)x_t = \beta E_t \pi_{t+1}^p + a_p \gamma x_t. \tag{12.112}$$

This is the price-only NK gap equation. The constant wage-market markup still shifts its reference level, as explained above. If product prices are instead flexible, impose $\hat{mc}_t = 0$, giving

$$g_t = -\gamma_p x_t, \tag{12.113}$$

$$\pi_t^w = \beta E_t \pi_{t+1}^w + a_w(\gamma_w + \gamma_p)x_t. \tag{12.114}$$

The real-wage law still links wage and price inflation; simply relabeling this wage equation a price Phillips curve would omit that link. If both quotes are flexible, the two conditions jointly imply

$$\gamma_w x_t = -\gamma_p x_t, \qquad \gamma x_t = 0, \qquad x_t = g_t = 0. \tag{12.115}$$

With no additional real distortion shocks, monetary disturbances then do not move output away from its natural allocation. Nominal variables can still adjust. The limit is taken through static optimality, not through an infinite coefficient inserted into a finite-slope Phillips curve.

### 12.7.3 Why stabilizing both inflation rates is demanding

Suppose policy tried to keep both $\pi_t^p = 0$ and $\pi_t^w = 0$ at all dates with the same zero future forecasts. The two pricing relations require

$$0 = \gamma_p x_t + g_t, \qquad 0 = \gamma_w x_t - g_t, \tag{12.116}$$

$$0 = (\gamma_p + \gamma_w)x_t, \qquad x_t = g_t = 0. \tag{12.117}$$

But the real-wage law would then require

$$0 = 0 + 0 - 0 - (\omega_t^n - \omega_{t-1}^n), \tag{12.118}$$

$$\omega_t^n - \omega_{t-1}^n = 0. \tag{12.119}$$

If the natural real wage needs to change, keeping both nominal inflation rates at zero prevents that change. At least one target must give way. This is a conditional incompatibility result, not a complete optimal-policy calculation. To evaluate welfare, one must include the output wedge and both types of relative-contract dispersion, with explicit subsidies and welfare weights. The policy part develops that comparison.

## 12.8 Solving a policy disturbance with an inherited real wage

### 12.8.1 The state and the three current choices

Set technology and the preference shifter at their reference so $r_t^n = \omega_t^n = 0$. Let $\nu_t = \rho_\nu \nu_{t-1} + \varepsilon_t^\nu$. We solve for three current choices and the current state transition:

$$x_t = f_x g_{t-1} + h_x \nu_t, \tag{12.120}$$

$$\pi_t^p = f_p g_{t-1} + h_p \nu_t, \tag{12.121}$$

$$\pi_t^w = f_w g_{t-1} + h_w \nu_t, \tag{12.122}$$

$$g_t = G g_{t-1} + J \nu_t. \tag{12.123}$$

The real-wage identity immediately imposes

$$G = 1 + f_w - f_p, \qquad J = h_w - h_p. \tag{12.124}$$

Forecasting next period uses current $g_t$, not last period's state again:

$$E_t x_{t+1} = f_x g_t + \rho_\nu h_x \nu_t, \tag{12.125}$$
$$E_t \pi^p_{t+1} = f_p g_t + \rho_\nu h_p \nu_t, \tag{12.126}$$
$$E_t \pi^w_{t+1} = f_w g_t + \rho_\nu h_w \nu_t. \tag{12.127}$$

This extra inherited wage position is why the earlier solution proportional only to the current monetary shock is no longer sufficient.

### 12.8.2 Find the endogenous state root

First match the coefficients on inherited $g_{t-1}$ in dynamic IS, price setting, and wage setting. Substitution gives

$$(\sigma + \phi_x) f_x + \phi_\pi f_p = (\sigma f_x + f_p) G, \tag{12.128}$$
$$(1 - \beta G) f_p = a_p \gamma_p f_x + a_p G, \tag{12.129}$$
$$(1 - \beta G) f_w = a_w \gamma_w f_x - a_w G. \tag{12.130}$$

Use the second equation in the first, multiplying by $1 - \beta G$:

$$[(\sigma + \phi_x) - \sigma G] f_x + (\phi_\pi - G) f_p = 0, \tag{12.131}$$
$$\mathscr{D}(G) f_x = -a_p G (\phi_\pi - G), \tag{12.132}$$
$$\mathscr{D}(G) = [\sigma + \phi_x - \sigma G](1 - \beta G) + a_p \gamma_p (\phi_\pi - G), \tag{12.133}$$
$$f_x = -\frac{a_p G (\phi_\pi - G)}{\mathscr{D}(G)}. \tag{12.134}$$

For a stable candidate $|G| < 1$, $1 - \beta G \neq 0$; any other division also requires its displayed denominator to be nonzero. Next subtract the price coefficient from the wage coefficient and use $f_w - f_p = G - 1$:

$$(1 - \beta G)(G - 1) = (a_w \gamma_w - a_p \gamma_p) f_x - (a_w + a_p) G, \tag{12.135}$$
$$\mathscr{L}(G) = (G - 1)(1 - \beta G) + (a_w + a_p) G, \tag{12.136}$$
$$E = a_w \gamma_w - a_p \gamma_p, \qquad \mathscr{L}(G) = E f_x, \tag{12.137}$$
$$\mathscr{L}(G) \mathscr{D}(G) + E a_p G (\phi_\pi - G) = 0. \tag{12.138}$$

This is a fourth-degree equation. Its coefficients can be computed without hiding the polynomial expansion. Write

$$\mathscr{D}(G) = d_2 G^2 + d_1 G + d_0, \tag{12.139}$$
$$d_2 = \sigma \beta, \tag{12.140}$$
$$d_1 = -\beta(\sigma + \phi_x) - \sigma - a_p \gamma_p, \tag{12.141}$$
$$d_0 = \sigma + \phi_x + a_p \gamma_p \phi_\pi, \tag{12.142}$$
$$\mathscr{L}(G) = -\beta G^2 + \ell_1 G - 1, \qquad \ell_1 = 1 + \beta + a_p + a_w. \tag{12.143}$$

Multiply the two quadratics and the remaining term to get

$$0 = c_4 G^4 + c_3 G^3 + c_2 G^2 + c_1 G + c_0, \tag{12.144}$$

$$c_4 = -\beta d_2, \tag{12.145}$$

$$c_3 = -\beta d_1 + \ell_1 d_2, \tag{12.146}$$

$$c_2 = -\beta d_0 + \ell_1 d_1 - d_2 - E a_p, \tag{12.147}$$

$$c_1 = \ell_1 d_0 - d_1 + E a_p \phi_\pi, \tag{12.148}$$

$$c_0 = -d_0. \tag{12.149}$$

Select the admissible stable root and recover

$$f_p = \frac{a_p(\gamma_p f_x + G)}{1 - \beta G}, \qquad f_w = \frac{a_w(\gamma_w f_x - G)}{1 - \beta G}. \tag{12.150}$$

There is one inherited endogenous state and three current jump variables. A unique local bounded solution requires one stable and three unstable roots of the forward system, with the state projection well defined. The parameter example below passes that count; it is not asserted for arbitrary rules. A candidate generated by denominator multiplication must also pass the unreduced coefficient equations above.

### 12.8.3 Solve the shock coefficients

Match the coefficients on $\nu_t$ using the same forecasts:

$$[\sigma(1-\rho_\nu) + \phi_x] h_x + (\phi_\pi - \rho_\nu) h_p - (\sigma f_x + f_p) J = -1, \tag{12.151}$$

$$(1 - \beta\rho_\nu) h_p = a_p \gamma_p h_x + (\beta f_p + a_p) J, \tag{12.152}$$

$$(1 - \beta\rho_\nu) h_w = a_w \gamma_w h_x + (\beta f_w - a_w) J, \tag{12.153}$$

$$h_w - h_p = J. \tag{12.154}$$

Subtract the second equation from the third, then substitute the last:

$$(1 - \beta\rho_\nu) J = E h_x + [\beta(f_w - f_p) - (a_w + a_p)] J, \tag{12.155}$$

$$K_\nu J = E h_x, \tag{12.156}$$

$$K_\nu = 1 - \beta\rho_\nu - \beta(G - 1) + a_w + a_p, \tag{12.157}$$

$$L_\nu = E / K_\nu, \qquad J = L_\nu h_x. \tag{12.158}$$

Use this result to obtain the two inflation coefficients:

$$P_\nu = \frac{a_p \gamma_p + (\beta f_p + a_p) L_\nu}{1 - \beta\rho_\nu}, \tag{12.159}$$

$$h_p = P_\nu h_x, \qquad h_w = (P_\nu + L_\nu) h_x. \tag{12.160}$$

Finally, the IS coefficient equation becomes a scalar equation:

$$\left[\sigma(1-\rho_\nu) + \phi_x + (\phi_\pi - \rho_\nu) P_\nu - (\sigma f_x + f_p) L_\nu\right] h_x = -1, \tag{12.161}$$

$$h_x = -\frac{1}{\sigma(1-\rho_\nu) + \phi_x + (\phi_\pi - \rho_\nu) P_\nu - (\sigma f_x + f_p) L_\nu}. \tag{12.162}$$

All coefficients are now determined. If a displayed denominator vanishes, this derivation must be reconsidered rather than assigning a numerical value to an undefined expression.

### 12.8.4 A joint response and a comparison of contracts

Use illustrative quarterly parameters

$$\beta = .99, \quad \sigma = \varphi = 1, \quad \alpha = 1/3, \quad \epsilon_p = \epsilon_w = 6, \tag{12.163}$$

$$\theta_p = \theta_w = .75, \qquad \phi_\pi = 1.5, \quad \phi_x = .125, \quad \rho_\nu = .5. \tag{12.164}$$

Starting from $g_{-1} = \nu_{-1} = 0$, apply one innovation $\varepsilon_0^\nu = .001$ and set later innovations to zero. Each date is computed in the following order:

$$\nu_t = \rho_\nu \nu_{t-1} + \varepsilon_t^\nu, \tag{12.165}$$

$$(x_t, \pi_t^p, \pi_t^w) = (f_x, f_p, f_w) g_{t-1} + (h_x, h_p, h_w) \nu_t, \tag{12.166}$$

$$g_t = g_{t-1} + \pi_t^w - \pi_t^p, \tag{12.167}$$

$$j_t = \phi_\pi \pi_t^p + \phi_x x_t + \nu_t, \tag{12.168}$$

$$r_t = j_t - [f_p g_t + \rho_\nu h_p \nu_t], \tag{12.169}$$

$$\hat{\mu}_t^w = g_t - \gamma_w x_t. \tag{12.170}$$

The real-rate response subtracts the actual conditional inflation forecast; it does not presume price inflation stays unchanged. The response values and the stable root are reported with Figure 12.1.

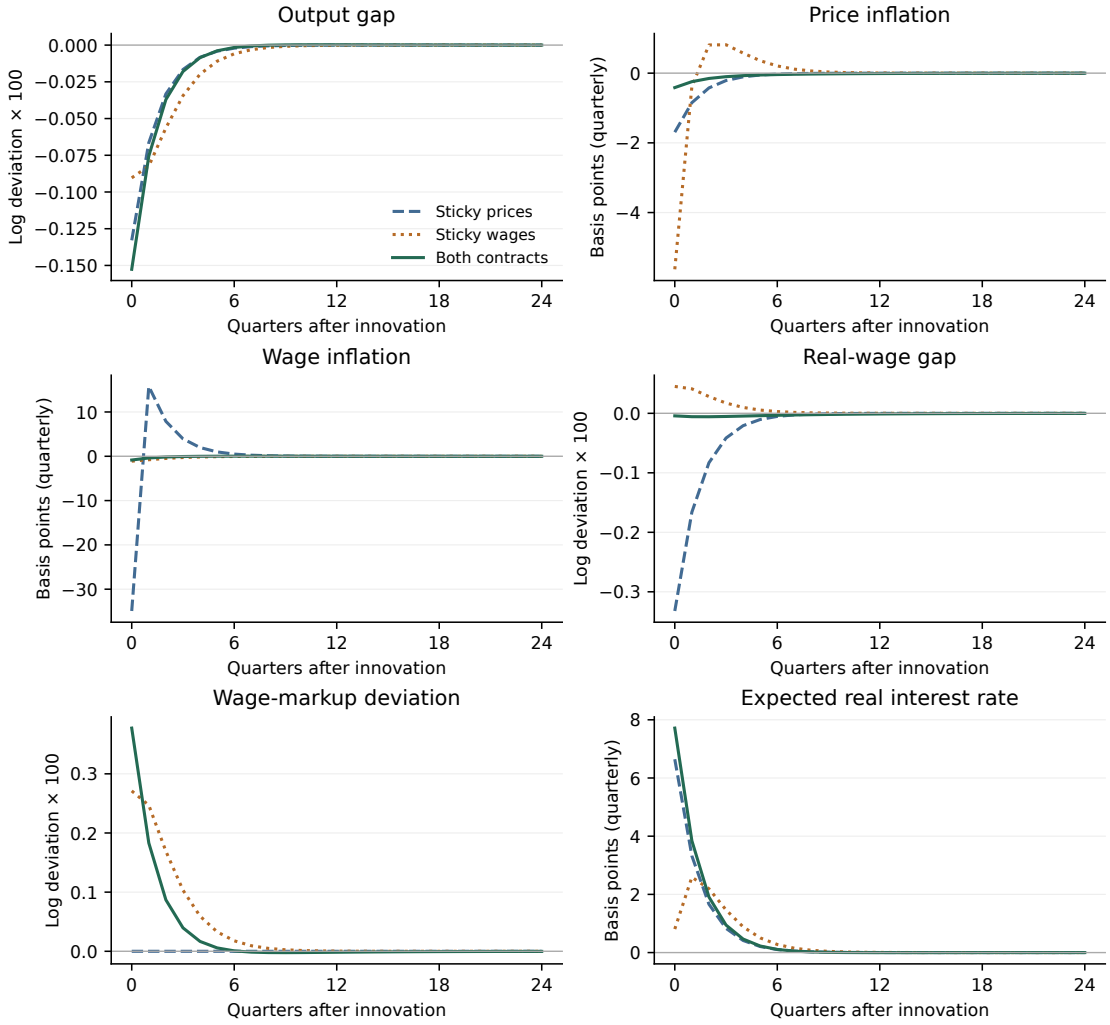



**Figure 12.1:** A common policy innovation under different nominal contracts.

Source: original local-equilibrium calculation; parameters stated above. Each contract variant is solved separately. A flexible contract imposes its static markup condition; other parameters are held fixed. Rate panels show unannualized quarterly basis points; gap panels show 100 times log deviations. The experiment is a teaching construction with no data or estimated effects.

For the both-contract specification, the computed state root and policies are

$$G \simeq 0.826010, \tag{12.171}$$

$$(f_x, f_p, f_w) \simeq (-0.193549,\ 0.085861,\ -0.088130), \tag{12.172}$$

$$(h_x, h_p, h_w) \simeq (-1.526316,\ -0.041446,\ -0.084222), \tag{12.173}$$

$$J \simeq -0.042776. \tag{12.174}$$

The other forward roots are about $1.223749$ and $1.070171 \pm 0.080776\,\mathrm{i}$; their moduli exceed one.

Substitution gives

$$x_0 = (-1.526316)(.001) \simeq -.00152632, \tag{12.175}$$

$$g_0 = (-.042776)(.001) \simeq -.00004278, \tag{12.176}$$

$$\hat{\mu}_0^w = g_0 - 2.5x_0 \simeq .00377301. \tag{12.177}$$

Thus output falls about $0.153\%$ while the real wage is only about $0.0043\%$ below its natural reference. The wage markup is nevertheless about $0.377\%$ above target because the marginal compensation needed for those hours falls more. Table 12.1 makes the contract comparison explicit.

**Table 12.1:** Impact of the same policy innovation under three contract specifications.

| Sticky contract | Output gap (%) | Price inflation (bp) | Wage inflation (bp) |
|---|---|---|---|
| Prices only | −0.1329 | −1.6941 | −34.9178 |
| Wages only | −0.0904 | −5.6285 | −1.1093 |
| Both | −0.1526 | −0.4145 | −0.8422 |

The large initial wage change in the price-only case is possible because that contract is flexible; its wage markup remains at target. With sticky wages, the wage markup absorbs more of the adjustment. Later movements can partly reverse the initial change. In particular, persistent inherited real-wage positions need not produce a one-signed output response at every horizon. Even with $\rho_\nu = 0$, the both-contract model has a nonzero next-period response through $g_0$; the contract state and the shock's own persistence are separate sources of memory.

A drop in the real wage is compatible with an above-target wage markup when the MRS falls further. Likewise, adding a second sticky contract does not mechanically add a fixed percentage to the output response. It changes the joint solution for forecasts, costs, and the inherited real-wage position. The comparison re-solves that equilibrium for every variant; it does not hold behavioral coefficients fixed while changing contract duration.

## 12.9 What wage rigidity explains, and what it does not

Consider three hypothetical observations. A supplier cuts shifts while a nominal pay schedule remains unchanged: an inherited contract can constrain cost adjustment. Consumer prices rise before the next wage review: an unchanged nominal wage can imply a lower real wage. Employment recovers slowly after orders improve: wage setting may contribute, but search, hiring costs, skills, and financing may also matter. The first two observations map directly to this chapter's quantities; the third cannot be assigned to the wage contract without further evidence.

The model has no direct count of unemployed people, vacancies, quits, or labor force participation. Its labor types supply the hours employers demand under the specified wage schedule; it has not modeled the process of finding a job. Nor does symmetric Calvo adjustment capture a special prohibition on wage cuts, institutional bargaining details, or every kind of annual agreement. Those are distinct extensions. Lower wage flexibility also need not improve or worsen every policy outcome independently of price flexibility and the policy rule.

**A real wage, a wage markup, and unemployment are different objects.** The real wage compares nominal compensation with goods prices. The wage markup compares that compensation with the marginal work trade-off. Unemployment compares workers seeking jobs with jobs actually obtained under a specified labor-market mechanism. One cannot infer the last object merely by plotting one of the first two.

We now have a common framework containing real disturbances, staggered product prices, and staggered wages. The labor-market chapter marks the next mechanism needed for employment and unemployment. The synthesis at the end of this part compares what the completed models predict before moving on to international and financial transmission.

# 13 Labor Markets and Unemployment

## 13.1 Why can a willing worker and an open job remain apart?

Imagine a district where a warehouse advertises jobs while nearby residents remain unemployed. One resident has not seen the advertisement; another needs a different shift; a third is waiting for an interview. The employer also needs time to screen applicants and learn whether a match will work. A posted wage does not instantly place the right person in the right job.

The previous chapters made useful decisions about this problem. RBC described aggregate labor as a quantity households and firms could coordinate through a real wage. The wage-contract NK model distinguished the compensation desired by labor suppliers from the wage employers actually paid. Neither construction counted the workers waiting to meet an employer. We now make that waiting process explicit.

Start with people, rather than rename a fall in aggregate hours as unemployment. Then count movements into and out of jobs. To explain those movements, we need workers searching, firms recruiting, and a technology that turns their efforts into matches. Recruiting costs resources before a job produces anything. The expected value of the eventual match determines whether a firm opens a vacancy. Once the parties meet, their outside options help determine how they divide the gain from working together.

This sequence is a teaching reconstruction, not an account of any author's private thought process. It leads to a basic Diamond–Mortensen–Pissarides (DMP) search-and-matching model. We use homogeneous jobs and exogenous separations to isolate job creation and unemployment flows. Endogenous job destruction, participation choices, capital, and nominal contracts require additional decisions.[37]

**Three different coordination problems.** A flexible wage coordinates desired hours in the RBC benchmark. An inherited wage quote restricts nominal adjustment in the previous NK chapter. A matching friction delays the formation of a working relationship. Unemployment can therefore persist even when the wage of every newly formed match is negotiable.

## 13.2 Count people, hours, and transitions separately

### 13.2.1 An unemployment rate has a denominator

Let $P$ be the relevant population, $E$ the number employed, $U$ the number unemployed, and $O$ the number outside the labor force. Define

$$P = E + U + O, \qquad L = E + U, \tag{13.1}$$

$$u = \frac{U}{L}, \qquad \ell = \frac{L}{P}, \qquad e = \frac{E}{P}. \tag{13.2}$$

The unemployment rate uses the labor force, not the whole population. An unemployed person is searching and available under the statistical definition being used; a nonemployed person need not be classified as unemployed. Exact survey rules must be checked before using data.[38]

[37] For a primary-source formulation and its quantitative limitations, see Shimer (2005), *The Cyclical Behavior of Equilibrium Unemployment and Vacancies*, American Economic Review 95(1), 25–49. The present deterministic examples and parameter choices are our own; they do not reproduce that paper's calibration or empirical estimates.

[38] For one explicit statistical implementation, see the US Bureau of Labor Statistics, *Concepts and Definitions (CPS)*. Its population universe, search criteria, temporary-layoff provisions, and treatment of absence from work are measurement rules, not assumptions of the matching model below. No current labor-market estimates are used here.

Multiplying the two relevant shares gives

$$e = \frac{L}{P}\frac{E}{L} = \ell\frac{L-U}{L} = \ell(1-u). \tag{13.3}$$

Thus a lower unemployment rate can accompany a lower employment-population ratio if participation falls sufficiently.

For a hypothetical population of 100, first take $(E, U, O) = (60, 5, 35)$ and then $(58, 3, 39)$. The two observations imply

$$(\ell_0, u_0, e_0) = (.65, 5/65, .60), \tag{13.4}$$

$$(\ell_1, u_1, e_1) = (.61, 3/61, .58). \tag{13.5}$$

Measured unemployment falls from about $7.69\%$ to $4.92\%$, while employment also falls. These counts alone do not reveal which individuals moved between states; individual transition data would supply that information.

### 13.2.2 Fewer workers and shorter shifts are different adjustments

Let $h$ denote average physical hours per employed person, measured consistently with the employment count. Total physical hours satisfy

$$H = Eh = P\ell(1-u)h, \tag{13.6}$$

$$\log H = \log P + \log \ell + \log(1-u) + \log h, \tag{13.7}$$

$$d\log H = d\log P + d\log \ell - \frac{du}{1-u} + d\log h. \tag{13.8}$$

The middle identity also holds in exact log differences between two dates. The last line is its differential, not an exact finite-change formula using the initial unemployment rate. A firm cutting every shift by one hour changes the intensive margin. A firm dismissing workers changes the extensive margin. An aggregate $N$ in a production function does not identify which happened. Moreover, the CES labor composite in the preceding wage chapter need not equal physical $H$ when relative wages differ.

### 13.2.3 A stock can be stable while many people change state

For now close participation and normalize $L = 1$, so $n = 1 - u$ is employment. During a short interval $dt$, an employed worker separates at rate $s > 0$ and an unemployed worker finds a job at rate $f \geq 0$. Inflows minus outflows give

$$u(t+dt) - u(t) = s[1-u(t)]dt - f(t)u(t)dt + o(dt), \tag{13.9}$$

$$\frac{u(t+dt)-u(t)}{dt} = s[1-u(t)] - f(t)u(t) + \frac{o(dt)}{dt}, \tag{13.10}$$

$$\dot{u}(t) = s[1-u(t)] - f(t)u(t). \tag{13.11}$$

The dot means a derivative with respect to continuous time. The approximation keeps one transition in $dt$; the probability of two transitions is of smaller order. Equal inflows and outflows keep $u$ constant without keeping the same people unemployed. A recession can raise unemployment through more separations, slower job finding, or both. A stock series alone cannot separate these routes.

## 13.3 The search economy: people, resources, and timing

The conditions below define a real labor-market benchmark. We temporarily set aside the NK consumption Euler equation, differentiated products, and Calvo contracts. A complete NK–matching model would have to specify how these pieces fit together; its equations cannot be obtained by appending an unemployment identity to the previous chapter.

**01 People, jobs, and the employment margin**

There is a unit mass of infinitely lived workers and a continuum of potential single-worker jobs. Workers are either employed, $n = 1 - u$, or unemployed and searching, $u$. Labor-force participation is fixed at one. Each employed worker supplies one fixed unit of time; hours per employee, search effort, and on-the-job search are not chosen. Jobs and workers are homogeneous before matching. There is no population growth, migration, capital, government, foreign sector, or nominal unit of account.

**02 Continuous time, valuation, and risk**

Time is $t \geq 0$, measured in months in the numerical examples. All agents value flows linearly in consumption units and discount at $r > 0$: $E_t \int_t^\infty e^{-r(\tau - t)} c(\tau) d\tau$. There is no consumption curvature or additional work disutility. Asset claims are valued at the same real rate $r$; borrowing constraints and income effects on search are absent. Individual meetings and separations are random. A law of large numbers makes aggregate flows deterministic conditional on aggregate fundamentals. The transition experiments specify an unexpected change at $t = 0$ followed by known deterministic paths, not a stochastic DSGE solution.

**03 Output, home production, and recruitment costs**

An occupied job produces $z > 0$ goods per unit time; an unemployed worker produces $b \geq 0$ home goods. All goods are perfect substitutes for consumption. The baseline has $z > b$. Posting one vacancy costs $\kappa > 0$ goods per unit time while it remains unfilled. There is no one-time posting cost, training cost, or additional operating fixed cost. If $v$ is vacancies per worker, market output is $Y = zn$ and aggregate consumption is

$$C = zn + bu - \kappa v > 0.$$

Here $b$ is real nonmarket production, not a government-financed unemployment benefit. A transfer would require a tax counterpart and a different resource interpretation. Workers own the firms, receive their net profits, and fund recruitment through those ownership accounts.

**04 Meetings and the two sides of the market**

New matches per unit time satisfy

$$m(u, v) = \mathscr{A}_m u^{\xi} v^{1-\xi}, \qquad \mathscr{A}_m > 0, \quad 0 < \xi < 1.$$

For $u, v > 0$, tightness is $\vartheta = v/u$. The worker's job-finding hazard is $f = m/u$ and a vacancy's filling hazard is $q = m/v$. Matching is random and undirected; agents take aggregate hazards as given. There is no queue choice or observable match-quality heterogeneity. The parameter $\xi$ is the elasticity with respect to searching workers. $\vartheta$ is a vacancy-worker ratio, unrelated to the Calvo survival probabilities of the preceding chapter. Hazards are positive rates; they need not be less than one.

### 05 Separation, re-entry, and information

An occupied job disappears at an exogenous Poisson rate $s > 0$. The worker returns to unemployment and the firm loses the match asset. A firm can open a new vacancy at the prevailing cost. Existing matches have no productive heterogeneity, so there is no endogenous destruction threshold in the baseline. Agents observe current fundamentals and share the deterministic forecasts specified for an experiment. Simultaneous events have zero probability in continuous time. A newly separated worker can search immediately, but a second transition within $dt$ has probability of order $dt^2$.

### 06 Values, ownership, and finance

$\mathscr{U}$ is a worker's unemployment value, $\mathscr{W}$ the employment value, $J$ the firm's value of an occupied job, and $V$ the value of a vacancy. These are discounted lifetime stocks, not flow wages or current output. The worker values track labor and home income; common portfolio distributions are omitted from both states. Linear utility and common ownership make that income additive, so it cancels from the employment surplus and bargaining. Let $D = \mathscr{W} - \mathscr{U}$ and $S = D + J$ when free entry gives $V = 0$. All payments and profits use real goods units. A real flow wage $w$ transfers income from the firm to its employee; it is not a resource cost for the economy as a whole. Recruitment $\kappa v$ is a resource cost. Unlimited potential entry and frictionless funding remove a financial obstacle to vacancy creation, but they do not remove the matching delay.

### 07 How a match divides its gain

Workers have Nash bargaining weight $0 < \eta < 1$. A disagreement leaves the worker unemployed and the firm with its vacancy value, zero under free entry. At given aggregate outside opportunities, the parties maximize $D^{\eta} J^{1-\eta}$ over a transferable positive match surplus. They can renegotiate the real wage continuously; no wage floor, nominal contract, private information, or commitment friction is imposed. Both participation surpluses must be positive. The later fixed-real-wage experiment replaces this bargaining rule explicitly; it is not the same as a Calvo nominal wage.

### 08 Entry, matching, and aggregate accounts

Vacancies can be opened or withdrawn immediately. In an interior equilibrium $v > 0$, free entry imposes $V = 0$ and $\kappa = qJ$. The analysis solves this positive-entry case; eliminating the gain from a match would require reconsidering entry and the decision to continue existing jobs. Matches employ one previously unemployed worker and fill one vacancy; separations destroy one occupied job. The two sides therefore use the same aggregate flow $m = fu = qv$. Total firm net cash flow is $(z - w)n - \kappa v$. Wages plus home output plus that cash flow equal $C$ in Card 03. Claims between residents have zero aggregate net supply; firm equity is owned by workers. No independent monetary or aggregate-demand rule is needed for this risk-neutral real benchmark.

**09 Initial stocks and terminal selection**

Initial unemployment $u(0) \in (0,1)$ is given. Employment cannot jump because meeting and separation hazards are finite. Vacancies and match asset values can jump after news. The stationary derivation holds $z, b, s, \mathscr{A}_m, \kappa, r, \eta, \xi$ constant. A transition instead solves forward-looking match values with no explosive terminal component and then evolves $u$ forward. Discounted terminal assets vanish. The illustrated returning paths converge to the original stationary equilibrium, and numerical terminal conditions are checked at successively longer horizons. The maintained interior solution has $J, D, S > 0$ and positive consumption throughout.

**10 Scope of the welfare and extension comparisons**

The planner faces the same matching technology, separation risk, population, home output, recruitment cost, and initial employment as private agents. It values total consumption linearly and chooses vacancies; transfers cancel. The efficiency comparison adds no taxes or additional distortions. Three-state population accounting later permits participation flows as an identity, but does not supply a participation optimization problem. Skill loss, mismatch, endogenous separations, and a nominal NK embedding are identified as further mechanisms; they are not silently assumed in the baseline solution.

## 13.4 Matching determines waiting times and unemployment flows

### 13.4.1 The same meeting has two different waiting rates

Substitute $v = \vartheta u$ in the matching technology:

$$m(u,v) = \mathscr{A}_m u^{\xi} (\vartheta u)^{1-\xi} = \mathscr{A}_m u \vartheta^{1-\xi}, \tag{13.12}$$

$$f(\vartheta) = \frac{m}{u} = \mathscr{A}_m \vartheta^{1-\xi}, \tag{13.13}$$

$$q(\vartheta) = \frac{m}{v} = \frac{\mathscr{A}_m u \vartheta^{1-\xi}}{\vartheta u} = \mathscr{A}_m \vartheta^{-\xi}, \tag{13.14}$$

$$f(\vartheta) = \vartheta q(\vartheta). \tag{13.15}$$

The derivatives make the congestion effects explicit:

$$f'(\vartheta) = (1-\xi)\mathscr{A}_m \vartheta^{-\xi} > 0, \tag{13.16}$$

$$q'(\vartheta) = -\xi \mathscr{A}_m \vartheta^{-\xi-1} < 0, \tag{13.17}$$

$$\frac{\vartheta f'}{f} = 1-\xi, \qquad \frac{\vartheta q'}{q} = -\xi. \tag{13.18}$$

More vacancies per searching worker help that worker find a job, while making each individual vacancy harder to fill. A hospital competing with many other recruiters may offer abundant opportunities to an applicant and still wait months to fill its own post. There is no contradiction between those two perspectives.

With a constant hazard $f > 0$, let $B(a)$ be the probability that an unemployed worker has not yet found a job after duration $a$. Then

$$B(a + da) = B(a)[1 - f\,da] + o(da), \tag{13.19}$$

$$B'(a) = -fB(a), \qquad B(0) = 1, \tag{13.20}$$

$$B(a) = e^{-fa}, \qquad \Pr(T \le a) = 1 - e^{-fa}, \tag{13.21}$$

$$g_T(a) = -B'(a) = fe^{-fa}, \tag{13.22}$$

$$E[T] = \int_0^\infty afe^{-fa}da = \left[-ae^{-fa}\right]_0^\infty + \int_0^\infty e^{-fa}da, \tag{13.23}$$

$$= \int_0^\infty B(a)da = \left[-\frac{e^{-fa}}{f}\right]_0^\infty = \frac{1}{f}. \tag{13.24}$$

The last expression is a mean waiting time to the first job, not the probability of being employed at the end of a month. That distinction matters because the worker can find a job and separate again before the month ends.

> **A rate is not a probability.** A hazard of $1.2$ per month does not mean a $120\%$ probability. With a constant hazard, the probability of at least one arrival within a month is $1 - e^{-1.2}$. A final-state transition probability additionally accounts for later transitions back. Continuous-time rates and discrete-time probabilities must be converted before comparing their numerical values.

### 13.4.2 Solve the stock equation before calling unemployment persistent

For constant $f$ and $s$, rewrite (13.11) as

$$\dot{u} + (s + f)u = s, \qquad \bar{u} = \frac{s}{s + f}, \tag{13.25}$$

$$\dot{u} = -(s + f)(u - \bar{u}). \tag{13.26}$$

Let $d(t) = u(t) - \bar{u}$. Multiplying $\dot{d} + (s + f)d = 0$ by the integrating factor $e^{(s+f)t}$ gives

$$\frac{d}{dt}\left[e^{(s+f)t}d(t)\right] = 0, \tag{13.27}$$

$$e^{(s+f)t}d(t) = d(0), \tag{13.28}$$

$$u(t) = \bar{u} + [u(0) - \bar{u}]e^{-(s+f)t}. \tag{13.29}$$

Initial unemployment is inherited. Even if vacancy incentives change at once, the people waiting for jobs move gradually. The convergence half-life is $\log 2/(s + f)$. A larger finding rate both lowers steady unemployment and speeds adjustment to it. This model does not imply an arbitrarily long recovery when its own hazards are high.

Set the initial state first to unemployment, $u(0) = 1$, and then to employment, $u(0) = 0$. The exact end-of-interval transition probabilities are

$$P_{U\to E}(\Delta) = 1 - \left[\frac{s}{s + f} + \frac{f}{s + f}e^{-(s+f)\Delta}\right] = \frac{f}{s + f}\left[1 - e^{-(s+f)\Delta}\right], \tag{13.30}$$

$$P_{E\to U}(\Delta) = \frac{s}{s + f}\left[1 - e^{-(s+f)\Delta}\right]. \tag{13.31}$$

The remaining two probabilities are their row complements. The first-job probability $1 - e^{-f\Delta}$ and the final employment probability above coincide only if re-separation is excluded. For small $\Delta$, expanding $e^{-(s+f)\Delta} = 1 - (s+f)\Delta + o(\Delta)$ gives the familiar first-order approximations $P_{U\to E} \simeq f\Delta$ and $P_{E\to U} \simeq s\Delta$.

## 13.5 Value a match, divide its surplus, and decide whether to recruit

### 13.5.1 Where the asset equations come from

Begin with a stationary environment. Track the labor/home-income component of value; common ownership distributions cancel from the state comparison. An unemployed worker receives $b\,dt$ now, stays unemployed with probability $1 - f dt$, and finds a job with probability $f dt$. Discounting the continuation gives

$$\mathscr{U} = b\,dt + e^{-r dt}[(1 - f dt)\mathscr{U} + f dt \mathscr{W}] + o(dt), \tag{13.32}$$

$$= b\,dt + (1 - r dt)[\mathscr{U} + f dt(\mathscr{W} - \mathscr{U})] + o(dt), \tag{13.33}$$

$$0 = [b - r\mathscr{U} + f(\mathscr{W} - \mathscr{U})]dt + o(dt), \tag{13.34}$$

$$r\mathscr{U} = b + f(\mathscr{W} - \mathscr{U}). \tag{13.35}$$

The product of two terms of order $dt$ is absorbed in $o(dt)$. Applying the same reasoning to an employed worker yields

$$\mathscr{W} = w\,dt + e^{-r dt}[(1 - s dt)\mathscr{W} + s dt \mathscr{U}] + o(dt), \tag{13.36}$$

$$r\mathscr{W} = w + s(\mathscr{U} - \mathscr{W}). \tag{13.37}$$

For an occupied job, current profit is $(z - w)dt$ and separation destroys the match asset:

$$J = (z - w)dt + e^{-r dt}(1 - s dt)J + o(dt), \tag{13.38}$$

$$(r + s)J = z - w, \qquad J = \frac{z - w}{r + s}. \tag{13.39}$$

Thus $z - w$ is a profit flow, while $J$ capitalizes that flow until separation. A low separation rate can make a modest flow margin valuable.

For a vacancy, the firm pays while it waits:

$$V = -\kappa dt + e^{-r dt}[(1 - q dt)V + q dt J] + o(dt), \tag{13.40}$$

$$rV = -\kappa + q(J - V). \tag{13.41}$$

If opening a vacancy had positive net value, entry would continue. With positive vacancies, free entry therefore gives

$$V = 0, \qquad \kappa = qJ, \qquad J = \frac{\kappa}{q}, \tag{13.42}$$

$$z - w = (r + s)\frac{\kappa}{q}. \tag{13.43}$$

The vacancy has zero value, but the filled job has positive value. The reward from filling the vacancy pays for expected recruitment costs. Zero vacancy value does not mean zero wages, profits, or productive match surplus.

### 13.5.2 Why the worker's outside option is not simply home output

Subtract (13.35) from (13.37) and write $D = \mathscr{W} - \mathscr{U}$:

$$rD = w - b - sD - fD, \tag{13.44}$$

$$(r + s + f)D = w - b, \qquad D = \frac{w - b}{r + s + f}. \tag{13.45}$$

The worker who rejects this job does not necessarily remain unemployed forever. When $f$ is high, another match is easier to find. That prospect raises the unemployment value and reduces the extra value of this particular job at a given wage.

The parties divide total surplus $S = D + J$. Hold the aggregate outside environment fixed while an individual pair negotiates. An extra unit of present-value transfer raises $D$ and lowers $J$ by the same amount. The Nash problem is therefore

$$\max_{0<D<S} \quad D^{\eta}(S - D)^{1-\eta}, \tag{13.46}$$

$$\max_{0<D<S} \quad \eta \log D + (1 - \eta)\log(S - D), \tag{13.47}$$

$$0 = \frac{\eta}{D} - \frac{1 - \eta}{S - D}, \tag{13.48}$$

$$\eta(S - D) = (1 - \eta)D, \tag{13.49}$$

$$D = \eta S, \qquad J = (1 - \eta)S, \qquad D = \frac{\eta}{1 - \eta}J. \tag{13.50}$$

The second derivative is $-\eta/D^2 - (1 - \eta)/(S - D)^2 < 0$, so the interior solution is the unique maximum.

To implement this split with a wage, rearrange the worker's employment equation while holding its outside value $\mathscr{U}$ fixed:

$$(r + s)\mathscr{W} = w + s\mathscr{U}, \tag{13.51}$$

$$(r + s)D = w - r\mathscr{U}, \tag{13.52}$$

$$w - r\mathscr{U} = \frac{\eta}{1 - \eta}(z - w), \tag{13.53}$$

$$(1 - \eta)w - (1 - \eta)r\mathscr{U} = \eta z - \eta w, \tag{13.54}$$

$$w = \eta z + (1 - \eta)r\mathscr{U}. \tag{13.55}$$

Now impose the aggregate outside option and free entry:

$$r\mathscr{U} = b + fD = b + \frac{\eta}{1 - \eta}fJ = b + \frac{\eta}{1 - \eta}\frac{f\kappa}{q} = b + \frac{\eta}{1 - \eta}\kappa\vartheta, \tag{13.56}$$

$$w = (1 - \eta)b + \eta(z + \kappa\vartheta). \tag{13.57}$$

The wage reflects home output, match productivity, and opportunities elsewhere. The last term does not reimburse the employee for posting a vacancy. It enters because tightness improves the employee's outside opportunities.

**Which outside option is held fixed during bargaining?** An individual pair takes the market's unemployment value as given. First derive the Nash surplus shares, then impose the equilibrium outside option. If one first substitutes a stationary $\mathscr{U}(w)$ and differentiates as if the pair changed every wage and meeting opportunity in the economy, one solves a different bargaining problem. Aggregate feedback belongs in equilibrium, after the individual negotiation.

Finally, add the worker and firm surplus equations:

$$rS = w - b - (s + f)D + z - w - sJ, \tag{13.58}$$

$$(r + s)S = z - b - fD, \tag{13.59}$$

$$(r + s + \eta f)S = z - b, \tag{13.60}$$

$$S = \frac{z - b}{r + s + \eta f}. \tag{13.61}$$

Wages cancel because they divide the match's gain. Search opportunities remain because employment removes a worker from the pool that can form other matches. Neither private bargaining nor free entry alone determines the efficient amount of recruitment.

## 13.6 Close the equilibrium and read the Beveridge curve

### 13.6.1 One equation determines market tightness

Insert (13.57) in (13.43):

$$z - \left[(1 - \eta)b + \eta z + \eta\kappa\vartheta\right] = (r + s)\frac{\kappa}{q(\vartheta)}, \tag{13.62}$$

$$(1 - \eta)(z - b) - \eta\kappa\vartheta = (r + s)\frac{\kappa}{q(\vartheta)}, \tag{13.63}$$

$$\frac{\kappa(r + s)}{\mathscr{A}_m}\vartheta^{\xi} + \eta\kappa\vartheta = (1 - \eta)(z - b). \tag{13.64}$$

The first cost term values recruitment while the eventual job may separate. The second reflects the wage response to outside opportunities. The right side is the firm's bargaining share of the flow gain over home production.

Define the left side minus the right side as $F(\vartheta)$. Then

$$F(0) = -(1 - \eta)(z - b) < 0, \tag{13.65}$$

$$F'(\vartheta) = \frac{\kappa(r + s)\xi}{\mathscr{A}_m}\vartheta^{\xi - 1} + \eta\kappa > 0, \tag{13.66}$$

$$\lim_{\vartheta \to \infty} F(\vartheta) = \infty. \tag{13.67}$$

Continuity and strict monotonicity give exactly one positive stationary tightness. Recover the other quantities in sequence:

$$f = \mathscr{A}_m \vartheta^{1-\xi}, \qquad q = \mathscr{A}_m \vartheta^{-\xi}, \tag{13.68}$$

$$\bar{u} = \frac{s}{s+f}, \qquad \bar{n} = 1 - \bar{u}, \qquad \bar{v} = \vartheta \bar{u}, \tag{13.69}$$

$$w = (1-\eta)b + \eta(z + \kappa\vartheta), \qquad J = \frac{\kappa}{q}, \qquad D = \frac{\eta}{1-\eta} J, \tag{13.70}$$

$$r\mathscr{U} = b + fD, \qquad \mathscr{W} = \mathscr{U} + D, \qquad S = D + J, \tag{13.71}$$

$$Y = z\bar{n}, \qquad C = z\bar{n} + b\bar{u} - \kappa\bar{v}. \tag{13.72}$$

This is an equilibrium with people waiting and firms recruiting. The same matching flow must satisfy both $f\bar{u} = q\bar{v}$ and $f\bar{u} = s\bar{n}$. Neither side of the labor market disappears from the accounts.

### 13.6.2 How a change in opportunities affects recruitment

Implicit differentiation of $F(\vartheta) = 0$ gives

$$F_\vartheta \, d\vartheta + F_z \, dz = 0, \qquad F_z = -(1-\eta), \tag{13.73}$$

$$\frac{d\vartheta}{dz} = \frac{1-\eta}{F_\vartheta} > 0, \tag{13.74}$$

$$F_b = 1 - \eta, \qquad F_\kappa = \frac{r+s}{q} + \eta\vartheta, \tag{13.75}$$

$$F_s = \frac{\kappa}{q}, \qquad F_{\mathscr{A}_m} = -\frac{\kappa(r+s)}{\mathscr{A}_m^2}\vartheta^\xi. \tag{13.76}$$

For each primitive $a$, use $d\vartheta/da = -F_a/F_\vartheta$:

$$\frac{d\vartheta}{db} = -\frac{1-\eta}{F_\vartheta} < 0, \tag{13.77}$$

$$\frac{d\vartheta}{d\kappa} = -\frac{(r+s)/q + \eta\vartheta}{F_\vartheta} < 0, \tag{13.78}$$

$$\frac{d\vartheta}{ds} = -\frac{\kappa/q}{F_\vartheta} < 0, \tag{13.79}$$

$$\frac{d\vartheta}{d\mathscr{A}_m} = \frac{\kappa(r+s)\vartheta^\xi}{\mathscr{A}_m^2 F_\vartheta} > 0. \tag{13.80}$$

Each derivative holds the other primitive parameters fixed and compares stationary equilibria. A more productive occupied job attracts recruitment; a better nonmarket alternative reduces the gain from matching. More expensive recruitment or shorter expected job life discourages entry. Better matching raises both direct meeting efficiency and equilibrium tightness.

At fixed $s$ and $\mathscr{A}_m$, trace a tightness change into the two stocks:

$$\frac{d\bar{u}}{d\vartheta} = -\frac{sf'(\vartheta)}{(s+f)^2} < 0, \tag{13.81}$$

$$\frac{d\log\bar{v}}{d\log\vartheta} = 1 + \frac{d\log\bar{u}}{d\log\vartheta} = 1 - \frac{(1-\xi)f}{s+f} = \frac{s+\xi f}{s+f} > 0. \tag{13.82}$$

Thus a productivity improvement produces fewer unemployed workers and more vacancies in this stationary comparison. If the primitive change also moves $s$ or $\mathscr{A}_m$, one must include that direct effect; the last derivative alone no longer determines the vacancy response.

### 13.6.3 A curve of balanced flows does not determine job creation

Set unemployment inflows equal to outflows and use the matching function:

$$s(1-u) = \mathscr{A}_m u^{\xi} v^{1-\xi}, \tag{13.83}$$

$$v^{1-\xi} = \frac{s(1-u)}{\mathscr{A}_m u^{\xi}}, \tag{13.84}$$

$$v_{BC}(u) = \left[\frac{s(1-u)}{\mathscr{A}_m u^{\xi}}\right]^{1/(1-\xi)}, \tag{13.85}$$

$$\log v_{BC} = \frac{1}{1-\xi}[\log s + \log(1-u) - \log \mathscr{A}_m - \xi \log u], \tag{13.86}$$

$$\frac{d \log v_{BC}}{du} = \frac{1}{1-\xi}\left[-\frac{1}{1-u} - \frac{\xi}{u}\right] < 0. \tag{13.87}$$

This downward relation is the model's steady-flow Beveridge curve. Job creation separately determines $\vartheta$, hence the ray $v = \vartheta u$. Their intersection selects the stationary stocks. A negative relationship between vacancies and unemployment in a diagram is not itself a wage-setting or vacancy-entry equation.

A lower $\mathscr{A}_m$ raises the vacancies required to sustain a given unemployment rate; a higher $s$ does the same. An outward shift therefore does not uniquely identify skill mismatch. Worse screening, geographic barriers, or a change in separations can have related aggregate symptoms. In a transition, $\dot{u}$ need not be zero, so the economy need not sit on the steady-flow curve even when the matching technology has not changed.

**Vacancies are an investment decision; unemployment is an inherited stock.** Free entry determines how much recruitment is worth undertaking. The flow equation determines how quickly that recruitment reaches waiting workers. A vacancy jump and a gradual unemployment response are compatible. Treating the Beveridge curve as a restriction at every date would erase this adjustment.

### 13.6.4 A stationary example with explicit time units

Use illustrative monthly parameters

$$r = .004, \quad s = .02, \quad \mathscr{A}_m = .5, \quad \xi = \eta = .5, \tag{13.88}$$

$$z = 1, \qquad b = .6, \qquad \kappa = .5. \tag{13.89}$$

These are teaching choices, not estimated parameters. With $a = \sqrt{\vartheta}$, the tightness equation becomes a quadratic:

$$.024\sqrt{\vartheta} + .25\vartheta = .2, \tag{13.90}$$

$$.25a^2 + .024a - .2 = 0, \tag{13.91}$$

$$a = \frac{-.024 \pm \sqrt{.024^2 + 4(.25)(.2)}}{.5}. \tag{13.92}$$

Since $a \geq 0$, discard the negative root. The positive root and its implied equilibrium are

$$a \simeq .847714, \qquad \vartheta = a^2 \simeq .718619, \tag{13.93}$$

$$f = .5a \simeq .423857, \qquad q = .5/a \simeq .589821, \tag{13.94}$$

$$\bar{u} = \frac{.02}{.02 + .423857} \simeq .045060, \qquad \bar{v} = \vartheta \bar{u} \simeq .032381, \tag{13.95}$$

$$w = .8 + .25\vartheta \simeq .979655, \qquad J = \kappa/q \simeq .847714, \tag{13.96}$$

$$Y = 1 - \bar{u} \simeq .954940, \qquad C = Y + .6\bar{u} - .5\bar{v} \simeq .965786. \tag{13.97}$$

Home production makes consumption larger than market output in this example; the difference is not unrecorded borrowing. Recruitment uses some of those resources. The mean wait to a first job is about $2.359$ months, while the exact probability of ending the next month employed, starting unemployed, is about $.3423$. Unemployment converges with a half-life of about $1.562$ months if these hazards remain fixed.

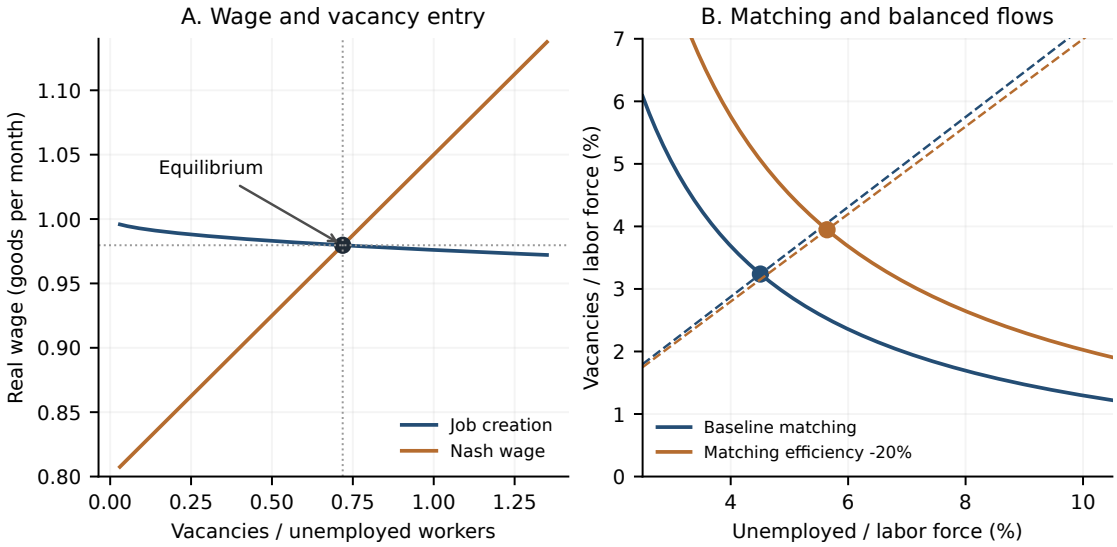



**Figure 13.1:** Job creation, wage bargaining, and the steady-flow Beveridge relation.

Original model illustration using (13.89). Panel A intersects $w = z - \kappa(r + s)/q(\vartheta)$ with the Nash wage schedule. Panel B re-solves entry when matching efficiency falls permanently from .5 to .4. Solid lines balance unemployment flows; each dashed ray uses its own equilibrium tightness. Vacancies are measured relative to the labor force, not to filled plus unfilled jobs. No empirical data are plotted.

Figure 13.1 separates the wage-entry intersection from the flow-stock intersection. With permanently lower matching efficiency, the new stationary unemployment and vacancy shares are about $5.641\%$ and $3.946\%$, respectively. Both rise in this numerical comparison even though tightness falls. That sign pattern follows from re-solving this example; it is not imposed on every matching or separation shock.

## 13.7 News changes recruitment before it changes employment

### 13.7.1 Forward-looking values away from the steady state

A sequence of stationary equilibria does not solve a temporary disturbance. An employer deciding today considers what the job will earn after the disturbance has partly passed. Write the value at $t + dt$ as $J(t + dt) = J(t) + \dot{J}(t)dt + o(dt)$. The occupied-job calculation becomes

$$J(t) = [z(t) - w(t)]dt + e^{-rdt}[1 - s(t)dt]J(t + dt) + o(dt), \tag{13.98}$$

$$0 = [z - w - (r + s)J + \dot{J}]dt + o(dt), \tag{13.99}$$

$$rJ = z - w - sJ + \dot{J}. \tag{13.100}$$

Suppress the argument $t$ when every object has the same date. Applying the same expansion to the other states gives

$$r\mathscr{U} = b + fD + \dot{\mathscr{U}}, \tag{13.101}$$

$$r\mathscr{W} = w - sD + \dot{\mathscr{W}}, \tag{13.102}$$

$$rV = -\kappa + q(J - V) + \dot{V}. \tag{13.103}$$

Positive free entry holds at each date in the experiment, so $V(t) = 0$, $\dot{V}(t) = 0$, and $\kappa = q(t)J(t)$. Subtraction of the first two worker equations and addition of the firm equation yield

$$rD = w - b - (s + f)D + \dot{D}, \tag{13.104}$$

$$rS = z - b - sS - fD + \dot{S}, \tag{13.105}$$

$$\dot{S} = (r + s + \eta f)S - (z - b). \tag{13.106}$$

The last line uses continuous renegotiation with constant $\eta$, so $D(t) = \eta S(t)$ and $J(t) = (1 - \eta)S(t)$ at every date. This is a forward-looking asset equation, not a law that makes surplus predetermined.

To recover the present-value meaning, move the value term to the left and define its survival-adjusted discount factor:

$$\dot{J}(\tau) - [r + s(\tau)]J(\tau) = -[z(\tau) - w(\tau)], \tag{13.107}$$

$$Q(t, \tau) = e^{-\int_t^\tau [r+s(a)]da}, \qquad Q(t, t) = 1, \tag{13.108}$$

$$\frac{\partial}{\partial \tau}[Q(t, \tau)J(\tau)] = Q(t, \tau)\{\dot{J}(\tau) - [r + s(\tau)]J(\tau)\}, \tag{13.109}$$

$$= -Q(t, \tau)[z(\tau) - w(\tau)], \tag{13.110}$$

$$Q(t, T)J(T) - J(t) = -\int_t^T Q(t, \tau)[z(\tau) - w(\tau)]d\tau, \tag{13.111}$$

$$J(t) = \int_t^T Q(t, \tau)[z(\tau) - w(\tau)]d\tau + Q(t, T)J(T). \tag{13.112}$$

Nonexplosive terminal selection requires $Q(t, T)J(T) \to 0$. Taking the limit gives the occupied-job value

$$J(t) = \int_t^\infty e^{-\int_t^\tau [r+s(a)]da}[z(\tau) - w(\tau)]d\tau. \tag{13.113}$$

Its survival discount includes the separation rate. Future profit changes matter even if no existing worker can be hired or dismissed instantaneously at $t$. Under the maintained positive surplus, an existing job continues until its exogenous separation event.

### 13.7.2 Recover the wage and the vacancy decision at every date

The wage formula remains valid along these deterministic paths, but the stationary job-value formula does not. To see the difference, substitute $D = \eta S$ in the dynamic worker equation:

$$r\eta S = w - b - (s+f)\eta S + \eta \dot{S}, \tag{13.114}$$

$$w = b + \eta[(r+s+f)S - \dot{S}], \tag{13.115}$$

$$= b + \eta\{(r+s+f)S - [(r+s+\eta f)S - (z-b)]\}, \tag{13.116}$$

$$= (1-\eta)b + \eta z + \eta(1-\eta)fS, \tag{13.117}$$

$$= (1-\eta)b + \eta(z + \kappa\vartheta). \tag{13.118}$$

The final step uses $(1-\eta)S = J = \kappa/q$ and $f/q = \vartheta$. Free entry also converts surplus into tightness:

$$(1-\eta)S = \frac{\kappa}{\mathscr{A}_m}\vartheta^{\xi}, \tag{13.119}$$

$$\vartheta(t) = \left[\frac{(1-\eta)\mathscr{A}_m(t)S(t)}{\kappa}\right]^{1/\xi}, \tag{13.120}$$

$$f(t) = \mathscr{A}_m(t)\vartheta(t)^{1-\xi}, \tag{13.121}$$

$$\dot{u}(t) = s(t) - [s(t) + f(t)]u(t), \tag{13.122}$$

$$v(t) = \vartheta(t)u(t). \tag{13.123}$$

Together with (13.106), these equations close the transition. One first selects the surplus path consistent with future fundamentals, then evolves the given unemployment stock forward.

For a given time-varying $f(t)$ and $s(t)$, define $K(t) = \int_0^t [s(a) + f(a)]da$. The integrating-factor steps are

$$\dot{u} + [s(t) + f(t)]u = s(t), \tag{13.124}$$

$$\frac{d}{dt}[e^{K(t)}u(t)] = e^{K(t)}s(t), \tag{13.125}$$

$$e^{K(t)}u(t) - u(0) = \int_0^t e^{K(a)}s(a)da, \tag{13.126}$$

$$u(t) = e^{-K(t)}u(0) + \int_0^t e^{-[K(t)-K(a)]}s(a)da. \tag{13.127}$$

The stock carries past inflows and finding conditions forward. Setting $u(t) = s(t)/[s(t) + f(t)]$ at every instant would discard this history.

For an additional local check, hold fundamentals constant and differentiate the tightness-surplus relation:

$$\frac{d\vartheta}{dS} = \frac{\vartheta}{\xi S}, \qquad f_S = \frac{(1-\xi)f}{\xi S}, \tag{13.128}$$

$$\frac{\partial \dot{S}}{\partial S} = r + s + \eta f + \eta S f_S = r + s + \frac{\eta}{\xi}f, \tag{13.129}$$

$$\begin{pmatrix} \dot{\delta S} \\ \dot{\delta u} \end{pmatrix} = \begin{pmatrix} r+s+\eta f/\xi & 0 \\ -\bar{u}f_S & -(s+f) \end{pmatrix}\begin{pmatrix} \delta S \\ \delta u \end{pmatrix}. \tag{13.130}$$

The triangular matrix has one positive and one negative eigenvalue. A given unemployment stock follows the stable adjustment; the match value must select the nonexplosive forward-looking path. Under constant fundamentals forever, that selection fixes $S$ at its stationary value immediately. A temporary disturbance instead shifts the entire selected path.

### 13.7.3 Three solved disturbances with the same recovery clock

Start at the stationary equilibrium in (13.89). At $t = 0$, agents unexpectedly learn one of three paths. For $d(t) = e^{-t/6}$, change only the stated primitive:

$$\text{Productivity: } z(t) = 1 - .02d(t), \tag{13.131}$$

$$\text{Matching: } \mathscr{A}_m(t) = .5[1 - .20d(t)], \tag{13.132}$$

$$\text{Separations: } s(t) = .02[1 + d(t)]. \tag{13.133}$$

Each disturbance decays with an e-folding time of six months; the initial sizes differ and are not meant to rank the quantitative importance of the three mechanisms. All other primitives retain their baseline values. Unemployment starts at the same $\bar{u}$, while surplus and vacancies can jump.

The calculation integrates the nonlinear surplus equation backwards from its limiting stationary value and integrates unemployment forwards from $u(0)$. Terminal horizons of 120 and 240 months give the same displayed responses. Separate integrations of worker and firm asset equations check the solution; the present-value selection is not replaced by a numerical steady-state lookup. For example, the productivity path gives

$$\vartheta(0) \simeq .691153, \qquad w(0) \simeq .962788, \qquad u(0) \simeq .045060. \tag{13.134}$$

If productivity stayed at .98 forever instead, stationary tightness would be about .680790. Expected recovery changes the value of creating a job now.

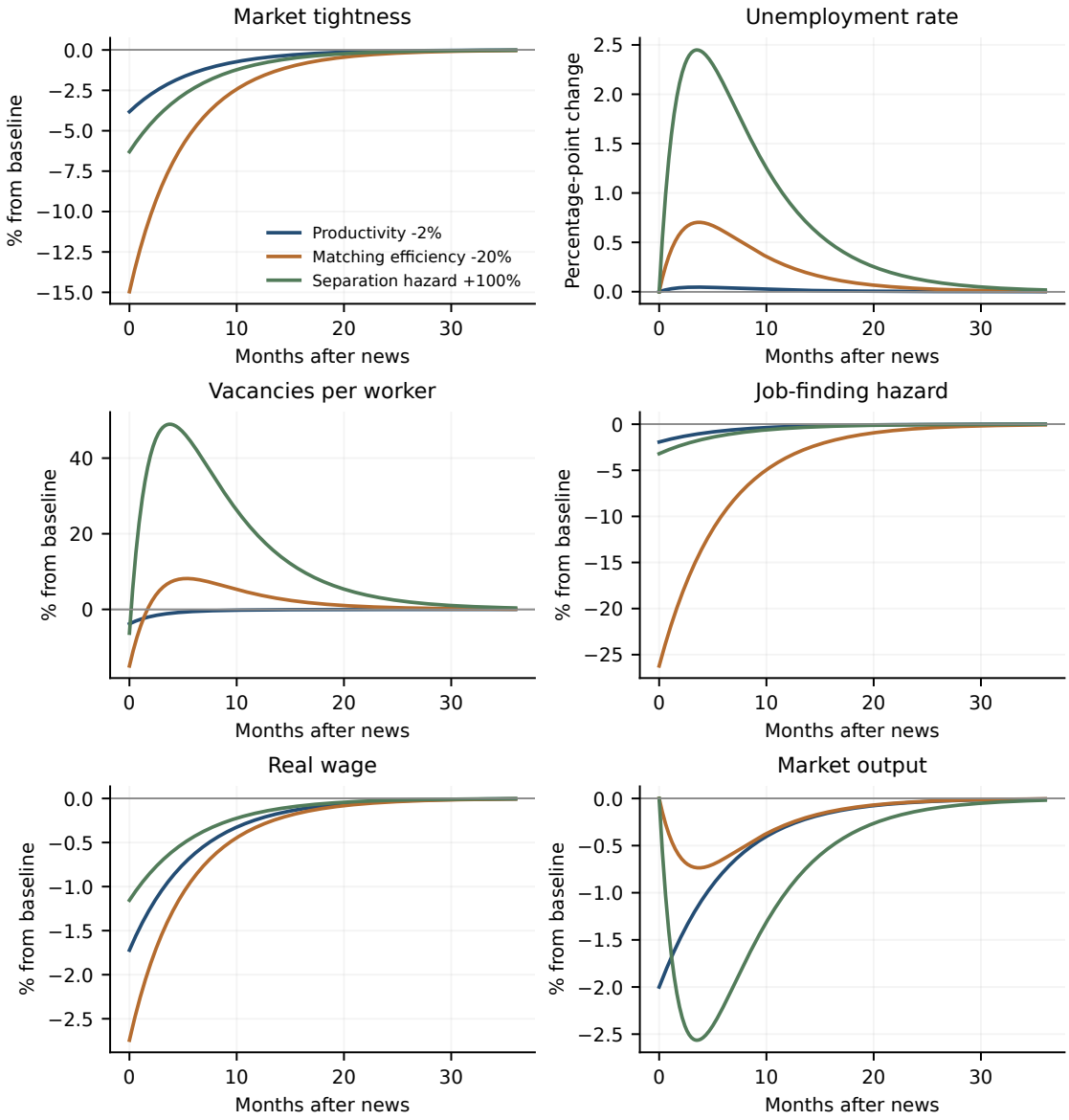



**Figure 13.2:** Recruitment jumps while unemployment adjusts through flows.

Original nonlinear perfect-foresight calculations. Each line changes one primitive along the path specified above; every wage is flexibly renegotiated. Unemployment uses percentage-point changes; the other panels use percent changes from their own common baseline. Recruitment costs enter consumption, while the last panel reports market output $z(1-u)$. These are model illustrations, not estimated responses or a nominal-policy experiment.

**Table 13.1:** Initial recruitment and the delayed unemployment peak.

| Disturbance | $\Delta\vartheta(0)$ (%) | $u(0)$ (%) | Peak $u$ (%) | Month of peak |
|---|---|---|---|---|
| Productivity | −3.8221 | 4.5060 | 4.5523 | 3.55 |
| Matching efficiency | −14.9611 | 4.5060 | 5.2090 | 3.70 |
| Separation hazard | −6.2982 | 4.5060 | 6.9549 | 3.50 |

Peaks in Table 13.1 are located on a .05-month grid. With a matching disturbance, fewer meetings reduce hiring even though current productivity has not changed. With a separation disturbance, jobs disappear faster and their shorter expected life also discourages vacancy entry. In both cases market output initially stays fixed because employment cannot jump; it falls as the employment stock changes. Productivity directly lowers market output at $t = 0$ as well.

Later, vacancies can rise above baseline while unemployment remains elevated: the stock of searching workers is larger, even though tightness is still below baseline. That movement is visible for the matching and separation experiments in Figure 13.2. A large vacancy count therefore does not by itself prove that a given worker finds a job quickly. Always check vacancies per searching worker and the actual transition rate.

**Recovery of opportunities and recovery of employment have different clocks.** Improved prospects can restore recruitment incentives before displaced workers have been matched. The resulting delay is finite in this benchmark. Since all fundamentals return and skills are unchanged, the economy returns to its original employment level; permanent scarring has not been derived.

## 13.8 Wage flexibility changes the recruitment response

### 13.8.1 How much of a productivity change reaches the firm?

At the stationary equilibrium, differentiate (13.64) with respect to productivity. The elasticity is

$$\varepsilon_{\vartheta,z} = \frac{z}{\vartheta}\frac{d\vartheta}{dz} = \frac{(1-\eta)z}{\vartheta F_\vartheta}. \tag{13.135}$$

To see why the gain over home production matters, define $A = \kappa(r+s)\vartheta^\xi/\mathscr{A}_m$ and $B = \eta\kappa\vartheta$. These symbols are local cost components, not productivity or assets. Since $A + B = (1-\eta)(z-b)$,

$$\vartheta F_\vartheta = \xi A + B, \tag{13.136}$$

$$\varepsilon_{\vartheta,z} = \frac{z}{z-b}\frac{A+B}{\xi A+B}, \tag{13.137}$$

$$1 < \frac{A+B}{\xi A+B} < \frac{1}{\xi}. \tag{13.138}$$

Both cost components are positive. A small net gain $z - b$ can make recruitment sensitive to productivity even with flexible bargaining. The outside-option level therefore matters for quantitative amplification, not just the label "flexible wages." In the example, the tightness elasticity is about 2.634. Its magnitude is not a universal estimate.

The empirical question is whether realistic shocks, outside options, and wage responses jointly produce realistic unemployment and vacancy movements. Shimer's classic quantitative challenge concerns that joint comparison. It does not establish that every matching model fails, or that wage rigidity is the only possible modification. Parameter choices, hiring costs, heterogeneity, and the wage paid in new matches all require evidence.

### 13.8.2 A controlled fixed-real-wage comparison

For a separate stationary experiment, replace Nash bargaining by a real wage held at its baseline value $\bar{w}$. Keep the matching technology and all other primitives fixed. As long as $b < \bar{w} < z$, workers and firms both gain from a match. Job creation gives

$$J = \frac{z - \bar{w}}{r + s}, \tag{13.139}$$

$$\kappa = \mathscr{A}_m \vartheta^{-\xi} \frac{z - \bar{w}}{r + s}, \tag{13.140}$$

$$\vartheta^{\xi} = \frac{\mathscr{A}_m (z - \bar{w})}{\kappa (r + s)}, \tag{13.141}$$

$$\vartheta = \left[ \frac{\mathscr{A}_m (z - \bar{w})}{\kappa (r + s)} \right]^{1/\xi}, \tag{13.142}$$

$$\log \vartheta = \frac{1}{\xi} [\log \mathscr{A}_m + \log(z - \bar{w}) - \log \kappa - \log(r + s)], \tag{13.143}$$

$$\left. \frac{d \log \vartheta}{d \log z} \right|_{\bar{w}} = \frac{z}{\xi (z - \bar{w})}. \tag{13.144}$$

The fixed wage exposes the firm's narrow flow margin to the productivity change. At the baseline, $z - \bar{w} \simeq .020345$, so this elasticity is about $98.30$. The large number reflects that particular margin and the strong restriction on the wage of new hires. It is not an invariant property of search unemployment.

Reduce productivity permanently by $0.5\%$, from $1$ to $.995$. In the flexible-bargaining economy re-solve both wage and entry. In the fixed-wage economy retain $\bar{w} \simeq .979655$ and re-solve entry. In both cases recover unemployment from its new flow balance:

$$\bar{u}_{new} = \frac{.02}{.02 + .5\sqrt{\vartheta_{new}}}. \tag{13.145}$$

**Table 13.2:** A permanent productivity decline under two real-wage rules.

| Stationary economy | Tightness | Real wage | Unemployment (%) |
|---|---|---|---|
| Baseline | .718619 | .979655 | 4.5060 |
| Lower $z$, Nash wage | .709157 | .974789 | 4.5346 |
| Lower $z$, fixed wage | .408808 | .979655 | 5.8877 |

Table 13.2 compares eventual stationary allocations, not impact jumps in unemployment. In each case unemployment starts at the old stock and approaches the new level by (13.29), with that case's new $f$. A fixed wage can protect compensation for a continuing employee while reducing the incentive to create a new job. The allocation and welfare consequences require both margins.

**The wage of a new hire matters for job creation.** A firm opening a vacancy values the compensation expected in the new match. Rigidity observed only in incumbent pay need not impose the fixed-wage rule used here. A Calvo nominal wage can also change in real terms when goods prices move. This real-wage experiment isolates a recruitment channel; a joint NK–matching model must specify new-hire pay, renegotiation, pricing, household valuation, and policy together.

If $z \le \bar{w}$, the displayed positive-entry solution is inadmissible. Moreover, a firm may want to terminate an existing loss-making job. Our exogenous-separation interior model cannot settle that case by merely setting vacancies to zero; one must specify the job-continuation option and wage renegotiation. The numerical comparison stays inside $b < \bar{w} < z$.

## 13.9 When does private recruitment use resources efficiently?

### 13.9.1 The planner values a job's social gain

Consider the stationary fundamentals, with a given $n(0)$. The planner chooses the path of $v \ge 0$ to maximize

$$\max_{\{v(t)\}} \quad \int_0^\infty e^{-rt}\{zn(t) + b[1 - n(t)] - \kappa v(t)\}dt, \tag{13.146}$$

$$\text{subject to} \quad \dot{n} = m(1 - n, v) - sn, \qquad n(0) \text{ given.} \tag{13.147}$$

Vacancies use goods and matches take workers out of home production. Wages are transfers and therefore do not appear as an additional social cost. Write the current-value Hamiltonian with shadow value $\lambda$:

$$\mathscr{H} = zn + b(1 - n) - \kappa v + \lambda[m(1 - n, v) - sn]. \tag{13.148}$$

The shadow value is the gain from one extra occupied job and one fewer unemployed worker. At an interior optimum,

$$\mathscr{H}_v = -\kappa + \lambda m_v = 0, \tag{13.149}$$

$$m_v = (1 - \xi)\mathscr{A}_m u^{\xi} v^{-\xi} = (1 - \xi)q, \tag{13.150}$$

$$\kappa = (1 - \xi)q\lambda. \tag{13.151}$$

A private recruiter counts its own filling hazard $q$. The planner counts the increase in total matches, $m_v = (1 - \xi)q$, because some of that vacancy's success diverts a worker from another employer. This is the recruitment congestion effect.

Since $u = 1 - n$, differentiation of the matching term with respect to $n$ produces a minus sign. The costate calculation is

$$\mathscr{H}_n = z - b + \lambda[-m_u - s], \tag{13.152}$$

$$\dot{\lambda} = r\lambda - \mathscr{H}_n, \tag{13.153}$$

$$= (r + s + m_u)\lambda - (z - b), \tag{13.154}$$

$$m_u = \xi\mathscr{A}_m u^{\xi-1} v^{1-\xi} = \xi f, \tag{13.155}$$

$$\dot{\lambda} = (r + s + \xi f)\lambda - (z - b). \tag{13.156}$$

Employment raises current production by $z - b$, but removes someone from the pool that can form matches. This latter effect explains the term $\xi f$. The path also satisfies the nonexplosive terminal selection, with $\lim_{T\to\infty} e^{-rT}\lambda(T)n(T) = 0$ on the bounded optimum. The matching technology is concave and the positive shadow value makes the Hamiltonian concave in $(n, v)$, so the feasible interior solution satisfying these conditions supplies the planner optimum in this benchmark.

### 13.9.2 Derive the Hosios comparison

At the stationary optimum, $\dot{\lambda} = 0$. Substitute its value into (13.151):

$$\lambda = \frac{z - b}{r + s + \xi f}, \tag{13.157}$$

$$\kappa = (1 - \xi)q\frac{z - b}{r + s + \xi f}, \tag{13.158}$$

$$\kappa(r + s + \xi f) = (1 - \xi)q(z - b), \tag{13.159}$$

$$\frac{\kappa(r + s)}{q} + \xi\kappa\frac{f}{q} = (1 - \xi)(z - b), \tag{13.160}$$

$$\frac{\kappa(r + s)}{\mathscr{A}_m}\vartheta^{\xi} + \xi\kappa\vartheta = (1 - \xi)(z - b). \tag{13.161}$$

Compare this with the decentralized equation (13.64). They coincide when

$$\eta = \xi. \tag{13.162}$$

The worker's bargaining share then equals the matching elasticity with respect to searching workers. This is the Hosios condition for the stated environment. The dynamic shadow equation also coincides with the private total-surplus equation when $\eta = \xi$, and their entry conditions agree.[39]

To determine the direction of a bargaining distortion, differentiate the private equilibrium with respect to $\eta$:

$$F_{\eta} = \kappa\vartheta + (z - b) > 0, \tag{13.163}$$

$$\frac{d\vartheta}{d\eta} = -\frac{\kappa\vartheta + (z - b)}{F_{\vartheta}} < 0. \tag{13.164}$$

Holding the primitives fixed, $\eta > \xi$ gives less recruitment than the planner chooses; $\eta < \xi$ gives more. This compares resource use in a specific matching technology. It does not say that stronger worker bargaining is always socially harmful, or that maximizing vacancy counts maximizes welfare. Distributional objectives and missing institutions would change the policy problem.

[39] For the condition and the importance of the surrounding assumptions, see Arseneau and Chugh (2006), *Ramsey Meets Hosios: The Optimal Capital Tax and Labor Market Efficiency*, Federal Reserve IFDP 870. Taxes, consumption insurance, and an intensive hours margin can change the efficiency comparison; none is silently added here.

**Efficient matching still takes time.** Even when $\eta = \xi$, recruitment costs goods and finding a partner takes time. The efficient allocation can therefore have positive unemployment and vacancies together. A positive unemployment rate is not enough to identify an inefficiency; one must compare the actual recruitment and matching allocation with a feasible alternative using the same resources.

### 13.9.3 A direct welfare check without treating wages as a resource loss

An independent calculation can compare constant tightness policies. For a fixed $\vartheta$, write $\bar{u} = s/(s+f)$ and use (13.29). Consumption and its present value are

$$C(t) = z - [z - b + \kappa\vartheta]u(t), \tag{13.165}$$

$$\mathscr{P}(\vartheta; u_0) = \int_0^\infty e^{-rt}\{z - [z - b + \kappa\vartheta][\bar{u} + (u_0 - \bar{u})e^{-(s+f)t}]\}dt. \tag{13.166}$$

The two required discount integrals are

$$\int_0^\infty e^{-rt}dt = \left[-\frac{e^{-rt}}{r}\right]_0^\infty = \frac{1}{r}, \tag{13.167}$$

$$\int_0^\infty e^{-(r+s+f)t}dt = \left[-\frac{e^{-(r+s+f)t}}{r+s+f}\right]_0^\infty = \frac{1}{r+s+f}. \tag{13.168}$$

Separating the constant part from the inherited-stock part therefore gives

$$\mathscr{P}(\vartheta; u_0) = \frac{z}{r} - [z - b + \kappa\vartheta]\left[\frac{\bar{u}}{r} + \frac{u_0 - \bar{u}}{r+s+f}\right]. \tag{13.169}$$

Direct maximization of this expression reproduces (13.161) for different initial unemployment stocks. The constant optimal tightness is special to the homogeneous, linear-value, constant-returns environment; the employment stock itself still adjusts. The baseline $\eta = \xi = .5$ meets this comparison. Holding new-hire wages fixed after a shock changes the allocation and need not preserve that efficiency.

**A benefit payment needs its other side.** In this chapter $b$ is real home production. Calling an increase in $b$ an unemployment-insurance reform would confuse resources with transfers. To analyze insurance, specify who pays, who qualifies, consumption valuation, search incentives, and bargaining outside options. Likewise, a recruitment subsidy changes a firm's private cost without making the social resource cost disappear. The planner comparison does not supply these missing accounts.

## 13.10 Read employment recoveries through the mechanism that is missing

### 13.10.1 Bring participation back into the accounts

The opening identities allowed $O > 0$, while the solved model fixed participation. To see what must be added, let $\lambda_{ab}$ be the transition hazard from state $a$ to state $b$, for $a, b \in \{E, U, O\}$. With fixed total population, the full flow accounting is

$$\dot{E} = \lambda_{UE}U + \lambda_{OE}O - (\lambda_{EU} + \lambda_{EO})E, \tag{13.170}$$

$$\dot{U} = \lambda_{EU}E + \lambda_{OU}O - (\lambda_{UE} + \lambda_{UO})U, \tag{13.171}$$

$$\dot{O} = \lambda_{EO}E + \lambda_{UO}U - (\lambda_{OE} + \lambda_{OU})O, \tag{13.172}$$

$$\dot{E} + \dot{U} + \dot{O} = 0. \tag{13.173}$$

Every outflow from one state is an inflow to another. Adding the first two equations and differentiating $u = U/L$ gives

$$\dot{L} = (\lambda_{OE} + \lambda_{OU})O - \lambda_{EO}E - \lambda_{UO}U, \tag{13.174}$$

$$\dot{u} = \frac{\dot{U}L - U\dot{L}}{L^2} = \frac{\dot{U}}{L} - u\frac{\dot{L}}{L}, \tag{13.175}$$

$$= \lambda_{EU}(1 - u) + \lambda_{OU}\frac{O}{L} - (\lambda_{UE} + \lambda_{UO})u - u\frac{\dot{L}}{L}. \tag{13.176}$$

Only after shutting down participation flows and setting $\lambda_{EU} = s$, $\lambda_{UE} = f$ does this reduce to (13.11). A return of discouraged workers can raise both the labor force and measured unemployment before those workers find jobs. A falling unemployment rate can also partly reflect departure from search. These identities tell us where to look; they do not determine the participation decisions or the six hazards.

### 13.10.2 Distinguish a delayed recovery from permanent damage

Return to the warehouse. If orders improve but screening still takes time, an inherited unemployment stock can explain gradual hiring. If workers have lost relevant skills, firms may also revise the productivity of a new match. If many suitable workers live elsewhere, a national vacancy count can conceal separate local markets. If potential employees leave search, the denominator of the reported unemployment rate changes. These are distinct explanations for a superficially similar employment recovery.

The homogeneous baseline has constant job-finding hazards at given aggregate conditions: it does not make an individual's hazard decline simply because that person has been unemployed longer. It has no skill depreciation, no lost firm-specific capital, and no endogenous participation. Once the temporary fundamentals recover, it returns to the same steady state. A permanent employment effect of a temporary recession would require an additional state or a change in equilibrium selection. One must specify and solve that mechanism before describing persistence as hysteresis.

**Table 13.3:** Observations that distinguish labor-market mechanisms.

| Observation | Model question | Additional evidence needed |
|---|---|---|
| Unemployment rises | Did separations rise, finding slow, or participation change? | Individual transitions and the population denominator, not only the unemployment stock. |
| Vacancies and unemployment coexist | Has matching become harder, or is adjustment still in progress? | Recruitment duration, hires per vacancy, worker flows, and local or occupational composition. |
| Pay changes little while hiring falls | Which new-match compensation enters the employer's expected surplus? | New-hire and incumbent wages, expected productivity, recruitment costs, and contract rules. |
| Employment stays weak after sales recover | Are matching delays sufficient, or did skills, finance, or participation change? | The model's implied recovery speed and evidence on the proposed additional state. |

Use Table 13.3 as a sequence of discriminating questions. A fitted change in $\mathscr{A}_m$ is not, by itself, proof of a particular skill mismatch or policy failure. Nor does a change in average observed wages identify the pay flexibility faced by a potential new match: the composition of employed workers can change. The mechanism should predict several observations together under stated fundamentals.

This chapter closes an employment margin left open by the real and nominal benchmarks. RBC explains changes in opportunities; price and wage contracts restrict nominal adjustment; matching explains how jobs form and disappear through flows. Combining them is useful when the question requires their interaction, but also requires a common household problem, timing, resource constraint, and wage institution. The synthesis in Chapter 14 compares these mechanisms before Open Economy adds trade, external borrowing, and cross-border transmission.

# 14 Fluctuations: Mechanisms, Comparisons, and Diagnosis

A district reports fewer orders, shorter shifts, falling sales, and postponed investment. Has its ability to produce declined, have customers postponed purchases, or can otherwise viable plans no longer be financed? Those questions can lead to different models even when the headline observation is the same. A model becomes useful when it identifies the constraint that changed and the additional observations that would distinguish its explanation.

The district in this chapter is hypothetical. We follow its firms and workers through several possible situations rather than assign one model to a country or a recession. The purpose is to organize what has been derived, show how the mechanisms fit together, and identify where a new model is required. The financial mechanisms discussed at the boundary are questions for later development. The labor-market chapter has now supplied a basic matching equilibrium, while participation choices and nominal–matching interactions still require additional structure.

## 14.1 One framework, several questions

Growth models were easier to separate because their common question was how income and productive capacity develop over time. Saving, intertemporal choice, generations, and technical change supplied distinct routes into that question. For fluctuations, the same optimizing household can face a technology change, a change in the real return on saving, an inherited contract, or a borrowing limit. Naming the model is only the beginning of identifying the mechanism.

Keep four questions in view. *Source*: what changes first? *Propagation*: which stocks, contracts, or expectations carry its effects forward? *Adjustment*: which prices or quantities can move, and which cannot? *Closure*: which rule and market conditions make all the plans consistent? The shock, its persistence, the constraint, and the policy response are separate parts of the explanation.

**Table 14.1:** The questions isolated by the completed fluctuation models.

| Specification | Question made visible | Adjustment and memory |
|---|---|---|
| RBC | How do households and firms reallocate work, spending, and investment when real opportunities change? | Flexible real prices coordinate choices. Capital carries history in the accumulation version; shock persistence and forecasts also matter. |
| Sticky-price NK | Why can a change in spending or monetary policy move output relative to flexible-price output? | Some product quotes are inherited. Resetters consider future costs. The basic consumption-only gap system has no inherited capital. |
| Sticky-wage NK | What changes when compensation cannot always respond to new work incentives and labor costs? | Wage quotes are inherited as well. The real-wage position connects price and wage inflation and adds an endogenous state. |
| Search and matching | Why can workers and vacancies coexist, even with negotiable wages? | Recruitment is forward looking; employment is inherited. Finding and separation hazards govern adjustment, while participation and hours are fixed in the solved benchmark. |

Table 14.1 connects benchmarks by the constraint each isolates. RBC and the two NK specifications share an optimizing dynamic general-equilibrium approach; the wage chapter already combines sticky prices with sticky wages. DSGE describes the framework, and NK describes mechanisms within it. The

matching chapter uses a continuous-time risk-neutral real benchmark, with deterministic aggregate experiments. Combining matching with NK requires common household valuation, wage institutions, and market closure; the existing equations cannot simply be stacked without those conditions.

**Remember the constraint before the model name.** Ask who wants to change a decision, what prevents that change, and which other variable then adjusts. A price contract, a wage contract, an inherited machine, and a borrowing limit are different constraints. Their effects depend on the shock and the policy environment in which they operate.

## 14.2 The same output decline can describe different economies

### 14.2.1 When production opportunities deteriorate

First suppose the district loses access to a productive input. A machine runs more slowly or a production process becomes less effective. In the RBC language, the productivity state changes. The basic production accounting is

$$Y_t = A_t K_t^{\alpha} N_t^{1-\alpha}, \tag{14.1}$$

$$\hat{y}_t = a_t + \alpha \hat{k}_t + (1-\alpha)\hat{n}_t. \tag{14.2}$$

At impact, the inherited capital stock cannot jump. If it was initially at reference, its deviation is zero, so

$$\hat{y}_0 = a_0 + (1-\alpha)\hat{n}_0. \tag{14.3}$$

Output changes through productivity and the endogenous hours response. Lower productivity does not mechanically determine every other sign: income effects, work substitution, expected recovery, and the investment opportunity all enter the household's decision. The solved RBC experiment supplies a particular joint response under its stated parameters.

Before treating the decline as spare capacity, ask whether the district can still produce its previous quantity with the same resources. If not, restoring spending alone does not restore the missing production opportunity. Conversely, a temporary decline in orders does not prove that the production function shifted. The resource constraint and the demand schedule answer different questions.

RBC's real allocation also does not, by itself, supply a prediction for the nominal price level or inflation. To interpret those observations, a nominal closure must be specified. Describing a fall in technology as "output down, inflation up" without such a closure adds a result that the real model has not produced.

### 14.2.2 When customers postpone purchases

Now leave the district's productive capacity unchanged. Households want to postpone consumption because the real return is higher relative to the natural rate. Gap IS says

$$x_t = E_t x_{t+1} - \frac{1}{\sigma}(r_t - r_t^n), \qquad r_t = j_t - E_t \pi_{t+1}^{p}. \tag{14.4}$$

At a held next-gap forecast, a higher real-rate gap lowers current demand. The NK equilibrium also determines how the forecast, inflation, and policy respond; the conditional equation alone is not the entire shock solution.

A restaurant with inherited menu prices can meet fewer bookings by reducing meals and shifts. Marginal cost and new price quotes then respond. This is the mechanism isolated by the policy experiment, not evidence that every restaurant with weak sales faces a monetary disturbance. A preference change could alter the natural rate, and expected future income could change spending independently of a current policy innovation.

The question is whether the spending path is weak relative to the model's flexible-price allocation. A measured trend gap is not automatically that counterfactual. Technology and preferences can move the natural allocation while observed output changes as well.

### 14.2.3 When labor compensation adjusts on a different schedule

Suppose orders fall before annual pay reviews. Wages may remain close to their old nominal quotes while work incentives and product prices change. The relevant comparisons are

$$\hat{mc}_t = g_t + \gamma_p x_t, \tag{14.5}$$

$$\hat{\mu}^w_t = g_t - \gamma_w x_t. \tag{14.6}$$

A real wage that is only slightly below its natural reference can still be high relative to the MRS associated with lower consumption and fewer hours. Table 12.1 illustrates exactly that combination: the both-contract experiment has a small negative real-wage gap and a positive wage-markup deviation.

This distinction is useful when nominal pay changes little but real purchasing power falls. It is also why the response cannot be diagnosed from a real-wage series alone. The consumer price, hours, household valuation of consumption, and the compensation schedule all enter the comparison.

### 14.2.4 When jobs take time to form

Now suppose the district has willing applicants and advertised vacancies, but screening and meetings take time. Chapter 13 separates the job-finding hazard from the inherited unemployment stock:

$$f(\vartheta) = \mathscr{A}_m \vartheta^{1-\xi}, \qquad \vartheta = v/u, \tag{14.7}$$

$$\dot{u} = s(1-u) - f(\vartheta)u. \tag{14.8}$$

The firms' expected match values and wage bargaining determine recruitment. Employment then adjusts through flows. A recovery in recruitment incentives can precede a recovery in employment, even when every new wage is negotiable. The solved matching, productivity, and separation experiments produce different joint paths for vacancies, wages, and output.

This gives a reason to inspect finding and separation rates rather than infer unemployment from aggregate hours or an unchanged nominal wage. It also gives a quantitative boundary: the homogeneous benchmark returns to its original employment level after the temporary disturbances end. Permanent skill loss, participation changes, and a full NK–matching interaction have not been derived by that calculation.

### 14.2.5 When the missing constraint is outside the completed models

A supplier may have customers and working machines yet be unable to finance materials. Its productive ability and recruitment opportunities do not guarantee that funds arrive when bills are due. A financing constraint requires assets, liabilities, repayment, and a rule limiting funds.

The later financial chapters are where those additional conditions belong. Here the observations tell us which missing mechanism to seek. Renaming a monetary innovation "credit stress" does not introduce a

lender's balance sheet. The matching chapter illustrates the general discipline: add the agents, costs, value equations, and flows that make a proposed channel operate.

**Table 14.2:** Further observations that help distinguish explanations of weaker activity.

| Candidate constraint | What to look at next | What the observation would still not establish |
|---|---|---|
| Production opportunity | Input availability, output per hour, usable capital, and production interruptions | A productivity residual can include utilization or measurement changes; it is not a direct count of technical ideas. |
| Desired spending | Orders, inventories, spending plans, expected income, and expected real returns | Weak sales alone do not identify a monetary shock or hold supply conditions fixed. |
| Nominal contracts | Timing of price and wage reviews, relative quotes, real wages, and hours | An unchanged wage does not imply an unchanged real wage or a particular unemployment mechanism. |
| Financing | Collateral, spreads, lending conditions, repayment needs, and rejected projects | A wider spread can reflect risk or demand as well as funding constraints. An explicit intermediary model is still needed. |
| Matching and reallocation | Vacancies, job finding, separations, skills, and participation | Slow hiring can reflect several constraints; wage stickiness alone does not measure them. |

These are hypotheses for a diagnostic sequence, not sign restrictions that identify a unique cause from one observation. Several constraints can bind in the same district and at different stages of a downturn.

## 14.3 A short-lived disturbance can leave a longer history

A useful memory from Growth is the difference between an inherited stock and a current decision. Capital survives today's saving decision. In the wage model, an inherited relative compensation position survives today's policy innovation. Neither persistence needs to be assigned entirely to the shock. In the matching economy, employment carries the earlier history of meetings and separations even though vacancy values can react immediately to news.

For the monetary experiment in the wage chapter,

$$\nu_t = \rho_\nu \nu_{t-1} + \varepsilon_t^\nu, \tag{14.9}$$

$$g_t = G g_{t-1} + J \nu_t, \qquad x_t = f_x g_{t-1} + h_x \nu_t. \tag{14.10}$$

Apply one date-zero innovation $e$ and zero later innovations, with zero prehistory. Then $\nu_t = \rho_\nu^t e$. Iterating the state law gives

$$g_0 = Je, \tag{14.11}$$

$$g_1 = GJe + J\rho_\nu e, \tag{14.12}$$

$$g_t = Je \sum_{h=0}^{t} G^{t-h} \rho_\nu^h. \tag{14.13}$$

To evaluate this sum for $G \neq \rho_\nu$, multiply it by $G$ and by $\rho_\nu$, then subtract:

$$G\sum_{h=0}^{t} G^{t-h}\rho_\nu^h - \rho_\nu \sum_{h=0}^{t} G^{t-h}\rho_\nu^h = G^{t+1} - \rho_\nu^{t+1}, \tag{14.14}$$

$$g_t = Je\frac{G^{t+1} - \rho_\nu^{t+1}}{G - \rho_\nu}. \tag{14.15}$$

If $G = \rho_\nu$, every term of the original sum is $G^t$, so instead

$$g_t = Je(t+1)G^t. \tag{14.16}$$

The two roots describe different memories: $\rho_\nu$ belongs to the policy process and $G$ to the endogenous contract adjustment. In the iid case, $\rho_\nu = 0$, the disturbance vanishes after impact but

$$g_t = JeG^t, \qquad x_t = f_x JeG^{t-1} \quad (t \geq 1). \tag{14.17}$$

The later response need not have the same sign as the impact response. Persistent adjustment and permanently lower output are also different claims. With stable roots, this model's gap eventually vanishes. A destroyed capital stock, a different trend, or hysteresis requires its own state equation.

**Three different questions about persistence.** How long does the exogenous disturbance last? How long does the economy take to adjust after it ends? Does the eventual level or growth path change? A long recovery does not, by itself, answer the third question. Nor does a short-lived innovation imply a short-lived equilibrium response.

## 14.4 Compare the same policy disturbance under different constraints

Figure 12.1 holds the policy innovation fixed and solves each contract specification separately. The differences therefore reflect changed adjustment mechanisms and the resulting forecasts, not independently chosen response curves. Its output comparison concerns the same labor-only family of models; it is not a comparison between a full capital RBC calibration and an unrelated estimated NK economy.

A flexible-price-and-wage limit clarifies what the contracts add. With no real shocks and constant markup wedges, flexible quotes give $x_t = g_t = 0$. Dynamic IS therefore requires

$$0 = 0 - \frac{1}{\sigma}(j_t - E_t\pi_{t+1}^p), \tag{14.18}$$

$$j_t = E_t\pi_{t+1}^p. \tag{14.19}$$

Combine that condition with the same Taylor rule:

$$\phi_\pi \pi_t^p + \nu_t = E_t\pi_{t+1}^p. \tag{14.20}$$

For $\nu_t$ following AR(1), try $\pi_t^p = b_\nu \nu_t$:

$$\phi_\pi b_\nu \nu_t + \nu_t = b_\nu \rho_\nu \nu_t, \tag{14.21}$$

$$(\phi_\pi - \rho_\nu)b_\nu = -1, \tag{14.22}$$

$$\pi_t^p = -\frac{\nu_t}{\phi_\pi - \rho_\nu}, \qquad j_t = -\frac{\rho_\nu \nu_t}{\phi_\pi - \rho_\nu}. \tag{14.23}$$

For $\phi_\pi > 1$ and $0 \le \rho_\nu < 1$, this is the bounded solution. The nominal variables adjust while the real allocation stays at its natural benchmark. A positive *rule intercept* need not produce a higher realized nominal rate when inflation responds. This makes it especially important to separate a policy innovation, the systematic reaction, and the observed rate.

With a sticky product or wage contract, the same nominal innovation can also move the real-rate gap and current output. The sign and persistence then follow from the complete system, including expectations and the inherited states. The conditional IS–LM diagrams help organize those channels; the solved dynamic paths determine how their intercepts move over time.

## 14.5 Read a recession as a sequence of constraints

Return to the district and begin with a sequence rather than a model label. Did a supplier lose an input before it lost orders? Did orders weaken before staffing changed? Were prices reviewed before pay agreements? Did customers cancel because they wanted to postpone purchases, or because their lender withdrew funds? The ordering does not identify causality by itself, but it helps formulate a model in which the proposed cause can actually operate.

Next follow the accounts. For households, a wage reduction is also an income change; for firms it is a cost change. A loan is another sector's asset. Lower investment reduces current demand and changes future capital. A model that keeps only one side of these transactions may describe a partial mechanism while missing the aggregate feedback. General equilibrium makes those sides fit together; it does not guarantee that their combined effect is desirable.

Then separate the horizon of the question. A temporary inability to sell meals can leave the restaurant's productive knowledge intact. A prolonged inability to finance maintenance can affect later capacity. A worker missing a shift and a worker losing a durable employment match carry different histories. The relevant horizon follows from what is inherited and what is costly to rebuild, not from an arbitrary rule that fluctuations must disappear after a fixed number of quarters.

Finally ask for an observation that could make the explanation fail. If the story requires unchanged technology, what evidence of input loss would challenge it? If it requires an inherited wage, what would immediate repricing of labor change? If it requires binding credit, would a sufficiently funded firm in the same market respond differently? This is how an intuition becomes a model comparison rather than a flexible narrative that fits every outcome.

**A disciplined comparison.** Choose the initial state, the disturbance, the variables observed, and the policy rule. Change one adjustment mechanism, re-solve the equilibrium, and explain why the resulting joint paths differ. If instead the shock or policy also changes, say so explicitly. A model-generated response is a conditional prediction; identifying the disturbance in data is a further task.

## 14.6 A smaller gap is not the whole welfare question

The natural allocation allows flexible quotes while retaining market power and other specified real distortions. The efficient allocation removes the relevant wedges under a stated planner problem. A statistical trend is a fitted reference path. Productive capacity describes feasible production under a chosen resource concept. These objects need not coincide, and no one output series supplies all of them.

The earlier chapters showed that constant price and wage markups depress natural output relative to the symmetric efficient allocation. Contract dispersion also changes how spending and hours are allocated

across varieties and labor types. Stabilizing an aggregate gap alone therefore need not remove the welfare cost of unequal relative prices and hours.

A small calculation illustrates one work-allocation cost. Take two equally weighted labor types with physical hours $H(1+z)$ and $H(1-z)$, so average physical hours stay $H$. This is an illustration of the work burden at a held arithmetic mean, not an equilibrium with composite output also held fixed. The average disutility is

$$\mathscr{V}(z) = \frac{\chi H^{1+\varphi}}{2(1+\varphi)}\left[(1+z)^{1+\varphi} + (1-z)^{1+\varphi}\right]. \tag{14.24}$$

Expand the two powers separately:

$$(1+z)^{1+\varphi} \simeq 1 + (1+\varphi)z + \tfrac{1}{2}\varphi(1+\varphi)z^2, \tag{14.25}$$

$$(1-z)^{1+\varphi} \simeq 1 - (1+\varphi)z + \tfrac{1}{2}\varphi(1+\varphi)z^2, \tag{14.26}$$

$$\mathscr{V}(z) \simeq \frac{\chi H^{1+\varphi}}{1+\varphi} + \frac{\chi\varphi H^{1+\varphi}}{2} z^2. \tag{14.27}$$

The first-order terms cancel, yet uneven work raises the burden at second order when $\varphi > 0$. This explains why a first-order dispersion cancellation does not justify omitting dispersion from a welfare analysis. The full policy loss function additionally needs the output allocation, product-price dispersion, reference distortions, and explicit instruments.

## 14.7 How the remaining parts extend the map

The labor-market chapter distinguishes hours, employment, job finding, vacancies, and participation. It solves a matching benchmark and identifies participation choices and nominal–matching integration as further work. Open Economy next allows the district to trade goods and future income with others: demand and financing can move across borders, relative prices include exchange rates, and adjustment depends on the monetary arrangement.

The money, finance, and policy part adds balance sheets, borrowing constraints, and household differences before comparing instruments and objectives. These are also fluctuation mechanisms even though the book develops them later. The part boundary organizes the learning sequence; it is not a claim that finance or international trade matters only outside a recession model.

**A map to carry into the next part.** Describe the observation, identify the candidate disturbance, name the constraint, trace the inherited state, and specify policy. Then compare the implied paths with other mechanisms and with evidence. This sequence links the growth models, the real and nominal fluctuation benchmarks, and the extensions still to come.

# Part IV
# Open Economy

Opening an economy changes which transactions can cross its analysis boundary. We first trade one good across dates, separating domestic resources from residents' spending. We then add different goods and relative prices, before studying international shocks, exchange rates, and policy regimes. The final chapter will connect the dynamic models with IS–LM–BP and Mundell–Fleming, before the broader policy comparisons in Part V.

# 15 International Accounts and Intertemporal Trade

## 15.1 What changes when an economy opens?

A household in Ramsey already buys goods, sells labor, and holds assets. A firm already sells output and buys inputs. More markets alone therefore do not explain what makes an economy open. The new question is: *which transactions can cross the boundary of the economy we are studying?*

Imagine a region whose harvest is poor this year but good next year. First try a familiar explanation: its households borrow from its banks. This can redistribute purchasing power within the region, but it cannot create food that no resident currently has. Consolidate residents' balance sheets: one resident's loan asset cancels another's liability. If the region as a whole wants more goods than it currently produces, someone outside it must supply them. That supplier needs payment now, a claim on future delivery, or a transfer. The missing objects are external goods flows and external claims.

This is a teaching reconstruction of the modeling problem, not a claim about an author's private thoughts. We begin with one good and two dates so that neither product variety nor specialization can explain the result. The intertemporal approach links spending to lifetime resources and the price of moving resources across time.[40]

> **Openness, comparative advantage, and size answer different questions.** Openness specifies which cross-border exchanges are feasible. Comparative advantage explains a source of gains from exchanging different goods. Country size specifies whether domestic choices affect world prices. A large country can affect an equilibrium world interest rate even when every household and firm is competitive. This is distinct from an individual firm's market power. None of these concepts implies the other two.

The boundary is analytical. Two regions may trade inside a closed national model; two countries may trade inside a closed world model. A country can also trade goods extensively while restricting external borrowing. Financial openness is not synonymous with complete insurance, unrestricted capital mobility, or the absence of trade costs. We must specify the transactions, assets, and constraints rather than attach all of them to the word "open."

### 15.1.1 A first exchange without comparative advantage

Consider countries $A$ and $B$, each with one representative household. There is one perishable good, no investment, no government, and initially no debt. Their endowments at dates 1 and 2 are

$$(Q_1^A, Q_2^A) = (1, 3), \qquad (Q_1^B, Q_2^B) = (3, 1). \tag{15.1}$$

Under autarky there is no storage or external exchange, so each consumes its own endowment. With a gross borrowing return $R = 1$, consider this allocation:

$$(C_1^A, C_2^A) = (2, 2), \qquad B_1^A = 1 - 2 = -1, \tag{15.2}$$

$$(C_1^B, C_2^B) = (2, 2), \qquad B_1^B = 3 - 2 = 1. \tag{15.3}$$

[40] The endowment and production benchmarks follow the framework in Schmitt-Grohé, Uribe, and Woodford (2022), Chapter 3 and Chapter 5 slides for *International Macroeconomics: A Modern Approach*. The worked economies, figures, and extensions below are constructed here.

A positive $B_1$ is a claim held at the end of date 1; a negative $B_1$ is debt. Country $B$ sends one good to $A$ today in exchange for one good tomorrow. Check both the physical allocation and the promise:

$$C_1^A + C_1^B = 2 + 2 = 1 + 3 = Q_1^A + Q_1^B, \tag{15.4}$$

$$C_2^A + C_2^B = 2 + 2 = 3 + 1 = Q_2^A + Q_2^B, \tag{15.5}$$

$$B_1^A + B_1^B = -1 + 1 = 0. \tag{15.6}$$

For preferences $\log C_1 + \log C_2$, each household's utility increases by

$$[\log 2 + \log 2] - [\log 1 + \log 3] = \log(4/3) > 0. \tag{15.7}$$

We will derive the choices and the world return below. The preliminary lesson is already visible: trade can exchange the *dates* of consumption even when there are no different goods in which to specialize.

## 15.2 Trade across time: the two-period economy

### 15.2.1 Conditions and the order of decisions

We now study one small economy facing a given external return. The two-country example will later close that return through world asset clearing.

**01 Residents, goods, and the analysis boundary**

There is a unit mass of identical resident households. Their aggregate equals the representative household's allocation. A single homogeneous good is perishable, freely tradable, and the real numeraire at each date. There are no transport costs, tariffs, money, exchange rates, production choices, capital, government, or population growth in this baseline. Endowments $Q_1, Q_2 > 0$ are the residents' domestic goods income. Domestic claims cancel when residents are consolidated; $B_t$ records only their net external asset.

**02 Dates, information, and inherited wealth**

Dates are $t = 1, 2$. Endowments, preferences, and all returns are known with certainty before date-1 choices. $B_0$ is the inherited real external claim before date 1; it pays $R_0 B_0$ at date 1, with known $R_0 > 0$. Negative $B_0$ requires payment of inherited debt. At date 1, households receive income and the inherited payoff, then choose consumption $C_1$ and a new position $B_1$. At date 2 they receive $Q_2 + RB_1$, consume $C_2$, and settle all claims. There is no news arriving after the initial choice in the baseline.

**03 The external asset and the price of time**

One unit of $B_1$ costs one unit of date-1 goods and pays $R = 1 + r^* > 0$ units of date-2 goods. Residents borrow and lend at this same certain return; there is no default, spread, transaction cost, or quantity limit. The economy is small in this asset market: its choices do not change $R$. A negative net interest rate is allowed provided $R > 0$. A single deterministic bond moves resources across dates; it does not provide insurance against unmodeled random states. The rest of the world supplies the opposite asset position and the corresponding net goods deliveries.

**04 Preferences and admissible consumption**

The household chooses $C_1, C_2 > 0$ to maximize $u(C_1) + \beta u(C_2)$, where $\beta > 0$ and

$$u(C) = \begin{cases} (C^{1-\sigma} - 1)/(1-\sigma), & \sigma > 0,\ \sigma \neq 1, \\ \log C, & \sigma = 1. \end{cases}$$

Thus $u'(C) = C^{-\sigma} > 0$ and $u''(C) = -\sigma C^{-\sigma-1} < 0$. The finite-horizon example permits $\beta = 1$. Lifetime resources $\mathscr{W} = R_0 B_0 + Q_1 + Q_2/R$ must be positive. This condition permits positive consumption at both dates despite possibly negative inherited wealth.

**05 Budgets, settlement, and equilibrium**

Each household faces

$$C_1 + B_1 = Q_1 + R_0 B_0, \qquad C_2 + B_2 = Q_2 + R B_1.$$

No unpaid debt may remain at the final date: $B_2 \geq 0$. There is no bequest motive, so an optimum leaves $B_2 = 0$; this equality is a result of monotonic utility combined with terminal settlement. Given the external price $R$, an equilibrium consists of optimal positive consumption and external holdings satisfying both budgets. Domestic goods absorption need not equal domestic income: imports fill a shortfall and exports deliver a surplus. World goods and asset markets clear once the rest of the world is included.

The timing separates an inherited stock from a new decision:

$$\underbrace{B_0, Q_1, Q_2, R_0, R}_{\text{Known before choice}} \longrightarrow \underbrace{C_1, B_1}_{\text{Date 1}} \longrightarrow \underbrace{Q_2 + RB_1 = C_2}_{\text{Date 2 settlement}}.$$

Ramsey's marginal trade-off will reappear. What changes is the resource constraint and the determination of its return: domestic saving can buy a foreign claim, and investment will no longer have to equal national saving.

### 15.2.2 From two budgets to one feasible consumption set

First impose terminal settlement. If $B_2 > 0$, reducing it by $\varepsilon > 0$ and increasing $C_2$ by the same amount satisfies the final budget and raises utility. Therefore $B_2 = 0$ at the optimum. The final budget gives

$$RB_1 = C_2 - Q_2, \tag{15.8}$$

$$B_1 = \frac{C_2 - Q_2}{R}. \tag{15.9}$$

Substitute this position into the first budget, then move its income term:

$$C_1 + \frac{C_2 - Q_2}{R} = Q_1 + R_0 B_0, \tag{15.10}$$

$$C_1 + \frac{C_2}{R} = Q_1 + R_0 B_0 + \frac{Q_2}{R} \equiv \mathscr{W}. \tag{15.11}$$

Here $\mathscr{W}$ is lifetime wealth in date-1 goods, not current GDP. For a feasible allocation that leaves a positive terminal asset, the left side is instead less than $\mathscr{W}$. Optimization uses the frontier. Solve the frontier for future consumption:

$$C_2 = R(\mathscr{W} - C_1), \tag{15.12}$$

$$\left.\frac{dC_2}{dC_1}\right|_{\mathscr{W},R} = -R. \tag{15.13}$$

One extra good consumed today costs $R$ goods tomorrow. This slope is a price, not a psychological preference. With $B_0 = 0$, the endowment point $(Q_1, Q_2)$ lies on the frontier. Autarky restricts the household to that point; external trade permits movement along the line.

### 15.2.3 The consumption choice, by substitution and by multipliers

Substitution reduces the problem to one variable:

$$\max_{0<C_1<\mathscr{W}} V(C_1) = u(C_1) + \beta u\big(R(\mathscr{W} - C_1)\big). \tag{15.14}$$

Apply the chain rule explicitly:

$$\frac{dV}{dC_1} = u'(C_1) + \beta u'(C_2)\frac{dC_2}{dC_1} \tag{15.15}$$

$$= u'(C_1) - \beta R u'(C_2) = 0, \tag{15.16}$$

$$u'(C_1) = \beta R u'(C_2). \tag{15.17}$$

The second derivative is

$$\frac{d^2V}{dC_1^2} = u''(C_1) - \beta R u''(C_2)(-R) \tag{15.18}$$

$$= u''(C_1) + \beta R^2 u''(C_2) < 0. \tag{15.19}$$

Strict concavity and the infinite marginal utility near either zero-consumption endpoint select a unique interior maximum.

The multiplier route shows the same resource price:

$$\mathscr{L} = u(C_1) + \beta u(C_2) + \lambda\left(\mathscr{W} - C_1 - \frac{C_2}{R}\right), \tag{15.20}$$

$$\frac{\partial \mathscr{L}}{\partial C_1} = u'(C_1) - \lambda = 0, \tag{15.21}$$

$$\frac{\partial \mathscr{L}}{\partial C_2} = \beta u'(C_2) - \frac{\lambda}{R} = 0, \tag{15.22}$$

$$\lambda = u'(C_1) = \beta R u'(C_2). \tag{15.23}$$

A marginal unit of lifetime wealth is worth $\lambda$ units of utility. Date-2 consumption costs only $1/R$ units of that wealth, explaining the multiplier attached to its first-order condition.

For CRRA preferences, solve the Euler equation and the budget together:

$$C_1^{-\sigma} = \beta R C_2^{-\sigma}, \tag{15.24}$$

$$\left(\frac{C_2}{C_1}\right)^{\sigma} = \beta R, \tag{15.25}$$

$$C_2 = gC_1, \qquad g \equiv (\beta R)^{1/\sigma} > 0, \tag{15.26}$$

$$C_1 + \frac{gC_1}{R} = \mathscr{W}, \tag{15.27}$$

$$C_1^* = \frac{\mathscr{W}}{D}, \qquad C_2^* = \frac{g\mathscr{W}}{D}, \qquad D \equiv 1 + \frac{g}{R}, \tag{15.28}$$

$$B_1^* = Q_1 + R_0 B_0 - C_1^*. \tag{15.29}$$

When $\beta R = 1$, the consumption levels are equal. When $\beta R > 1$, consumption rises: the market reward for waiting outweighs impatience at a flat path. "Smoothing" means avoiding unnecessarily unequal marginal utilities at the available price, not imposing constant consumption for all preferences and returns.

**Borrowing is an allocation, not an extra resource.** Suppose $Q_1 = 1$, $Q_2 = 3$, $B_0 = 0$, $R = \beta = \sigma = 1$. Then $\mathscr{W} = 4$, $g = 1$, $D = 2$, and $C_1 = C_2 = 2$. The first budget requires $B_1 = 1 - 2 = -1$. The second gives $C_2 = 3 + 1(-1) = 2$. Counting the borrowed good as extra income at date 1 while omitting repayment at date 2 would falsely expand lifetime resources.

### 15.2.4 Close the world market, not just one country's problem

The given-return assumption describes a small country facing a much larger rest of the world. For the two equal countries at the start of the chapter, $R$ is instead an equilibrium price. Set $B_0^j = 0$ and $\beta = \sigma = 1$ for $j \in \{A, B\}$. Equations (15.28) give $g = R$, $D = 2$:

$$C_1^j = \frac{1}{2}\left(Q_1^j + \frac{Q_2^j}{R}\right), \tag{15.30}$$

$$B_1^j = Q_1^j - C_1^j = \frac{1}{2}\left(Q_1^j - \frac{Q_2^j}{R}\right). \tag{15.31}$$

World asset clearing determines the return:

$$0 = B_1^A + B_1^B = \frac{1}{2}\left[Q_1^A + Q_1^B - \frac{Q_2^A + Q_2^B}{R}\right], \tag{15.32}$$

$$R(Q_1^A + Q_1^B) = Q_2^A + Q_2^B, \tag{15.33}$$

$$R = \frac{Q_2^A + Q_2^B}{Q_1^A + Q_1^B} = \frac{4}{4} = 1. \tag{15.34}$$

Both households take this price as given when choosing. No monopoly is needed for aggregate endowments to determine it. Date-1 goods clearing follows from summing the first budgets; date-2 clearing follows from summing the second. The lending of one country finances the borrowing of the other.

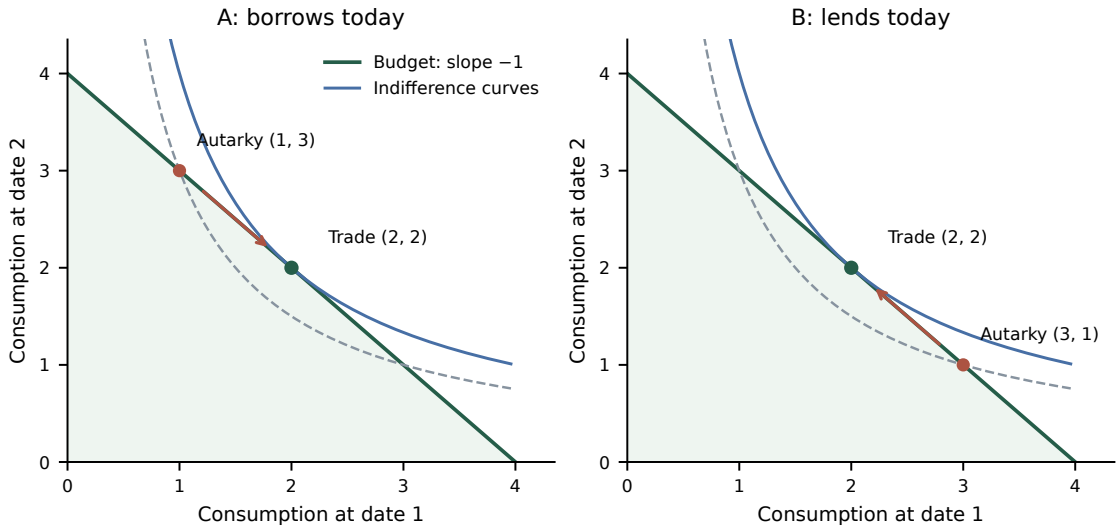



**Figure 15.1:** The same good traded across dates: a borrower and a lender

Original solved example: $B_0 = 0$, $R = \beta = \sigma = 1$. Both countries consume $(2, 2)$. Dashed indifference curves pass through the autarky allocations; solid curves pass through the optimum. Quantities are units of a hypothetical good, not empirical observations.

Figure 15.1 shows why the gain does not require higher world output. Goods clearing preserves total resources at each date. The improvement comes from reallocating those goods toward the country with higher current marginal utility, in exchange for future delivery.

## 15.3 Reading the external accounts

### 15.3.1 Name the flows that the model has already produced

The model tells us what to measure. At date 1, a borrower absorbs more goods than its endowment. At date 2, it delivers goods and pays interest. Those are different flows. We now use $Y$ for GDP, $C$ for household consumption, $G$ for government consumption, and $I$ for gross capital formation, including inventory changes. All expenditure and income measures below use consistent prices and the same resident boundary. In the endowment benchmark, $Y = Q$ and $G = I = 0$.

Let $X$ and $M$ be exports and imports of goods *and services*. Here $M$ is imports, not the money stock used in the earlier monetary chapters. The expenditure identity and the trade balance are

$$Y = C + I + G + X - M, \tag{15.35}$$

$$TB \equiv X - M = Y - C - I - G. \tag{15.36}$$

A trade deficit says that domestic absorption exceeds domestic production. It does not identify whether consumption, investment, or government spending caused that gap, nor whether the allocation is desirable.

Use $NPI$ for net primary income from abroad, and $NCT$ for net current transfers received. Primary income includes cross-border labor and investment income; current transfers are not payments for current

goods or services. Then define

$$CA \equiv TB + NPI + NCT, \tag{15.37}$$

$$GNI \equiv Y + NPI, \tag{15.38}$$

$$GNDI \equiv GNI + NCT = Y + NPI + NCT. \tag{15.39}$$

We retain the familiar primary/secondary-income terminology used in many existing datasets. BPM7 calls these earned income and transfer income. Its integrated framework distinguishes transactions from revaluations and other changes in positions.[41] The bridge from production to residents' disposable resources matters: a debtor may produce enough to cover its domestic absorption and still need a trade surplus to pay external interest.

Define gross national saving from disposable income, not GDP alone:

$$S \equiv GNDI - C - G \tag{15.40}$$

$$= Y + NPI + NCT - C - G, \tag{15.41}$$

$$S - I = Y - C - I - G + NPI + NCT \tag{15.42}$$

$$= TB + NPI + NCT = CA. \tag{15.43}$$

This is an accounting identity. It does not establish that a policy can change saving while leaving investment, income, prices, and external finance fixed. For a consolidated household–firm private sector and government, let $T$ be net current taxes paid to government, $Y_d^p$ private disposable income, and $Y_d^g$ government disposable income. With all current flows allocated consistently between them,

$$Y_d^p + Y_d^g = GNDI, \tag{15.44}$$

$$S_p = Y_d^p - C, \qquad S_g = Y_d^g - G, \tag{15.45}$$

$$S_p + S_g - I = CA. \tag{15.46}$$

In the special case $Y_d^g = T$ and all external income and transfers accrue to the private sector, $S_p = GNDI - T - C$ and $S_g = T - G$. A larger fiscal deficit need not imply an equal increase in the current-account deficit: private saving and investment can respond.

**Table 15.1:** Different questions require different external measures

| Measure | Definition | Question answered |
|---|---|---|
| $TB$ | $X - M = Y - C - I - G$ | Does domestic production cover absorption? |
| $CA$ | $TB + NPI + NCT = S - I$ | Is national saving above investment? |
| $FA$ | Net acquisition of external assets minus net incurrence of external liabilities | How is net lending or borrowing transacted? |
| $NFA$ | External financial assets minus external liabilities, at a date | What is the net external financial position? |

[41] IMF (2025), *Integrated Balance of Payments and International Investment Position Manual*, seventh edition, White Cover, pre-edited version, Chapters 2, 7–9, 12–14, and 19. Statistical residence concerns an institutional unit's center of predominant economic interest, not simply citizenship. The identities here suppress measurement discrepancies unless stated otherwise.

### 15.3.2 From the bond budget to the current account

In the baseline, interest on the inherited claim is $r_0 B_0$, where $r_0 = R_0 - 1$, and there are no current transfers. Subtract $B_0$ from the first budget's asset equation:

$$B_1 - B_0 = Q_1 - C_1 + (R_0 - 1)B_0 \tag{15.47}$$

$$= TB_1 + r_0 B_0 = CA_1. \tag{15.48}$$

Likewise, $r^* = R - 1$ is the interest paid at date 2:

$$B_2 - B_1 = Q_2 - C_2 + r^* B_1 = CA_2, \tag{15.49}$$

$$B_2 = 0 \quad \Longrightarrow \quad CA_2 = -B_1, \tag{15.50}$$

$$TB_2 = CA_2 - r^* B_1 = -RB_1. \tag{15.51}$$

If $B_1 = -1$ and $R = 1.1$, final settlement needs $TB_2 = 1.1$, of which $0.1$ pays interest. The current-account surplus is $CA_2 = 1.1 - 0.1 = 1$, which reduces principal debt by one. A trade surplus and a current-account surplus therefore need not have the same size or even the same sign at a given date.

### 15.3.3 Transactions, valuation, and the sign of capital flows

For actual portfolios, let $A^{ext}$ be external financial assets and $L^{ext}$ external liabilities. Set $NFA = A^{ext} - L^{ext}$. Use the statistical financial-account sign convention:

$$FA \equiv \text{net acquisition of external assets} - \text{net incurrence of external liabilities}, \tag{15.52}$$

$$CA + KA = FA \qquad \text{(without a measurement discrepancy)}. \tag{15.53}$$

Here $KA$ is the *capital account*: capital transfers and transactions in nonproduced nonfinancial assets. It is not a label for ordinary bond or bank-loan flows. Positive net borrowing normally gives $FA < 0$ under this convention. If a textbook instead defines net financial *inflows* $F^{in} \equiv -FA$, its equation is $CA + KA + F^{in} = 0$.

Now reconcile stocks and flows. Let $VAL$ be net revaluation gains, including exchange-rate and other price changes, and $OCV$ other changes in volume, such as a unilateral write-off. Then

$$NFA_t - NFA_{t-1} = FA_t + VAL_t + OCV_t \tag{15.54}$$

$$= CA_t + KA_t + VAL_t + OCV_t. \tag{15.55}$$

This is why adding current accounts does not generally reconstruct a country's observed net external wealth. The equality $\Delta B = CA$ in (15.48) uses the special assumptions $KA = VAL = OCV = 0$ and one real bond valued at par.

A numerical reconciliation makes the distinction concrete. Suppose opening assets and liabilities are $100$ and $80$. Residents acquire $5$ of assets and incur $10$ of liabilities. With no $KA$, the financial and current accounts are $FA = CA = 5 - 10 = -5$. Suppose existing assets gain $12$ in value, liabilities gain $2$, and there are no other volume changes:

$$A^{ext}_{end} = 100 + 5 + 12 = 117, \tag{15.56}$$

$$L^{ext}_{end} = 80 + 10 + 2 = 92, \tag{15.57}$$

$$\Delta NFA = (117 - 92) - (100 - 80) = 5, \tag{15.58}$$

$$CA + VAL = -5 + (12 - 2) = 5. \tag{15.59}$$

Net wealth rises despite a current-account deficit. A valuation gain is not an export receipt or current earned income.

**Zero net flows do not mean a closed economy.** Exports and imports may both be large while $TB = 0$. Residents may acquire foreign assets of 100 while foreigners acquire domestic liabilities of 100, so $FA = 0$ despite large gross transactions. The corresponding stocks can also be large while $NFA = 0$. Net measures reveal an imbalance; they do not measure the full scale, composition, or risk of cross-border exposure.

## 15.4 Income timing and the demand for external finance

### 15.4.1 Temporary income, persistent income, and news

Hold $R, R_0, B_0, \beta, \sigma$ fixed in the two-period endowment model. The growth ratio $g$ and denominator $D = 1 + g/R$ are then fixed. Differentiate wealth and the consumption rule before interpreting a shock:

$$d\mathscr{W} = dQ_1 + \frac{dQ_2}{R}, \tag{15.60}$$

$$dC_1 = \frac{dQ_1 + dQ_2/R}{D}, \tag{15.61}$$

$$dC_2 = g\, dC_1, \tag{15.62}$$

$$dB_1 = dQ_1 - dC_1 \tag{15.63}$$

$$= \left(1 - \frac{1}{D}\right) dQ_1 - \frac{dQ_2}{RD}. \tag{15.64}$$

There is no valuation change and the inherited asset is fixed, so $dCA_1 = dB_1$. For a temporary extra endowment $\Delta > 0$ today only,

$$dC_1 = \frac{\Delta}{D}, \qquad dC_2 = \frac{g\Delta}{D}, \tag{15.65}$$

$$dB_1 = \frac{D-1}{D}\Delta = \frac{g/R}{1+g/R}\Delta > 0. \tag{15.66}$$

Some of the windfall is lent abroad. Reverse the signs for a temporary harvest loss: borrowing spreads the loss across both consumption dates. This is a conditional model of a temporary real-income disturbance, not a claim that all disaster losses can be insured or financed on these terms.

For income higher by $\Delta$ at *both* dates,

$$dC_1 = \frac{1 + 1/R}{D}\Delta, \tag{15.67}$$

$$dB_1 = \left[1 - \frac{1 + 1/R}{D}\right]\Delta. \tag{15.68}$$

If $\beta R = 1$, then $g = 1$ and $D = 1 + 1/R$, so $dC_1 = dC_2 = \Delta$ and $dB_1 = 0$. Higher income need not create a larger external surplus when the household regards it as lasting.

For news at date 1 that only date-2 income will rise,

$$dQ_1 = 0, \quad dQ_2 = \Delta, \tag{15.69}$$

$$dC_1 = \frac{\Delta}{RD} > 0, \quad dC_2 = \frac{g\Delta}{RD} > 0, \tag{15.70}$$

$$dB_1 = -\frac{\Delta}{RD} < 0. \tag{15.71}$$

Consumption and borrowing rise before the income arrives. For example, a hypothetical country learns with certainty of future resource royalties that accrue to its residents. In this model their present value can support spending now. Uncertain extraction, foreign ownership, political risk, and lenders' limits would each change that conclusion.

**Table 15.2:** Different income paths, different external positions

| Scenario | $Q_1$ | $Q_2$ | $C_1 = C_2$ | $B_1 = CA_1$ |
|---|---|---|---|---|
| Baseline | 2 | 2 | 2.00 | 0.00 |
| Temporary loss | 1 | 2 | 1.50 | −0.50 |
| Persistent loss | 1 | 1 | 1.00 | 0.00 |
| Future income news | 2 | 3 | 2.50 | −0.50 |

Hypothetical quantities; $B_0 = 0$, $R = \beta = \sigma = 1$. "Persistent" here means both dates of this finite economy, not an infinite sequence.

A current-account deficit is thus compatible with a current income loss or news of future income growth. The sign alone does not distinguish distress from an expansion in perceived lifetime resources.

### 15.4.2 A higher return changes both a price and wealth

It is tempting to say that a higher interest rate must reduce consumption and improve the current account because saving becomes more rewarding. The household also revalues future endowments, and an existing creditor and debtor are affected differently. For CRRA utility,

$$g = \beta^{1/\sigma} R^{1/\sigma}, \qquad \frac{dg}{dR} = \frac{g}{\sigma R}, \tag{15.72}$$

$$D = 1 + g/R, \qquad \frac{dD}{dR} = \frac{g}{R^2}\left(\frac{1}{\sigma} - 1\right), \tag{15.73}$$

$$\frac{d\mathscr{W}}{dR} = -\frac{Q_2}{R^2}, \tag{15.74}$$

$$\frac{dC_1}{dR} = \frac{D\, d\mathscr{W}/dR - \mathscr{W}\, dD/dR}{D^2} \tag{15.75}$$

$$= -\frac{Q_2}{R^2 D} - \frac{\mathscr{W} g}{R^2 D^2}\left(\frac{1}{\sigma} - 1\right). \tag{15.76}$$

For $\sigma > 1$, the second term is positive, so the general sign requires more information. In the log case, $g = \beta R$ and $D = 1 + \beta$:

$$C_1 = \frac{Q_1 + R_0 B_0 + Q_2/R}{1 + \beta}, \tag{15.77}$$

$$\frac{dC_1}{dR} = -\frac{Q_2}{(1+\beta)R^2} < 0, \tag{15.78}$$

$$\frac{dB_1}{dR} = -\frac{dC_1}{dR} > 0. \tag{15.79}$$

These derivatives hold the inherited payoff $R_0 B_0$ fixed. Repricing old variable-rate debt is a separate experiment.

We can also measure the welfare effect without guessing it from consumption at one date. Write $V^* = u(C_1) + \beta u(C_2)$ at the optimum. Differentiating its budget and utility gives

$$\frac{dC_1}{dR} + \frac{1}{R}\frac{dC_2}{dR} - \frac{C_2}{R^2} = -\frac{Q_2}{R^2}, \tag{15.80}$$

$$\frac{dV^*}{dR} = u'(C_1)\frac{dC_1}{dR} + \beta u'(C_2)\frac{dC_2}{dR} \tag{15.81}$$

$$= \lambda\left(\frac{dC_1}{dR} + \frac{1}{R}\frac{dC_2}{dR}\right) \tag{15.82}$$

$$= \frac{\lambda(C_2 - Q_2)}{R^2} = \frac{\lambda B_1}{R}. \tag{15.83}$$

A higher new-loan return benefits a net lender and harms a net borrower locally. The quantity response and the welfare response answer different questions.

## 15.5 Investment can separate domestic production from national saving

A country may borrow because current income is low. It may also borrow because productive projects are attractive. To distinguish these mechanisms, allow residents to build capital today that produces goods tomorrow. We use a new project rather than an inherited capital stock so that the investment and financing decisions remain visible.

### 15.5.1 Specify the project, its owners, and its final value

**06 A two-date production extension**

Retain the resident households, one tradable numeraire, deterministic information, CRRA preferences, initial external payoff $R_0 B_0$, and frictionless borrowing/lending at given $R$ from conditions 01–05. Add a domestic project owned entirely by those residents. At date 1, one good installs one unit of capital: $I_1 = K_2 \geq 0$. There is no initial project capital and no production from new investment at date 1. At date 2, the project produces $A_2 F(K_2)$, where $A_2 > 0$, $F(0) = 0$, $F' > 0$, $F'' < 0$, and $F'(0^+) = \infty$, $F'(\infty) = 0$. Date-1 and date-2 endowments $Q_1, Q_2 > 0$ remain separate from this additional production.

**07 Depreciation, liquidation, and financing**

A fraction $\delta \in [0, 1]$ of project capital depreciates before final settlement. Remaining capital $(1 - \delta)K_2$ can be converted back into goods at date 2 at a unit price, without cost. There are no installation costs, taxes, borrowing limits, default, or externalities. Assume $R > 1 - \delta$ so the asymptotic salvage return alone does not make investment unbounded. Households own all project proceeds; consolidated budgets count them once. Debt can be recorded on household or firm books without changing aggregate external finance. No project or external claim is left after date 2.

**08 Choices, resources, and the production equilibrium**

Residents choose $C_1, C_2 > 0$, $K_2 \geq 0$, and $B_1$ subject to

$$C_1 + K_2 + B_1 = Q_1 + R_0 B_0, \qquad C_2 = Q_2 + A_2 F(K_2) + (1-\delta)K_2 + RB_1.$$

They maximize $u(C_1) + \beta u(C_2)$ at the given world return. This integrated problem is equivalent to a resident-owned firm maximizing the project's present value and households allocating total wealth, under the frictionless conditions just stated. In national accounts $Y_1 = Q_1$ and $Y_2 = Q_2 + A_2 F(K_2)$; liquidation is disinvestment $I_2 = -(1-\delta)K_2$, not extra GDP. In the numerical example $\delta = 1$, so no salvage or final disinvestment remains.

### 15.5.2 One more unit of capital or one more foreign bond?

Solve the first budget for the external claim and substitute into the second:

$$B_1 = Q_1 + R_0 B_0 - C_1 - K_2, \tag{15.84}$$
$$C_2 = Q_2 + A_2 F(K_2) + (1-\delta)K_2 + R(Q_1 + R_0 B_0 - C_1 - K_2), \tag{15.85}$$
$$C_2 = R(Q_1 + R_0 B_0 - C_1) + Q_2 + A_2 F(K_2) - (R - 1 + \delta)K_2. \tag{15.86}$$

The integrated objective is $u(C_1) + \beta u(C_2(C_1, K_2))$. Its two partial derivatives are

$$\frac{\partial C_2}{\partial C_1} = -R, \tag{15.87}$$
$$\frac{\partial C_2}{\partial K_2} = A_2 F'(K_2) + 1 - \delta - R, \tag{15.88}$$
$$\frac{\partial U}{\partial C_1} = u'(C_1) - \beta R u'(C_2) = 0, \tag{15.89}$$
$$\frac{\partial U}{\partial K_2} = \beta u'(C_2)\left[A_2 F'(K_2) + 1 - \delta - R\right] = 0. \tag{15.90}$$

Since $\beta u'(C_2) > 0$, the interior investment choice requires

$$A_2 F'(K_2) + 1 - \delta = R, \tag{15.91}$$
$$A_2 F'(K_2) = R - 1 + \delta = r^* + \delta. \tag{15.92}$$

Investing one good sacrifices a bond paying $R$. It must produce the same marginal final goods payoff, including salvage. This is the familiar Ramsey return comparison, but domestic capital does not determine the return in this small economy. The world bond supplies the alternative use of funds.

The same result follows from maximizing the project's date-1 value:

$$\Pi^{PV}(K_2) = \frac{A_2 F(K_2) + (1-\delta)K_2}{R} - K_2, \tag{15.93}$$
$$\frac{d\Pi^{PV}}{dK_2} = \frac{A_2 F'(K_2) + 1 - \delta}{R} - 1, \tag{15.94}$$
$$\frac{d^2\Pi^{PV}}{dK_2^2} = \frac{A_2 F''(K_2)}{R} < 0. \tag{15.95}$$

Concavity and the boundary conditions yield one positive finite optimum. The household then spends total wealth

$$\mathscr{W}^{prod} = Q_1 + R_0 B_0 + \frac{Q_2}{R} + \Pi^{PV}(K_2^*), \tag{15.96}$$

$$C_1 = \frac{\mathscr{W}^{prod}}{D}, \qquad C_2 = gC_1, \tag{15.97}$$

$$B_1 = Q_1 + R_0 B_0 - C_1 - K_2^*. \tag{15.98}$$

This separation uses perfect external finance and certainty. A collateral constraint or a borrowing spread can make project size depend on internal funds and the owner's marginal utility; we cannot keep the same separation once those constraints matter.

For $F(K) = K^\alpha$, $0 < \alpha < 1$, solve rather than just quote the stock:

$$A_2 \alpha K_2^{\alpha-1} = R - 1 + \delta, \tag{15.99}$$

$$K_2^{1-\alpha} = \frac{\alpha A_2}{R - 1 + \delta}, \tag{15.100}$$

$$K_2^* = \left(\frac{\alpha A_2}{R - 1 + \delta}\right)^{1/(1-\alpha)}, \tag{15.101}$$

$$\log K_2^* = \frac{\log \alpha + \log A_2 - \log(R - 1 + \delta)}{1 - \alpha}, \tag{15.102}$$

$$\frac{dK_2^*}{dA_2} = \frac{K_2^*}{(1-\alpha)A_2} > 0, \tag{15.103}$$

$$\frac{dK_2^*}{dR} = -\frac{K_2^*}{(1-\alpha)(R - 1 + \delta)} < 0. \tag{15.104}$$

Better future productivity raises today's desired capital; a higher financing return raises its opportunity cost.

### 15.5.3 Why a profitable expansion can worsen the current account

Keep $R, R_0, B_0, Q_1, Q_2$ fixed and raise $A_2$. Differentiate total wealth, retaining the derivative of capital until its coefficient cancels:

$$\frac{d\mathscr{W}^{prod}}{dA_2} = \frac{F(K_2^*)}{R} + \left[\frac{A_2 F'(K_2^*) + 1 - \delta}{R} - 1\right]\frac{dK_2^*}{dA_2} \tag{15.105}$$

$$= \frac{F(K_2^*)}{R} > 0, \tag{15.106}$$

$$\frac{dC_1}{dA_2} = \frac{F(K_2^*)}{RD} > 0, \tag{15.107}$$

$$\frac{dCA_1}{dA_2} = \frac{d}{dA_2}(Q_1 + r_0 B_0 - C_1 - K_2^*) \tag{15.108}$$

$$= -\frac{F(K_2^*)}{RD} - \frac{dK_2^*}{dA_2} < 0. \tag{15.109}$$

Two mechanisms reinforce each other: investment uses goods now, and higher lifetime wealth raises consumption now. External finance permits both without requiring a fall in domestic consumption to fund

every new machine. The deficit is a consequence of an optimal allocation in this benchmark; it is not a general endorsement of any observed deficit.

For $Q_1 = Q_2 = 2$, $B_0 = 0$, $R = \beta = \sigma = 1$, $\alpha = 1/2$, $\delta = 1$, start at $A_2 = 1$:

$$K_2^* = (1/2)^2 = 0.25, \qquad A_2\sqrt{K_2^*} = 0.50, \tag{15.110}$$

$$\mathscr{W}^{prod} = 2 + 2 + 0.50 - 0.25 = 4.25, \tag{15.111}$$

$$C_1 = C_2 = 4.25/2 = 2.125, \tag{15.112}$$

$$S_1 = 2 - 2.125 = -0.125, \tag{15.113}$$

$$CA_1 = S_1 - I_1 = -0.125 - 0.25 = -0.375. \tag{15.114}$$

At $A_2 = 1.4$, repeat the calculation:

$$K_2^* = (1.4/2)^2 = 0.49, \qquad A_2\sqrt{K_2^*} = 0.98, \tag{15.115}$$

$$\mathscr{W}^{prod} = 2 + 2 + 0.98 - 0.49 = 4.49, \tag{15.116}$$

$$C_1 = C_2 = 2.245, \tag{15.117}$$

$$CA_1 = 2 - 2.245 - 0.49 = -0.735, \tag{15.118}$$

$$Q_2 + A_2\sqrt{K_2^*} + B_1 = 2 + 0.98 - 0.735 = 2.245 = C_2. \tag{15.119}$$

The last line checks that the investment and consumption expansion can still be repaid. It is a deliberately simple illustration of, for example, an anticipated improvement in an export project's productivity. There is no construction delay beyond one period, failure risk, or foreign ownership in this example; those omissions matter for applying it to an actual project.

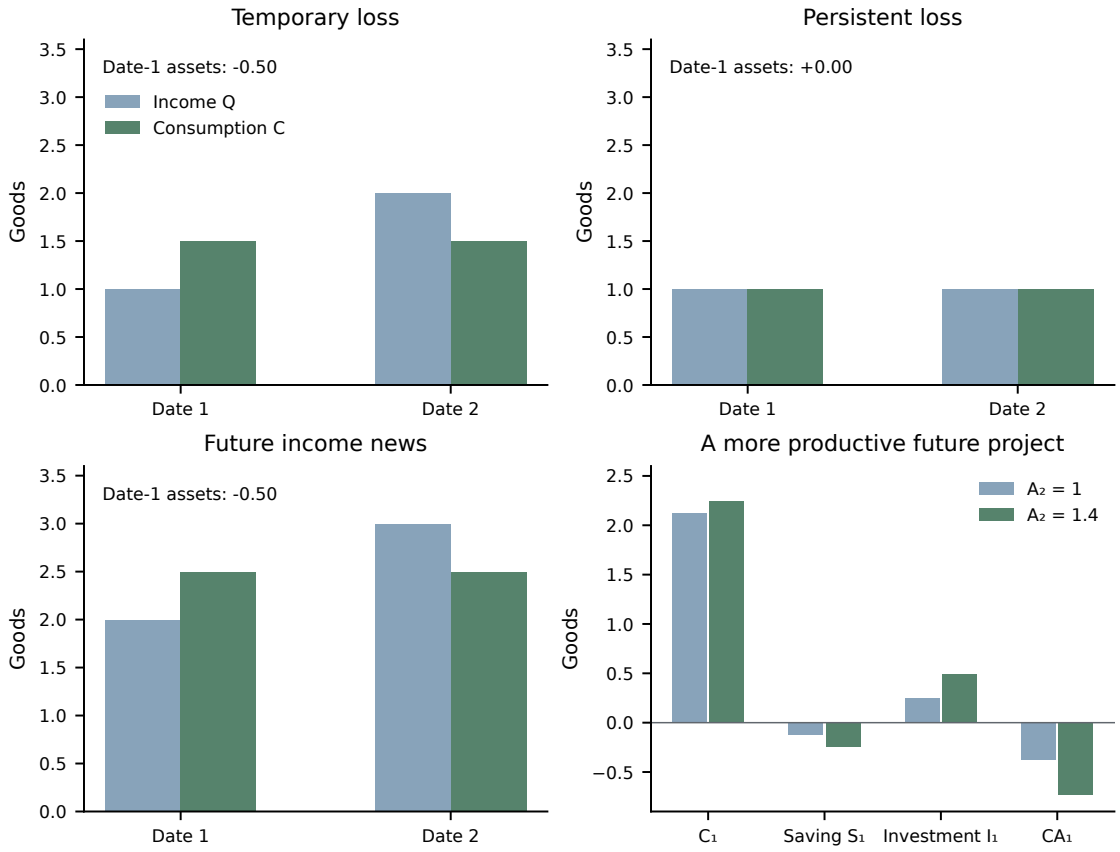



**Figure 15.2:** Income timing and investment create different reasons to borrow

Original solved examples, not data. The upper panels and lower-left panel use Table 15.2; all have $R = \beta = \sigma = 1$, $B_0 = 0$. The investment panel uses $Q_1 = Q_2 = 2$, $F(K) = \sqrt{K}$, $\delta = 1$, and the two productivity values calculated above. Negative $CA_1$ means net external borrowing.

**From Ramsey to an open production economy.** The household still compares marginal utility across dates, and the firm still compares the marginal product with the cost of funds. What changes is closure. In the closed economy, aggregate saving finances aggregate domestic investment and helps determine the return. At a given world return, a small open economy can change its external position instead. The world as a whole still cannot invest more goods than it saves.

## 15.6 Solvency is a statement about the whole path

### 15.6.1 Add dates before taking an infinite-horizon limit

Return first to the endowment economy. Extend it to dates $t = 1, \dots, T$, with known $Q_t > 0$, constant gross return $R > 0$ also applying to $B_0$, positive $C_t$, and no investment or government. This sets $R_0 = R$.

The same single real bond and preferences apply; utility is now $\sum_{t=1}^{T} \beta^{t-1} u(C_t)$. The budgets are

$$C_t + B_t = Q_t + RB_{t-1}, \qquad t = 1, \ldots, T, \tag{15.120}$$

$$\frac{C_t}{R^t} + \frac{B_t}{R^t} = \frac{Q_t}{R^t} + \frac{B_{t-1}}{R^{t-1}}. \tag{15.121}$$

Write the first terms to see what cancels:

$$\frac{C_1}{R} + \frac{B_1}{R} = \frac{Q_1}{R} + B_0, \tag{15.122}$$

$$\frac{C_2}{R^2} + \frac{B_2}{R^2} = \frac{Q_2}{R^2} + \frac{B_1}{R}, \tag{15.123}$$

$$\frac{C_3}{R^3} + \frac{B_3}{R^3} = \frac{Q_3}{R^3} + \frac{B_2}{R^2}. \tag{15.124}$$

Summing through $T$ cancels every intermediate discounted asset:

$$\sum_{t=1}^{T} \frac{C_t}{R^t} + \frac{B_T}{R^T} = B_0 + \sum_{t=1}^{T} \frac{Q_t}{R^t}. \tag{15.125}$$

The final no-unpaid-debt condition is $B_T \geq 0$; monotonic utility and no bequest motive again give $B_T = 0$ at an optimum. This makes consumption's present value equal to initial wealth plus income's present value. It does not require $B_t = 0$ at intermediate dates.

A small feasible transfer of consumption from $t$ to $t+1$ changes $C_t$ by $-\varepsilon$ and $C_{t+1}$ by $R\varepsilon$. Its utility derivative at zero must vanish at an interior optimum:

$$0 = -\beta^{t-1} u'(C_t) + \beta^t R u'(C_{t+1}), \tag{15.126}$$

$$C_{t+1} = (\beta R)^{1/\sigma} C_t = g C_t, \tag{15.127}$$

$$C_t = g^{t-1} C_1. \tag{15.128}$$

Substitute this path into the finite present-value constraint:

$$\sum_{t=1}^{T} \frac{g^{t-1} C_1}{R^t} = B_0 + \sum_{t=1}^{T} \frac{Q_t}{R^t}, \tag{15.129}$$

$$\frac{C_1}{R} \sum_{j=0}^{T-1} \left( \frac{g}{R} \right)^j = B_0 + \sum_{t=1}^{T} \frac{Q_t}{R^t}, \tag{15.130}$$

$$C_1 = \frac{RB_0 + \sum_{t=1}^{T} Q_t / R^{t-1}}{\sum_{j=0}^{T-1} (g/R)^j}. \tag{15.131}$$

For $a = g/R \neq 1$, multiply $H_T = 1 + a + \cdots + a^{T-1}$ by $a$ and subtract:

$$aH_T = a + a^2 + \cdots + a^T, \tag{15.132}$$

$$(1-a) H_T = 1 - a^T, \tag{15.133}$$

$$H_T = \frac{1 - a^T}{1 - a}. \tag{15.134}$$

For $a = 1$, the denominator is instead $T$. With $T = 2$, this solution reduces to the earlier two-date formula with $R_0 = R$.

### 15.6.2 A debt rollover cannot replace eventual resources

An economy that continues indefinitely has no final calendar date on which we can simply impose $B_T = 0$. We must restrict the limiting financing path.

**09 Infinite dates, convergence, and admissible debt**

In this extension, dates are all positive integers; households live forever, with utility $\sum_{t=1}^{\infty} \beta^{t-1} u(C_t)$ and $\beta \in (0,1)$. There is one perishable tradable endowment good, no capital or government, and a constant known return $R > 1$ on every external claim including $B_0$. All $Q_t$ are known initially, positive, and bounded. Borrowing and lending are otherwise unrestricted, but admissible paths satisfy $\liminf_{T\to\infty} B_T/R^T \geq 0$. Assume $B_0 + \sum_{t=1}^{\infty} Q_t/R^t > 0$. For the explicit annuity solution below impose $\beta R = 1$; this extra restriction is not part of the general two-period model.

Why is a limiting restriction needed? Let debt be rolled over without a trade surplus. With $TB_t = Q_t - C_t = 0$ and $B_0 = -d < 0$,

$$B_t = RB_{t-1}, \tag{15.135}$$

$$B_t = -R^t d, \tag{15.136}$$

$$\frac{B_t}{R^t} = -d < 0. \tag{15.137}$$

The budget holds at every finite date, but old debt is serviced solely by issuing new debt forever. The no-Ponzi restriction excludes this path.

For an admissible path, use (15.125) and take the limit of the nonnegative consumption partial sums:

$$\sum_{t=1}^{\infty} \frac{C_t}{R^t} = B_0 + \sum_{t=1}^{\infty} \frac{Q_t}{R^t} - \lim_{T\to\infty} \frac{B_T}{R^T} \tag{15.138}$$

$$\leq B_0 + \sum_{t=1}^{\infty} \frac{Q_t}{R^t}. \tag{15.139}$$

The discounted-asset limit exists here because the endowment present value converges and the consumption partial sums are monotone and bounded by solvency. Solvency is an admissibility restriction. An optimality condition that rules out unused valuable terminal wealth serves a different purpose; the two should not simply be called the same condition.

For $\beta R = 1$, Euler gives $C_{t+1} = C_t = \bar{C}$. Set discounted terminal wealth to zero and solve the present-value equality. First compute the geometric sum:

$$\sum_{t=1}^{\infty} R^{-t} = \frac{R^{-1}}{1 - R^{-1}} = \frac{1}{R-1}, \tag{15.140}$$

$$\frac{\bar{C}}{R-1} = B_0 + \sum_{t=1}^{\infty} \frac{Q_t}{R^t}, \tag{15.141}$$

$$\bar{C} = (R-1)\left(B_0 + \sum_{t=1}^{\infty} \frac{Q_t}{R^t}\right). \tag{15.142}$$

The resulting sequential asset path satisfies

$$\frac{B_T}{R^T} = B_0 + \sum_{t=1}^{T} \frac{Q_t - \bar{C}}{R^t} \longrightarrow 0. \tag{15.143}$$

Thus it is feasible under the specified debt restriction. Its optimality can also be checked directly, rather than assumed from Euler alone. Concavity implies, for any alternative positive admissible path $\tilde{C}_t$,

$$u(\tilde{C}_t) - u(\bar{C}) \le u'(\bar{C})(\tilde{C}_t - \bar{C}), \tag{15.144}$$

$$\sum_{t=1}^{\infty} \beta^{t-1}[u(\tilde{C}_t) - u(\bar{C})] \le Ru'(\bar{C}) \sum_{t=1}^{\infty} \frac{\tilde{C}_t - \bar{C}}{R^t} \tag{15.145}$$

$$\le 0. \tag{15.146}$$

The last inequality uses the alternative's present-value inequality and the candidate's equality. For paths whose utility is negative infinity, the comparison is immediate; otherwise it follows by limits of partial sums. Strict concavity gives uniqueness. This proof also shows why both a marginal condition and a resource/terminal condition are needed.

The horizon changes the numerical smoothing rule. At fixed return and $B_0$, a one-time date-1 income gain $\Delta$ produces

$$\Delta\bar{C} = \frac{R-1}{R}\Delta, \tag{15.147}$$

$$\Delta CA_1 = \Delta - \Delta\bar{C} = \frac{\Delta}{R}. \tag{15.148}$$

If income instead rises by $\Delta$ at every date,

$$\Delta\bar{C} = (R-1)\Delta \sum_{t=1}^{\infty} R^{-t} = \Delta, \tag{15.149}$$

$$\Delta CA_1 = \Delta - \Delta = 0. \tag{15.150}$$

News of a one-time gain at future date $h$ gives $\Delta\bar{C} = (R-1)\Delta/R^h$ immediately. News of a permanent gain starting at $h$ gives

$$\Delta\bar{C} = (R-1)\Delta \sum_{t=h}^{\infty} R^{-t} \tag{15.151}$$

$$= (R-1)\Delta \frac{R^{-h}}{1-R^{-1}} = \Delta R^{1-h}. \tag{15.152}$$

These are perfect-foresight news experiments. They do not model uncertainty or precautionary saving. Nor should the infinite-horizon coefficients be inserted into Table 15.2, whose horizon is two dates.

## 15.7 A solvent borrower may still face a financing limit

Having enough lifetime resources does not force a lender to advance them today. A repayment limit concerns the entire path; a credit limit restricts which intermediate paths can be chosen. We can isolate the difference without changing income uncertainty or preferences.

### 10 A date-1 borrowing ceiling

Return to the *two-period endowment* economy in conditions 01–05: known $Q_1, Q_2 > 0$, inherited payoff $R_0 B_0$, given $R > 0$, CRRA utility, no project, no government, and final settlement $B_2 = 0$. Replace unrestricted date-1 borrowing by $B_1 \geq -\bar{d}$, where $\bar{d} \geq 0$ is a known exogenous debt ceiling in goods. Lending is not capped. Assume $\mathscr{W} > 0$ and $\bar{c} \equiv Q_1 + R_0 B_0 + \bar{d} > 0$, so positive consumption is feasible. The ceiling is a reduced-form constraint, not a derived default or collateral contract. No interest spread or risk premium is added implicitly.

Using the first budget, the borrowing ceiling becomes a consumption ceiling:

$$B_1 = Q_1 + R_0 B_0 - C_1 \geq -\bar{d}, \tag{15.153}$$

$$C_1 \leq Q_1 + R_0 B_0 + \bar{d} = \bar{c}. \tag{15.154}$$

Let $\mu \geq 0$ be its multiplier, alongside the resource multiplier $\lambda$. The constrained Lagrangian and conditions are

$$\mathscr{L} = u(C_1) + \beta u(C_2) + \lambda\left(\mathscr{W} - C_1 - \frac{C_2}{R}\right) + \mu(\bar{c} - C_1), \tag{15.155}$$

$$u'(C_1) - \lambda - \mu = 0, \tag{15.156}$$

$$\beta u'(C_2) - \lambda/R = 0, \tag{15.157}$$

$$u'(C_1) - \beta R u'(C_2) = \mu \geq 0, \tag{15.158}$$

$$\bar{c} - C_1 \geq 0, \quad \mu(\bar{c} - C_1) = 0. \tag{15.159}$$

If the ceiling is slack, $\mu = 0$ and Euler holds with equality. If it binds strictly, the household values an extra good today more than the discounted utility from its repayment. It would like to borrow more at the quoted rate but cannot. A rate alone no longer describes the marginal opportunity set.

Let $C_1^{free} = \mathscr{W}/D$. Strict concavity gives the exact choice:

$$C_1^{limit} = \min\{C_1^{free}, \bar{c}\}, \tag{15.160}$$

$$C_2^{limit} = R(\mathscr{W} - C_1^{limit}), \tag{15.161}$$

$$B_1^{limit} = Q_1 + R_0 B_0 - C_1^{limit}. \tag{15.162}$$

When $C_1^{free} > \bar{c}$, substitute the binding choice into the final budget:

$$B_1^{limit} = -\bar{d}, \tag{15.163}$$

$$C_1^{limit} = Q_1 + R_0 B_0 + \bar{d}, \tag{15.164}$$

$$C_2^{limit} = Q_2 - R\bar{d}, \tag{15.165}$$

$$\mu = (Q_1 + R_0 B_0 + \bar{d})^{-\sigma} - \beta R(Q_2 - R\bar{d})^{-\sigma} > 0. \tag{15.166}$$

Positive $C_2$ follows in the binding case because $\bar{c} < C_1^{free} < \mathscr{W}$. We do not apply these binding formulas to arbitrary debt ceilings that would exhaust final income.

Return to $(Q_1, Q_2) = (1, 3)$, $B_0 = 0$, $R = \beta = \sigma = 1$. The free allocation has $(C_1, C_2) = (2, 2)$ and $B_1 = -1$. Set $\bar{d} = 0.4$:

$$\bar{c} = 1.4 < 2, \tag{15.167}$$

$$(C_1, C_2, B_1) = (1.4, 2.6, -0.4), \tag{15.168}$$

$$\mu = 1/1.4 - 1/2.6 \simeq 0.3297 > 0. \tag{15.169}$$

There is no insolvency: the debt will be repaid. The welfare loss comes from a restriction on timing. As long as the constraint keeps binding, an extra current good raises $C_1$ one for one, while extra future income raises only $C_2$. This gives a concrete reason why the consumption response to the same income news can differ across financing conditions.

A tighter ceiling, while still binding, gives

$$dC_1 = d\bar{d}, \tag{15.170}$$

$$dB_1 = -d\bar{d}, \tag{15.171}$$

$$dCA_1 = dB_1 = -d\bar{d}, \tag{15.172}$$

$$dC_2 = -R\, d\bar{d}. \tag{15.173}$$

If $d\bar{d} < 0$, current consumption falls and the current account improves. An improving external balance can therefore accompany a painful financing contraction. This experiment is a quantity restriction; endogenous lender runs, exchange-rate feedback, and crisis dynamics require additional models.

**Read an external balance together with its mechanism.** A deficit may smooth a temporary loss, anticipate higher income, or finance productive capital. A surplus may reflect a temporary windfall, a desire to save, or an inability to borrow. Ask what changed in income, investment, expected returns, or the feasible set. Then check who owes what, in which unit, at which maturity. The sign of $CA$ is an accounting description, not a welfare ranking or a complete diagnosis.

The next chapter adds different goods and relative prices: which goods are traded, how specialization changes production, and how international prices alter purchasing power. Chapter 17 then adds shocks, nominal exchange rates, and policy regimes. That is the place to connect these stock–flow restrictions with IS–LM–BP and Mundell–Fleming; the present endowment model has neither money nor nominal demand management.

# 16 Trade and Relative Prices

*Planned chapter.*

## 16.1 Comparative advantage, trade gains, and trade costs

Use a simple trade model to explain specialization and gains from exchange. Introduce tariffs and other trade costs to connect trade policy to allocation.

## 16.2 Terms of trade and the real exchange rate

Define both relative prices with explicit conventions. Trace how their changes affect purchasing power, production, and external balances.

## 16.3 Tradable goods, nontradable goods, and adjustment

Introduce the distinction between tradable and nontradable production. Explain how expenditure and resources move between sectors during adjustment.

# 17 Open Economy Fluctuations and Exchange Rates

*Planned chapter.*

## 17.1 The small open economy RBC model

Extend the real benchmark to international borrowing and investment. Compare productivity, world-interest-rate, and terms-of-trade shocks.

## 17.2 Capital flows, interest parity, and risk

Derive the relevant asset-pricing conditions and distinguish covered parity from an uncovered expected-return condition. Introduce risk premia and foreign-currency balance-sheet exposure.

## 17.3 Nominal rigidities and exchange-rate regimes

Introduce an open economy New Keynesian benchmark. Compare the adjustment mechanisms under fixed and flexible exchange rates, and state the constraints created by capital mobility.

## 17.4 From open economy equilibrium to IS–LM–BP

*Planned bridge.* After the dynamic benchmarks, derive conditional goods, money, and external-balance diagrams. Separate their fixed expectations from the full equilibrium that determines those expectations.[42]

The derivation will define the nominal exchange rate as domestic currency per unit of foreign currency, and the real rate as $q = eP^*/P$. Trace how consumption, investment, and net exports enter IS, how money demand enters LM, and which trade elasticities are needed for depreciation to raise net exports. State the short-run price assumptions and the treatment of initial external wealth.

For BP, first use the accounting sign convention in Chapter 15. With no capital-account transfers or measurement discrepancy, split the financial account into private transactions and reserve acquisition. Net private financial inflows are the negative of the private financial-account balance. A zero-reserve-change locus therefore sets the current account plus net private inflows to zero. The balance of payments already balances as an accounting system; BP is an additional external-market closure, not an identity that determines a capital-flow response.

Compare three explicit cases: restricted capital flows, a finite interest-sensitive flow schedule, and perfect asset substitutability. A finite capital-flow schedule requires its own behavioral assumption or a model of portfolio costs, risk, or constraints; it does not follow automatically from the household Euler equation. Derive covered parity separately from uncovered expected-return conditions. Only with the stated risk and exchange-rate expectations does the latter reduce to equality of domestic and foreign interest rates and the familiar horizontal BP.

Compare monetary and fiscal experiments under an unsterilized peg and a float with fixed reserves and given money. Paired $(Y, i)$ diagrams identify what adjusts in each regime and the assumptions behind the policy rankings. Map these conditional relations to Euler spending, interest parity, nominal adjustment, and the monetary rule of an open economy NK model.

[42] A reference for the classical framework and its extensions is Frenkel and Razin (1987), *The Mundell–Fleming Model: A Quarter Century Later*, IMF Staff Papers 34(3), 567–620.

# Part V
# Money, Finance, and Macroeconomic Policy

The earlier parts establish the real and nominal benchmarks. We now add financial constraints and differences between households, then compare the transmission and welfare effects of monetary and fiscal policy. Open economy mechanisms remain part of that comparison.

# 18 Money, Banking, and Central Bank Operations

*Planned chapter.*

## 18.1 Money, payments, and financial claims

Distinguish money from other assets and identify the services that give it a role in household and firm decisions.

## 18.2 Banks and balance sheets

Set out the balance sheets of households, commercial banks, and the central bank. Explain lending, deposits, reserves, and the limits to credit creation.

## 18.3 Implementing monetary policy

Connect the model's policy rate to the central bank's operating framework. Distinguish reserve provision, asset purchases, and changes in borrowing costs.

# 19 Financial Frictions and Aggregate Adjustment

*Planned chapter.*

## 19.1 Borrowing limits and collateral

Derive a simple borrowing constraint and show how it changes optimal choices. Connect collateral values to spending and investment.

## 19.2 Intermediation and financial amplification

Introduce a constraint on intermediary balance sheets. Explain how losses, leverage, and credit spreads can amplify a real or financial disturbance.

## 19.3 Financial distress and policy intervention

Distinguish liquidity problems from insolvency. State the mechanisms and trade-offs behind liquidity support, restructuring, and macroprudential policy.

# 20 Household Heterogeneity and Policy Transmission

*Planned chapter.*

## 20.1 Income risk, insurance, and precautionary saving

Introduce uninsurable income risk and borrowing limits. Explain how the distribution of liquid wealth affects saving and consumption.

## 20.2 Marginal propensities to consume and redistribution

Compare households' spending responses to income and wealth changes. Trace how taxes, transfers, and interest payments redistribute resources.

## 20.3 From representative to heterogeneous households

Use a two-agent benchmark before motivating a richer distribution of households. Identify which policy questions require the additional heterogeneity.

# 21 Monetary Policy

This chapter extends the interest-rate rules used to close the New Keynesian model into a systematic policy comparison. The existing welfare derivation is retained below; the preceding sections are outlines.

## 21.1 Transmission and policy shocks

*Planned section.* Separate a systematic policy response from an unexpected policy disturbance. Compare intertemporal, credit, redistribution, and exchange-rate channels.

## 21.2 Rules, commitment, and discretion

*Planned section.* Compare equilibrium determination with welfare-based policy design. Explain how credibility and promises about future policy affect current choices.

## 21.3 The interest-rate lower bound and balance-sheet policies

*Planned section.* State when the policy-rate constraint binds and which transmission channels remain. Examine forward guidance and asset purchases under explicit assumptions.

## 21.4 Optimal monetary policy

A significant paper Mankiw and Reis 2002 used a new keynesian macroeconomic model to acquire the optimal monetary policy. [43]

**Note 1** (why is there welfare loss?)**.**

monopoly and sticky price cause deviation from Pareto optimality.

**Note 2** (Optimal monetary policy)**.**

No concept of optimality can be found in policy analysis in the perspective of household or firm. But the government can use welfare loss fucntion in its optimality to maximize social welfare. In the process of achieving maximized social welfare, the monetary policy is the so-called optimal monetary policy.

To acquire the optimal monetary policy, the welfare loss function must be previously introduced.
To acquire WLF, we use second order taylor expansion
first order Taylor expansion

$$\frac{X_t - X}{X} = \ln X_t - \ln X = x_t - x = \hat{x}_t \tag{21.1}$$

[43] N. Gregory Mankiw, Ricardo Reis, Sticky Information versus Sticky Prices: A Proposal to Replace the New Keynesian Phillips Curve, The Quarterly Journal of Economics, Volume 117, Issue 4, November 2002, Pages 1295–1328, https://doi.org/10.1162/003355302320935034

second order Taylor expansion

$$\begin{aligned}\frac{X_t - X}{X} &= \frac{1}{X}e^{x_t} - 1 \\ &= (\frac{1}{X}e^{x} - 1) + \frac{1}{X}e^{x}(x_t - x) + \frac{1}{2}\frac{1}{X}e^{x}(x_t - x)^2 \\ &= \hat{x}_t + \frac{1}{2}\hat{x}_t^2\end{aligned} \tag{21.2}$$

Similarly

$$\Rightarrow \begin{cases} \frac{C_t - C}{C} \approx \hat{c}_t + \frac{1}{2}\hat{c}_t^2 \\ \frac{N_t - N}{N} \approx \hat{n}_t + \frac{1}{2}\hat{n}_t^2 \end{cases} \tag{21.3}$$

Bi-variate 2o taylor expansion for a utility function where people gain utilities from consuming goods and enjoying leisure.

$$u(C_t, N_t) \approx u(C, N) + u_C^C(\frac{C_t - C}{C}) + u_N^N(\frac{N_t - N}{N}) + \frac{1}{2}u_{CC}^{C^2}\frac{(C_t - C)^2}{C} + \frac{1}{2}u_{NN}^{N^2}\frac{(N_t - N)^2}{N} \tag{21.4}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + u_N N(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) + \frac{1}{2}u_{CC}C^2(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + \frac{1}{2}u_{NN}N^2(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) \tag{21.5}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1}{2}\hat{c}_t^2) + u_N N(\hat{n}_t + \frac{1}{2}\hat{n}_t^2) + \frac{1}{2}u_{CC}C^2\hat{c}_t + \frac{1}{2}u_{NN}N^2\hat{n}_t \text{ (reservate only to 2o)} \tag{21.6}$$

$$= u(C, N) + u_C C(\hat{c}_t + \frac{1 + \frac{u_{CC}}{u_C}C}{2}\hat{c}_t) + u_N N(\hat{n}_t + \frac{1 + \frac{u_{NN}}{u_N}N}{2}\hat{n}_t) \tag{21.7}$$

$$\Rightarrow \frac{u(C_t, N_t) - u(C, N)}{u_C C} = (\hat{c}_t + \frac{1 + \frac{u_{CC}}{u_C}C}{2}\hat{c}_t^2) + \frac{u_N N}{u_C C}(\hat{n}_t + \frac{1 + \frac{u_{NN}}{u_N}}{2}\hat{n}_t^2) \tag{21.8}$$

$$\because \hat{c}_t = \hat{y}_t \text{ (market clearing at equilibrium)} \tag{21.9}$$

$$u(C_t, N_t) = \frac{C_t^{1-\sigma} - 1}{1 - \sigma} - \frac{N_t^{1+\varphi} - 1}{1 + \varphi} \iff \begin{cases} -\frac{u_{CC}}{u_C}C = \sigma \\ -\frac{u_{NN}}{u_N}N = \varphi \end{cases} \tag{21.10}$$

**Note 3** (Coefficients of CES function)**.**

$\sigma$ is intertemporal substitute elasticy, $\varphi$ is frisch elasticity

continue to the last taylor expanded equation, introducing $var_i$ as the deviation of each firm's price

$$\ldots = (\hat{y}_t + \frac{1 - \sigma}{2}\hat{y}_t^2) + \frac{u_N N}{u_C C}\{\frac{1}{\alpha}(\hat{y}_t - a_t) + A \cdot var_i P_{it}\} + \frac{1 + \varphi}{2}[\frac{1}{\alpha}(\hat{y}_t - a_t) + A \cdot var_i P_{it}]^2 \tag{21.11}$$

$$= (\hat{y}_t + \frac{1 - \sigma}{2}\hat{y}_t^2) + \frac{u_N N}{u_C C}\frac{1}{\alpha}\{[(\hat{y}_t - a) + B \cdot var_i P_{it}] + \frac{1 + \varphi}{2\alpha}(\hat{y}_t - a_t)^2\}, B \equiv \alpha A \tag{21.12}$$

, here let's ignore many fluctuation terms from taylor expansion as they are extremely small and irrelevant to monetary policy.

$$-\frac{U_N}{U_C} = MP \cdot N = \alpha A N^{\alpha-1} \tag{21.13}$$

$$= \alpha \frac{C}{N} \Rightarrow \frac{u_N N}{u_C C} = -\alpha \text{ (can use this to simplify equation before)} \tag{21.14}$$

go back to before

$$\Rightarrow \ldots = (\hat{y}_t - \frac{1-\sigma}{2}\hat{y}_t^2) - \{(\hat{y}_t - a_t) + B \cdot var_i P_{it} + \frac{1+\varphi}{2\alpha}(\hat{y}_t - a_t)^2\} \tag{21.15}$$

$$= \frac{1-\sigma}{2}\hat{y}_t^2 - B \cdot var_i P_{it} - \frac{1+\varphi}{2\alpha}(\hat{y}_t - a_t)^2 \tag{21.16}$$

$$= \frac{1-\sigma}{2}\hat{y}_t^2 - B \cdot var_i P_{it} - \frac{1+\varphi}{2\alpha}(\hat{y}_t^2 - 2\hat{y}_t a_t + a_t^2) \tag{21.17}$$

$$= (\frac{1-\sigma}{2} + \frac{1+\varphi}{2\alpha})\hat{y}_t^2 + \frac{\sigma+\varphi}{\alpha}\hat{y}_t a_t - B \cdot var_i P_{it} \tag{21.18}$$

$$= \frac{\alpha(1-\alpha)+1+\varphi}{2\alpha}\hat{y}_t^2 + \frac{\sigma+\varphi}{\alpha}\hat{y}_t \hat{y}_t^f - B \cdot var_i P_{it} \text{ (remember when we work out the } \hat{y}_t^f) \tag{21.19}$$

$$= \underbrace{-\frac{1}{2}[\underbrace{C(\hat{y}_t - \hat{y}_t^f)}_{\text{deviation from output}} + \underbrace{D(\hat{\pi}_t - \pi^*)^2}_{\text{inflation}}]}_{\text{welfare loss}} \text{ (welfare loss function)} \tag{21.20}$$

the goal is to minimize the whole term

**Note 4** (paradoxy in welfare loss function)**.**

the two goals are contradicated according to philips curve

# 22 Fiscal Policy

*Planned chapter.*

## 22.1 Government budgets, debt, and Ricardian equivalence

Derive the government flow and intertemporal budget constraints. Explain the conditions for Ricardian equivalence and why they can fail.

## 22.2 Taxes, purchases, transfers, and public investment

Separate income, substitution, and resource effects. Compare the objectives and transmission mechanisms of different fiscal instruments.

## 22.3 Fiscal multipliers and financing

Define the multiplier and its horizon. Compare spending responses across financing arrangements, monetary policy rules, household structures, and open economy environments.

# 23 Policy Interaction and Constraints

*Planned chapter.*

## 23.1 Fiscal and monetary regimes

Study how the fiscal backing of public liabilities interacts with interest-rate policy, inflation, and equilibrium determination.

## 23.2 Debt sustainability and policy space

Derive debt-to-output dynamics and distinguish arithmetic from an assessment of sustainability. Include growth, interest rates, primary balances, and risk.

## 23.3 Policy combinations in an open economy

Bring together exchange-rate regimes, capital flows, domestic balance sheets, and international spillovers. Compare policy combinations under stated institutional and financial constraints.

# Part VI
# Topics

The topics combine mechanisms from the earlier parts. Each begins with dated facts and measurement choices, compares competing explanations, and asks what evidence would distinguish them. Policy conclusions remain conditional on that evidence.

# 24 The Dollar in the International Monetary System

*Planned chapter.*

## 24.1 History and measures of international currency use

Separate reserve holdings, invoicing, payments, funding, and exchange-rate anchors. Define what each measure can establish about dollar dominance.

## 24.2 Network effects, invoicing, and safe assets

Explain the mechanisms that can sustain an international currency's use. Connect dollar pricing and demand for safe assets to the open economy models.

## 24.3 Benefits, obligations, and the international balance sheet

Distinguish seigniorage, financing advantages, and valuation effects. Examine the obligations and constraints associated with supplying safe and liquid international liabilities.

## 24.4 Global funding and policy spillovers

Trace dollar borrowing, funding stress, and the international transmission of US policy. Examine liquidity facilities and the role of financial sanctions.

## 24.5 Persistence, alternatives, and testable changes

Compare explanations of persistence with possible sources of change. Assess claims about de-dollarization separately across the measures defined at the start of the chapter.

# 25 China's Growth and Adjustment after the Pandemic

*Planned chapter.*

## 25.1 The baseline, timeline, and measurement

Separate the pre-pandemic baseline, pandemic years, and reopening period. Distinguish output levels from growth rates and real activity from nominal income. An observation after the pandemic does not identify a pandemic effect.

## 25.2 Demand, consumption, and employment

Compare cyclical explanations using household income, consumption, prices, and employment. State what each explanation predicts before assessing it.

## 25.3 Property, balance sheets, and local public finance

Map the links between housing, household and firm balance sheets, banks, and local government finances. Compare expenditure adjustment and debt resolution mechanisms.

## 25.4 Population, productivity, and resource allocation

Use growth accounting and the growth models to distinguish demographic, investment, and productivity explanations. Examine the allocation of resources across sectors and firms.

## 25.5 External demand and policy alternatives

Connect domestic adjustment to trade and international conditions. Compare policy alternatives through their mechanisms, constraints, distributional effects, and testable implications.